

Tamilnad Mercantile (TMB)

Conference call transcripts, oldest-first. 15 call(s). Generated 2026-08-02.

Call: Nov 2022

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Mumbai – 400 001.
Scrip Code: 543596 The Manager,
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Bandra (East), Mumbai - 400 051.
Symbol: TMB

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call for the quarter ended on September 30, 2022

We wish to inform you that the transcript of the earnings conference call hosted by the Tamilnad Mercantile Bank Limited on Un-audited Financial Results of the Bank for the quarter and half year ended September 30, 2022, has been made available on the Bank's website at the following link, within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015:

<https://tmb.in/doc/Tamilnad%20Mercantile%20Bank%2027102022.pdf>

We are also attaching the Transcript of the earnings call with this intimation.

Kindly take the same on record.

Yours faithfully,
For Tamilnad Mercantile Bank Limited
Prakash Chandra Panda

Company Secretary and Compliance Officer

Tamilnad Mercantile Bank Limited
Q2 & H1 - FY 2022 -23 Earnings Conference Call

October 27, 2022

Management : Mr. S. Krishnan , Managing Director & CEO
Mr. D. Inbamani , General Manager
Mr. P. Suriaraj , General Manager
Mr. V. Jayaraman , General Manager
Mr. S. Narayanan , General Manager
Mr. P.A. Krishnan , Chief Financial Officer
Mr. Prakash Chandra Panda ,
Company Secretary and Compliance Officer

Tamilnad Mercantile Bank Limited
October 27, 2022

Moderator: Ladies and gentlemen. Good day and welcome to Tamilnad Mercantile Bank Limited Q2 and HY1 FY23 earnings conference call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touchtone phone. In interest of time and to give an opportunity to all to ask, we request each participant to ask maximum of two questions. Should you have any additional questions, we request you to write to us on secretarial@tmbank.in. Please note that this conference is being recorded. I now handover the conference over to Mr. S Krishnan, Managing Director and CEO Tamilnad Mercantile Bank Limited. Thank you and over to you Sir.

S Krishnan: Thank you a very good evening to everyone. My dear Analysts who are on the concall and outside my sincere thanks for sparing the time. The bank has announced its first half year results of the current fiscal. Today we had a board meeting in the morning and it was announced. You know that this is the first time after the Bank got its shares listed in the Stock Exchange, the Bank is coming out with its results and the results are encouraging. The Bank continues to be one of the Banks which has been posting good results, I'll just give you a brief of the bank, the bank is more than 100 years old private sector bank and this is one bank which has been continuously, consistently making profits, right from the inception and also paying the dividends. The performance during the first half year is encouraging. I will give some brief of that. The presentations on the performance has been uploaded in the website of our Bank, which I'm sure that, by now my friends should have gone through and I'll be more than happy to interact with them. To give you a brief, the bank's operating profit has increased by about 11%. I am talking of the half yearly performance year on year. Why I'm talking on the half yearly performances? As you know, that the bank's shares were got listed only in the month of September. Before that, it was unlisted and L ODR was not applicable, hence the quarterly result was not published earlier. Now we thought that having got it listed so first half year we will do and going forward there will be every quarter which I'll be interacting with you at least once, if not more. I'll be more than happy to interact with you much more frequently. The operating profit of the bank has increased by about 11% and reached to Rs.764 crore and the Tamilnad Mercantile Bank Limited
October 27, 2022

Page 3 of 14

net profit has zoomed by about 27% to reach at the position of 497 crore. When I talk on this, I should also tell about the net interest margin. The net interest margin has reached the height of 4.47% is one of the best in the industry so far. Based on the information I have with me is probably the highest. If there's some other bank which has more, I'll be more than happy to get to know from you and update myself. As far as the asset quality is concerned, the gross NPA is 1.70% and the net NPA is 0.86%, which has come down from 3.31% and 1.82% a year back. The return on assets and the return on equity, which are very important for any investor, continues to be good. The return on assets is at 1.93% and the return on equity is at 16.84% and this return on equity is after factoring the additional capital, which the bank has taken in the recent past. The cost income ratio has also come down to 42.02%. The provision coverage ratio is at 88.58%. The capital adequacy continues to be very, very comfortable at 24.58

%, the Tier 2 constitutes less than 2% and all others are counter-equity, i.e. Tier 1 capital. So this in a nutshell is the performance. For the paucity of time and as I'm sure that my friends would have already gone through the presentations, which is available on the website of the bank. I will stop here and will like to have an interaction with you going forward. Now hand over to the moderator.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Jehan Bhadha from Nirmal Bang. Please go ahead, sir.

Jehan Bhadha: My first question is on the yields. If we see the yields have declined compared to the June quarter and in case of the industry, most of other banks have

witnessed an increase in the yields. And on the other hand, our cost of deposits has gone up so that that has impacted the NIM. So like, why has this happened and what is the future outlook?

S Krishnan: Probably you are comparing the QOQ .

Jehan Bhadha: So first half number with the quarter one number so we can get an idea that quarter two yields have come down.

S Krishnan: Let me tell you basically when the reference rate was revised by the Reserve Bank of India , we have not passed on consciously to the customers. That is Tamilnad Mercantile Bank Limited

October 27, 2022

Page 4 of 14

one reason why my yield on advances has marginally come down. Second is that, why we had not passed on? You know that my loan book, I'm serving mostly of the MSME , Agriculture and Retail, so we consciously took the decision . However, my ALCO will be meeting very shortly to take a call on the revision of rate of interest. That is one reason why it has not, and the cost of deposit has marginally gone up , not much. So going forward, if you look into the overall NIM , the bank continues to be at 4.47%, which is one of the highest. So what will happen is when I have a very high base. Even in March, I had more than four, so having a very high base will be difficult to maintain. There will be a small declining, so when it declines , it looks like there's decline . Why it has declined also needs to be seen , so there could be seen that my base was very high sustaining these as 4.47%. It's also not possible. I will be having something around 4 plus.

Jehan Bhadha: OK, right. And the second question is on the SMA number. SMA01-02 total comes to almost 12.5% of the total loans. So how should we read this number? Is it the normal scenario or before COVID what was this percentage number and going forward , how will this shape up?

S Krishnan: I will request you to read along with the slippages . Looking into the SMA 01 and 02, yes definitely it is 12.5% which appears to be little bit higher. But again, drilling down SMA 01 02, if you look into SMA 02 alone, it is only 985 crore. And I don't stop there. I also request you to look into my slippages how it is happening . See slippages are well contained which will be evident from the credit cost what I have , which is 0.27% , which is again one of the best in the industry I should say. Now we are able to, as I said that basically our bank , we are focusing on the RAM segment . Due to the pandemic , when the entire globe was affected, the MSME and the Retail was more affected because , they are the persons who will be finding difficult unlike corporate , who will have deep pockets, will be able to come back quickly , these people, but nevertheless, though, there is a struck it has not presented into the default. We will be able to manage this and going forward it will further come down .

Jehan Bhadha: OK, so what will be the like normal level will be before COVID, what must this number be ? Will it come to single digit?

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Tamilnad Mercantile Bank Limited

October 27, 2022

Page 5 of 14

S Krishnan: I will share that with you, Adfactor will coordinate with you .

Moderator: Thank you. The next question is from the line of Sagar from Alchemy Ventures . Please go ahead.

Sagar: Couple of questions, you just got the RBI approval post the IPO to open more new branches. So what are your plans there?

S Krishnan: See, we are working on that. The management is working on that about the opening of the branches. The RBI lifted its restrictions on 21st of October , just before the Diwali and we are working on the expansion in places where I have a good potential and also that I will be able to have a small break even time, so that I will be able to have a good center. I will be taking a paper to the board very shortly , with the details of the places and the number of branches and the period by which I'll be able to expand . Once the board deliberates and approves on that, I'll be more than happy to share with you.

Sagar: And so some of these new branches. What percentage will be in Tamil Nadu and what percentage will be in other southern states? And what percentage

will be outside of South of India?

S Krishnan: That's what I said that we are working on that . We are with open mind . That for me , it is India one . OK , so I am looking at India as a whole as to what are all the potential center s which are available ? Within those potential centers which is more suitable for me where I will be having a lesser turnaround time, where I will be hav e a quick -fix breake ven so, all t hose things I am working and I will be taking to the board very shortly.

Sagar: Sir, just then w ould you have a rough number in mind in terms of what increase in OpEx will it entail in FY24 if not in 23?

S Krishnan: No, We will be evening out witho ut affecting much of the OpEx . That is the reason that I said that we are also looking to the alternates like what I have the digital banking uni t where I can have that OpEx like model. So all these alternates are being worked out and we'll be going with a plan , where I will not be straining my OpEx to a greater extent , in any particular year.

Tamilnad Mercantile Bank Limited

October 27, 2022

Page 6 of 14

Sagar: My one more question is on the deposit front . We are seeing healthy credit offtake . Do you see pressure on the deposits and do you think we will need to increase deposit rates significantly, or at least commensurately, to match up with the credit demand?

S Krishnan: There will be a requirement , as the rates are h arden ing up , definitely the deposits cannot be an exception to that. T here will be a need to revise. My AL-CO will be meeting v ery shortly, which will be taking a call on the rate of interest on both the deposits and t he lending rate s.

Moderator: Thank you. The next question is from the line of Vivek Gautam from GS Investment . Please go ahead.

Vivek Gautam: I just want to understand about the USP of the bank and what are our differentiators , which is leading to such better ratios. And market seems to still give low elevation compared to other banks .

S Krishnan: My USP is act ually this bank is known for its customer service. The bank is known for particularly assisting the MSM E, the trader community. The bank very well unders tands their nuances of these MSME . The bank very well understands the pains of the MSME, the bank very well understands the strengths of the M SME , so also those customers understands the b ank. It is the bank where I had been seeing now, at least for the past 40 years or so when I entered this banking arena. I have been seeing that this is the bank where the service is the bes t. So these are basically the principles, where the customer come to the bank and get the service , irresp

ective of the time , that

continues even today and that wi ll continue in the days to come also. So this is the US P of the bank and we concentrate only on the RAM segment. When I concentrate on the RAM segment , my risk is diversified. There is no concentration risk, again I also mostly go for a secured lending than the unsecured lending . So these things have helped the bank to have one of the best in the industry or in all the ratios.

Vivek Gautam: OK, Sir, and what about some legacy issues over and lying on the Ba nk of the couple between Promoter Group and Forums ?

S Krishnan: So it cannot be proper .

Tamilnad Mercantile Bank Limited

October 27, 2022

Page 7 of 14

Vivek Gautam: OK, but at least those with the giving him the of the new branches licenses by RBI, the future is looking much better than the past end.

S Krishnan: Definitely the future is looking very bright and what ever be the issues , it has not affected the performance of the bank at any point in time.

Vivek Gautam: OK, and basically the IPO played as a part of a critical role in RBI coming out with mor e of branches permitted to open and so far we are mostly Tamil Nadu oriented Bank now we'll be in all over India and reducing the geographical concentration risk.

S Krishnan: Yes, w e will be looking into that.

Moderator: Thank you. The next question is from the line of Sandeep Joshi from Unifi

Capital . Please go ahead.

Sandeep Joshi: I had a question on margin so you mentioned that the current level of margin which is around 4.47%. It's not sustainable and you guided that you will be somewhere around 4%. So my question is that despite we have not taken a decision to pass on the rate hike and despite this we are actually guiding for a margin of around 4 odd percentage. I mean, so are we building in so much of aggressive increase in rate of deposit so that our margins will come down to 4% compared to current levels.

S Krishnan: No, I think it was not properly understood or I have not properly told whatever it is. What I was telling is that maintaining, sustaining a NIM of 4.47 forever is difficult because the benchmark is very high. Now I also said that the rate hike what was passed on, was not full. Rate hike, which was done by the Regulator was not fully passed on to my customers so far, because there was a question that why the Net Interest Income has come down or why the margin has marginally come down. Like that QO Q, so that was the answer for that. Having said, I also said that the ALCO of the bank will be meeting very shortly to take a call on the lending rate and also the deposit rate. Now going forward as a guidance. What I said was that my NIM will be 4 plus. Why I said 4 plus is that 4.47 is a higher level. That definitely sustaining will be very, very difficult. Does not mean that I am going to Jack up the rate of interest on the deposits very strictly and thereby margin will come down not
Tamilnad Mercantile Bank Limited
October 27, 2022

Page 8 of 14

like that. It is not like that as the guidance. I said it will be 4+ while the bank will be making all the endeavors to see that we are able to have a good NIM. Sandeep Joshi: OK, understood, so my second question is on this is on the SMA book, see our SMA book is broadly stable if I compare this to March 22, this is broadly stable, so since the festival season has actually kicked in from October, are you seeing any demand on your SMA book?

S Krishnan: See that's what I said, my SME book though by number wise. but as you rightly observed, it is more or less ranging in the same level and I'm not having the slippages also to a greater extent. I am able to contain the slippages indicating that I am able to recover the critical amounts. The

reby I am able to maintain the asset quality. Why this SMA is continuing to be our but also explained that basically I explained I lend mostly to a RAM segment. The re they were feeling the pinch more than the corporates who have a deep pocket. That that is what I said. So there is a strain, but does not mean that there is a default. I'm able to have a better monitoring mechanism. I'm able to contain the slippages, so going forward as the activity improves as the industry like Production and performance improves, I expect that this position will also come down in the days to come.

Sandeep Joshi: Thanks for the clarification on the SMA book, but actually I was referring to the extent or the MSME book, so this MSME book on the loan side. This book has broadly remained stable if we compared this to financial year 22. So my question is that since the festive season actually kicked in from the month of October, have you seen any growth, any demand on the MSME book?

S Krishnan: MSME growth, I don't think that the MSME has, one minute, let me see. Year back, MSME was around 12,326 and now it is 12,700. There is an increase of around 400 crores so there is demand, but it is picking up. I expect that the activities will pick up further in the days to come with the festivals and also I am seeing a good monsoon which in turn while it will definitely have a direct benefit to the Agricultural sector, the MSME sector will also once the activity economy picks up there, MSME also will improve. I expect a good potential for that uptick for that.

Tamilnad Mercantile Bank Limited
October 27, 2022

Page 9 of 14

Sandeep Joshi: OK so my next question is on the loan growth? What kind of loan growth you are targeting for financial year 23 and 24 and what segments will.

S Krishnan: I expect my loan book to be around 37,500 crore by March 23.

Sandeep Joshi: OK, and any guidance for FY24 if you have in mind.

S Krishnan: Maybe I maybe growing by another about 12%.

Moderator: Thank you. The next question is from the line of Ashok Ajmera from Ajcon Global Services, please go ahead.

Ashok Ajmera: Sir. Most of the questions have already been answered. My only submission and observation is that since our base is comparatively low. And you are a very, very outstanding and performing person and our asset quality is also very good and under control. The NPA, both the gross and net NPA. So just a question that why we are restricting to a growth target of only 12 percent, 13% or 14%. Like you just now said. You said, in 23-24 also it will be around 12%, whereas some other smaller banks, they may not be so small compared to us, but they are having the credit growth of 24%-25% because of the low base. Yes, so any concern that.

S Krishnan: To answer your question, you know that I say less and do more right. Definitely we will be performing more than that. But as a guidance, I had said, because gradual growth is always better. The bank is consistently focusing on the bottom line, which will be my trust also, my focus also to see that I'm able to have a very strong bottom line having said the top line is equally important, so we will be growing on that, though I said 12% you have read what is in my mind. Definitely we will be doing more than that. But as a guidance, I said 12%.

Ashok Ajmera: Yes, definitely Sir, your ROE is more than 2% either it's rare actually. You are, I think, 2.04% on annualized. Sir, looking at this, I might have missed some of the points. What will be the composition you are looking at between the RAM and corporate loan components? The percentage in terms of the total loan book.

Tamilnad Mercantile Bank Limited

October 27, 2022

Page 10 of 14

S Krishnan: Today I

have a mix of 87% as the RAM and 13% as the corporate. Going forward while my focus and trust will continue to be the RAM, I will also be on the corporate selective, particularly taking the exposures where it meets my risk appetite. I'll be doing that. I expect that gradually the ratio may be changed to 85 to 15 and then 18 to 20 max of max.

Ashok Ajmera: And Sir, I mean you are focused on the lending through the NBFC is either for onward lending to the MSME, or for any Co lending or any tie up or anything to expand your book through the I mean indirect way through the NBFC, any policy?

S Krishnan: We're working on a strategy for this, particularly what you said on the Co lending and other aspect. We are working on that and I'll be taking to the board and then I will share with you.

Moderator: Thank you. The next question is from the line of Jamir Ansari from Bajaj Alliance. Please go ahead.

Jamir Ansari: So just wanted to check in terms of the composition of our loan book, how much of it would be fixed rate and with respect to other floating rate loans. What would be the mix in terms of Repo rates and the other benchmarks?

S Krishnan: I don't have much of fixed rate. Fixed rate is very, very, few, and as far as the repo rate is concerned, it's around 40% if I'm right, anyhow I will ask my people to confirm to you, OK?

Jamir Ansari: Sure, not an issue and related to that. The question was that if I look at the numbers from the presentation, I see that the yield on advances haven't moved much between June and September, which is unlike most of the other banks which has seen an increase in the yield on their loans, so any peculiarity with respect to our book as to why this thing happened?

S Krishnan: The peculiarity is that I have not revised my rate of interest. I have not passed on the increase of the reference rate to my customers, so that is the reason while the other banks have done it. I have not done so far. My ALCO is meeting very shortly which will be taking a call on that.

Tamilnad Mercantile Bank Limited

October 27, 2022

Page 11 of 14

Jamir Ansari: OK, but sorry to persist with that question. But if 40% of the loans are repo linked, the transmission would have happened automatically. Am I missing something?

S Krishnan: Repo linked should take place. The last revision was only now OK, so that will have the impact going forward. And the repo also once in three months only if we do it. It's not that the day they revised, automatically, the rate is revised here.

Jamir Ansari: OK, that makes sense. OK, so you have a three month lag in, in terms of revising. In terms of passing on the benchmark rate.

Moderator: Thank you. The next question is from the line of Ashok Ajmera from Ajcon Global Services. Please go ahead.

Ashok Ajmera: As for that our resolution plan implementation, note no 9 for COVID -19. The total exposure is around 619 crores. Out of that, what is slipped is hardly about, let's say 9.59 crore. And recovery is 46.11 crores. So going forward.

Do you see any? I mean the slipping to the NPA will be very minimal like what is happened in this quarter.

S Krishnan: It will be very minimal. That is whatever slipped already is very minimal. As you observed, out of 620 crore. Only around 10 crore has slipped and the recovery was around 46 crore. So going forward, I expect that the same will be there or the slippage may come down also.

Ashok Ajmera: OK, so it is absolutely under control.

S Krishnan: Yes.

Ashok Ajmera: One is from the income point of view. You know the sale of BSLC, you have realized in the June quarter about, I think 66 crore and in September only 1.26 crore, so going forward for the next two quarters, do we expect some good amount of income? I think the premium must have

come down now so

there is not much chance of realizing.

S Krishnan: Normally the premium will go up in Q4. So that time we have lot of stocks to upload so we are waiting for a good time so that we can do it.

Tamilnad Mercantile Bank Limited

October 27, 2022

Page 12 of 14

Ashok Ajmera: OK, so we can expect it in the last quarter of the FY23.

S Krishnan: That is what is happening when there is a pressure on the banks who are not able to meet the priority sector, they will be approaching. The premium will go up.

Ashok Ajmera: And Sir, again on the Treasury front. What is the composition of our Treasury non SLR and how do you see the treasury performing going forward for the next two quarters?

S Krishnan: As of now my Non-SLR is just 1298 crore. Going forward, I expect that there may be further rate hikes. That is what is being talked around. If that hike is there, I expect that by March quarter Q4 things will normalize. I will be able to have reversal of this. All these things, whatever I did, so I don't expect much of briefing from treasury, at least in the days to come. I expect other possible contribution.

Ashok Ajmera: OK, and one last question is on. I think one of the other colleagues also had asked a similar question, but I want to get little more expanded the answer, is that though this festival season in the credit off-take might be good now, but at the same time there is a pressure on the people generally on the Retail loan books there can be some pressure because of the continuous hike in the interest rates. And overall inflation going up. And also you are also thinking to raise some kind of interest rate in the next ALCO meeting. So do you think that there can be some pressure leading to the delinquencies in the running quarter and the next?

S Krishnan: To answer your question, if I have to talk in general, yes, because of the inflation. Because of the increase in the cost of borrowing, definitely there will be a pressure strain on the borrowers, no doubt on that which ultimately will lead to increased stress. I will not use the word delinquent. I will say that there will be increase in stress. Now the increase in stress is a relative term. How far it will increase how far it will stretch? Will it result in delinquent? I expect that there will be little increase I have to be very honest with you. I am talking for the industry. There will be a little increase in the delinquent, but I don't expect that this trend will continue for a longer time. My expectation is

Page 13 of 14

I expect that things will start easing out and will come to the normal cycle. So by the end of the year, I don't expect that there will be much pressure on the asset quality of the banks. This is in general coming to my bank in specific that I'm not seeing much for the reason that one is. I have very diversified book. Unlike many banks where they have more of a concentration risk. I am very diversified and I expect a good monsoon across the country, particularly in Tamil Nadu where I have more concentration, so that will help me towards the Agriculture. The MSME activities are picking up. I expect that there will be a good growth and there will be a good churning out. Hence I do not foresee much of delinquency in my bank.

Ashok Ajmera: OK, so maybe SMA02 too might get little increase, but generally will not commit to an NPA. That's what you are saying. I mean not much

S Krishnan: Yes, absolutely.

Moderator: Thank you. The next question is from the line of Jehan Bhadha from Nirmal Bang. Please go ahead.

Jehan Bhadha: Sir, on credit cost. What can

be the normal level going forward?

S Krishnan: Will be maintaining almost at this level.

Jehan Bhadha: At around 40 basis .50 basis points. So around that level, right? OK, and Sir, our calculated PCR is at around 50%. So are you fine with that or is there a possibility to increase that further to 65 -70 levels? Like what is your thinking sir?

S Krishnan: One accounts and the other requires. Yeah I have today a net NPA of 296 crores. That is after the provision, I have 296 crores. I have also made additional provision of 300 crore citing any exigency on account of COVID or anything. I have kept 300 crores indicating that I am fully provided. I am a zero NPA Bank.

Jehan Bhadha: OK and last question. Like even at the time of IPO there were queries on this point of the shareholding which is held in the escrow side. So any like what will be the course of action going forward? How can this issue get resolved?

Tamilnad Mercantile Bank Limited
October 27, 2022

Page 14 of 14

S Krishnan: So we have to wait and watch.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. S Krishnan for closing comments.

S Krishnan: Let me thank all the participants for spending the time and coming over for this concall. As I said in the beginning, that the bank has been continuously doing well and we will continue to do well, I'll be more than happy to have interaction with you at least once in quarter if not more. But I'll try to have a discussion with you at frequent intervals and going forward we will meet.

Once again, thank you very much for your participation.

Moderator: Thank you. Ladies and gentlemen, on behalf of Tamilnad Mercantile Bank Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2023

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Ref.No.TMB.SE. 56/2022 -23
27.01.2023
The Manager,
Bombay Stock Exchange limited,
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Dalal Street.
Mumbai – 400 001.
Scrip Code: 543596 The Manager,
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Exchange Plaza, 5th Floor, Plot No. C/1,
'G' Block, Bandra - Kurla Complex,
Bandra (East), Mumbai - 400 051.
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Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call – Q3 Results

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Yours faithfully,
For Tamilnad Mercantile Bank Limited
Prakash Chandra Panda
Company Secretary and Compliance Officer

Tamilnad Mercantile Bank Limited
Q3 - FY 2022 -23 Earnings Conference Call

January 23, 2023

Management : Mr. S. Krishnan , Managing Director & CEO
Mr. D. Inbamani , General Manager
Mr. P. Suriaraj , General Manager
Mr. D. Ramesh, General Manager
Mr. V. Jayaraman , General Manager
Mr. S. Narayanan , General Manager
Mr. P.A. Krishnan , Chief Financial Officer
Mr. Prakash Chandra Panda ,
Company Secretary and Compliance Officer

Tamilnad Mercantile Bank Limited
January 23, 2023

Page 2 of 21

Moderator: Ladies and gentlemen, Good day and welcome to Tamilnad Mercantile Bank Limited Q3 FY23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance

during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. S. Krishnan – Managing Director and CEO, Tamilnad Mercantile Bank Limited . Thank you and over to you, Sir.

S. Krishnan: Thank you. A very good evening to my friends who are on the concall . At the outset, it gives me immense pleasure to share with you the results of the bank for the Q3, which was adopted earlier today and the presentations are available on the website of the bank and also uploaded on the stock exchanges, but nevertheless I will just quickly take you through some of the key parameters. I am sure that everyone might have made an analysis of that and I will be more interested to have an interaction with you, but still I will take few of the points for the calculation of all my friends present here.

When I talk of any company normally I look at how the shareholders' value can be enhanced that is what it is ultimately. So, if you look into it, the bank has done extremely well on enhancing the shareholders' value, be it the net worth, be it the book value per share, earnings per share, return on asset which is true, which is one of the good in the industry, ROE and the bank CET1 reached at 32.85%.

As I said ROE is at 17.14 which is again a good return and every one of you know that the bank came out with an IPO in the last quarter in the mid of September we got our shares listed in both the stock exchanges and subsequent to that there is an increase in shares and share capital increased by about ₹15 crore and the rest towards the share premium the bank came out with face value of 510 per share.

Now coming back to the performance highlights of the bank for the Q3, the CASA has grown by about 10%. The advances have grown by about 9%, with deposits the growth is 3% I will touch upon little later. The gross NPA has been considerably brought down from what it was a year back by about

Tamilnad Mercantile Bank Limited
January 23, 2023

Page 3 of 21

40% and sequential quarter the gross NPA is maintained at 1.7 %, the slippages have been contained to a great extent. The net NPA has been further brought down to 0.75 % as on 31st of December. Consequently, the provision coverage ratio has also gone up to nearly around 90%.

Above all , the net profit has gone up by about 38% year -on-year during the Q3, the net profit is ₹280 crore against ₹202 crore a year back. The other interesting thing is NIM, NIM is at 4.5 for the period ended December 22 on an annualized basis. The other parameters which normally one looks in the banking industry is about asset quality, the slippage ratio as I was telling that we could contain the slippage and maintain gross NPA at 1.7. The slippage ratio for the quarter ended December is just at 0.19%. The gross NPA is 1.7, net NPA at 0.75, the PCR has gone up to around 90% (89.83) in nutshell. The credit cost which is another important efficiency parameter which will be looked into in the banking industry. The credit cost on an annualized basis for the period ended December 22 comes to 0.32% and I would like to recollect what the guidance I gave last time when I was discussing with you, was it will be around 0.5 to 0.75 or so. So, we are able to contain 18.32. The cost of funds is almost static. The cost -to-income ratio has been brought down to 41.93 from 43.16 a year back and the cost of deposits have been maintained at the same level of 4.59.

Having said this, I will also touch upon the asset quality though I was telling about the NPA as on 31st of December. Let me give you a flavor of how it has moved over the period, over the period it has come down substantially and the other one is SMA, SMA is one which is another parameter interesting to note and the total SMA of the bank has come down to 8.41% and this has come down from 12.42% a quarter back and it was 10.18 a year back. Now, within the SMA, if I look into the SMA -2 which is more vulnerable , the percentage is only 2.26 which has come down from 2.82. If I look into the SMA -2 as at the end of the previous quarter which works out to 985 crore and slippage during the current quarter is only 66 crores, indicating that we are able to contain the slippages to a greater extent. The stressed assets ratio has also been brought down to 3.97 from 5.97 a year back.

Now, I will come to a top line of the deposits when I was talking, I told that the deposits though the CASA has increased the deposit was growing at 3.34. Let me give further flavor on that. While the savings has increased year -on-year by about 9.45%, the current account has increased by around 12% more accurately around 11.82% and thus the overall CASA has increased by 10.15%. However, the overall deposit growth is only 3.34 which indicates that my term deposits growth is not matched. This is a conscious one that we are cost conscious, we were focusing on increasing the CASA, the CASA growth has come. Though the CASA per se, in absolute numbers if we look into maybe slightly less than the previous quarter, but year -on-year we could show a growth of around 10% in CASA and the term deposit when the demand is there, definitely we thought we will increase the price with a cost concern very recently about a week or 10 days back ALCO of bank met and we have revised the rate of interest hopefully that we will be able to have more deposits percent.

As far as the advances is concerned it has grown by about 8.77%, but again let me tell that the bank continues to focus on the RAM segment. RAM segment is one which is more diversified, there is no concentration risk. If I look into the mix of the bank, on the advances portfolio, the RAM constitutes 89% and the corporate is just 11% which again an increase of about 200 bps over the previous quarter, as far as the RAM is concerned.

When I look into the growth in each segment within the RAM, the retail has grown by about 16% year -on-year, the agriculture has grown by about 13% and the MSME has grown around 7% and thus the overall RAM has grown by about 11.3%. So, the focus of the bank, the strategy of the bank to grow more in RAM, has resulted with these numbers that we have been able to show a reasonable growth in this.

Going forward, we will be concentrating on that, does not mean I am closing the roads of the corporates. The corporate would be selective so that the good corporate comes up with a good rating and according to our policy we will be definitely taking up. As far as the restructured advances are concerned, I have a restructured total book of around 896 crores of which 790 crore is the standard and 91 crore is the NPAs. There are no concerns on this, much of

concerns on this then of course I was last time telling that we have been permitted for expanding our footprint and I am glad to tell that though the permission came within that we have open two branches and we have plans of opening around 25 branches before the end of this fiscal that is what we plan. The digitalization, lot of product processes are in the pipeline, some of them we may be able to roll out quickly, some of them maybe in the beginning of the next fiscal that is how it is. More particularly, I will be rolling out

the Tab

banking where I can on-board a new customer by opening the account through the Tab banking there are people who want to be our customer they need not take the pains of visiting the branch. My relationship manager will be going there and completing all the process. It is almost in advance stage today I just received the IS audit report certificate clearance and I will be rolling out that very shortly.

Besides that, the bank has also entered into strategic alliances during this quarter with insurance companies namely Bajaj Allianz, Kotak, Chola and Max Life. Hope that these strategic alliances will also 1) Provide better and more products to my customers who can utilize the same. 2) It will also bring me more non-interest income. So, going forward with the strength the bank continues to show a strong bottom line with good growth. We will continue to do that. I will stop here for the DBT and we will be ready to interact with you. Along with me I have my CFO, Mr. P.A.Krishnan. So, we are ready to discuss it with you now over to you.

Moderator : Thank you. Ladies and gentlemen we will now begin the question -and- answer session. The first question is from the line of Sandeep Joshi from Unifi Capital. Kindly proceed.

Sandeep Joshi : My question is on the corporate book sir we have actually seen a decline of almost 20% sequential on the corporate books, can you just explain what led to this decline in this quarter?

S. Krishnan : Basically, this quarter it is not that specific one. In fact last quarter we had some advances which was matured on the due date, that has been paid otherwise not this one. As I said we will be taking a good corporate credit as a and when we get a good one.

Tamilnad Mercantile Bank Limited
January 23, 2023

Page 6 of 21

Sandeep Joshi : I think I just missed you in between so you mentioned that few of the corporates have got matured and going ahead, you want to actually focus upon good quality of corporates, is that a fair understanding what you were trying to communicate?

S. Krishnan : Yeah it is a fair understanding this is in the normal course the loan got matured and it was closed and the first one, we will be taking any good corporates. We are with open mind we will be taking up as I was giving in my initial brief that the bank will continue to focus on the RAM segment, but at the same time corporate will be picking up good quality corporates.

Sandeep Joshi : Basically actually you are not comfortable with the corporates who got matured?

S. Krishnan : No, we were comfortable. If there is a need definitely . We were very comfortable with the corporates and as and when required that corporate will be taking from us only.

Sandeep Joshi : The thing is that the delay in corporate is actually taking down your overall credit growth, so if you look at the sequential number on overall basis it was just a flattish growth on a sequential basis, so that kind of been slightly disappointing compared to where the industry is currently running at. It is almost running at 15% and we are just half of it and there is almost no sequential growth, so going ahead I mean sequentially what are the growth areas in which you want to grow because even if I see your MSME book even that has not grown if you compared even on a YTD basis, so basically that is your target segment which is almost 37% of book, so I just want to understand which are the focus areas in which you want to grow and what kind of loan growth you are targeting for financial year 23 and 24?

S. Krishnan : See I will be focusing as I said on the RAM segment when you look into growth in my RAM segment, it is overall around 11%. As you pointed out the MSME growth is not very high when I compare with growth what I have in the retail or agriculture which is about 15%, 16% or 13% this is 7% and you know that the bank is predominantly in the southern part and as far as

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MSME's are concerned, most of the MSME are picking up in their ones. So, we are with them and our focus will be on increasing the MSME going for-
Tamilnad Mercantile Bank Limited
January 23, 2023

Page 7 of 21

ward. The guidance for 23 -24 will be we may be around 12% growth in the overall advances book.

Sandeep Joshi : And sir for financial year 23?

S. Krishnan : Financial year 23 I may be around 10% overall.

Sandeep Joshi : My next question is actually on the margins sir last quarter we had guided that we were actually yet to take a call whether to pass on rate hikes in the interest rates. We mentioned that we will decide later in one of our meetings in this quarter. I am not witnessing any improvement in yield, so have you passed on any yields or are we planning to pass on anything to the customers?

S. Krishnan : Let me tell that we have passed on some of the rate increase. It is not that we have not done. We have passed on. Of course, as I was telling last time also, as far as the repo passing on is concerned, there is a time lag of around 3

months that is how it is, but we have passed on some of them, but we have also rejigged within the RAM segment some of the portfolio like we are focusing more on the gold and jewel loans or the home loan, where which was more secured where the delinquency is much less and naturally the yield will be less in that, that is how when I go for rejigging within the RAM segments, some of the products the yield on advances have come down sequentially I think it has come down by about 3 bps not much.

Sandeep Joshi : Sir earlier you used to guide margins in the range of 4% to 4.25% I mean in the first 9 months we are already running at around 4.5%, so do you want to revise our guidance on margins or do we stick to our old guidance?

S. Krishnan : Last time also I said having a NIM of 4.5 or 4.47 what I had last quarter is real challenge maintaining that is a real challenge. However, even Q3 we were able to face the challenge and we have slightly improved also, but again I maintain that, maintaining the 4.5 is difficult. Definitely the NIM will be 4 plus that is what I say, on a conservative basis, but we will be striving hard to see that we are able to maintain.

Tamilnad Mercantile Bank Limited

January 23, 2023

Page 8 of 21

Sandeep Joshi : So as and when the book starts growing I mean a loan (CASA) growth may not be only when PD start increasing your margins will revert back to those 4.2, 4.3 levels?

S. Krishnan : Yes.

Sandeep Joshi : Sir my next question is actually on the OPEX so if you look at the other OPEX that has actually increased in the single quarter from almost 116 crores to 138 crores, what led to that increase?

S. Krishnan : I will ask the department to give you the breakup. The instructor will coordinate and will give you the details.

Sandeep Joshi : Sir the next question is on the normalized kind of return ratios which you are targeting, do we have any target for return ratio in terms of ROA and ROE for financial year 24?

S. Krishnan : See today I have a ROA of 2 as on December that is what I have and what guidance we gave was when earlier we gave the guidance that we will be around definitely maintain about 1.5 and we have demonstrated that much above that and so it will be hovering around this say 1.75 to little above that, that is how it will be.

Sandeep Joshi : About 1.75?

S. Krishnan : Yes.

Moderator : Thank you. The next question is from the line of Ashok Ajmera from Ajkon Global.

Ashok Ajmera : Sir my question is also based on now from here where. Because being too much conservative also and only looking for the RAM growth also will hit our profitability in future because we will not be able to reach the level at which the bank should go after having performed so very well, so number one is that what is stopping us in taking a plunge into the entire I mean whatever the

industry is feeling like SME loans, some of the corporate, good loan account, some onward lending through NBFCs I mean this kind of conservative

Tamilnad Mercantile Bank Limited

January 23, 2023

Page 9 of 21

tive policy has been fixed by the board or you do not want to go very aggressively on this front?

S. Krishnan : It is neither Mr. Ashok you know what is stopping me, but at the same time, the bank has been focusing on the RAM and that is basically you will see of the bank that is the strength where we have and having said that, there are lot of total transformation is going on where definitely as you suggest, that we will be here with open mind both myself and also the board are open and we will be taking up good exposures and we will be taking up the exposures which we understand, which is commensurate to our size, like that we have been discussing. In fact today also we had a discussion and the board is very open and I am also in line, that we are for taking up good exposure. As you

rightly observed, we have to look into other avenues, we will be looking into other avenues. Hopefully that in the days to come it will demonstrate better than talking.

Ashok Ajmera : Because I feel that our base being small, we can look at some of the bank, we can observe there like especially I would give you example of Bank of Maharashtra that was also very comparatively smaller bank and then the way they have picked up and as solidly picked up, it is not that they have taken any major risk or anything?

S. Krishnan : Not at all.

Ashok Ajmera : And there was a time when the growth was 26% now has tapered down to 22.5%, but still doing well, so if you can put up a team to work out on that you are the strong bank as of today even though the numbers may be less as per your size whatever, but there is an inherent strength in the bank today, your NIM is more than 4.4, 4.5 instead of lower no one can compare with that, so that kind of strongness you already have, so you can now prepare a roadmap for the bank to taking it to the next level?

S. Krishnan : That is the reason Mr. Ashok I was telling when I was talking earlier to the earlier gentlemen also, that maintaining the NIM of 4.5 will be challenge when I go further. So, we have already reached that and nothing wrong in slightly coming down from 4.5 the increase in the numbers.

Tamilnad Mercantile Bank Limited
January 23, 2023

Page 10 of 21

Ashok Ajmera : Yes there is nothing wrong as long as you see most of the other peer banks even a bank like Canara Bank is less than 3 if you talk about bigger banks and some of the other good banks also 3.5, 3.6, 3.7, but provided you grow also faster, which will ultimately increase your bottom line and which will help the shareholders creating the value for them. Second is sir on the technology and recovery front. I may not have actually heard because there was other bank also so I was not present here when you were giving initial remarks.

S. Krishnan : I will just tell on the technology front I was telling that we have taken lot of projects on digitalization. One such is TAB banking where I will be able to on board a new customer seamlessly, we will be rolling out very shortly just save the IS Audit clearance, when I was sitting on the board today, it has come. So, I will be rolling that out, very shortly this will enable me to onboard the customer very quickly, seamlessly at a very, very low cost. Today, on boarding a customer with the brick and mortar is very costly through this I will be saving a lot of cost which will ultimately help me, to acquire more customers, customers will have a good experience on becoming the customer of the bank and second, is that my cost will bring down. Similarly, I am also embarking upon lot of digitalization of the processes, particularly on digital lending end-to-end where work is in process, while some of the digital products

will be completed before end of fiscal, some maybe spill over to the next quarter. There is the second phase of my mobile banking with additional features and services to my customers which will be rolled out again very shortly that is also ready for rolling over the UAT and other things were completed which we will be doing that. We are also going to have a total facelift for my internet site, where the customers experience will be very good, they will have a good experience and feel, while they come to my website. So, that work is also in the advanced stage which again may be rolled out before the end of this fiscal. So, both on liability side and asset side and also the other services where digitalization is in full swing that is as far as the IT is concerned. As far as the recovery is concerned, the recovery is in fact fully geared up I should say we can see from the numbers that I could contain the slippage. My slippage ratio if you look into is one of the lowest and the recovery of NPA also if you look into, we are able to make good recovery. The overall stressed assets if you look into, even the SMA, SMA has been

Tamilnad Mercantile Bank Limited
January 23, 2023

Page 11 of 21

brought down considerably to 8.41% and out of that, the SMA -2 is just 2.26%. So, this 8.41 was a year back at 10.18 and sequential quarter it was 12.42. All this reflects the enhanced recovery efficiency, collection efficiency that is what as far as the recovery is concerned.

Ashok Ajmera : So many things are happening I think I am not exactly aware of your portfolio, but in this coming quarter like the January -March quarter, do you expect some extraordinary amount of recovery from some of these resolutions, some of this NCLT or some of the OTS?

S. Krishnan : I do not have much of that which you say even this quarter some of the banks in the beginning they got some, but I do not have such expectation.

Ashok Ajmera : That is one way good also, because they became best you were not affected?

S Krishnan : It is good.

Moderator : Thank you. The next question is from the line of Kunal Sukhwani from Indvest Group. Kindly proceed.

Kunal Sukhwani : My question is on the SMA bit only sir. We have done very good work bringing that number from 13.7 to around 8.4, but is there any guidance wherein we want to bring the number down to where we will be comfortable because 8.4 is fairly comparatively higher compared to other banks that would be my first question?

S Krishnan : Your voice is not very clear can you repeat which parameter you are referring?

Moderator : Seems like the participant's line got disconnected. We are moving on to the next question is from the line of Sandeep Joshi from Unifi Capital. Kindly proceed.

Sandeep Joshi : Sir my question was again on the corporate book. This quarter we have witnessed some mature in the corporate book, are there accounts who are heading towards maturity if yes what is the quantum?

S Krishnan : Not big.

Tamilnad Mercantile Bank Limited

January 23, 2023

Page 12 of 21

Sandeep Joshi : Secondly just a data keeping question what was the impact on margins from our IPO proceeds?

S Krishnan : See I am not able to clearly understand that your voice is also not very clear.

Sandeep Joshi : Just a policy related question, do we have a policy wherein your variable pay is actually linked to amount of a new business senior management or a middle level employee or employees are getting, do we have a policy in place for this?

S Krishnan : We have just started that for the employees down the line, for this and the new recruits are being linked to that. The existing employees are governed by the industry level settlement and the new recruits which we have recruited about a year or two back for this we have brought in the variable pay, linking it to the businesses. We are also working for bringing the others into that.

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Sandeep Joshi : As of now, what proportion of your employees are actually linked to this variable pay?

S Krishnan : Very less.

Sandeep Joshi : And this variable pay is this a fixed variable pay or this will be completely based on the new business they will get?

S Krishnan : I missed it completely what is your question.

Sandeep Joshi : Sir I am asking the variable pay, is the variable pay fixed in terms of 8% or 10% or is it completely dependent upon the new business they are getting?

S Krishnan : No, a portion of that, a percentage of the total pay is linked to a variable.

Sandeep Joshi : And this is across senior management, middle level management and employees?

S Krishnan : Yes.

Sandeep Joshi : Sir, what mandate we have got from the board in terms of loan growth, is it same in the range of 10% to 12% for this and next financial year or this is just the base case assumption?

Tamilnad Mercantile Bank Limited

January 23, 2023

Page 13 of 21

S Krishnan : No, it is almost on the same line.

Moderator : Thank you. The next question is from the line of Kunal Sukhwani from Indvest Group. Kindly proceed.

Kunal Sukhwani : My question was on SMA. As in we have done very good work to reduce the SMA from 13.7 to 8.4, but it is still higher compared to other banks, so any kind of guidance where we want to bring this SMA number down to from 8.4 and where we will be comfortable at that is my first question?

S Krishnan : See one observation that this number 8.41 though has been brought down compared to other banks it is still higher. I will only say that my book mix if you look into I have a RAM of 89%. Normally the SMAs will be high in that, but in spite of that though I have 89% of my book as RAM, I could bring down to 8.41 and even within the SMA the SMA -2 is 2.26 and even within the SMA -2, what is the slippage against 985 crore of SMA -2 as on the previous quarter and my slippage during the quarter is only 66 crores all this apart, where I will be able to ideally I may be able to bring down around 8 in the near term.

Kunal Sukhwani : Sir my next question on our MSME book so basically I wanted to get some color on the book how is it in terms of manufacturing or service or can you give us some industry exposure wherein our MSME book has more exposure towards which industry?

S Krishnan : I can give those details I will ask my people to be in touch with you and give those industry wise exposure where do I have more exposures and I have all the service I also have on the manufacturing. So, I will ask my people to send you the details.

Moderator : Thank you. The next question is from the line of Saket Kapoor from Kapoor Company. Kindly proceed.

Saket Kapoor : Firstly when we look at your NIM and the ROI what are the sustainable numbers going ahead with the type of expansion we are contemplating in terms of the credit growth advances, what is the sustainable number that we can pursue in for say two to three years down the line?

Tamilnad Mercantile Bank Limited

January 23, 2023

Page 14 of 21

S Krishnan : NIM and ROA you are asking. As far as ROA is concerned, today I am at 2 I was telling that going forward I will be able to maintain may be 1.75 to 2 or 2.25 that is the range at which we will be expecting to do that. The NIM will continue to be at this stage, with improvement if you look at into the NIM today NIM has gone up substantially. So, we will be able to maintain this type of NIM in the years to come. The NIM there will be a little challenge when I say the NIM I should also honestly admit that there will be a challenge on the NIM maintaining the NIM of 4.5 will be a little difficult when I will grow further which I have explained to the other participants who were asking the question I said that my NIM will be above 4 plus that will be the same variance which I see last quarter same thing I said that it will be difficult so therefore we

have been able to not only maintain marginally increase that also. So, we will be able to do that.

Saket Kapoor : Sir if you could give some more granular understanding I mean taking into account the size of the business the bank is conducting and its geographical presence mainly I think more concentrating in the Southern part how are this 4% NIM I think so these are the best industry averages absolute numbers may look different because of the size of the bank, but if we go for any comparison, 4% NIMs are we are not an NBFC or like that where we can command and you can guide for 4% even going ahead.

S Krishnan : Absolutely right that is what I said that 4.5 maintaining will be a challenge, but anyhow we will be definitely above 4 when I grow. Now what I plan is that though today I am predominantly at Tamil Nadu I also have plans of expanding my wings and I was just giving in my one earlier that I will be opening more branches very shortly we have my first footprint in the North Eastern part of the country likewise the other states also I will be expanding. So, maintaining this 4.5 will be a little challenge. However, the efforts will be made to offset whatever it is or by way of mobilizing more CASA, bringing down my cost of deposits, thereby I will be able to do and hope that I have that NIM of above 4 that should be a good number.

Saket Kapoor : So that is what you are appraising us for going ahead. Sir if we take the increased cost of funds because of this repo rate increase gradual increase by
Tamilnad Mercantile Bank Limited
January 23, 2023

Page 15 of 21

RBI, so what percentage of our loans are repriced and are around floating rate and how what percentage are on fixed basis if you could provide us?

S Krishnan : Okay if you talk of fixed rate and floating rate, most of my loans are under floating rate, but again within the floating rate, I can divide into two categories. One is linked to the MCLR, one is linked to the repo rate. Now the repo rate, the passing on, we have a lag of around 3 months, so that is how it operates and again you are telling that we are not a NBFC maintaining this NIM, the market conditions will also be looked into and that is how in fact we revised passed on some of the increase and some we absorbed. So, around 40% of my loan book should be linked to the repo rate.

Saket Kapoor : Sir when I look at your presentation firstly it is a very elaborate and lot of work has gone into it thank you for the team for giving such a vivid presentation sir. When we look at your PCR ratio currently closure to 90%, what does this indicates to us when there is only strong possibility of now getting these NPAs are even going to be lower going ahead since we are at closer to 90% what does this number signifies for us?

S Krishnan : This number signifies what is the amount of cushion that I have to fall upon against my NPA whatever is there I have around 90% as the provision. So, in case of any shock this is a good shock absorber it clearly indicates that the bank will be able to do. Now, your another question is going forward how it will be I have to only explain that, going forward with these provisions, the overall balance sheet will be strong and the way we are able to have efficiency in the recovery and containing the slippages, I do not foresee much of increase in the NPAs and these provisions will be helping a lot. For your information in fact during this current quarter we front loaded some of the provisions, which has also gone a long way in increasing this provision coverage ratio and also bringing down the net NPA. Ultimately, these are the strong points of the balance sheet where the bank is now.

Saket Kapoor : Couple of two, three points once again sir then we are a very well-funded organization and going ahead we are not looking for raising any capital or because of now our footprint increasing, what is our capital raising program

if any, going ahead?

Tamilnad Mercantile Bank Limited
January 23, 2023

Page 16 of 21

S Krishnan : No, we do not have plans of raising any capital in the near future. Because, if you look into my capital adequacy, the capital adequacy is much above what is required. It is more than 24%, of which around 22% plus itself is CET1. So, I am well capitalized and I have to tell that very recently we came out with IPO and raised the funds, procured somewhere around 810 crores. I will not be requiring the capital in the near future.

Saket Kapoor : Just to pose a point for the IPO when we priced our IPO at around 510, 515 level how did we come to that number taking into account I think our book value is around 430. So going ahead how should investors value the type of business where we are specialized going ahead, how should market price in the valuation because I think so the interest there is a lot of interest in the banking sector as a whole, but when we look at TMB as a beginner, if I can say in the listing space, there is lot of steps needed to create that awareness going ahead in the investing fraternity?

S Krishnan : Thank you in fact answer for this I was expecting from you being an analyst. You are specialized in that, but still if we tell that these are market driven how the price was fixed based on the market conditions just in time and going forward, the market will be definitely realizing the performance as you said and I expect more PB ratio for my stock.

Saket Kapoor : My suggestion was sir if we could have going ahead if we could engage an IR team so that the estimation of information or your interaction with the in-

vesting community, that would have provided suffice more further interaction, not keeping everything closer keeping it with the banking people, engaging the right set of people will create the right output and create value creation going ahead?

S Krishnan : I fully recognize what you said we will be definitely engaging our self and I myself plan to come to Mumbai and meet you all at regular intervals hope to meet you soon.

Saket Kapoor : I was looking for particularly IR team if you engage?

S Krishnan : I will be engaging them.

Tamilnad Mercantile Bank Limited

January 23, 2023

Page 17 of 21

Saket Kapoor : Coming to the CASA part when I look at your presentation we have seen a degrowth I can say you can correct me there in your CASA what is going to be the trajectory going ahead?

S Krishnan : Degrowth in sequential quarter you might have seen a marginal degrowth. I will not say much for your bank of the size it is a marginal degrowth of say 100 crores or something it is not a very big one, but if you look year -on-year the year -on-year the CASA has grown by about 10% while the current alone has grown around 12%. So, this is a temporary phenomena what has happened maybe a small degrowth as on 31st of December. I expect that my CASA will be definitely growing at the same pace of more than 10% on year -on-year basis. We have given lot of thrust, we have taken lot of initiatives on the digital front to enable the customers to have a ease of banking with us, which will definitely by acquiring new customers and also we are enhancing our CRM, customer relationship management module, which will also enable me to have more engagement with the customer, which will ultimately bring more CASA. So going forward I expect a good growth.

Saket Kapoor : What we are observing in the new age bank or the technologically driven banking system is the engagement with Fintech companies where the acquisition of liability franchise is also cost effective and you can easily generate more business, so what are the type of technological advancement or engagement with Fintech company the bank is looking to grow its business going ahead?

S Krishnan : We also have engagement with the Fintechs rather in the recent times

we

have been having a lot of dialogues with many Fintechs. As I said the additional products for customer acquisition earlier also someone was asking I said that TAB banking which has been just cleared. I will be rolling out very shortly. The TAB banking is again has been developed with the help of people like this and my customer relationship manager will be at the door steps of the customer they did not take the pains of coming here or going there, through the TAB, in few minutes a regular account can be opened that is seamlessly. So, these types of things we are engaging with the Fintech. We also have plans of utilizing the corporate BCs who have been trained and the

Tamilnad Mercantile Bank Limited

January 23, 2023

Page 18 of 21

process is going on with latest technology, which will enable me for taking lot of new businesses both on a liability and also the lead on the asset side.

Saket Kapoor : Lastly sir what are the key verticals where we are still not adequately present and new initiatives would be taken by the bank to have its presence in those avenues where are we working wherein we can improve our presence and thereby the business profile going ahead?

S Krishnan : No, if you ask a vertical in fact I am present, but where I am focusing today on the vertical is on the digitalization of various products and services and also the process. In fact, I am working on end -to-end digital lending, which will enable me to enhance to get more business. So, all the digitalization is the focus for me. I was telling someone that, the aim is that the bank should be made as a most preferred digital bank.

Saket Kapoor : In continuation to that how are you making use of technology in early warning system EWS or artificial intelligence that will help you detect the stress in

the system at a faster?

S Krishnan : When I said digitalization of the products and services which also includes today I have early warning system which is able to throw the alerts to me and the enhancement that's what I said, a whole lot of digital transformation has been embarked upon on different areas, on the different products, processes and services. When I say processes that includes various processes like EWS which is very important. We are also discussing on deploying AI maybe it will take little more time for us to come to that stage.

Saket Kapoor : Sir when I look at the line -item interest on balance with Reserve Bank and the interest received. That has gone down if we compare on a year -on-year basis from 21 crore to 5.25 crore, so what explains this number and also the employee cost year -on-year is down. So for the year as a whole what should be presented in as the employee cost?

S Krishnan : No, as far as the employee cost is concerned it might have gone down because you know that the actual valuation based on duration, based on the investments what we have, when we get as a thumb rule, when we have a adverse M2M in the securities book, the position for my employees benefit will
Tamilnad Mercantile Bank Limited
January 23, 2023

Page 19 of 21

be a beneficial one that is a thumb rule. So, accordingly the requirements based on the actual requirements whatever is required has been done, might have come down in that, that is the reason why employee cost come down rather I have provided something envisaging the revision in the wages though nothing has started, but I have started providing for that, that is how it is. As far as the interest on the RBI is concerned I will request CFO to give details.
P.A. Krishnan : Earlier we were keeping some amount on repo and call. Now it is deployed in the investment. So, the interest on investment has come up so it is neutralized there.

Saket Kapoor : Sir I did not get you come again.

P.A. Krishnan : Interest on investment it has gone up.

Saket Kapoor : Income on investment has gone up.

P.A. Krishnan : Interest income on investment.

S. Krishnan : That is basically mentioned as income on investment it is interest income on investment.

Saket Kapoor : Clubbing part is different the income has been clubbed under income on investment.

P. A. Krishnan : Yes correct.

Saket Kapoor : On a concluding part if you could give us some understanding what kind of growth are we envisaging for a bank in the coming two years if you could give an outline to us?

S. Krishnan : Coming two years I will give, but immediate one in short and medium term I can say that my guidance will be growth of loan book by about 10% to 12%.

Saket Kapoor : Our advances will grow by 10%, 12%?

S. Krishnan : 12% yes.

Tamilnad Mercantile Bank Limited
January 23, 2023

Page 20 of 21

Saket Kapoor: And the cost of deposit also will definitely be going up because of the rising interest rate?

S. Krishnan : I said about the advances as of the cost of deposit is concerned it will marginally go up, but may not be to a greater extent.

Moderator : Thank you. The next question is from the line of Ashok Ajmera from Ajkon Global. Kindly proceed.

Ashok Ajmera : Sir the points we're very good. Our bank needs now after doing a good work a lot of visibility is required and you are being a limited bank now should look for a PAN India kind of a bank and my rather point of information or question how are we expanding our administrative and controlling disbursement recovery reach like even in Mumbai itself sir you do not have any kind of office in the main city either at Nariman Point or BK C somewhere the people can come and interact, you have a new Bombay even your own regional of-

office which should be somewhere in the center of Mumbai city this is number one. Number two is other places also is there any plan like going to big way into PAN India that takes the bank to the next level?

S Krishnan : As far as your question I can break it into two or three parts. One is extending my network as far as expanding the network is concerned we very shortly will be opening a branch in the North Eastern part of the country and also something on the Eastern and spread across all the North West, that we will be expanding the branches. As far as administrative office was particularly Mumbai what you asked today Navi Mumbai is again I will not say upcoming it has already come up. So that is one of the important thing much of happenings are taking place rather people have shifted from Fort, Nariman Point to BKC maybe days to come they will be. Nevertheless in today date as you said about one -to-one meeting or anything we are enabling for the digital whereby I want to bring down the TAT and enhance more of the digital meetings with the customers where we can have. That is what I mostly want so that the place where we have offices is immaterial, but I will be able to interact with the customers the regional managers or whosoever it is will be able to interact with the customers and the paper should move digitally and should

Tamilnad Mercantile Bank Limited
January 23, 2023

Page 21 of 21

be disposed off quickly that is how we are doing that. I hope that in the digital world that should not be a problem.

Moderator : Thank you. Ladies and gentlemen that was the last question. I would now like to hand the conference over to the management for closing comments.

S Krishnan : Thank you. I thank all the participants for having spared their time to interact with me and my officials. As I was telling you that I will be eagerly looking to meet you all also we will be having and definitely with all your support we will be able to again perform well in the quarters to come. Once again thank you very much for joining the call. Thank you.

Moderator : Thank you. On behalf of Tamilnad Mercantile Bank Limited that concludes this conference.

Call: Apr 2023

Secretarial Section
Head Office, 57 - V.E. Road,
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Ref.No.TMB.SE. 22/2023 -24

29.04.2023

The Manager,
Bombay Stock Exchange limited,
Phiroze Jeejeebhoy Towers,
Dalal Street.
Mumbai – 400 001.
Scrip Code: 543596 The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor, Plot No. C/1,
'G' Block, Bandra - Kurla Complex,
Bandra (East), Mumbai - 400 051.
Symbol: TMB

Dear Sir/Madam,

Sub: Transcript of the Investor & Analyst Meet – Q4 Results

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform you that the transcript of the Investor & Analyst meet hosted by the Tamilnad Mercantile Bank Limited on Audited Financial Results of the Bank for the quarter and financial year ended March 31, 2023 , has been made available on the Bank's website at the following link :

<https://tmb.in/investor-relations.aspx>

We are also attaching the Transcript of the earnings call with this intimation.

Kindly take the same on record.

Yours faithfully,
For Tamilnad Mercantile Bank Limited
Prakash Chandra Panda
Company Secretary and Compliance Officer

Page 1 of 29

TAMILNAD MERCANTILE BANK LIMITED
TRANSCRIPT OF THE INVESTOR AND ANALYST MEET 2023
HELD AT MUMBAI ON APRIL 24, 2023

■ Moderator:

■ Good evening , ladies and gentlemen . A very warm welcome to all of you . We are very glad to see you all here and appreciate you for taking the time and effort to join us here today . Welcome to the investor and analyst meet of Tamil nad Mercantile Bank Limited. We also extend a very warm welcome to all those who are joining us virtually over zoom . Allow me to introduce members of the management team present here with us . We have Mr. S . Krishnan , Managing Director and Chief Executive Officer, and Mr. P .A. Krishnan , Chief Financial Officer. We will start with a brief introduction from the Managing Director followed by a presentation on the business and financial performance and talk about the future opportunities that the company is looking at going forward . This will be followed by a brief question and answer session . I request you all to keep questions at the end of the presentation . If anyone wishes to ask a question please raise your hand and we will provide you a microphone . For those joining us over zoom , request you to please put your questions in the Q&A chat . We also request you to mention your name and organization before asking the question . Thank you. I would now like to invite , Mr. S . Krishnan to give his opening remarks . Sir.

■ Mr. S. Krishnan -- MD & CEO, Tamilnad Mercantile Bank Ltd.:

■ Thank you and good evening to everyone who have come here in person and also through

the digital mode . At the outset , let me say that today morning , the board of the bank adopted the audited financial results for the fiscal 22 -23 and also the Q4 of 22 -23. I'm very happy to share with members that the bank has registered the highest ever net profit off **■1,029 crore** , so also the operating profit is the highest and the net interest income . Besides that, the numbers on the key parameters like NIM, ROA , gross NPA , net NPA , PCR , and CRAR are one of the best in the past 10 years . The performance of the bank overall in all the parameters are very, very good and I can tell that when we gave the guidance to the street last time on various parameters the bank has surpassed or achieved the commitments that was given to the street . We said the net interest margin will be about 4 and we ended up with 4.46 . ROA of 1.75 to 2 and the ROA is 1.97 . Return on equity above 15 , it is 16.78 and this return on equity is pursuant to the additional capital , which was raised by the bank during 22 -23 and the bank came as the listed entity during that year. The gross NPA was estimated to be less than 2 and it is 1.39 . the net NPA was estimated to be less than 1 and we are at 0.62. The cost to income ratio guidance was given as 42 % to 44% and we ended up the year with 42.24% .

■ This is what in a nutshell I have to say and when I met last time after the results . I was talking about the RBI's approval for expansion of the branch network and we said that we
Investor and Analyst Meet
April 24, 2023

Page 2 of 29 will be opening around 25 branches during 22 -23. The RBI's approval came somewhere at the fag end of Q3 and we could open 21 branches during 22 -23 of which some of the branches in other states . The bank has put its first footprint in the northeastern state at Guwahati branch, which was opened recently . So, this is in very brief where the presentations are available . My colleague is there to quickly walk you through the presentation and once that is over , we will definitely be much happy to interact with you , so that we can take it forward . Thank you very much .

■ Moderator:

■ Thank you, Sir. I now invite Mr. Ashok Kumar to commence the presentation . Sir, please .

■ Mr. P.R. Ashok Kumar – Deputy General Manager Planning & Development

, Tamilnad

Mercantile Bank Ltd.:

■ Thank you, Sir. Yeah, we thank you very much for all of you for on our invite for having come for this event . I'll quickly take you through this presentation . Some of it has been covered by our respected MD and CEO Sir. The performance highlights of our bank for the year ended as our MD Sir has already covered , we have made the highest ever profit - net profit of 1029 crore and operating profit of 1,573 crore , net interest income of 2,094 crore . Some of the best in the performance of the bank so far in the last 10 years , the NIM which is at 4.46% . ROI has moved to 1.97% . Gross NPA which is the lowest in the last 10 years at 1.39% . Net NPA is at 0.62. PCR which is the highest in the last 10 years is at 90.90% . CRAR is at 26.26% . The shareholder's value which is the net worth book value and the EPS, the networth has grown to 6,928 crore from 5,336 crore last year and it is the best in the last five years . The book value is at **■437.53** . EPS is at 68.06 . The ROA, ROE, and the capital adequacy which we have already seen , so I'm quickly jumping to the next slide .

■ The deposits of the bank has grown by 6% , advances by 11% , total business is grown by 8%, the net profit year-on-year basis it is grown by 25% , operating profit at 4% , and net interest income is grown by 15% . Some of the key parameters and the key ratios , the net profit it is as we have already seen it is 1,029 crore to 1,573. The net income is at 2,094 and the NIM has gone to 4.46% . The gross NPA, net NPA, which we have already seen , so I'm skipping . So, on quarter -on-quarter basis this is the growth that we have made . The net interest income which has grown to 527% on a year-on-year basis , it is 7.99% . Gross NPA is at 1.39 . Net NP is at 0.62. The other ratios which you have already seen . The CET 1 ratio is at 24.61% . Some of the efficiency ratios which are credit cost , which has come down from 0.63 to 0.40. The cost of fund has come down from 4.9% to 4.71% . The cost of income ratio also has come down from 42.29% to 42.24% . The cost of deposit also has marginally reduced from 4.91% to 4.71% . The yield on advances is at 9.43 . The yield on investment it has slightly gone up from 6.74 to 6.85 .

■ The yield on the funds has slightly increased from 8.65 to 8.69. On a quarter -on-quarter basis , the credit cost is at 0.4% and cost of funds is at 5.15% . Cost income ratio has
Investor and Analyst Meet

April 24, 2023

Page 3 of 29 slightly gone up 43.14. Cost of deposits is at 5.17 . Yield on advances has slightly increased from 9.46 to 9.90 . Yield on investments is at 6.85 and yield on funds it is at 9.12% . The gross NPA and net NP A, which we have already seen and its absolute value in terms of it has reduced from 570.92 to 521.46 on a year-on-year basis and net NP A has

come down from 317 crore to 229 crore . The sector wise NPA on YoY basis , there has been a marginal reduction on every parameter , I mean every segment . The retail it has come down from 55.7 to 44 . Agri is 48. MSME has come down from 271 to 184. In corporate slightly it is up 196 to 243 crore . The slippage ratio as such on the overall portfolio , it has come down from 1.7% to 0.82. On a segment wise basis , the absolute numbers are available , it is the PPT you can see . The movement of NPA, it is I mean the year has opened with the 570 crore and it is closed with 521 crore . There has been a cash recovery upgradation and the write off . The first edition is 271 crore as against the reduction of 320 crore . The PCR stands at 90.90 . SMA on a YoY basis , I mean the overall SMA it has come down drastically from 4,191 crore to 2,447 crore in the financial year 2023 .

■ The sector wise SMA on a retail segment it has come down from 1,137 crore to 971 crore . Agri MSME and across all segments there has been a co

nsiderable reduction in the SMA .

The stressed asset ratio it was at 4.46% last year , it has come down to 3.18% for the year . NPA as segment wise quarter-on-quarter basis there has been a considerable decrease , 47 to 44 , 77 to 48 in Agri. MSME 294 to 184 . In other segment slightly it has increased , but overall gross NPA it has come down from 591 in December and it has - I mean from 591 to 521. The slippage on a sector wise quarter -on-quarter basis , there also there has been a reduction in retail and agriculture . There is slight increase in the MSME and other segment it is almost the same , but overall it is from 50 crore to 70 crore . The moment of impact on quarter -on-quarter basis from Q3 it was 593 . Q4 it has come down to 591 and there has been a considerable reduction through recovery and upgradation . The fresh addition compared to the reduction it is lower . The reduction has been more .

■ SME on a sector wise on quarter -on-quarter basis , there is a slight increase in the retail segment . Agriculture that is a considerable reduction . MSME also there is a reduction from 1,068 crore to 924 and other segment drastically it has come down from 525 to 341 . Stressed asset on quarter -on-quarter basis , there has been a considerable reduction here also. The overall percentage , it has come down from 4% to 3.18% . This is a position of restructured advances . The restructured advances on a quarter -on-quarter basis, it has come down from 896 to 785 , which is around 2% of the overall portfolio . The sector wise restructured accounts , the details are visible on the screen . There also it has come down overall from 896 to 785 . Retail segment , there is a reduction . Agri and corporate also there is a reduction and MSME there's a considerable reduction from 341 to 306 crore . So, on all the segments , the accounts have come down .

■ The overall business mix which is deposits and advances , the deposits it has grown from 44,933 to 47,766 crore on a YoY basis and the advances 33,748 to 37,582 , which is around 11%. The overall deposits portfolio contributed by CASA and term deposits term deposits it

Investor and Analyst Meet

April 24, 2023

Page 4 of 29 is 13,736 - sorry the CASA is at 13,736 and term deposits 34,030 . CASA ratio is around 29% and the overall advances portfolio , retail , agri, MSME, and the corporate sector out of this, the RAM segment , which is the retail , agri, and MSME contributes to around 87% on the overall total advanced portfolio . So, various other income parameters which are there , which is available for you for doing analysis . The gross profit from 1,516 to 1,572 it has grown . The net profit on a YoY basis it has grown by 25% . In an absolute term , it has grown from 821 crore to 1,029 crore . So, the balance sheet it has increased from 52,858 to 57,895 . These are some of our strategic partners and this is our branch expansion . We have around 48.49% in semi -urban , 20% of branches in urban , 16% in rural , and 14% in metro . This is our presence across the country present in 17 States and 4 Union Territories. Some of the awards and accolades which is available on the net . Thank you very much for your patience in hearing and I would request our MD Sir and also request your questions , which will be answered by our MD Sir. thank you.

■ Moderator:

■ Thank you, Sir. We'll open the floor for questions now . We request you again to mention your name and organization before asking or typing the question . We will first be taking questions from participants here and followed by participants that are joining us over zoom . Thank you.

■ Mr. Mayank Agarwal -- Ingrid Capital:

■ Hello. Hi, this is Mayank Agrawal from Ingrid Capital . So, first congrats on the good set of numbers Sir. So, my first question is on branch expansion, so what would be our branch expansion plan in FY24

-25? What are the states we would be opening the branches ? My second question is that large peers are heavily investing in technology and how we plan to

compete with them and save our market share and what would be the impact of our branch expansion and OpEx on the our overall OpEx trajectory ? My next question is on growth . So, which product would be driving our loan book growth from here on and also what would be our strategy on deposit acquisition on the current interest rate scenario ? My last question is , as we have a very large agri book , how could a poor monsoon can affect our asset quality performance there ?

■ Mr. S. Krishnan -- MD & CEO, Tamilnad Mercantile Bank Ltd.:

■ Thank you. As far as the branch opening is concerned , during 23 -24, that is the current fiscal , we plan to open around 50 branches . The last fiscal , we opened 21 branches as I said. These 50 branches , the location will be across the country where there is a good potential available , that is the centers which we will be taking and these new branches which we are opening , yes we are conscious of the OpEx getting increased because of the new branches , but we are also consciously taking the decision and picking up the center in such a way that I'm able to have a quick break even.

Investor and Analyst Meet

April 24, 2023

Page 5 of 29 ■ So, we will be able to manage that and this current fiscal , we plan to have around 50 branches opening . As far as the IT investment and how to be with the market , let me give you a small favor to all of you that the bank has embarked upon a large -scale digital transformation along with the business process reengineering . We have engaged one of the best consultants for the business process engineering . As in phase 1, we will be focusing on the MSME, which will include the digital also as far as the MSME space is concerned . We have also taken up other than the digital transformation like revamping of my mobile banking , net banking , and bringing a lot of digital products to my customers , so that we can be with the best available in the industry . We hope to have majority of these completed during the fiscal 23 -24. As far as the growth and the strategies are concerned , the growth will be advances , we will be growing around 15 % - 12% to 15% on a very conservative basis. The strategies , we will continue to focus on the RAM segment while the mix may vary . Today , I have 87 and 13 . The mix may vary a little here and there , but the focus will continue to be on the RAM segment where I have totally diversified risk - no concentration risk , and that is the area where the entire nuances are well known to the bank. So, the growth percentage as I said will be around 12 % to 15% and the strategy will continue to be in the RAM segment . The other question was about the monsoon and the climate change is being studied and by and large as far as our portfolio is concerned , we feel that 23 -24 should be a good one . We expect good monsoon for Tamil Nadu this year , so we hope that it will be good .

■ Mr. Arun Kejriwal – Kejriwal Research:

■ Sir, Kejriwal here from Kejriwal Research. Couple of questions . Sir, we are trading roughly 20% cheaper than our IPO price . Even at the time of IPO , we had another person who was heading the bank and the bank looked very attractive where it had come , 3 quarters have gone by and our price has slipped , is there something that I am missing which the market doesn't want to understand or is there something you could enlighten us as to why we are trading where we are ?

■ Mr. S. Krishnan -- MD & CEO, Tamilnad Mercantile Bank Ltd.:

■ Probably this question you may be a better person to enlighten me . If you look into , I will say that any parameter you take this is one of the best . I don't say that we are the best in all the parameters almost we are best in every

parameter that I can say. What is required

for any investor stakeholder is by and large looking into the network , looking into the book value , EPS, ROA, ROE everything is good . Probably the float is what I feel , the float if it increases , it may also be , so I expect that the market will be definitely recognizing the performance and we will wait and watch .

■ Mr. Arun Kejriwal – Kejriwal Research:

■ Sir, are there any - is there any improvement on the legacy issues or is that still haunting you or what ?

Investor and Analyst Meet

April 24, 2023

Page 6 of 29 ■ Mr. S. Krishnan -- MD & CEO, Tamilnad Mercantile Bank Ltd.:

■ No, as far as the legacy issue is concerned , the issue are subjudice , but that has nothing to do with the bank that is what I want to clarify , that is nothing to do with the bank , and even earlier also that had never come on the performance of the bank . If you look into the performance of the bank year after year, it has been extremely good , but the legacy issues are one by one is getting resolved , some of the issues have been resolved , some are subjudice before the different courts of law , so that in the due course the courts of law will

decide .

■ Mr. Arun Kejriwal – Kejriwal Research:

■ Sir, last question you mentioned about the growth factor that RAM will continue to drive growth , could you be a little more specific on that RAM is already at 87% , so within RAM anything particular that you are looking forward to drive the growth ?

■ Mr. S. Krishnan -- MD & CEO, Tamilnad Mercantile Bank Ltd.:

■ Okay. See, what I said was that my focus will be on RAM that is what I said . I also said that today I have 87 :13 mix of RAM and corporate , but it may vary here and there , this is what I said meaning that probably from 87 I may come down to 85 or 83 or I may go to 89 like that depending on the potentials available . Why I said was that I'm not averse to the corporate , the corporate I'm selective , and if I get a good corporate definitely, I will be giving the exposure - taking the exposure of there also. Now, within the RAM where I have today if I look into around 37% of my loan book is from the MSME and there is a very good potential in India for the MSME, so we will be concentrating on that . Second , we are also concentrating on the retail . So, my strength , if we really look into , it lies on these RAM segment , which I will like to continue to utilize that strength and grow, but at the same time, I'm also open for the corporates, where I get a good corporate. That's why I said, the mix may vary here and there.

■ Mr. Arun Kejriwal – Kejriwal Research:

■ Sir, last question. We've done a payout of roughly 15% of profit. Is that a fair assessment going forward, or it could vary year to year?

■ Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

■ As far as the payout is concerned, no company will be able to say that will it be a constant for the future continuously; you know that payout depends on various factors, right? So, if I look back at history, if history is going to be one of the yardsticks to envisage the future, if that's the case then Yes, if you look at the history of the bank, the bank has been consistently paying good payout, a reasonably good payout. So, that continues, let us hope for that.

Investor and Analyst Meet

April 24, 2023

Page 7 of 29 ■ Mr. Arun Kejriwal – Kejriwal Research:

■ Thank you.

■ Mr. Ramesh Motwani – Mehta & Vakil:

■ Sir, Ramesh Motwani from Mehta & Vakil. First and foremost, you have delivered an excellent performance.

■ Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

■ Thank you.

■ Mr. Ramesh Motwani – Mehta & Vakil:

■ And, one can see from your body language and your expression, you are also happy about it.

■ Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

■ Absolutely. When analyst

s and investors are happy, I am definitely multiple times happy.

■ Mr. Ramesh Motwani – Mehta & Vakil:

■ Because, you introduced to us that this is the best performance in the last 10 years.

■ Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

■ Yes.

■ Mr. Ramesh Motwani – Mehta & Vakil:

■ So, this is excellent and full marks to your team who has worked tirelessly and seen to it that in each and every area and segment there is a remarkable improvement. Sir at the moment, your CASA is 29%, you're adding 50 branches. So going forward, do you see this CASA ratio improving higher, say to 34 -35%?

■ Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

■ Yeah, that's the whole idea. See, if you look into the very purpose of enhancing or increasing my network numbers, is how can I tap CASA? As far as the other business is concerned, today we can do that through digital and other things, right? So, this is the whole idea – how I can do? So, my estimate is by and large to you. But again, the bank, we always give a very conservative estimate, because our... is, we give an estimate and we should surpass it; that is our practice. So, I say that, as a guidance, in 3 years we would be reaching around 35% of CASA.

■ Mr. Ramesh Motwani – Mehta & Vakil:

Investor and Analyst Meet

April 24, 2023

Page 8 of 29 ■ Excellent! Wonderful! And second or the last question was, you are lending across sectors

and segments – MSME, corporate, retail, agriculture. You showed remarkable decline in the stressed assets. Are you seeing any concentrated stress segments, sectors, areas, or individual corporates going forward?

■ Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

■ See, the thing is, I will answer to you in general for the industry, and then specific to my bank. If I have to say that, in rising interest rate scenario, naturally there will be little pain. And, who are more fragile? If you ask, definitely it's the MSME or the retail who are more fragile than the corporates, who may be having deep pockets; they may be able to withstand the shocks. Then, if I extend that logic to my bank, one can always say that, you have more of retail and MSME, and you say they are fragile. But the numbers will now prove that yes, it is the TMB who has reduced the stressed assets also. Now, my experience in the last 4 decades in the industry is that, the MSME and retail are fragile, but what is required is handholding. If we are able to handhold them, guide them and take them in the right path, they will be able to do wonders. So, that's what TMB is really doing, that is how we are able to bring down the stressed assets, and educating the credit discipline is another requirement in the country. There are many people who will be able to pay, but why to pay on day 1, why not on the 90th day? Now, if we go and explain to them that this is your impact, your credit history will be spoiled, and if you pay in time, then these are the incentives that are available, and they are ready to pay.

■ Now what I have done is, I have linked my rate of interest based on the credit risk score. So naturally, when we go and explain to him, they are incentivised. So, they have come forward. This is one of the techniques which we adopted. But, the only thing is, the number of customers will be more in retail loan and MSME than a corporate. So, the bank has to take larger pains which we are used to, that's how we are able to bring it down.

■ Mr. Ramesh Motwani – Mehta & Vakil:

■ Excellent sir! And going forward, we are looking at a regime of lowering of interest rates which has been indicated. This time the MPC has put the rate on hold. And, we are expecting inflation to soften and come down, which has happened. So, going forward scenario, we are looking at at least 25-25-25, three times a reduction in the rate, which will be helpful in our overall strategy.

■ Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

■ Absolutely!

■ Mr. Ramesh Motwani – Mehta & Vakil:

■ Thank you and all the best.

■ Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

Investor and Analyst Meet

April 24, 2023

Page 9 of 29 ■ Welcome sir, thank you.

■ Mr. Prabal – Ambit Capital:

■ Sir, this is Prabal from Ambit Capital. Sir, when we are focusing on RAM segment, MSME is 37% of the book, but the growth there is just 6%. So, why are we not able to grow that segment?

■ Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

■ See, it is 6%, but if you look at last year, they were picking up, the MSMEs. I'm talking again about the whole of the industry. If you look into MSMEs, they were having lot of pain during COVID. After COVID times, they started picking up, so there will be little... New capacity is coming in, new industry is coming in, which was at a slower pace. So that's the reason it was at 6%. And, the percentage again if you look into, is based on the base number. Within my base... my base is small, but within my base, the MSME base is little more. That also constitutes. But yes, there is good scope for retail. We have been 37% in MSME. Within the RAM segment also we need to diversify. So, that was the reason why a retail push was given and we were able to take it. Nothing otherwise.

■ Mr. Prabal – Ambit Capital:

■ And, on the competition, we are seeing some of the large players becoming very aggressive in the MSME segment. They are growing more than 30% even on a larger base. How do we plan to compete with them and how do we plan to retain our customers?

■ Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

■ See, as far as we are concerned, we have a niche market in the MSME. And, as far as the service is concerned, the bank offers the best services. So, I do not find it as a competition. Where the competition can come is on the pricing. On the pricing, there is a possibility of some big players giving a lower price. But today when I analyse what is the pricing I and the others are giving, they are almost comparable, almost comparable. I don't say we are better than them, but it's almost comparable; I have not passed on some of their things. That is one reason, otherwise my NIM would have gone further high. I thought my NIM is good at

4.47 or 4.46, so let me have this. As far as the pricing is concerned, we have rationalised the rates, we have not passed on some portion of the rate hike, the bank has absorbed it. So, pricing too is also not a big competition, though it is a competition. But by and large what any borrower would do is, he will be satisfied if I'm able to give a timely credit delivery. They don't mind even giving a little extra when the service is good. So, towards enhancing or improving that PAT... I said in the beginning that we are embarking upon a large -scale digital transformation, more particularly on the MSME as a BPR (Business Process Re-engineering). So, the digital state of the art will be put, LOS will be put in place. And ultimately I expect that I'm able to give end to end digital lending to my MSME borrowers in the first place so that there will be hassle free banking for them.

Investor and Analyst Meet
April 24, 2023

Page 10 of 29 ■ Mr. Prabal – Ambit Capital:

■ So, just on the stat, what is the TAT currently, let's say for an MSME customer?

■ Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

■ It depends on the type of requirement and also the quantum.

■ Mr. Prabal – Ambit Capital:

■ Let's say it's a fresh loan of Rs. 5 crores?

■ Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

■ On an average, it is about a week to 10 days, which we propose to bring down substantially through digital. That way, my LOS will have an interface with various agencies, be it GST, be it IT, be it Aadhaar or Udyam portal.

So, I'm able to quickly give the in-principle sanctions and then there will be a centralised hub where I will have specialised people to process it, and my relationship manager will be in touch with the customer, so that I can bring that down substantially. So, towards this I was saying that we are also in partnership with one of the well-known consultants to bring the best practices across the globe.

■ Mr. Prabal – Ambit Capital:

■ And sir, what is the niche that we're targeting? What is the ticket size that we typically target?

■ Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

■ My ticket size today is around Rs. 25 to 50 lakhs, by and large. And in the niche market what I said is, today I have larger presence in the southern part of the country. Not only Tamil Nadu, I have larger presence in the neighbouring states like Kerala, Karnataka or Andhra, where there are lot of MSMEs. And now I have started enlarging my presence at Gujarat, where I'm reasonably good. And out of 21 branches, I have recently opened one branch at Morbi. Wherever I have, and in all the places, we have established the brand image of the bank, particularly on the service front. So, those become the niche area for me.

■ Mr. Prabal – Ambit Capital:

■ Sir, and just one last question. On this risk-based pricing, you said that now the customer who has a lower score and a higher graded score will get the benefit of the pricing. Was this not the case earlier?

■ Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

■ It was not earlier. In the sense, we have now strictly fixed that, particularly on the retail side and other things; it's strictly based on that. There were internal ratings also. Now, what

Investor and Analyst Meet

April 24, 2023

Page 11 of 29 happens is, I want to inculcate the credit discipline, I want to educate the customers – what will happen if the credit history is spoiled In India, that is what is more important. I'm able to see the result myself in my bank. That is how the stress book has come down substantially.

■ Mr. Prabal – Ambit Capital:

■ And sir just last, have you heard from RBI that you need to increase the PCR from, let's say, 55% to 70%?

■ Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

■ No no.

■ Mr. Prabal – Ambit Capital:

■ Thank you sir. All the best.

■ Participant:

■ Sir, first of all I want to know, our bank name is Tamil Nadu. It gives a regional image. Your performance has been superb. Now, your focus should be on retail or SME, because that is likely to be vulnerable. That is an upcoming industry which is very likely to falter in repayment and all that. So, where would you like to focus which can give you better returns in future?

■ And no. 2, you CASA, somebody has mentioned, if it is of a standard nature, it should be atleast 35 -40%; many banks are reporting that. Ours is a bit lower sir. So, you should work into that. Somebody mentioned that the market has not responded. Even though this has been around, it has not really responded so well. It is anticipated it will be good, but it has not gone so much even today. So, what are the measures you're looking for, because you mentioned float is low too. How will you increase float? Are you increasing the capital or Reserve Bank is asking? Sometimes the Reserve Bank focuses and asks you to increase capital. If it is not so, what are the other measures you would like to take sir? Those are my questions. I'm in the investor category, not among the...

■ Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

■ Thank you. Your first question was whether it is a regional based bank since the name indicates so, right? Have I understood your question properly?

■ Participant:

■ Because today's news is, all the PSU banks are likely to be privatised; that is today's news. So, more competition is going to come in.

■ Mr. S. Krishnan -

MD & CEO, Tamilnad Mercantile Bank Ltd.:
Investor and Analyst Meet
April 24, 2023

Page 12 of 29 ■ Yes yes. No, today, whether it is private or public competition, the same people are there with the ownership difference. You are asking whether I am a regional bank and also you were saying the name indicates so or something like that. In the morning also I was talking to someone. I say that I want to make this bank as a pan India bank. Now, whether the name itself indicates a regional bank? I was referring to the fact that, if we take, for example, India's largest bank i.e. SBI which has a global presence... So if somebody asks that your name carries India, is it specific to a country? Definitely not. So likewise, my name cannot be taken that I'm specific to a region. Yes, it is true that a large number of my network is today in the southern part of the country. So, that is what matters more than a name. Hence, we are very conscious of this. We are expanding in our places. As I was saying, yes, now I have gone to the north-eastern state to begin with. So when we expand this year 2023 -24 also, we will be focusing on the other states where I do not have a presence, where there is a good potential for the business. So these will be the factors which will be weighing merits, while I decide on the place and the number of branches.

■ Now, coming to the other question of my CASA, undoubtedly CASA is lower at 29%. But ironically, if you look at the industry as a whole, wherefrom the CASA geographically comes more, if you analyse, mostly it will be from belts like North-east and states like Uttar Pradesh. If one analyses. I know that there are lot of analysts here who would be having more data than me. That is where it is coming from. So, that is another reason why I'll be expanding. Somebody asked earlier, will the network be increasing for CASA purpose? Yes. Otherwise, today brick & mortar is not required, I can digitally connect with people. So going forward, we will be expanding in those places where I have good potential for CASA. And as I said, as a conservative guidance to the street, we will be taking the CASA to 35% in another 3 years or so.

■ The other regarding where I would be focusing within the RAM segment, to know whether it is under retail or MSME, let me again give a flavour of my loan book. Today my loan book within RAM if I look, the retail represents 20% of my loan book, around 30% is agriculture and around 37% is MSME. That is how it is distributed. As I was saying, yes in MSME we will be continuing to focus on. We are also focusing on retail and agriculture where again I have a good foothold, where again I will be having good margins. So, we are looking into that. That's how my growth in retail, if you look at, it was the highest growth in Q4. If I look at it year on year, the growth is around 16% in retail, agriculture is around 15% and MSME is 5%. I hope this answers your question

■ Participant:

■ But one thing sir, how will you control NPAs in the future? Because, NPA is again one thing which is creating doubt in the minds of the people regarding the growth. NPA earlier nobody was bothering about, but now it has become a parameter while looking into any balance sheet. And, CASA deposits I told you about already. So, these are the things which give a better impression to the investor community or anybody who wants to open a new account? And lastly sir, which is giving you the least NPA – retail, MSME or any other segment?

Investor and Analyst Meet
April 24, 2023

Page 13 of 29 ■ Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

■ See, as far as NPA is concerned, yes, it is very very important, one, which is for a banking company. But, from the data you would've seen that my NPA year after year is coming

down, and it has come down to 1.39 in 2022 -23.

■ Coming to which sector has the least slippage? I can say

that my overall slippage itself is

less than 1%, it is just 0.82%. So, when my overall slippage itself is 0.82%, that gives a lot of comfort as to, should I go further and drill down? If I drill down, in absolute numbers, retail had a slippage of 18 crores during 2022 -23 against 66 crores. Agri is almost flat, I can say, with a slippage of 47 crores against 42 crores; a marginal increase of 5 crores. MSME, which normally people would think is risky, which you were also expressing, the numbers speak otherwise. My MSME slippage is just 170 crores against 355 crores. And of course, as far as corporate is concerned, I have a very small portion – slippage is only 37 crores. So, this clearly indicates that though per se if I compare, it is only retail where an increase of 5 crores over the previous year is there, 5 crores is miniscule, as good as flat. And MSME, which is considered as risky, prone to slippages and other things, it is proved in TMB that my slippages are much less.

■ How this has happened is, only through effective monitoring, close monitoring, increasing the collection efficiency. So that is how we are able to maintain the asset quality.

■ Mr. Sandeep – Unifi Capital:

■ Sir, this is Sandeep from Unifi Capital. Sir, my question is on the dividend policy. Sir, you mentioned that there are lot of parameters on which you decide what the payout is going to be. Sir, can you just discuss a bit as to what kind of parameters are actually stopping you to declare a higher dividend payout? For eg. We have large banks which are actually growing higher than you and have a low capital base compared to you, and they are still declaring a higher dividend payout compared to you. So, what is stopping you from declaring a higher dividend payout? And also, our growth expectation is around 12 to 15%. So, there is lot of room to declare a higher dividend payout. So, can you just speak on this a bit?

■ Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

■ I have noted your point of higher dividend payout. See, if you look into it, I have paid 100% dividend i.e. Rs. 10 dividend has been paid for Rs. 10 share, including the interim dividend; it is not paid, it is proposed. The final dividend has been recommended by the board today. Now, whether it is to be 100, it is to be 110, it is to be 150 or it is to be 80 or 90, these are all matters which can be discussed. I only say that, if you look into the past history of the bank, the bank has been consistently paying dividend year after year, and maybe it has also been increased over a period of time. I take your point. Probably going forward we can think what can be... we will deliberate it more.

■ Mr. Sandeep – Unifi Capital:

Investor and Analyst Meet

April 24, 2023

Page 14 of 29 ■ Sure, understood sir. Sir one more question, it is on growth. Sir, you did mention that your focus is actually to improve the RAM segment, and within RAM your focus is on MSME. Sir, can you just speak a bit on this as well? I mean, the MSME book has grown by almost 6%. You mentioned one thing, that you were actually adding branches, you are actually doing end to end digital loans to your MSMEs. Sir, apart from this, what kind of efforts are you actually taking to improve the loan growth in the MSME segment, because it consists of almost 35% of our book. So, what kind of efforts are you actually making. For eg. Adding frontline staff and all? So, what kind of efforts are you taking over here?

■ Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

■ Sir, I will be having a separate marketing team in the bank. As of now, that is specifically not there. So, there will be a sales team who would be scouting for good business. There would be a funnel where all leads would come. So, when I said that I'm going for state of the art loan originating system, that will include the lead management also. So, just like any other good b

ank, there would be lot of references put to the funnel, there will be screening from that and I will be able to take it forward. So, there would be a separate marketing team with relationship managers and other things. We are in the pipeline of working that out. I also said that we are in the process of Business Process Re-engineering, for which we have also engaged one of the good global renowned consultants. And going forward, I expect that this will increase my sales force.

■ Mr. Sandeep – Unifi Capital:

■ Is this going to be a major reason to increase your MSME book?

■ Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

■ One of the reasons, which will increase.

■ Mr. Sandeep – Unifi Capital:

■ Okay, understood. Sir, one more question on the corporate book. In the last quarter, you actually mentioned that almost 20% of decline in your corporate book was actually because

few of the corporates didn't renew their credit limits. And this quarter, we have actually seen some improvement. So, are these the same customers or are these completely new customers which are on board?

■ Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

■ No, I will correct that. I didn't say that some of the corporates have not renewed. I only said, it got matured. This is the exact words I remember to have used. It got matured during the last quarter, and I said that, yes, going forward, whenever their requirements are there, definitely we are there to serve them and they are there to bank with us. So that's what I said. It's not that they have not renewed with me. But yes, as far as your question is

Investor and Analyst Meet

April 24, 2023

Page 15 of 29 concerned, whether this increase is out of those customers? That could be a part, could be new also.

■ Mr. Sandeep – Unifi Capital:

■ Okay, thanks.

■ Mr. Arun Kejriwal – Kejriwal Research:

■ Sir, there are three types of institutions who are serving the MSME – NBFCs, banks and SFBs. If I am an SME, what prompts me to go to either of these three? Is it the interest rate, is it quick servicing, is it banking at my doorstep, if you could give us some flavour? That's because, every day we find that the competition here seems to be heating up.

■ Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

It is a mixture of that. If you ask me, it is a mixture of that. What the MSMEs want is... many of the MSMEs, even today, in the country, they may not be able to reach out to banks. Despite the fact that there is a financial inclusion, there is inclusive banking, still there are money lenders in the country which cannot be disputed. Why it is happening is that, still there are people who are not aware of the banking channel who are not able to come. Now the question is, how these people are able to reach out to them and take their business? So, some of the MSMEs, well, now they have grown, well informed of what is their banking and other things. There are still many people who are yet too. So, it is a mixture what will drive them to approach whether the SFB or NBFC or SEB is a mixture of that which includes the TAT, the timely service, service at their doorsteps, educating them, helping them. Many of the MSMEs they do not know. They know how to do the business but they do not know how to give the presentations, how, what is required. They will simply say that 'I want this. If I have this much money, I can do this much', this is what they will say.

- Now, the question comes on educating the customer. So, if we are able to play all these roles with competitive pricing, probably, we will be on the top of it. So, a mixture of that is required.

- Participant:

- So, our loans are what? These are all secured loans?

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- Yes.

- Participant:

- We have a lot of losses against it? I mean, how does it work?

Investor and

Analyst Meet

April 24, 2023

Page 16 of 29 - Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- I can say that the unsecured lending in our bank is miniscule. It's less than 1%.

- Participant:

- So, it is mainly loan against property, loan against some building.

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- No, it is not only loan against the property but they are secured in a sense we give for the

Working Capital. A lot of my MSMEs are for the Working Capital purpose, but we do have the security. There are people who say that they have security, they don't mind. Instead of keeping the title deeds in their house, they lodge with me as a security.

- Participant:

- And this portfolio that we have, what would be the average yield for just the MSME segment?

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- I can ask my people to give it.

- Participant:

- Sure, thank you.

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- Welcome.

- Mr. Sushil Choksey - Managing Director, Indus Equity Advisors Pvt. Ltd.:

- Sushil Choksey, Indus Equity.

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- Yeah.

- Mr. Sushil Choksey - Managing Director, Indus Equity Advisors Pvt. Ltd.:

- Sir, congratulations on the result. Sir, first is, what is our presence in the southern States if you can break up?

Investor and Analyst Meet

April 24, 2023

Page 17 of 29

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- Okay.

- Mr. Sushil Choksey - Managing Director, Indus Equity Advisors Pvt. Ltd.:

- Business. I don't mean branches.

- Mr. S. Krishnan - MD & CEO, Tamil nad Mercantile Bank Ltd.:

- Okay. Business will be by and large...one minute, I'll give you. See, I have a total business of around 85,000, both the deposit advances put together. Out of that, around 65,000 is from the state of Tamil Nadu. So, that alone answers your question.

- Mr. Sushil Choksey - Managing Director, Indus Equity Advisors Pvt. Ltd.:

- Okay. Sir, next is, what percentage of your customers have touch points on cross-sell? because you have RAM, you have agriculture and you have MSME? Does your MSME touch up on any other product then borrowing from you?

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- Yeah, we are now doing, in fact, if you look into, we have entered into tie ups with the third party also. And the cross selling for the MSME where their requirement is there for their own purchase of house or like that. We also do that. So, by and large, now it is maybe...I cannot say that I have much of the cross selling. Each customer may be having around 1.5 to 1.75 products.

- Mr. Sushil Choksey - Managing Director, Indus Equity Advisors Pvt. Ltd.:

- Sir, my direct question is, you have Chola, Sundaram, Muthoot, Manappuram. I can keep adding and if you look at their Balance Sheets or even West based affordable housing or gold loan companies, tractor financing companies, possibly that is the missing link where your advances are concerned; possibly.

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- We are working on those areas. So, probably, FY23-24 should give us. We also have a detailed strategy, meeting of the Board slotted for the next month where we will be deliberating at length as to what are all these things and I hope that when I meet you all
Investor and Analyst Meet
April 24, 2023

Page 18 of 29 again, if not earlier at least immediately after the Q1 results, I wish to meet you even before that, I'll be able to throw much more light on those things.

- Mr. Sushil Choksey - Managing Director, Indus Equity Advisors Pvt. Ltd.:

- So, the question there is, will you make sure that the expertise is inhouse or you will do it with cross selling by DA or by doing co-lending?

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- See, I will be doing it with direct DSA. Already it is in process. I will also be having co-lending which is in the discussion stage with me. So, as far as the inhouse talent is concerned, yes, currently we are using the inhouse talent and in addition to that I am planning to have the DSAs and also the co-lending.

- Mr. Sushil Choksey - Managing Director, Indus Equity Advisors Pvt. Ltd.:

- So, now the technology spent, looking at those businesses and the current business synergy which you are on expansion mode or you will be coming to west or east, what kind of spend we are envisaging over a period of three years?

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- See, as far as the industry is concerned, the technology industry is concerned over a period of three years, probably I may be investing around Rs.200 crores to Rs.250 crores.

- Mr. Sushil Choksey - Managing Director, Indus Equity Advisors Pvt. Ltd.:

- Okay. Now, you may be working with Boston McKenzie or whoever, doesn't matter. They are the frontends. The backends who are working...

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- For technologies?

- Mr. Sushil Choksey - Managing Director, Indus Equity Advisors Pvt. Ltd.:

- Not only technology but on the partnership and people who work behind them.

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- Yeah -yeah. Yes.
Investor and Analyst Meet
April 24, 2023

Page 19 of 29 - Mr. Sushil Choksey - Managing Director, Indus Equity Advisors Pvt. Ltd.:

- They are people who are with rich experience like yourself. Your previous roles, I have seen myself in various organizations, what stops you from doing 80% retail or 75% RAM and 25% corporate?

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- No, I was telling, Mr. Choksey, that, yes, it is not the current 87:13 is not a rigid ratio. That is what I was telling. There will be a little...If you look into that, probably if you ask me, you said 75:25 and I will say that 80:20 to begin with will be a better proposition. So, we are working on that. That is why I said that this ratio is not very rigid; 87:13 is not a rigid one. I may be going here and there. So, that is how and we are very much open for taking good corporates.

- Mr. Sushil Choksey - Managing Director, Indus Equity Advisors Pvt. Ltd.:

- What do you think will be the biggest enabler for your business to do better than what you are doing today? If I ask you 2-3 steps besides technology and opening branches and make sure that CASA is one of the function of that, what will enable Tamilnad Mercantile Bank to do much better than where we stand today in three years?

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- See, one is, I'm also having a HR transformation in the bank, right. You said that barring the technology, you have already excluded the technology which will be a good enabler, so apart from the technology what will be and I said that we are also doing a business process for engineering. Today, the bank is a 100 years old bank, so there are processes which may be required to be totally transformed, reprocessed so that I'm able to give the best services within a short span of time. So, that business process engineering will also help me to a great extent coupled with the HR transformation.

- Mr. Sushil Choksey - Managing Director, Indus Equity Advisors Pvt. Ltd.:

- Because the States where your business is 85% -90% today is agriculture, there is manufacturing and the major part is services business and one State has a huge amount of tourism too. Now looking at diverse segments, how do you capitalize on...What are the one or two areas of expertise which the bank will develop first?

- Mr. S. Krishnan

- MD & CEO, Tamilnad Mercantile Bank Ltd.:

- See, as far as the expertise is concerned, today I have expertise on agriculture, I have expertise on Retail and Services. So, definitely we will be capitalizing those things and the Investor and Analyst Meet
April 24, 2023

Page 20 of 29 State which you referred, yes, good scope is there, excellent opportunities are there. In fact, today in the same hall earlier part when somebody was talking that we have larger concentration in the State of Tamil Nadu will you like to have. I said that, yes, within the number of network what I have, if I look into I have larger concentration but if I look into what is the potential in Tamil Nadu, have I tapped the entire potential, definitely it is not so and still I have untapped and I can still do there.

- Mr. Sushil Choksey - Managing Director, Indus Equity Advisors Pvt. Ltd.:

- Sir, what percentage of our loans, agriculture loans, are backed by gold?

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- Backed by gold? Around Rs.10,000 crores is backed by gold issued loans.

- Mr. Sushil Choksey - Managing Director, Indus Equity Advisors Pvt. Ltd.:

- Sir, is it possible in future that your Housing Loans and Auto Loans, all this segment retail can be broken up in the presentation?

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- Yeah, definitely. Sure, we can.

- Mr. Sushil Choksey - Managing Director, Indus Equity Advisors Pvt. Ltd.:

- Thank you for answering all my questions.

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- Thank you. Yeah.

- Participant:

- Sir, you made quite a few valid points in the course of the Q&A. One thought came to my mind.

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- Yes.

Investor and Analyst Meet
April 24, 2023

Page 21 of 29 - Participant:

- Are you seriously looking at micro finance in Tamil Nadu itself? Or in your MSME segment, the M which stands for 'Micro' is an upgradation from the microfinance itself?

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- Yeah, I can say it is an upgrade of that. It is an upgrade of that. So, already if you say that way, I am financing lot of micro; micro industries. So, it is a Micro Finance you can say but the microfinance company per se who will be concentrating on different types of customers where they will be able to reach the last mile. If you ask me, am I going to do that? I may be doing some, a portion, in the areas where I have this or the other one which the other gentleman was asking that 'What are you into?', one is the co-lending. So, I will definitely be taking that route where we have a synergy.

- Participant:

- Wonderful, Sir! Thank you. All the best.

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- Thank you.

- Mr. Gaurav - Tunga Investments:

- Hello, Sir. This is Gaurav here from Tunga Investments. Sir, I have one question on the MSME. As I think somebody asked earlier, there have been a lot more focus from large private sector bank on the MSME segment. One thing which has happened in the last 3-4 years is the availability of GST data, right, which has democratized a lot of that and now we are thinking about digitalizing the bank and like we will catch up to that thing what these large private sector banks are already doing. What would be our edge going forward? Like we are in the catchup mode, if I can say so, what will remain our edge considering the MSME is a large segment for us?

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- See, as far as the technology, the digital front is concerned, we are in the catchup mode. We need to catch up, which is a statement of fact. But there is enough business in the market. It is not that only those banks who have already

got the technology are able to get the business. There is enough market is available. As far as my edge is concerned, as I said, that we have a great experience in dealing with the MSME. Because since your question is specific to the MSME, we have a great experience of a century of financing the
Investor and Analyst Meet
April 24, 2023

Page 22 of 29 MSMEs and when we have serviced for 100 years we have come across the cycle many times. So, we know the climate, we know the cycle how it will be. So, we will be able to.

Added to that, when I'm going to have the technology, I will have a great edge amongst all the people and this technology will not take much of that time. I expect that it will be completed as quickly as possible.

- Mr. Gaurav - Tunga Investments:

- But, Sir, can you just talk about what is this edge? Like what exactly are we doing? Is it a doorstep or knowing something specific about those industries? Is there some qualitative thing that you're talking about? What exactly is this thing?

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- No. See, I was telling you that what is today required for MSME is handholding. When I say handholding, it is starting from educating them as to what is to be done and having a personal relationship, meeting them, greeting them and when you visit the customer very frequently, you come to know of the pulse of the business, the so called EWS – Early Warning System, whatever software I have, this will be a better EWS and when my person visit very often, discuss with him and understand what are the pain points, where we are going to have the pains so that we can take the corrective measures and that helps the MSME entrepreneur that he doesn't fall into any of the problems because if he falls into the problem, I fall into the problem and if I stop him from falling into the problem, he is very happy. So, that is what we do and that is the great edge that I have.

- Mr. Gaurav - Tunga Investments:

- And, Sir, just one more question here on the same point. If these large private sector banks continue to drive down the pricing will we continue to match them or is there some other niche that will be focusing on then?

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- No. Again, see, I told you that when I did a comparative study of the pricing, particularly of the MSME segment, of various banks I am not an outlier. I was telling that I have not passed on some of the rate hikes which I absorbed because, yes, I do have the capacity today. So, I absorbed some of the rate hikes though I have passed on a portion of the rate hikes. So, I am not an outlier today as far as the pricing is concerned.

- I also said that it is not the pricing alone which is going to drive a customer to decide in favor or against of a particular bank though it is one of the important drive. So, when I am not an outlier, added to that when I have a good service, when I understand and handhold him, I don't find that I will have any difficulty.

Investor and Analyst Meet

April 24, 2023

Page 23 of 29

- Mr. Gaurav - Tunga Investments:

- Got it, Sir. And, Sir, in this MSME segment I like suppose we have Rs.100 of book, like when we talk about growth is it largely existing clients which grow this book or is this new client? What is the typical proportion?

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- We do have the new customers. We have the concept of new customer acquisition. So, it is a blend of that, both the existing and their new customers. Existing customers alone may not be able to drive you a large growth, so we do have the new customer acquisition.

- Mr. Gaurav - Tunga Investments:

- Would you be able to just give a directional comment how it would be? I don't want exact number but...

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- I can ask people to work out and give you, okay.

- Participant:

- Sir, I just realized that our book value is almost Rs.400 today, with this addition of New Year and our market value is very pitiable. Now, what are the reasons, you can find out yourself, Sir. So, one thing I would suggest, if you don't mind.

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- Yeah -yeah, please. Please -please.

- Participant:

- Your face value Rs.10 today, without change in your Balance Sheet you can just split the stock split. That will give your float automatically, your value will increase. That is the one thing, Sir. And secondly, Sir, as I thought more branches come in an area where CASA can increase, they will carry a message to this bank that this is the one bank because results are fantastic, I found, but the valuation wise it doesn't look to be very handsome. Well, this is my suggestion. If you can look into it that will be best.

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- Sure. Sure, sure. Thank you. Thank you for your suggestion.

Investor and Analyst Meet

April 24, 2023

Page 24 of 29

- Participant:

- In the interest of the investors.

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- Definitely, Sir. Definitely. Thank you for your suggestion.

- Participant:

- Thank you.

- Mr. Sandeep - Participant:

- Sir, hi. This Sandeep again Sir, you mentioned a few things. For example, you mentioned that you are actually looking to tie up with DSAs and actually looking to do co-lending and you'll be adding branches, you have recently added a marketing vertical plus HR transformation. You mentioned these few things. Sir, in this context, considering your size, how do you see your guidance of 12% to 15% growth? Is it conservative?

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- Very, very conservative. I told you that we normally give a very conservative estimate and surpass that, that is what. I myself said that it is a very conservative estimate that we are giving.

- Mr. Sandeep - Participant:

- So, what is the aspirational number for you then?

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- Good question. The aspirations are always very high. Probably my aspiration will be to reach the sky. That may be the aspiration. But definitely, yes, we will be matching with the industry.

- Mr. Sandeep - Participant:

- Oh! Okay. So, what's your estimate on industry growth then for FY24?

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

Investor and Analyst Meet
April 24, 2023

Page 25 of 29 - You may be a better person to tell, Sandeep. Is it not? Yeah, we will be matching with the industry.

- Mr. Sandeep - Participant:

- Okay. Understood, Sir. Sir, one more question is on yields. Sir, your yields have actually improved by 45 basis points on a quarter basis. Your yields were almost similar for the last 2-3 quarters, so what has actually led to this increase?

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- See, the rates were increased; the Repo Rates. Today I have around 48% to 50% of my loan book are linked to the Repo Rate and, earlier, some of the Repo Rates were this one and there is a time lag of three months in our bank to pass on. So, that got matured, hence there is an increase in the Q4. That is how it has come.

- Mr. Sandeep - Participant:

- Okay -okay, understood. So, is that large amount of pass on is completed or it is still...

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- Pardon?

- Mr. Sandeep - Participant:

- Is a large amount of pass on off rates is completed or there is still something left for now?

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- Maybe now a

nother three months will be there. The ALCO has to take a call. I cannot comment here. On 1st of May or 30th of April or so the ALCO of the bank will be meeting and they'll be taking a call.

- Mr. Sandeep - Participant:

- Sir, I'm asking this question because our yields are almost been stable over the last 2 -3 quarters and the yield started increasing right from May onwards but still till December the rates were almost stable. So, actually the question is that the customer segment to which you are lending, okay, are they okay to take a price hike? For example, your MSME

Investor and Analyst Meet
April 24, 2023

Page 26 of 29 segment, the discussion some time back was actually that there has been not much pricing increase in that segment. So, are these customers now okay to take that price hike?

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- No, I told you that I made a comparison of the pricing of the different banks and also mine and I'm not an outlier. So, I don't find that I am an outlier and then there is a concern. Rather I'm comparable with most of the peer banks.

- Mr. Sandeep - Participant:

- Okay -okay, understood. Sir, just one last question on your slippages. Sir, this time MSME slippages were almost 90% of our overall slippages, what contributed to these kind of slippages? Whether large amount of this came from restructured book? And is there anything which you anticipate in the coming quarters from MSME book?

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- See, I don't anticipate much of the slippages. I will only request that to look into the holistic picture. My slippage ratio is less than 1. It is 0.82% and when it is 0.82% I don't think that there is a great thing. Going forward, I said the guidance that, I will be containing less than 1%. That is what the guidance I gave and if you look into the SME book, the SME book has also improved a lot. It has come down substantially from around 12% to 6 point something. So, there is not much of a thing. I don't envisage great slippages.

- Mr. Sandeep - Participant:

- Okay, thank you.

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- Welcome.

- Mr. Ashok - Participant:

- Good evening, Sir.

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- Very good evening, Ashok.

- Mr. Ashok - Participant:

Investor and Analyst Meet
April 24, 2023

Page 27 of 29 - Sorry, I'm late. I was online with other bank and then...

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- I'm very happy to see you here.

- Mr. Ashok - Participant:

- Sir, we have the ad hoc provisioning of this COVID ad hoc of Rs.300 crores, which has not been utilized and rather it is increased from Rs.250 crores to Rs.300 crores. Do you think you will be requiring, looking at the composition of your portfolio and when you say that the slippages are very -very low, so are you going to use some of this in the coming quarters to give a better end results; the bottom line?

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- No, as of now, we don't have such a plan. I have kept it as a contingency, right. So, as you observed that I don't expect the slippages also. Good results built, which will be used for the rainy days.

- Mr. Ashok - Participant:

- And, Sir, I might have missed your replies, but you know the composition of the book which he was also talking, how exactly do you plan to come to that 2080 and thereafter maybe 2575 because ultimately for a bank like yours now, which is a public listed bank, you cannot indefinitely just dependent on the retail loan book only of such a high percentage? So, what exactly is the roadmap? What is basically the thinking, first? And how are you going to achieve that so that your business gets spread, growth also takes place and the bottom line increases?

ace and the bottom line
increases?

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- Yes. See, if I have to answer your question specifically, what are the plans, how I'm going to gradually change the mix, probably, I may be starting with the mid corporates where I may have exposure of say Rs.100 crores or Rs.200 crores or Rs.300 crores like that instead of going to the large corporates with say Rs. 1000 crores or like that. So, I will be

slowly growing from this to the mid corporate and then to the large corporates also. This will be one path which I will be adopting. At the same time, as I was telling before you came, that we are very keen on good corporate also where we are comfortable, where we understand the business, where it suits our policies of the bank. We are with open mind and we are in dialogue for that. So, hopefully this year we will be able to pick up a few of the corporates also where it fits into my policies and slowly, gradually change the proportion from these 89 or 87 to bring down to 80:20 and then 75:25.

Investor and Analyst Meet

April 24, 2023

Page 28 of 29

- Mr. Ashok - Participant:

- What about going through the NBFC route which reaches to the last mile?

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- I told that we are also planning to have the co-lending. That's what when Mr. Choksey was asking, I told that we also have a plan to go for the co-lending and we will also be having the DSAs which will help me to improve the retail front. But this NBFCs will be having the co-lending partnership where I can improve the business.

- Mr. Ashok - Participant:

- On the Treasury side, Sir, now since the rates are stable now and you have a good...I think the modified duration. How much is the modified duration?

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- It has come down. 2.9.

- Mr. Ashok - Participant:

- 2.9. It needs, I think, a little more. So, there what are the plans? I mean, now the Treasury should start giving some good income on the...

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- Yes, I expect this year it will give good income. Last year was bad for the Treasury. So, we were having some mark to market and other things. This year, I expect that it will give me a good income which will add to the bottom line.

- Mr. Ashok - Participant:

- Do you plan to put some money in the Treasury, in the CPs of the companies where the yields are much higher? You know, still the CPs, the corporates are borrowing from 8.5% to maybe 9.25% or good rated companies for three months, six months, nine months or a year, so there, I think, you can make some good income there.

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- Good income also, yes -yes.

Investor and Analyst Meet

April 24, 2023

Page 29 of 29 - Mr. Ashok - Participant:

- I think some funds can be deployed there also.

- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:

- Yes, sure -sure-sure.

- Mr. Ashok - Participant:

- Anyway, Sir, thank you very much Sir and compliments to you for good results.
- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:
- Thank you. Thank you. Thanks a lot.
- Mr. Ashok - Participant:
- Of course, the bank still has a long way to go under your leadership.
- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:
- Sure.
- Mr. Ashok - Participant:
- So, thank you.
- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:
- Thank you.
- Moderator:
- Thank you everybody. Thank you for joining us in our Analyst Meet today. Since there are no more questions, I invite all of you to join us for high tea and any informal discussions with the management. Thank you.
- Mr. S. Krishnan - MD & CEO, Tamilnad Mercantile Bank Ltd.:
- Thank you. Thanks a lot for sparing your valuable time and coming over here. Thank you.

End of Transcript

Call: Jul 2023

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Ref.No.TMB.SE. 64/2023-24
28.07.2023
The Manager,
Bombay Stock Exchange limited,
Phiroze Jeejeebhoy Towers,
Dalal Street.
Mumbai – 400 001.
Scrip Code: 543596 The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor, Plot No. C/1,
'G' Block, Bandra - Kurla Complex,
Bandra (East), Mumbai - 400 051.
Symbol: TMB

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call – Q1 Results

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform you that the transcript of the earnings conference call hosted by the Tamilnad Mercantile Bank Limited on Unaudited Financial Results of the Bank for the quarter ended June 30, 2023, has been made available on the Bank's website at the following link :

Transcript of the Earnings Conference Call – Q1 Results

We are also attaching the Transcript of the earnings call with this intimation.

Kindly take the same on record.

Yours faithfully,
For Tamilnad Mercantile Bank Limited
Prakash Chandra Panda
Company Secretary and Compliance Officer

Page 1 of 36

Tamilnad Mercantile Bank Limited
Q1 - FY 2023-24 Earnings Conference Call

July 25, 2023

Management : Mr. S. Krishnan, Managing Director & CEO
Mr. D. Inbamani, General Manager
Mr. P. Suriaraj, General Manager
Mr. D. Ramesh, General Manager
Mr. V. Jayaraman, General Manager
Mr. S. Narayanan, General Manager
Mr. P.A. Krishnan, Chief Financial Officer
Mr. Prakash Chandra Panda,
Company Secretary and Compliance Officer
Tamilnad Mercantile Bank Limited
July 25, 2023

Page 2 of 36

Moderator: Ladies and gentlemen, good day and welcome to the Tamilnad Mercantile Bank Limited Q1 FY '24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on a touchtone phone. Please note that this conference is being recorded.

This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. S Krishnan, MD and CEO, Tamilnad Mercantile Bank Limited. Thank you and over to you, sir.

S Krishnan: Thank you. Ladies and gentlemen, a warm welcome to all the analysts, investors and stakeholders joining us today. A very good morning. I hope this message finds you all in good health and spirits. I am pleased to present the financial results and performance highlights of Tamilnad Mercantile Bank for the first part of the fiscal 2024.

Before delving into the details, I would like to express my sincere gratitude for all your continuous support and trust in TMB. The first part of fiscal '23-'24 has been encouraging, with the Bank continuing its legacy of consistently delivering positive results since its inception more than 100 years ago. We have been steadfast in our commitment in generating profits and rewarding our shareholders suitably.

Tamilnad Mercantile Bank Limited

July 25, 2023

Page 3 of 36

Let us get straight into the highlights of the performance of the bank for Q1 of the fiscal 2024. The performance details, the PowerPoint presentation to the investors, have already been uploaded in the website of both the stock exchanges and also the site of our bank. Nevertheless, I will give a brief on the performance of the bank for the ready information of my analyst friends.

The total deposits of the bank grew by 8.73% year-on-year, while the advances grew by 10.26 percentage. Within the advances, if you look into, the RAM segment has grown by about 12.86 percentage. The total overall business grew by 9.4 percentage. The bank's profitability has also increased. The bank registered an increase of about 12% in the net profit, compared with the year-on-year, registering a net profit of INR261 crores. The non-interest income again registered a growth of 20% about, while compared with the previous year's first quarter, registering an amount of INR167 crores during the current year, first quarter. Similarly, the interest income has also increased by 15%, compared to the previous year, reaching an amount of INR 1,156 crores during the first quarter.

When I look into the parameters which directly has interest for the stakeholders, the net worth has increased to INR7,190 crores as on 30th, June 2023 from INR5,427 crores. The book value of the share has gone up to INR 454.03 from INR 380.87. The asset quality, when we look into the asset quality, the NPA has come down to 1.56 percentage, the Gross NPA, from 1.69 a year ago. And the Net NPA has also come down to 0.66 percentage. The Bank's return on assets is 1.85 percentage and the return on

Equity stands at 14.80, with a very strong capital adequacy of 26.57 percentage, of which the CET1 alone is about 24.94 percentage.

Page 4 of 36

The Cost to Income ratio is at 44.22%. Now let me also touch upon some of the guidance what we gave to the street at the beginning of the year and almost we are more or less on the same line. As far as the NIM is concerned, we said that we will be 4% and we are 4% in NIM as on 30th of June. The ROA, we gave a band of 1.75% to 2%, we are at 1.85%. ROE, we said 15%-plus, we are close to that at 14.8%. And gross NPA, net NPA, we said below 2% and 1% respectively. We have honored that with 1.56% and 0.66%.

The provision coverage ratio we said -- on the band of 88% to 90%, we are 90%-plus. The cost to income ratio, we said 42% to 44%. Almost we are on the band with 44.22%. The credit cost, we said about the band of 0.5% to 0.75%. The credit cost is at 0.5 percentage. The slippage ratio was said as less than 1% per year. The slippage ratio for the Q1 is 0.27%, which translates to, for a year, almost to 1%.

Friends, I will stop here for the brevity in as much as the PowerPoint presentation in detail. And you, being the analyst, you might have definitely made a good analysis. I will now throw the floor open to all the analysts for an interaction. Thank you very much.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Lakshminarayanan from Tunga Investments. Please go ahead.

Lakshminarayanan: Good morning, sir.

S Krishnan: Very good morning, Lakshminarayanan, sir.

Lakshminarayanan: Yes, a couple of questions. Sir, first is, if you look at the yield across retail, agri, MSME and corporate, right? Can you just give me a range of yield across these four different classes?

Tamilnad Mercantile Bank Limited
July 25, 2023

Page 5 of 36

S Krishnan: Which one you need? Yield in on? Retail on the RAM segment?

Lakshminarayanan: Yes, Yes. Retail, Agri, MSME separately and the corporate.

S Krishnan: Okay. I have noted, sir, we will share with you.

Lakshminarayanan: Okay. The second is that, let's look at the top 20 borrowers, right, how much is top 20 borrowers contributing from the assets base?

S Krishnan: One minute. Mr. Lakshminarayanan, sir, I will give during the course of this.

Lakshminarayanan: Okay. So, and coming to the MSME segment, right, and again, further divide that into the micro, small and the medium, right? In which segment you are seeing growth is lower comparatively, and in which segment you find that there is a building up of stress, if you think?

S Krishnan: I can give the growth in this MSME breakup. Micro, year-on-year, has grown by 1.34 percentage, Q-o-Q it is by 1.42 percentage, small has grown by 27.79 percentage year-on-year and Q-o-Q is almost flat or slightly lower. The medium sector has grown by 6.54 percentage year-on-year and the Q-o-Q is almost flat. Sorry, medium, I am sorry, that is the total of MSME what I said.

The medium has de-grown by about 4.57 percentage year-on-year and about 6 percentage Q-o-Q. Of course, the base is small. The medium base is only INR860 crores as on 30th of June. The overall MSME has grown by about 5.74 percentage year-on-year.

Tamilnad Mercantile Bank Limited
July 25, 2023

Page 6 of 36

Lakshminarayanan: Got it. So the smallest growth, I mean the growth that is 1.34% you mentioned in terms of micro, right? What is the total gross assets there?

S Krishnan: Asset size is INR9,500 crores.

Lakshminarayanan: Okay. Now, so the growth has come from predominantly in the middle segment, right? And it has been flat, or 1%-plus in the first segment. Now, is it because of the system is not growing? Or is it because of competitive intensity? or is it that you choose not to grow because you think that stresses building-up or what is

the reason you would say attribute for these things?

S Krishnan: I will only say that as far as the MSME is concerned, which I have told you earlier also, after this COVID, now the activities are picking-up. We could see the green shoots. When the capacities are increasing, naturally the MSME also will grow. The capacities have started, we are able to see the green shoots on the increase in the capacity at a minimal level for the large corporates. These MSMEs are basically dependent on the large corporates. They will be surrounding the large corporates and hence the demand also is slightly on this one.

And when I talk of about you said or you choose, Yes, we have been keeping in mind asset quality. We are also choosy. Nevertheless, we are with an open mind for taking up. So, with that cautious approach, we could make a decent growth. Coming to the yield on advances which you asked for the RAM segment, I have the data. The agriculture yield is 8.9%, MSME is 11.12%. The retail is 9.19%.

Lakshminarayanan: And corporate, sir?

S Krishnan: That will be around 9.13% or 9.15%.

Tamilnad Mercantile Bank Limited
July 25, 2023

Page 7 of 36

Lakshminarayanan: Got it. And the small segment which has actually grown stupendously, 37%, what would you attribute that growth? Is it an impetus from the organization to push growth or the segment itself has been growing?

S Krishnan: Segment is growing. When the segment is growing and also the untapped market where we have the push, where we give the push because the MSME is basically the thrust area for our bank. So keeping that in mind, naturally there will be a push to increase that. Within that MSME, when we look into where it grows, we are able to see good potentials or good growth in the small segment. So that has increased.

Lakshminarayanan: Got it. And how do you anticipate growth for your bank for the coming year? What is the range in terms of advances growth you expect? And especially we are very strong with the MSME segment and for some reason it is actually growing in a slower pace, right? So keeping that in mind, what is the advance growth you expect for the whole year? What band you have budgeted for?

S Krishnan: For the bank as a whole, as I said earlier also the guidance to the street is that we will be growing in the range of 12% to 15%. That is what we have said. And we also try to follow that we promise less and deliver more. That is what we are trying. So, we promise that it will be 12% to 15%. And then coming within that, how much will be the MSME? MSME will be in the range of around 10% to 12%, keeping in mind what we have grown now. While our focus will be on that, wherever opportunities are there, we will be, and we will be having a cautious approach.

Lakshminarayanan: Got it. Sir, one more question related to the gold loans, right? I've seen that across various private banks, regional banks in particular, the gold loan book has almost come to 25% of the
Tamilnad Mercantile Bank Limited
July 25, 2023

Page 8 of 36

assets. Now, it seems to be, you don't need to deploy capital and it's also gets various benefits in terms of subvention or in terms of becoming part of the priority sector.

Now, given that conceptually, you think there is a risk for the banking system, if any of these things get adjusted by the regulator, how do you think about this? Because everyone has actually gone strong on gold loans and it actually brings a lot of benefits to the bank, right? So your adjusted ROA would be much higher in this thing and this even regulator would know, right? So how do you think about this from a risk mitigation point of view? I mean, I'm not talking only about your bank but in general, what is your view?

Sir, did you hear my question or should I repeat that regarding the gold?

S Krishnan: Sir, can you repeat? You were talking on the Jewel loan.

Lakshminarayanan: Yes, so on the gold loan

for all the private sector banks, particularly regional private banks in South, the gold loans have almost reached 25% of the asset book. And the gold loan is a very good product from the bank's point of view because you don't need to deploy capital, that is, you know, it's completely secure. And also it gives subvention benefits for the borrower and it's also agriculture-led.

Now, since it's become such a good product and it's actually grown a lot, do you think there may be any intervention from the regulator? If so, how does the bank would mitigate it? Because you're making higher ROA adjusted and it gives a lot of benefits to the bank, right? So, what is the risk the bank system carries by having such a large gold loan book?

Tamilnad Mercantile Bank Limited

July 25, 2023

Page 9 of 36

S Krishnan: Okay, now I will answer this not as the MD of TMB, because you are asking about how the regulator will be viewing for the industry, right?

Lakshminarayanan: Yes, and the industry and what is the, I mean, how banks have to think about it from a sensitivity, from a risk mitigation point of view, from a regulatory risk point of view?

S Krishnan: As far as the regulator is concerned, the regulator will be looking into from the aspects as to, it should not be for one, the end use of the funds. I am talking on any credit. It should not be for the purpose like gambling and other things. So it should be for the purpose which is eligible. By and large, the banks, particularly which you said as the private banks, that too in the southern part of the country, they give mostly for the agriculture. So what is required is to ensure the end-use of the funds that it is used for the agriculture if it is given for the agriculture.

But there is also not a restriction that it cannot be given for any other purpose. It can be given for non-agriculture also. The other aspect which the regulator can look into is the regulator has given a SOP that does it have a requirement for the capital. That is, it is an eligible financial collateral under Basel III guidelines. When it comes to eligible financial collateral, there are methods of valuing the eligible financial collaterals with the applicable haircuts. Now, there comes the question of the LTV. The LTV needs to be maintained. If the LTV is maintained, that can be. There are methodology of calculating the haircuts on the financial collateral, the eligible financial collateral. Gold is one of that collateral. There is a system of mark-to-market, the frequency of mark-to-market. So as a regulator, what he will be looking into is whether these guidelines are scrupulously followed by the regulated entity. If they are not followed by the regulated

Tamilnad Mercantile Bank Limited

July 25, 2023

entity, then he can say, one, that I will not give you the benefit of the eligible financial collateral for your capital calculation purpose.

Number two, the regulatory guideline if there is, for example, the quality of the jewel pledged becomes spurious, then the secured advance may become unsecured advances. The additional provisioning that will be required for the unsecured advance may have to be put. So, like this, they can bring in the conditions. So, this is what I perceive from the regulator.

But this jewel loan, gold jewel loan is not a new product for the banking industry in India. At least with my experience of more than four decades, I can say that this product is in existence even before I entered the banking industry. Hence, I do not foresee much of the interference from the regulator, except on case-to-case basis where as part of their supervision, they do lot of exercise. So, on case-to-case basis, they may, if they find, they may advise, give the advice to individual banks.

And as far as the TMB is concerned, I can say that we have a robust system of valuation of that gold, marking-to-market almost on daily basis

is in the system itself. So, we do not foresee any such, whatever I said, what the regulator can look into. So these things we ourselves proactively are looking into, following-up with the LTV almost on a daily basis. So we don't foresee any issues on these things.

Moderator: Thank you. Sorry to interrupt Mr. Lakshminarayanan. May we request that you return to the question queue for follow-up questions as there are several participants waiting for their turn.

Thank you. Our next question is from the line of Mr. Arvind R from Sundaram Alternates. Please go ahead.

Tamilnad Mercantile Bank Limited

July 25, 2023

Arvind R: Hi, sir. Thank you so much for the opportunity. I see like NPA ratio had gone up sequentially and I could also see like MSME segment also contributing to in a big way. I mean like in sequence when you look at sequentially. MSME segment hasn't grown up that much but still the NPA has gone up. I'm just trying to get an understanding, like what is going on in this particular segment, compared to which particular segment we think it could grow in the subsequent quarters? That is my first question.

S Krishnan: Mr. Aravind, the latter part of your question is not audible.

Arvind R: Okay, sir. I don't know which part of the question, but I was asking, like NPA has gone up sequentially, especially in MSME segment. That is one of our core segments and we haven't grown that much in the past year also like it's only less than 6 percentage growth. I'm just trying to understand like, even though the growth is slow but our NPA is going up so that is what I'm trying to reconcile, sir. But also on one more thing on the same thing, restructured advance is also coming down, is it also because of that like a restructured book is coming out to the normal that is also contributing to NPA or something?

S Krishnan: I will answer as far as the NPA going up sequentially, yes, if we look into the number per se, it has gone up to 1.56% from 1.39% on a sequential quarter. So, the number speaks that it has gone-up. But one has to look into that what is the level of gross NPA of the bank, 1.56%, is that 1.56% is a reasonable number. In my opinion, 1.56% is not a cause of concern for one quarter from 1.59%.

Having said that, your next question is on the MSME. See, the MSME are generally fragile and that means a lot of hand-holding and other things. If you look into the industry as a whole, what is

Page 12 of 36

the MSME NPA and what is the MSME NPA of TMB, you can see that there is a wide difference. We are still able to maintain a better quality. The restructured book is coming down, one, because we are able to also have a recovery. I will give you the numbers of the restructured book and also the NPAs in that, one minute.

The total restructured book has come down from INR786 crores to INR703 crores as on 30th of June, of which the NPA has come down to INR87.29 crores. So that indicates that it is not only that the restructured book is coming down and then we also maintained the NPA of the restructured. So, if I look into that, the NPA is also coming down.

Having said, yes, this restructured book needs to be closely followed up, monitored, which we are doing. Thus, we are able to maintain to a greater extent. During this quarter, there was a total slippage of INR101 crores in the NPA of which the major shock, the biggest advance is just about INR15 crores. That indicates that yes, the others are smaller. For your information, when I look into the slippage of INR101 crores, the slippage in the MSME constitutes INR60 crores, against INR63 crores in the previous quarter, sequential quarter. So, that indicates that yes, the slippage in the MSME is not allow me to that extent which we need to.

Having said, the bank is fully cognizant of the stress in the industry, more particularly we will be focusi

ng on the MSME

which needs extra care. For your information, I can say that the Gross NPA ratio in '22-'23 for the scheduled commercial banks in respect of MSME were at 6.1%.

Arvind R: Okay, sir. Thank you. I just have one more question if I can ask?

The CASA ratio is also declining. Obviously, it is decreasing for Tamilnad Mercantile Bank Limited

July 25, 2023

Page 13 of 36

almost all the banks that I have seen till now. But I'm just trying to understand where do you see in terms of cost of deposits shaping-up for the rest of the year? Either in terms of CASA ratio coming down or even rates for the term deposits, still have to kept up to keep the deposits within the bank?

S Krishnan: Good. See, when across the globe, the regulators started tightening and increasing the rate of interest to contain the inflation, the Indian regulators are also doing that, sucking the liquidity available in the market. This has ultimately translated into drying-up of the surplus funds, which will normally be parked in the CASA. Hence, the CASA across the industry has come down substantially, as rightly observed by you. I can only add some indicative numbers, almost 200 bps on an average the CASA has come down for almost many of the banks. So, I can say across the industry. We cannot be an exception to that. Our CASA has come down against that of 200 bps, has come down by 100 bps.

The supplement to this is the cost of deposit, as I said, when the surplus funds are drying-up, the demand for the costs, the cost increases. If you recollect last year, almost all the banks, I can say that the interest were increased substantially. The TMB waited for a longer time without increasing the cost. Then we also have comparative, competitive rates in the market. We increased our cost somewhere at the end of February, end of the last fiscal, in the month of February, I remember. We came out with a special product with a higher rate of interest. We mobilized the funds. After that, we stopped the product in the

month of May. So this has resulted into the increased cost of deposits for all the banks and also to TMB.
Tamilnad Mercantile Bank Limited
July 25, 2023

Page 14 of 36

Arvind R: Sure sir, I just wanted to understand like, if you think there will be any warrant a requirement of increasing deposit rates or further?

S Krishnan: I don't foresee in the near future for my bank.

Arvind R: Okay, sir. Thank you, so much.

S Krishnan: Thank you.

Moderator: Thank you. Our next question is from the line of Mr. Prabal from Ambit. Please go ahead.

Prabal: Sir, congratulations good business for the quarter.

S Krishnan: Thank you.

Prabal: My first question sir, can you highlight what is your liquidity coverage ratio?

S Krishnan: One minute. Yes, I will give you during the course. Yes.

Prabal: Okay, sir. Second question would be, how many employees are currently on the union model? And a supplement to that could be, if you can talk about the recent hiring that you've done at the senior level?

S Krishnan: See, I have a total employee strength of around 4,500, nearly. Out of that 4,500, you said the union model, I presume that you are referring to the wage structure of the IBA model, am I right?

Prabal: Yes, sir.

S Krishnan: Okay. If that being the case, the employees whom I have recruited in the last two years, which will be very minimal in the number, maybe around 400 or 500 employees will be there, barring them, the rest of around 4,000 are in the IBA model. But
Tamilnad Mercantile Bank Limited

July 25, 2023

Page 15 of 36

we have our own settlement. It is not exactly the IBA. We are not a secretary to the IBA wage settlement. We have our own settlement with our employees union and the officer's association.

Now having said that, we are also working on, we are having discussions with our employees' representatives for those people also to have a different package. Now

, if you were to

answer that question, around 4,000 people will be in the IBA model.

Prabal: And at the senior level, have you done any recent hiring from the market at senior head positions?

S Krishnan: Senior, senior head position? No, senior head position, I have hired my General Manager Credit, has been hired less than a year back. My general manager in information technology is hired about a 1.5 year or so. My CFO, a senior person is hired about two years back. So likewise, we have a CTO, who is also hired from the market about two, 2.5 years back. So these are some of the people whom we have hired at the senior level.

Prabal, you asked the LCR. LCR is 209%.

Prabal: 209% is that right?

S Krishnan: 209%.

Prabal: Okay. So when are we planning to utilize this because 200%-plus LCR is quite high for us. So are we planning to utilize this to maybe cushion margins for us?

S Krishnan: Yes, we are planning. If you say that, see, I gave the guidance of the business growth at a moderate level of 12% to 15% and I also said that we want to, I mean, we follow that we commit less

Tamilnad Mercantile Bank Limited

July 25, 2023

Page 16 of 36

and deliver more like that. So, we will be definitely utilizing this in the period to come with the increase in the advance business. We will be using that.

And before that, Mr. Lakshminarayanan was asking about top 20 borrowers. Mr. Lakshminarayanan can please note that the exposure is around INR3,200 crores, approximately. That is the exposure and outstanding is INR1,700 crores.

Sorry, Mr. Prabal, please go ahead.

Prabal: My next question was on jewel loans within the agriculture book. So if you can just highlight what is the nature of these loans, maybe in terms of ticket size, tenor and the kind of repayment design you have for this?

S Krishnan: The jewel loan can be broadly classified into two categories. That is what mainly we give. One for the agriculture purpose and another is for the non-agriculture purpose. Normally the jewel loan for non-agriculture purpose is for a tenure of about one year and the agriculture goes with the agriculture side. We also have a key cash credit type backed with the jewel loan. The average ticket size of this jewel loan will be around INR1 lakh to INR2 lakhs, INR1 lakh.

Prabal: And my last question. Sir, in your press release, it says that we are opening some loan processing centers. So if you can talk about what kind of loans will be processed via these centers? And also if you can elaborate, what was the process of -- what was the process earlier that bank used to follow?

S Krishnan: Your question is not very audible. We have plans to...

Prabal: My question sir, on the loan processing centers.

Tamilnad Mercantile Bank Limited

July 25, 2023

Page 17 of 36

S Krishnan: Loan processing centers, okay, fine. Fine. See, I told you last time that we have taken up a business process re-engineering project. As a part of that, on the first phase, we have taken up the MSME front. And this project for the MSME is in the implementation stage. As one of the first two measures, what we did was, we have established MSME hubs at four centers, Chennai, Coimbatore, Madurai and Thoothukudi. These four centers we have established. These MSME hubs are headed by very experienced Executives, who will be able to take a call quickly. These executives in the hubs are well assisted by trained credit analysts. This brings me an advantage of having a good quality processing.

The third, we have also posted relationship managers at all these hubs. These relationship managers have their feet on the street. They are in contact with the potential and also the existing customers to understand their needs, source the application, and then the due diligence is done by a separate team so that I ensure the quality of underwriting. This has been started very recently. I am able to see good traction, encouraging

results.

Of course, as far as the number is concerned, it is too early to tell the numbers. We will be watching for another two months or so. Probably, if possible, I would love to meet every one of you even in the mid of the quarter, where I will be able to share with you actually the numbers which has come out of these hubs.

Prabal: Just to clarify, these hubs will be processing not just the loan brought in by relationship managers but also from the branches?

S Krishnan: What I have done is to begin with, I have linked all these branches to the hub. That is in these centers, in these four centers, anything new one will be implemented in a big

Tamilnad Mercantile Bank Limited

July 25, 2023

Page 18 of 36

organization in a phased manner. So I have chosen these four centers. The branches which are linked -- situated in these centers are linked to these hubs. And there I have also given a cut-off that any advances above INR50 lakhs to begin with will be processed by the hub and below that will be processed, will continue to be processed by the branches themselves.

Over the period of time, with the establishment and the hub stabilizing itself, we will be slowly bringing down the INR50 lakhs cut-off to a lower limit and eventually, over a period of time, all the MSMEs will be brought to the hub. We are also in the process of having digitized loan originating system, which will ensure free and smooth flow of the applications. The leads which are generated through the relationship managers, that it will be like a funnel, where it will be coming in, and the hub will be processing it.

There will be a quick, we have -- yesterday, if I am right, the purchase order for the procurement of the loan originating system, one of the state-of-the-art loan originating system available in the country, we have entered into an agreement with the service provider. Yesterday, we gave the purchase order. Hope that we will be able to finalize, I mean, rollover it as quickly as possible, which will enable my customers to have a good digital experience also.

Prabal: That's very nice to hear, sir. Thank you.

Moderator: Thank you. Our next question is from the line of Sonal Minhas from Prescientcap Investment Advisors LLP. Please go ahead.

Sonal Minhas: Hi, sir. This is Sonal.

S Krishnan: Good morning Mr. Sonal. How are you?

Tamilnad Mercantile Bank Limited

July 25, 2023

Page 19 of 36

Sonal Minhas: All well sir. How are you? Hope all is fine.

S Krishnan: Fine, thank you. Good.

Sonal Minhas: Sir, I had a bookkeeping question. Just wanted to understand, your size of your gold loan portfolio? Is LTV and its sum as these are roundabout figures you could disclose just to understand how large the gold portfolio is?

S Krishnan: My size of gold loan portfolio is around INR10,200 crores to INR10,500 crores, approximately, right? And it consist of around 9 lakhs accounts, approximately. The LTV ratio is maintained at 85%, 15% is the margin. So LTV is maintained at 85% as I was responding to earlier to Mr. Lakshminarayanan that the bank has a good system of marking to market almost on a daily basis across all the branches.

Sonal Minhas: Got it, sir. I was just asking what would be the tonnage of the gold loan portfolio, sir?

S Krishnan: I don't have right now. It is across the all. So I don't have the tonnage of the gold.

Sonal Minhas: No. Sir, I had a follow-on question on the MSME sector.

Because I think in the last call we were in, I did ask you about the quality of the proposals that you are getting. And I think you did mention that the quality both in Tamil Nadu, Kerala, Karnataka region seems to be healthy. But right now from what I am hearing from the callers, the discussion with the callers earlier, seems like the MSME portfolio, you are a little cautious on reviewing the portfolios that are coming to you. So just wanted to understand, is there a change, what has h

appened?

Maybe I'm getting it wrong, just trying to understand the quality of the MSME proposals that you're getting across the three, four states you're dominated?

Tamilnad Mercantile Bank Limited

July 25, 2023

Page 20 of 36

S Krishnan: No, I think you have probably more clarity on what are you said. I didn't said that there is a concern or anything like that. Rather, I was telling that out of the total slippage, if I look into for Q1, which amounted to around INR101 crores, my MSME normally, yes, MSME was fragile and I have large exposure. So, there definitely the slippage portion also will be little higher. But when I compare this slippage with the previous quarter sequentially, sequentially in the last quarter that is Q4 of the last year, the slippage in the MSME was INR63 crores and during the Q1, the slippage is INR60 crores, which indicates that by and large, we are maintaining the same quality rather marginally it has improved because the slippage has come down from INR63 crores to INR60 crores. So, I still stand back to the quality what we get. Of course, when I say the quality what we get, we have to do the due diligence. As a lender we are cautious, we will be doing the due diligence and we will be taking a good quality book.

Sonal Minhas: Understand. And with more centralization technology and the consulting fees you're talking about the quality of diligence, the comparison of proposals, even access to cash flows of these companies to understand the quality of the data that has been submitted. Will that all improve over time? Just this is more like thinking to understand how is the MSME book going to be in the next one or two years?

S Krishnan: In the next one year or two years, I expect a good improvement in the MSME book of my bank. The stress ratio coming down reasonably well in the next one or two years, as you rightly observed with the centralization, putting in the ruling chain, the quality of the assessment, the underwriting, the monitoring. Today, a lot of tools are available. We will be able to ring fence
Tamilnad Mercantile Bank Limited
July 25, 2023

Page 21 of 36

the cash flows. With all those things, I am sure that the quality will improve reasonably well in the next one to two years.

Sonal Minhas: Understand, sir. Thanks a lot for answering my questions, sir. Have a nice day. Thank you

Moderator: Thank you. Our next question is from the line of Saket Kapoor from Kapoor & Co. Please go ahead.

Saket Kapoor: Namaskar sir and thank you for this opportunity. Sir, firstly if you could give us some general details of the increase in the treasury income for this quarter and I think so this line item supported our numbers for the quarter? And also, what explains the reduction in the profit for the retail banking segment? These two segments.

S Krishnan: As far as treasury income is concerned, my interest income has gone up. With the investments going up and also the rate of interest firming up. On the year-on-year it has gone up. So, that is one. And my profit on sale of investments is almost flat, still the market is yet to get up to get me a profit. So, that is the main reason for this.

And last year, you know the market was bad, which necessitated a mark-to-market provisioning, which was additional burden last Q1, which is not there this time. Hope that now it has turned, there is no mark-to-market. In the coming period of this fiscal, maybe by Q3 or Q4, I expect that the market will turn positive, will be able to get profits on the sale.

Saket Kapoor: No, sir. When we are comparing your treasury income on a year-on-year basis, it is flat. But on a Q-on-Q basis, it has moved up significantly. So just to understand the nature of the same, what factors will contribute to it and what should be its trajectory, are you in a position to comment on the same? And
Tamilnad Mercantile Bank Limited
July 25, 2023

Pag

e 22 of 36

on the retail banking segment, we have seen a decline Q-on-Q. If you could explain the same and Sir. Also, if you could give us some trajectory of what the NIMs for the year would likely to be, what should we look in terms of the ROA, and what should be our provision as per the book?

S Krishnan: First, probably, you are picking-up from the segment reporting on their questions, or on that, am I right?

Saket Kapoor: Yes. From the segmental report, sir.

S Krishnan: Okay. I will request my CFO to be in touch with you and he will give the necessary details on the breakup of this sequential quarter comparison, both on the treasury and also the retail banking. Coming to what will be the guidance on the return on assets, I said that my return on assets, the guidance given is in the range of 1.75% to 2%, which we will be maintaining. The NIM, as far as the NIM is concerned, it will be 4%-plus.

Saket Kapoor: I'll join the queue again. I request the moderator to just send me back two-three persons and I'll just join in two minutes.

S Krishnan: Yes, most welcome Mr. Saket.

Moderator: Thank you, sir. Our next question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Hi sir, good morning and thanks for the opportunity.

S Krishnan: Very good morning Mr. Jai Mundhra. How are you?

Jai Mundhra: I am good sir. How are you?

S Krishnan: Fine, fine.

Jai Mundhra: Great, sir. My first question is on margins, right? So you know, not this quarter, of course, they have declined, but even from a

Tamilnad Mercantile Bank Limited

July 25, 2023

Page 23 of 36

Y-o-Y perspective or the entire cycle perspective, we have seen margins which have not improved. Actually, they have deteriorated. If you look at yields, then they have been more or less range bound, like in the slide that you have given that the yields on Y-o-Y basis, they were 9.48% and then they have improved to 9.82%.

But similar has been the pressure on cost of deposits and cost of funds. So margins have been more or less stagnated, whereas all other banks in the last three to four quarters have seen significant rise in the net interest margin. So what is the reason for limited margin expansion? At the same time, our growth has also been more or less normalized growth. So, when we are cautious on growth, the margins have been actually on a downhill. So, I wanted to understand what is the reason.

S Krishnan: Mr. Mundhra, if you look into today across the banking industry itself, there is a pressure on the cost of deposits. Deposit costs have substantially gone up for every bank. Accordingly, for us also it has gone up. So it is a temporary phenomenon. I expect that this will ease out in the next quarter or so, it will be coming down. As I was explaining earlier to the earlier speaker, last year, we postponed increasing the deposit rate and we increased it only at the fag end of the last fiscal, that is in the month of February.

Now, that full impact has come on the Q1. That is why it looks that the cost has gone up. Normally in banks, particularly in TMB, I can say that the Q1 will be a dull, lull on this one for various reasons. One such will be on the people movement. There will be large-scale transfers, replacement, other things. So, normally, there will be a lull period.

Tamilnad Mercantile Bank Limited

July 25, 2023

Page 24 of 36

Nevertheless, if you look into the growth, it has been moderate. I will say that around 10%, 9% also, the advance growth is around 10.26 percentage with that it has. Now my NIM is 4%, I feel that yes it will -- it's likely to go up in the coming quarters that is what I expect. So, keeping that in mind only, we have given a guidance of 4%-plus and you will definitely agree with me that a NIM of 4% is reasonably a good NIM, when we compare the industry in the country barring few tail ends.

Jai Mundhra : No doubt, sir the NIM at

4% is very healthy. What I was trying to understand is that it has not improved to the extent of what other banks have seen improvement. In fact, it has declined on Y-o-Y basis in last two, three quarters it has been declining on a sequential basis. Are you sensing some, let us say, competition, more competition when you were to increase your yield on advances or you think the competitive intensity is same as let's say last 12 months has not changed?

S. Krishnan : No, there is increased competition which cannot be refuted by anyone. So, that is also one of the reasons that when that comes, then we have to and we take a very, very calculated steps. We have a good ALCO which deliberates on that. And I hope that this 4% is likely to go up in the coming period.

Jai Mundhra : And, sir, you said that from now onwards the margin should be more or less stabilized here at 4% near about. Is that the right understanding?

S. Krishnan : Yes, that is the right understanding. Margin is, I don't expect to go down rather it may be marginally going up from now onwards. It should move northward.

Tamilnad Mercantile Bank Limited

July 25, 2023

Page 25 of 36

Jai Mundhra : So, why would that be? I mean, is that the cost of deposits have repriced almost to the extent that cost of deposits should not rise or how?

S. Krishnan : No, cost of repricing of the customer, I mean, the deposits has taken place as far as my bank is concerned almost. And in the near future, of course, it's the ALCO's call. I don't expect that the rate will be increasing in the deposit front. So I have the ALCO had their planning and whatever we were to mobilize, we have mobilized. We discontinued that product which was having the higher rate of interest. So, with all these things in back, I feel that going forward, my margin will be improving steadily.

Jai Mundhra : And, sir, if you have the breakup of your loan book by MCLR, EBLR and working capital and term loan, I mean, these two cuts, that a, one by benchmark, that is to how much is MCLR, how much is EBLR, T-bills etcetera? And the second would be how much is working capital loan and how much is term loan?

S. Krishnan : See, as far as the MCLR and EBLR is concerned, it is almost 50-50 or it may be something like 48-52. There is slight difference only. So yes, so not much. So, we can say 50-50 will be the MCLR and EBLR. As far as the working capital and term loan is concerned, I will request our people to give you the exact numbers. Normally, there is a lag of about three months in effecting the -- three months to 6 months I can say in effecting the entries in the policy rates.

So, I hope that with all those things, what I said, that I also expect that the regulator will not be increasing the rates further. The pass may be continuing; this is what is the expectation. So, with those things I still stand that my margin is expected to improve gradually from now onwards.

Tamilnad Mercantile Bank Limited

July 25, 2023

Page 26 of 36

Jai Mundhra : And sir, is it safe to assume that MCLR loans will still be

repricing even going ahead, so you will still have some benefit coming from MCLR repricing?

S. Krishnan : That ALCO will take a call about repricing the MCLR based on the cost of funds and we can infer what it will be.

Jai Mundhra : Okay. Sure. And sir last month if I remember, there was an IT raid which was pertaining to our bank, while nothing which is financially important or it has not impacted the financials, but it says that there was not too much of an internal control when it comes to said procedure etcetera. So, what is your comment, have we changed anything, have we analyzed that what were the reasons for the alleged lapses in our bank?

S. Krishnan : First, I want to give you a clarification that it is not a raid. There is a difference between the raid and on the spot verification. So, I want to give you a clarification, there

was no raid in the Tamil

Nadu Mercantile Bank. And this has nothing to do with any of the financial statements of the bank which the bank has submitted for income tax purposes. These are related to specified transactions which the different entities need to report to the IT department at periodical intervals. Now you might have gone through the press release of the IT department after they did the on-the-spot verification.

On 30th of June, if I am right, it came with a press release, where if you look into the last sentence, I will read out. In order to explain the legal obligations and the processes as well as to address difficulties faced by the reporting entities, outreach programs are being regularly organized by the department across the country. This is another initiative of the department to facilitate ease of compliance. This is what the IT department press release says.

Tamilnad Mercantile Bank Limited

July 25, 2023

Page 27 of 36

Having said, yes, what it is, the various reports which the bank had submitted, the department had found certain errors in the report submitted. I have to now clarify that whatever deficiencies or defects identified by the department, all those have been rectified and all the returns which were to be submitted to their department have since been submitted. So, I expect that the matter is likely to be closed as early as possible. These defects, one of the reasons could be certain technical glitches because of which these type of errors have occurred. So, this is what has happened. I hope that things are clear to everyone.

Jai Mundhra : Right, sir. And last question, sir, is we have a loan book of around INR37,000 crores, INR38,000 crores and it is one of the lowest and still your loan growth aspirations are 12% to 15% only. We are one of the smaller base having a good ROA, have abundant capital. So, what is that stopping you from growing industry itself is growing at 15%, 16%. We are aspiring to be slightly lower than industry. So, wanted to understand what is stopping you in growing at a faster pace?

S. Krishnan : It's a very good question. My aspiration is also like that. But I also said that we follow the principles of promise less and deliver more. I hope that we'll be able to be in line with the industry pace.

And the second is, as far as we are concerned, we are more particular on the bottom line, a healthy book rather than a big top line. So, we do lot of due-diligence and then we steadily grow the business that could be one of the reasons. But nevertheless, as I was explaining, that we also have now taken up business process re-engineering, based on which we have now created the hubs, we have put in place the relationship managers, whose feet are on the streets. So, I hope that in the

Tamilnad Mercantile Bank Limited

July 25, 2023

Page 28 of 36

period to come, the business will be growing reasonably good and will be at par with the industry average.

Jai Mundhra : Right sir. Thank you sir and all the very best.

S. Krishnan : Thank you very much.

Moderator : Thank you. Our next question is from the line of Lakshminarayanan from Tunga Investments. Please go ahead.

Lakshminarayanan : Thanks again. Sir, to the earlier participant who mentioned that the growth aspiration is...

Moderator : Mr. Lakshminarayanan sorry to interrupt. May we request you to use the handset, please? Your audio is not clear.

Lakshminarayanan : Yes. So, it is -- earlier you mentioned that your growth aspiration is 10% to 15%. My question is that when you actually set your targets, is your internal targets different from this number, number one? Second is, what do you consider as the set when you actually benchmark? Is it the Indian banking system or is it the Tamil Nadu credit growth of Scheduled Banks advances or how do you think about it? How do you do bottom-up, both internally as well as externally that's my first question?

Mo

derator : Mr. Lakshminarayanan I'm sorry to interrupt. Again, like we are not able to hear you at all.

Lakshminarayanan : Yes sir. So, the question is that you had guided between 12% to 15% growth. And you also mentioned that you like to maintain at least the industry growth. When you -- there are two questions or I would say just an extension of that. It is that when you do this target setting internally, do you have a different target and if so, how do you benchmark it? Do you benchmark with Tamil Nadu credit growth -- Tamil Nadu because your business is 80% Tamilnad Mercantile Bank Limited

July 25, 2023

Page 29 of 36

Tamil Nadu. Is it TN Schedule Bank credit advances growth and you want to grow ahead of it or is it the Indian banking system or it's the private banks, regional private banks? How do you say that you want to grow ahead of the system? What is your baseline?

S. Krishnan : See, when we talk of the Scheduled Commercial Banks, even if I take a TN, Scheduled Commercial banks have got the credit portfolio under different segments. It has the RAM and also the corporate, if I have to say, in a broader sense.

As far as the Tamilnad Mercantile Bank is concerned, we will be trying -- our aspiration will be that we are at par -- or ahead in the case of the RAM segment what is the Tamil Nadu Scheduled Commercial Bank and what is ours. So, that is what we will be because the corporate will be very, very selective and choosy.

Lakshminarayanan : Got it. So your target setting and the way in which we as investors we should look at is are you growing ahead in terms of the RAM segment within Tamil Nadu Scheduled Commercial Banks?

S. Krishnan : As far as the June is concerned, we are comparing with the Tamil Nadu Scheduled Commercial Banks this one. And as I said that first quarter normally will be a lull for us. But nevertheless, we will be able to catch up and that is what this one shows to us, the study. Our growth is around 13% in the RAM segment approximately. I hope that we are at the same pace. We will be accelerating the growth in the coming quarter.

As I was telling, the drivers are like having MSME hubs exclusively at select centres, which I will be increasing going forward in Tamil Nadu itself. We have plans already in the final

Tamilnad Mercantile Bank Limited

July 25, 2023

stage of rolling out such things in the very, very near future. With those things, there will be an accelerated growth, which we expect in the RAM segment, particularly when I have to compare with the Tamil Nadu Scheduled Commercial Bank's RAM segment growth.

Lakshminarayanan : Got it sir, and one last question, this, you mentioned the top 20 borrowers it's around 3,200 right, and I assume that all these 20 borrowers come from the segment which is others right which is outside the RAM, am I correct?

S. Krishnan : Yes, Yes, Yes.

Lakshminarayanan : Okay, thank you sir.

S. Krishnan : Welcome sir.

Moderator : Thank you. Our next question is from the line of Arvind R from Sundaram Alternates. Please go ahead.

Arvind R : Yes, thank you sir. Just one small question like so the corporate book has come down and then wholesale deposit also come down sequentially, I'm talking about. Is there any correlation in that, what is that?

S. Krishnan : There is no correlation between the two. One of the corporate AAA, when as and when they require, they will be taking up from us and we are having a good association with that one. So, accordingly, it was taken. And when they have the surplus, they close it. So, it has no correlation between the reduction in the corporate and the reduction in the wholesale deposit. As a measure, we try always that we will be bringing down the wholesale, either on the liability side or on the asset side to eliminate the concentration risk. So, towards that, the wholesale deposits we have brought down.

Tamilnad Mercantile Bank Limi

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July 25, 2023

One, the retail, as I was explaining that yes in the retail we increase the rate of interest. We could garner good deposits, good amount. Now I have a good retail, increased retail customer clientele. Now that being the case with the CD ratio, so we are not for increasing the wholesale deposit. That wholesale deposit as and when required we can always get. That is how it has come down, it has no correlation.

Arvind R : And just one follow up question on the IT thing, like you said, like things are addressed to avoid certain technical glitches. I'm just trying to get a more understanding of what kind of processes are being improved there to avoid those issues in the future?

S. Krishnan : As far as the processes are concerned that internally I have put in place a system that all these are basically taken data extraction from the various systems which the bank has, the primarily the core banking. Now I'm also arranging for getting the script auditors for that purpose and I'm making my concurrent auditors to verify this. So, that these type of errors what we've seen is not reflected, is not occurred in future when we submit. I can also give some examples like the defect data, what has been given is that the PAN is mandatory for these reports of the income tax. But PAN is not mandatory for account to be opened. So, there is again, we are taking up the income tax department also on this. So, this one such thing. So, normally there will be a defector. When I submit because my customers, I cannot say that you should have the PAN number or you should have the mobile number. So, these are some of the things then that comes as a defective one. That is what has happened. These are some of the examples, not exhaustive list.

Tamilnad Mercantile Bank Limited

July 25, 2023

So, what we have done is that the extractions one, the script and other things I am putting in place for thorough audit, freezing it and like that and also before submitting to have a verification by the independent person so that we submit a good data.

Arvind R : Okay. Thank you. Thanks so much.

S. Krishnan : Thank you. Our next question is from the line of Saket Kapoor from Kapoor & Co. Please go ahead.

Saket Kapoor : Thank you sir for the second time opportunity. Sir, as the earlier speaker did mention, sir if we take the banking landscape, we are among small banks only and sir we have been listed now for over a year or almost closer to a year now and you have been speaking about the value creation ideas, but it is appearing from the quarterly numbers also that there are issues with growth. So, how are you going to address the thing because if you look at the interest expended line item for this quarter, that has grown up significantly.

So, I think they have been repricing on the liability franchise. So, going ahead sir, and also that you have very correctly guided also us in the last two quarters that the NIMS would be now trending lower to 4% from 4.3% or 4.35% which it was I think so for the September and the December quarter.

So, in terms of these sectors ahead, what should investors investing – investor should at least expect from you. I thank the board for the dividend payout of INR10 per share although the payout is closer to 11%-12% only, but still, it's a good gesture. So, when you speak of value creation for your investors, for your stakeholders, what are the levers to which because growth guidance from you are not matching the industry and also I think

Tamilnad Mercantile Bank Limited

July 25, 2023

so the space where we are operating, we have constraints with our dominant presence also in certain part only. So, these are my -- these are my some observation sir and for the CFO sir to connect with me what the procedure, how should I know when and where to continue.

S. Krishnan : Now let me give so

me flavor of whatever you have asked as far as for the investors are concerned. Now, if you look into a NIM, what we guided was 4 plus. As you also said, yes, we are. Just now I told that I expect that from now onwards, we expect northerly movement of the margins that is the NIM is expected to because whatever re-pricing was to happen on the liability front which you have observed that during Q1, the interest expenditure has gone up. So, it is expected to stabilize and I do not expect further increase in that.

Going forward, we will be able to have a little increase in the yield on advances and spread is likely to improve that is one. And the second is, you were also asking about the business growth. I was also explaining that, yes, 12% to 15%, we are given a moderate commitment. We said that we have the policy of promising less and delivering more. That is what we want to follow. We are taking steps towards that goal.

If you look into the drivers which will enable me to improve the business, as you observed that we have been operating in area, not only the geography, that we are predominantly focusing on the small segment unlike others who may have big ticket loans which will suddenly improve or quickly improve the top line. I was also telling that even the small loans, I am very cautious because we are focusing on the bottom line. We want to maintain the asset quality. That is why and we want to distribute the concentration risk.

Tamilnad Mercantile Bank Limited

July 25, 2023

Page 34 of 36

Keeping all these things, still what is the driver that I am going to have? I have explained that we have taken up a project of business process re-engineering. We have established the MSME hubs to begin with at four centers. We have put in place the relationship managers. All these have started just now in Q1 or end of Q1. So this, I expect that will give me results in the rest of the year which will enable me to show the better results than which has been now. So, I hope that the investors can have the confidence on the margin. We have continuously demonstrated with a NIM of 4-plus and everyone will agree that it is reasonably a good NIM of 4 and the NPA ratio continues to be -- net NPA continues to be less than 1% with a provision coverage ratio of 90 plus.

In addition, for the investors' confidence, let me tell that the bank has earmarked around INR300 crores as a special provision for any contingencies on account of COVID. So, these are some of the cushion that are available for the bank, which should enhance the confidence of the investors.

Saket Kapoor : And sir, regarding connecting with the CFO part, please let me know the procedure. And also sir, I think so off late, we have also observed that the call, the con call have been skipped by the management and you have gone for a physical meet with investors. So, that gives us -- that is not giving an edge to your investor to participate. So, continue with the telephonic conversation as has been the practice, sir?

S. Krishnan : We will do that. Telephonically, we will also have wherever possible we can also have through a video conferencing like a Zoom or whatever call we can have. As far as the CFO contact is concerned, you can note the mail ID, CFO@tmbank.in.

Tamilnad Mercantile Bank Limited

July 25, 2023

Page 35 of 36

Saket Kapoor : So, to conclude is that going ahead our yields on advances are going to improve than what we have reported for Q1 and the NIMs will also trend in the trajectory of 4%-plus for the year. And that is what you are guiding us for the year as a whole. So, on an EPS of INR68 that we posted for FY '23, what would be the likely trajectory on the growth we can expect sir, taking into account the current parameters and the current environment?

S. Krishnan : So, in which growth your voice is not audible? The overall business growth I have given.

Saket Kapoor : EPS growth sir.

S. Krishnan : EPS growth...

Saket Kapoor : We have posted INR68 rupees for FY '23. So taking into account...

S. Krishnan : Give you the guidance. Okay. I will ask my CFO to give on EPS. We will be in touch.

Saket Kapoor : Okay. Fine, sir. Thank you.

Moderator : Thank you. That was the last question of our question-and-answer session. I would now like to hand the conference over to Mr. S. Krishnan for closing comments.

S. Krishnan : Thank you very much. In fact, it was a great pleasure to have interaction with the cross-section of my analysts. I always love to have such a interactions. Once again, a big thanks to everyone of you for taking the time in the morning hours during the trading time to interact with us. I hope to have such interactions at much more frequent intervals than this one. And wherever possible, we will also have a physical meeting, we will also have the

Tamilnad Mercantile Bank Limited

July 25, 2023

Page 36 of 36

digital meeting. Thank you all once again and wish you a very happy and great day. Thank you.

Moderator : Thank you. Thank you. On behalf of Tamilnad Mercantile Bank Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

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Ref.No.TMB.SE. 124/2023 -24

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The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor, Plot No. C/1,
'G' Block, Bandra - Kurla Complex,
Bandra (East), Mumbai - 400 051. The Manager,
Bombay Stock Exchange limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001.

Ref: Symbol: TMB / Scrip Code: 543596

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call – Q2 Results

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform you that the transcript of the earnings conference call hosted by the Tamilnad Mercantile Bank Limited on Unaudited Financial Results of the Bank for the quarter and half year ended September 30, 2023, has been made available on the Bank's website at the following link:

<https://tmb.in/pages/Financial-Results>

We are also attaching the Transcript of the earnings call with this intimation.

Yours faithfully,
For Tamilnad Mercantile Bank Limited
Prakash Chandra Panda
Company Secretary and Compliance Officer
Membership No: ACS 22585

Page 1 of 15

Tamilnad Mercantile Bank Limited

Q2 - FY 2023-24 Earnings Conference Call

October 27 , 2023

Management : Mr. S. Krishnan , Managing Director & CEO

Page 2 of 15

Moderator: Ladies and gentlemen, good day and welcome to Tamilnad Mercantile Bank Limited Q2 and H1 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch -tone phone. Please note that this conference is being recorded.

This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not guarantee of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. S Krishnan, Managing Director and CEO from Tamilnad Mercantile Bank Limited. Thank you and over to you, sir.

S Krishnan : Thank you. Good evening to everyone. At the outset, my sincere thanks to all my analyst friends who have joined this call at this time. I'm happy to share with you that today the Board of the Bank met and adopted the unaudited, reviewed financial results for the quarter and the half year ended September 2023. The performance of the bank, the results of the bank and also the presentation has been uploaded in the sites of both the stock exchanges and also the bank website. I'm sure that my analyst friends might have gone through.

In spite of the same, I will just make a very brief presentation on the performance due to the paucity of time. But at the same time, at the cost of repetition, I thought I can tell you that the total business of the bank grew by 9%, while the deposits grew by 10% and the advances grew by 8% year on year.

The net worth has increased to INR 7,384 crores from INR 6,461 crores. Book value of the share has increased to 466 from 408. All these are year on year what I said.

The net profit has moved to INR 274 crores for the quarter ended September 2023 against the net profit of INR 262 crores a year back. Incidentally, the sequential quarter net profit was also almost on the same range of INR 261 crores.

One good thing which can be noticed is that the RAM segment of the advances portfolio, you might have been observing that the bank has been continuously focusing on the RAM segment and the RAM segment of the portfolio has now touched 91%.

The gross NPA of the bank is at 1.7, which was incidentally at the same level a year back. However, it has increased from 1.56 as on June 23. So also the net NPA has reached a level of 0.99 as on 30th September from 0.66 the last quarter. Having touched the NPA, I should also touch upon the SMA, which is a potential NPA for tomorrow.

The SMA has come down substantially. The total SMA of the bank as on 30th September is 5.59%, which was 12.42% a year back. And as on June, just the previous quarter, the SMA book was 7.16%. The slippage ratio has gone up during this quarter to 0.82 because of two high value accounts which have slipped. The total slippage during the quarter is INR 309 crores.

The credit cost has also gone up because of the same. The bank has made a provision of around INR 78 crores for the NPA. The credit cost has gone up during the quarter to 0.86. However, the half -year credit cost continues to be around 0.65 for the

Page 3 of 15

half-year. That is how it is. The yield on advances have increased to 10.19% from 9.82% a quarter before, and it was 9.36% a year before.

The cost of deposits, all of you will be aware

are that there is a heavy pressure on the cost of deposits, which is increasing, and TMB is not an exception. The cost of deposits of the TMB has increased to 5.78% from 5.52%. Despite the increase in cost of deposits with the yield and advances increasing, the NIM has moved up from 4% to 4.1% as on 30th of September when compared with just three months before that is the 30th of June, 2023.

As I said, the RAM -segment continues to be strong and SMA has come down. With these things, I hope that in the coming years, the quality will be strong. We do not

expect much of the slippage. As I told you during my interaction in the last quarter, the guidance what we gave, we stand by that guidance. The business growth, we gave a guidance of about 12% to 15%.

The trend of the bank, when we look at the second half of the year, it always contributes more. With that, I am sure that we will be able to achieve the guidance what we gave. Similarly, the gross NPA, which we gave less than two, we will be continuing.

The net NPA less than one, we will be continuing. I am also happy to tell that the ROA and ROE has also gone up during this quarter. The ROA has gone to 1.89 against 1.85 a quarter back. Similarly, the ROE has gone to 15.01 against 14.80. The guidance what we gave was ROA will be 1.75 to 2, we will be able to maintain. The ROE, we said about 15%, which we are having about 15.01% as on 30th of September. So, we will be able to continue those things.

So, this is in very brief because I know that all of you might have gone through the presentation and I will be more than happy to interact with you for any clarifications or additional information that you need, we will be more than happy to provide you.

Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question is from the line of Lakshminarayanan from Tunga Investments. Please go ahead.

Lakshminarayanan: Sir, a couple of things. When you actually started the year, we are six months down, right? Can you just call out the areas where things have exceeded your expectations?

I mean, I think the senior management expectations and things where it was below expectations and things where you could have done better, right? So, any thoughts on that? It will be helpful to hear from you.

S Krishnan: Sure. If I have to say that for the first half year, I can say that by and large we were able to. Except yes, during the first half year, particularly during this quarter, there was a little higher slippage for me. That is one. That again, the industry is like that. The second one is that the MSME growth, we need to push, for which we are taking all the steps. So, and we hope that we will be able to increase the same in the next quarter, second half. That is what I have to say in a broader sense.

Lakshminarayanan: Correct. So, broadly, are we tracking what we thought we would achieve in the first six months or are we lagging in terms of your own internal estimates and how you thought the year would pan out?

S Krishnan: By and large, we are meeting with what internally we had because normally the growth, that is what initial brief which I gave also, that the performance of the bank is

Tamilnad Mercantile Bank Limited
October 27, 2023

Page 4 of 15

normally more in the second half of the year. I mean, now we have achieved about 9% or so, the growth, business growth, which I gave the guidance of 12% to 15%.

And with the past experience, what we observe is that the second half normally contributes more than the first half. With that, we are hopeful that we will be able to achieve the business targets, what we gave the guidance to the streams.

Lakshminarayanan: Correct. And in terms of your operating expenditure, there has been an increase on a year-on-year basis, right? What actually led to the increase in operating expenses? Is it like a one-off thing

or what should we think about it?

S Krishnan: The operating expenditure has gone up basically because, one, we have also provided for the increase in the employee cost for the wage revision. We have made a provision for that. And the second is when we compare with the year-on-year, we migrated to finance 10 in the last year, somewhere in the month of August 22.

So, if you look into the last year, the half year, I had the depreciation only for about one and a half months or so, whereas this first half, this year, I have the depreciation for the full year. That is one of the reasons. So, these are the major two things which I can immediately tell that which led for the increase.

Lakshminarayanan: Got it. And lastly, in terms of the MSME, if you break it down into micro, medium, and small segments, can you just give me some indication of what has been the growth across these segments in terms of MSME?

S Krishnan: One minute, I will give you. The micro has grown by 7.43 % year-on-year. The medium has grown by 3.8% and small, there is a degrowth of 7.83%. Overall, the year-on-year growth is 3.49%.

Lakshminarayanan: One last thing, in terms of your branch opening, the target which you actually set out at the start of the year, I think you wanted to open 35 branches or something? I mean,

I don't have the numbers. How are we faring in terms of the first six months?

S Krishnan: Okay. We plan to have about 50 branches during the current year. We have opened 11 branches in the first half. Another about six to seven branches we have opened during the month of October. So, it is going as per the plan. We are hopeful that we will be able to complete the 50 branches.

Moderator: Thank you. Our next question is from the line of Saket Kapoor from Saket Kapoor and Co. Please go ahead.

Saket Kapoor: Namaskar, sir. Thank you for this opportunity. So, when we look at our first half performance, the operating profit is more or less flat if we take the depreciation into impact on a like-to-like basis. So, other than this, your understanding is that we would be able to grow the operating profit higher than it would be in H1 versus H2? This is the understanding you are trying to... the message you are trying to give to us?

S Krishnan: Yes. See, the operating profit, as you rightly observed, if you look into, it will look as flat, particularly keeping in mind the market also, which we game for this quarter. And this will go up because once I'm able to -- the second half, the business will grow. This is the trend, the advances growth is expected to be more. The overall, if I have to achieve 12% to 15% on year -on-year, where I have a shortfall of around 3% in the first half, which also needs to be made up in the second half. Naturally, in the second half, the performance will be far better, which will improve the operating profit than what it is today.

Tamilnad Mercantile Bank Limited
October 27, 2023

Page 5 of 15

Saket Kapoor: You mentioned about mark -to-market. Can you dwell more on the same? What are you trying to convey?

S Krishnan: In this quarter, 30th of September, around INR11 crores, we have provided for mark -to-market for my treasury bonds, government bonds.

Saket Kapoor: Okay. So, I think post -September also, there is further hardening of the yields, as we see the 10 -year benchmark closer to 7.4. So, there will be more likely of other mark -to-market on the government bonds going, if they remain at this level?

S Krishnan: We have cushion for further increase. So, I don't expect much to be impacted. But this one, depends on the market, which we need to wait and watch. I hope that with the outlook, that I have is that it will try to, it will soften before the end of this quarter.

Saket Kapoor: Okay. And, sir, if we look at your cost -to-income ratio, that has been on a strong uptick. It was sometime in last year, it was around 40%, lower than

41%. That has

now shot up to closer to 47%. So, what should be the cost -to-income going ahead?

What should be the new normal? Because I think the repricing of the deposits and all has resulted into the same. What is the key reason?

S Krishnan: See, let me tell the cost -to-income ratio has got two components, both the cost and also the income. As far as the income is concerned, the other income, as I was telling you that this quarter, we had a provision for the mark -to-market, which is basically factored in the other income as per the accounting standards permitted by the Reserve Bank of India. So, that has hit my denominator, which has brought down. Second is the recovery from the return of accounts was also a little lower, but I can say that the Q3 is expected to be more because already in the first 25 days, we have got a good recovery in the return of accounts, which will improve for the Q3. So, the denominator is expected to go up. As far as the cost is concerned, as I was telling that, the cost has increased, one, as you were also telling is the cost of deposits. Second is the employee cost. And third, if we compare with the year -on-year of the previous, half year, then the depreciation on my IT assets also has gone up. But having said this, with the expected increase in the income, which I'm going to have, and I do not expect the deposit or the other costs to go up because what I have today is this one.

And we, in fact, tried with the high cost for a very short period with excellent opportunity management. So, I don't expect that it will further go up for me. It will be almost static, unless and otherwise, the market moves differently. So, with these things, I expect that the cost -to-income ratio will come down. The expectation for me is around 44% for this year.

Saket Kapoor: Sir, depreciation, you are happening. Can you give the absolute numbers on like -to-like basis? What was the depreciation number for the IT asset for the small part of last year, and what should be the annual number for this year?

S Krishnan: I will give you. Yes, my CFO is here. Yes, sir.

Saket Kapoor: And then if we move to your slide number 14, no, slide number 15, there if you could

explain to me the movement of the NP A, wherein we have written off INR158 crores and there is a fresh addition of INR309 crores. These are the highest numbers if we take any competitive number for any quarters. So, if you could explain the nature and the reason of this?

Tamilnad Mercantile Bank Limited
October 27, 2023

Page 6 of 15

S Krishnan: As far as the write -off is concerned, normally, every year, I mean, you know that the banks will be writing off where it has 100% provision, and which we had a 75% provision, we have written off this quarter, which is about INR157 crores. All the 100% provided accounts have been written off.

As far as the INR309 crores is concerned, about a few of the accounts, 4 to 5 accounts have contributed to this, and out of that, the major accounts are in the cotton and textiles , where the industry is bleeding . So, that is the reason why it has gone to INR309 crores. We expect a recovery or upgradation of some of these accounts itself during this Q3, by which we will be able to improve the position.

Saket Kapoor: And for the upgradation, sir, for a year as a whole, what are the numbers we are currently looking into? What should be the annual number in terms of the upgradation? This quarter it is INR20 crores, and quarter 1 was INR5 crores?

S Krishnan: Yes, I will give this subsequently, exact number, because what happens is, this quarter, what slippage we had was not initially increased , but now all the recovery measures have been taken, so I will give you the updated upgradation numbers in the due course. However, we maintain that our gross NPA will be maintained below two.

Saket Kapoor: Right, so there was some change in the RBI

norms pertaining to the unsecured loan

also, and some thinking was there for the small and medium accounts also. So what could be the likely impacts going ahead?

S Krishnan: What is now is only the reports which are available in the media. RBI is yet to come out with the guidelines. But what is expected is, RBI is more concerned on the unsecured, which you also rightly said. We are more concerned with the unsecured credit. I have to say that the unsecured credit of the bank as a whole itself is just about 1% or so, not much. We don't have much of the unsecured. So this is the bank which has got full collateral and other things. So this will not have impact on T MB.

Saket Kapoor: Right, sir. A small point on the unsecured part. We heard a leading bank today in their media interaction that they have even provided unsecured loans to the salary account holders only, so that they have the cash flow matched to in case of any delinquency.

So how have we secured ourselves even in this unsecured portfolio ? What safety nets have we created in case of any fallout going ahead, even if it is 1% of the total book?

S Krishnan: No, what I am telling is unsecured for me is very, very miniscule. And we are ring -fencing the cash flows wherever it is possible. We are ring -fencing the cash flows. So we don't expect anything. RBI expects that they may come out with an additional risk rate for this. That is what I expect when they come.

As the total quantum of my unsecured is not very material, I don't expect that it will have impact on us. As far as the recovery is concerned of those assets, like any other asset, we are continuously following up. Wherever it is, we ring -fence the cash flow. You can very well see that my SMA has come down substantially from 12% and odd to 5.5% in this quarter. So that itself demonstrates that we are able to contain the slippages except for few of the accounts which had problems because of the industry.

Saket Kapoor: No, sir was giving me the depreciation number. Only the depreciation number I am coming in the queue. You please come up with that depreciation number on the IT assets and I will join the queue.

Moderator: Yes, sir. Thank you. Our next question is from the line of Aniket Redkar, who is an investor. Please go ahead.

Tamilnad Mercantile Bank Limited
October 27, 2023

Page 7 of 15

Aniket Redkar: So, sir, I have a few questions. So, my first question is basically, what measures bank is basically taking to guarantee enough liquidity in the event of this unforeseen difficulty? And how we are managing this liquidity position currently?

S Krishnan: See, we do not face any liquidity position. We have surplus SLR. So, we don't have any such liquidity problem with us.

Aniket Redkar: Okay. Okay. And, sir, in the light of this most recent incident, which cost us around

INR 9,000 crores. So, how is the bank protecting this customer privacy and mitigating this cybersecurity risk?

S Krishnan : Okay. This has, let me say that, this has nothing to do with the cyber security. What happened has nothing to do with the cyber security. It was a technical glitch because of which this wrong credit has come. Now, what we have done is, we have done a root cause analysis as to what and how it went wrong. And we have plugged all those things, put in place a system that it doesn't recur anymore. Proper checks and balances additionally have been put in place.

So, we hope that this will not recur. So, this is what we are protecting the customers. And the reconciliation team was so sound and robust that within 15 minutes, we could be able to immediately identify and take actions to reverse the amount.

Aniket Redkar : Okay. And, sir, can you throw some light on this digitization, this thing that in terms of this technology related project that we are taking to improve our customer satisfaction and operation effectiveness?

S Krishnan : Okay. See

, what we are doing is, as far as the digital front is concerned, the bank has almost all the digital products for a normal day -to-day operation, be it by way of mobile, be it by way of net banking and the U PI, all those things, and UPI Lite also we are in. In addition to that, now what we are doing is that, we are enhancing the features available in the mobile banking.

Second, I am also trying to work out on the digital platform for my customers who want to avail their credit facilities end -to-end. To begin with, we are working for the MSME sector on the one hand. On the other hand, for the retail, we have already digitized for products like the home loan, where it is having a digital journey, but the customer interface is yet to be given for that. MSME, very shortly we will be giving for customers who want a digital journey, they can have. They can also have the assisted journey. That is what we propose.

We have entered into an MOU with one of the renowned technology, provide fintech, who is providing these things. We expect that in a couple of months, we will be able to make available these services to our customers. They will have the delight and comfort of banking from the place where they need. The mobile banking also, we now both on the mobile banking and net banking, we also now take for opening of the accounts, I mean deposits, and also availing the loan against that. These are some of the features which we propose to give very shortly.

Aniket Redkar : Okay. Can you give the future outlook about the bank for the full year?

S Krishnan : Future outlook of the bank for the full year is, as I said, the guidance which we give, we stand by that. The business growth will be around 12% to 15%. The NIM will be above 4% , which we demonstrate. The ROA will be from 1.75% to 2%. The ROE will be above 15%. The gross NPA will be less than 2%. Net NPA will be less than 1%. And the cost to income ratio, I expect around 44%. This is what we expect. The slippage ratio will be less than 1%.

Tamilnad Mercantile Bank Limited
October 27, 2023

Page 8 of 15

Aniket Redkar : Okay. And what is our stress asset ratio currently?

S Krishnan : Pardon?

Aniket Redkar : What is our stress asset ratio?

S Krishnan : Your voice is not very clear. Can you repeat?

Aniket Redkar : Stress asset ratio, sir?

S Krishnan: You are asking about CD ratio, credit deposit ratio, or you are asking about the capital adequacy?

Aniket Redkar : Yes.

S Krishnan : Capital adequacy is around 26% for me. And the CET1 is around 23%.

Aniket Redkar : Okay, sir. Thank you. That's all from my side.

S Krishnan : CET1 is 24% and overall CRAR is 26%.

Aniket Redkar : Okay. Got it. Thank you, sir.

Moderator: Thank you. The next question is from the line of Nihal Mehta, who is an investor. Please go ahead.

Nihal Mehta: In terms of your company's revenue, could you highlight on some of the important growth drivers? I have noticed some changes in terms of your profit margins also. So, could you highlight on that part?

S Krishnan : No, my -- what I expect is that, if you look into the growth in advances, we have grown, as I said, in the RAM segment. And amongst the RAM segment, if I look into, we are growing more on the gold loan, which is fully secured and have a zero capital.

So, we expect that we will be... it has a good potential, particularly in the area where we have more concentration. So, we will be able to do that.

And we have also taken up a transformation project on the MSME, which I told in the last meeting when I met. The -- that is taking a good shape. We have set up the MSME hubs at about 14 places, right? Eight places. We have set up at eight places, the MSME hubs, where we have posted a very experienced seasoned officer as the executive in-charge. And we have also posted the relationship managers and the credit analyst. Thereby, I will be able to reduce

that task.

On the other hand, as I was telling just before, that we are also working on digitizing the lending platform, which will bring the underwriting standards uniformly and also ensure that the underwriting is not compromised. Because now, I have segregated the branch, which is a delivery point from the underwriting. It is centralized for these MSMEs.

So, this will ensure my quality of underwriting and which will result in ensuring the asset quality over the period of time. So, these are some of the drivers which will help the bank to improve the income in the days to come.

Nihal Mehta: Okay, sir. Recently, I also read a news article about the INR 9,000 crores mismanagement that happened. The money was transferred to somebody else's

Tamilnad Mercantile Bank Limited
October 27, 2023

Page 9 of 15

account. So, how are you ensuring that, in terms of data privacy and any such kind of relevant risk, which should not happen in the future? So, are you taking any steps?

S Krishnan : Fine. Just now I answered this question, but still I will repeat it. This has nothing to do with cyber security or data leakage. So, it does not relate to any of these things. The question of data privacy doesn't arise here. This was a technical glitch because of which, wrongly, the amount was credited.

As I was telling, my reconciliation team is very, very robust and they are very alert, which they have detected this within a shortest span of 15 minutes and we could be able to reverse the thing. Having said that, we have done a thorough root cause analysis of this incident and we have further, increased the control mechanism. We have plugged in our codes so that these type of mistakes doesn't recur again. That is what I have to say.

Nihal Mehta: Okay, sir. Thank you. Thank you for that. And a last question from me. In terms of rate of deposits and loans during the quarter, do you see any, could you highlight, how it has grown over the period?

S Krishnan : The cost of deposits in the industry, if you look into, is moving northwards. There is heavy pressure on the liquidity. Somebody was asking about the liquidity, either you or before you. Because of that, there is increase in cost of deposits. We cannot be an outlier, so our cost of deposits also is increasing. No doubt on that.

But having said, we are able to demonstrate that, we are able to increase, realize the yield on advances proportionately, which is demonstrated, which is very visible from the fact that my NIM, Net Interest Margin, has increased during the quarter by 10 bps from 4% to 4.10%. So we are able to pass on this increase.

Moderator: Thank you. Our next question is from the line of Supan Parikh, who is an investor. Please go ahead.

Supan Parikh: Hi, actually I have seen you have opened new branches in the month of October, like six new branches and overall around 19 branches over the period of nine months. So I just wanted to know, what was the total revenue generated from these new branches?

S Krishnan : See, these branches will take little time to stabilize and also the break even. In fact, if you look into the banking, a branch, if it is able to break even in a period of about two years, is a very good sign and I expect that, we will be able to do that. I can share with you, I don't have right now the revenue generated by these branches, but I can tell that the CD ratio of these branches are very good, indicating that the advances are higher than the deposit.

I have branches whose CD ratio is as high as 200-plus. So these branches will be generating a good income to me. And most of these branches are lending on a very secured manner, either by way of the gold jewel loan or by way of home loan, fully secured. As I was telling that the bank's total unsecured itself is very low. So these branches, I expect that they will be able to contribute reasonably good, even in the first year of the open

ration.

Supan Parikh: Okay, sir. And also I want to know like how many new branches are you like expecting in this fiscal year, by the end of the fiscal year?

S Krishnan: Yes. I plan to open during this year, overall 50 branches.

Tamilnad Mercantile Bank Limited

October 27, 2023

Page 10 of 15

Supan Parikh: Okay, then we can have almost like 19 till now?

S Krishnan: Yes.

Supan Parikh: Okay. Thank you.

Moderator: Thank you. Our next question is a follow-up question from the line of Mr. Saket Kapoor from Kapoor and Co. Please go ahead.

Saket Kapoor: Yes, sir. Thank you for the opportunity again, sir. If you could provide them now the depreciation numbers, if you are ready with you? And again, sir, coming to the granular details of the growth, which we are anticipating for H2, which sectors will be contributing towards the incremental business and incremental, therefore, the interest income going ahead. As the H2 must be much higher than what H1, then only we can grow at 15%.

S Krishnan: Yes, you are right. My focus for the growth in the H2 will continue to be on the RAM segment. The MSME is expected to pick-up. The MSME growth in the first half was less. MSME is expected to pick-up. Even the industry as a whole, there is an uptick in the credit uptake for the MSME. So, we will be able to capitalize that. As I was telling that the BPR, Business Process Re-Engineering 1, which we have taken a project, which is taking a good shape. So, that is expected to yield a good result for me. I will be also continuing to focus on the retail. When I say the retail, it includes the gold jewel loan, both in terms of agriculture and also the non-agriculture and the home loans. These are the focus areas where I will be focusing, which will be enabling me to achieve the targets which we have imposed on ourselves for the current fiscal. As far as the depreciation is concerned, I will give you one minute.

Saket Kapoor: And sir, also please provide us a ballpark number on the dispersed of loans that is anticipated for H2 in comparison to what H1 has been? The loan dispersed?

S Krishnan: Yes, I mean, loan dispersal. One minute. I don't know whether I have it now. Otherwise, I will request -- expected disbursement.

Management: This depreciation on the IT is around INR6 crores.

Saket Kapoor: INR6 crores. Okay, that's not a big number.

Management: Yes.

Saket Kapoor: On the disbursement part. And sir, when you were explaining us, rather giving us a number on ROA and ROE and NIM, I think so, last year, you did caution us that the ROA of 2% were extraordinary numbers and we will be settling somewhere lower. We exited Q2 at 1.89. So, for the next half, we will be lower at 1.5 to 1.72?

S Krishnan: No. Definitely not. Our ROA, still I maintain that for the year. We will be having 1.75 to 2. And we will be able to do that.

Saket Kapoor: Sir, first half is above 1.85.

S Krishnan: Yes. So, definitely we will go to 2. We give a range of 1.75 to 2. Doesn't mean that we will come down.

Saket Kapoor: Right. And for the NIMs also, it will be northward of 4%?

Tamilnad Mercantile Bank Limited

October 27, 2023

Page 11 of 15

S Krishnan: It will be above 4. We said above 4, we will maintain that.

Saket Kapoor: Okay. And sir, about the slippage part, sir, what portion of our loan book is towards the corporate sector, sir? And you spoke about one account in the textile segment slippage? So what is the slippage...

S Krishnan: Total corporate today is just 9%.

Saket Kapoor: Okay. Absolute number, sir, of the loan book amount?

S Krishnan: Yes, around INR3,000 crores.

Saket Kapoor: Okay. And then the key sectors where the same dispersion is?

S Krishnan: Pardon?

Saket Kapoor: Which are the key sectors to whom the loans have been disbursed? The 3,000 crores?

S Krishnan: No, no. INR3,000 crores is spread across different sectors. So, I

don't expect much of

on that. If I look into the SMA book, which will give, SMA, I have total SMA in

corporate is just INR230 crores.

Saket Kapoor: Okay. And no, sir, you spoke about one textile account for this quarter. What was the total...

S Krishnan: About three to four accounts, not one account. One account is a bigger one. And others are relatively bigger, but lesser than that. So, they are all in quarter 1. That's what hit me this quarter for the higher slippage.

Saket Kapoor: Okay. And we are fully provided for them, for these accounts?

S Krishnan: No, we have provided as per the regulatory requirements. In fact, my provision is little more than the regulatory requirement.

Saket Kapoor: Okay. And these are all certain...

S Krishnan: So, secured substandard, 15% is sufficient as per the regulatory requirement. I have provided 25%.

Saket Kapoor: You have provided for 25%?

S Krishnan: Yes.

Saket Kapoor: Okay. And these are all Southern based yarn companies? Can you give more granular details? Because I think so, these accounts may fall out also going ahead since the textile market is still in old drums?

S Krishnan: No, these slipped accounts are spread. One major is in the Southern and one is in the Western side. Like that.

Saket Kapoor: Okay, thank you for all the replies, sir. So, we can summarize that H2 will look better in terms of profitability for the bank as a whole. We are in the quoting, we are likelihood -- in the likelihood of posting a higher operating profit for the second half going ahead.

Tamilnad Mercantile Bank Limited

October 27, 2023

Page 12 of 15

S Krishnan: Absolutely.

Saket Kapoor: And thereby, this last year number of INR1,573 crores operating profit, we are looking at a growth number higher than that of last year.

S Krishnan: Yes.

Saket Kapoor: That is in the likelihood of 10%. We can look forward the growth in the operating profit?

S Krishnan: Yes.

Saket Kapoor: A 10% growth in the operating profit for the year as a whole?

S Krishnan: Yes.

Saket Kapoor: Okay, even after factoring in the flat number for H1? So, we have to grow higher than 10, then only we will be maturing?

S Krishnan: Absolutely. So, when my business also grows higher than H1, naturally the operating profit also will grow.

Saket Kapoor: Right, sir. And for the dividend distribution parts, sir, what is the dividend distribution policy? If it is a coded one, then I will go through it?

S Krishnan: No, we follow the RBI guidelines as to the dividend distribution. So, we don't have anything other than that.

Saket Kapoor: Okay, sir. And for any other than that, shareholder valuation, because we are a very new bank, new listed bank in the space. And currently at a book value of around INR462, the banking space offers, there are other players also that are offering better valuation. So, what steps are in the anvil? How can we create further value for your existing shareholders also and for the shareholders who can become shareholders going ahead?

Moderator: Sorry to interrupt, Mr. Saket Kapoor. We request you to re-join the queue.

Saket Kapoor: Yes, I have completed my question. It is up to sir to answer. Thanks. I hope I made my point, sir. Now, please reply.

S Krishnan: Yes, I have noted.

Saket Kapoor: Yes, any comment you want to give, sir?

S Krishnan: No, see, if you look into as far as enhancing the value of the shareholders is concerned, if you look into this, the bank which is consistently paying the dividend, because why I am touching the dividend is that was also touched by you about the dividend policy. If you look into the history of the bank, it's the bank which has paid the dividend every year, except one year where the Reserve Bank of India, stopped all the banks in making their payment of dividend. But for that, the history shows that the bank has been consistently taking care of the

shareholders, has been paying the dividend.

And if you look into the net profit, the profit earned by the bank every year, which

ultimately goes to the net worth of the bank, nothing other than the shareholders' fund, which is continuously increasing. And if you look into the strength of the bank on the

Tamilnad Mercantile Bank Limited
October 27, 2023

Page 13 of 15

balance sheet side, I have to say that the asset is highly distributed with less vulnerability for any shocks, which we will not be having. In addition to that, we also have the additional provision of around INR250 crores as of 30th of September towards any contingencies which can come. So when the COVID came, we started creating that. So today we have around INR250 crores as a provision for this.

Moderator: Our next question is a follow-up question from the line of Mr. Lakshminarayanan from Tunga Investments. Please go ahead.

Lakshminarayanan: Sir, if you look at the outside RAM, there has been a decline in the non-RAM, right? Was it a -- why it declined? Is it because we have the lost customer or it was a conscious call to reduce the assets on that side?

S Krishnan: No. We have not lost the customers. But as I said, yes, we are very, relative in expanding the corporate. So we take a very conscious call and we pick-up a good rated and this one. We have not lost any customers, which I can tell, who had availed with us. They avail as and when they require. But as far as going into any consortium or anything, we are very, very particular choosy. That is the reason that the corporate credit has not been growing.

Lakshminarayanan: Sir, if you look at your broad growth numbers, how much actually comes from your existing customers and how much is coming from new customers or who are never banked with you? And how many customers you actually, you think you are losing to the competition or they're actually moving or have you done any analysis?

S Krishnan: So we have done, we have done the analysis as far as what we lose and also what we gain. It is true that we have been losing a little more earlier, but these are times we are able to take over from others. Also, what we lose has come down. More particularly, this is, you know, that there is actually competition with which we are able to, I mean, the pricing is rationalized. So we are able to retain the customers. And what we...

Lakshminarayanan: How much of your growth is actually from your existing base? You are looking at 12% to 15% growth on advance side?

S Krishnan: No, we -- from the existing customers and the new customers, we'll be around 45, 55, like that.

Lakshminarayanan: Got it. So your new customers will be around 55% of your -- of the growth?

S Krishnan: Yes.

Lakshminarayanan: Got it. So in terms of the NP A addition of INR300 crores-plus, you mentioned something. Can you just repeat it? Because I just didn't capture that?

S Krishnan: No, INR300 crores, there is an addition because during this quarter, about four, five big accounts, I should say, of which one is around INR170 crores or something, approximately. And all these are belonging to the cotton and textiles, which the industry is doing bad because of that instant. But all these accounts are fully secured. We have been taking steps. I expect that there will be recovery or upgradation in this.

Lakshminarayanan: And this account, was it the first time they got into such issues or they have been, what has been the history of this account?

Tamilnad Mercantile Bank Limited
October 27, 2023

Page 14 of 15

S Krishnan: No, they are banking with us for a long time. It is not a new customer. They are banking with us for a long time. And because of the industry problem, they could not absorb the shocks, which they, so the account returned to be NP A.

Moderator: Thank you. Our next question is from the line of Rohan Mehta, who is an investor. Please go ahead, sir.

Rohan Mehta: Some of the questions I had have been answered, but you touched upon earlier about the branches that have recently been opened and plans to open around 19 odd new branches in the future. So if you could just shed some light on if you have any regions in mind specifically where the new branches would be opened? And the management's vision over the next two to three years in terms of geographical reach of the bank across India. If you could shed some light on that, it would be helpful, sir?

S Krishnan: Okay. See, totally we plan to open about 50 branches during this fiscal. In fact, a

similar question earlier also I have said, what I have said is the bank is looking into the potential centers where we will be able to get a good business and also spreading to the different geographies. But we make a thorough analysis of the potentials available, keeping in mind the philosophy of the bank, the strength of the bank, and then we go for the expansion.

So that is all it is being done. We will be in the next two to three years, we expect that we will be having expanded reach in almost all the parts of the country. That way we will be able to make it as a pan -India bank.

Rohan Mehta: Okay, okay, sir. That's great to hear, sir. Sir, also, is there any strategy in place to keep NPA levels at as minimum as possible?

S Krishnan: Yes, the strategy is, I said we will be keeping the NPA number at below two, that is what the guidance I gave. We will be able to maintain that. We have a very strong monitoring team who are able to monitor on a day -to-day basis almost all the accounts, irrespective of their quantum. It has been distributed at the regional level and also the HO level.

We hand -hold the branches. The officials at both the region and the HO, wherever needed, they even directly interact with the customers, understand the problem, and we are able to, with the close monitoring, we are able to arrest the slippages.

Rohan Mehta: And, sir, what would be the current stressed asset level ratio at present?

S Krishnan: One minute. I think I have given the stressed assets ratio in the presentation. I will just tell you. One minute. My stressed assets ratio stands at 3.23%.

Rohan Mehta: Okay, and it's likely to remain at similar levels for the entire?

S Krishnan: It will continue to be, or it may even come down because I don't expect much. So, if you look into the last three quarters, it is almost flat. It is around 3.19, 3.2, or 3.23.

Like that, it is almost flat. Understood.

Rohan Mehta: Understood. Okay, sir. Just one last question, sir. If you could give your opinion on any regulatory developments that are expected that might impact the banking sector in general or our bank 's operations in the near future?

S Krishnan: The regulatory, this one, against your question of, you said the expectations. The expectation is that there may be an increased risk rate for the unsecured loans. And,

Tamilnad Mercantile Bank Limited

October 27, 2023

Page 15 of 15

as far as my bank is concerned, my unsecured portion is very , very minuscule. So, I don't have any impact. I don't expect any impact for my bank.

Moderator: Thank you. Ladies and gentlemen, that was the last question of our question -and- answer session. I would now like to hand the conference over to Mr. S. Krishnan for closing comments.

S Krishnan: Thank you. Let me thank all my friends, the analysts, who took the pains of joining this conference call in the late evening. My special thanks to one and all. My special thanks to the arrangers who made it an excellent one. And, hope to meet you very quickly. Thank you very much. Thanks a lot.

Moderator: Thank you. On behalf of Tamilnad Mercantile Bank Limited, that concludes this conference. Thank you for joining us. And, you may now disconnect your lines.

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Call: Jan 2024

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Ref: Symbol: TMB / Scrip Code: 543596

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call – Q3 Results

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform that the transcript of the earnings conference call hosted by the Bank on the Unaudited Financial Results of the Bank for the quarter and nine months ended December 31, 2023, has been made available on the Bank's website at the following link:

Transcript of the Earnings Conference Call – Q3 Results

We are also attaching the transcript of the earnings call with this intimation.

Yours faithfully,
For Tamilnad Mercantile Bank Limited
Prakash Chandra Panda
Company Secretary and Compliance Officer
Membership No: ACS 22585

Tamilnad Mercantile Bank Limited

Q3 - FY 2023 -24 Earnings Conference Call

January 22 , 2024

Management : Mr. S. Krishnan, Managing Director & CEO

Tamilnad Mercantile Bank Limited
January 22 , 2024

Page 1 of 15

Moderator: Welcome to Tamilnad Mercantile Bank Limited Q3 and 9 -month FY '24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing "*", then "0" on your touch - tone phone.

This conference call may contain forward -looking statements , which are based on the beliefs, opinions, and expectations of the bank as of the date of this call. These statements are not a guarantee of future performance and involve risks and uncertainties that are difficult to predict. Please note that this conference is being recorded.

I now hand the conference over to Mr. S. Krishnan, Managing Director and CEO, Tamilnad Mercantile Bank Limited. Thank you, and over to you, sir.

S. Krishnan: Thank you very much. Good evening, my friends. I am happy to share with you the performance of the bank for the Q3 ended December 2023.

The Board of the Bank today morning met and adopted the results, unaudited limited review results for the quarter ended. The details of the results have already been uploaded along with the presentation, both at the bank's website and also the sites of both the stock exchanges. I am sure that my friends should have gone through this. Nevertheless, I will quickly give the highlights of the performance for the Q3 for the immediate reference of my friends.

The total business increased to 85,185 crores from 78,242 crores year-on-year. As far as the shareholders' values are concerned, the net worth has been increased to 7,668 crores from 6,741 crores. The book value of the share is 484.25 as on the 31st of December against 435.69 year back. The earnings per share is 17.95 against 17.27 as on the 30th of September.

The other key ratios like when we talk of the asset quality, the gross NPA is continuing at almost the same, 1.7 as on the 30th of September, which has come down to 1.16. So, also the net NPA from 0.99 to 0.98 indicates that the asset quality is maintained. The return on assets is 1.93 for the quarter against 1.89 of the previous quarter. The return on equity is 15.11 against 15.01 as on the previous quarter.

The NIM, I can say that, by and large, it is at the same level. So, slightly differ by 2 bps to 4.08 during the Q3 against 4.10. The credit cost has been well contained which has come down to 0.06. The last quarter we had a little higher slippages which I explained to you last time. Because of that, the credit cost was 0.83. Otherwise, this quarter, the slippages has been contained. So, also the recovery and upgradations are almost matching to that which resulted in a very lesser position which has resulted in the credit cost to 0.06%.

Tamilnad Mercantile Bank Limited

January 22, 2024

Page 2 of 15

The other interesting factor is on the SME front. The SME was 8.41% a year back, which has been brought out to 5.34%. And even if you look into all the categories of SMA -0, 1, 2, almost in all the cases, we are able to window except the marginal increase in SMA -2 by about 94 or so, which is a negligible one. Otherwise, it is just at 1.46% as far SMA -2 is concerned. 0, 1 have also been substantially brought down.

The stressed Assets ratio is at 3.08%, which was 4.01% a year back. The slippage ratio has been contained to 0.21 for the quarter of December against 0.82 in the last quarter. As far as the profitability is concerned, the net profit is 284 crores. And the net interest income is 537 crores, both of which are the highest in any quarter of the bank in the past history.

So, that is what in brief let me put to you. And I open the forum to my friends for interaction.

Thank you.

Moderator: Thank you very much. We will now

begin the question-and-answer session. The first question is from the line of Lakshminarayanan from Tunga Investments. Please go ahead.

Lakshminarayanan: Good evening. Couple of questions. Sir, when we started the year, we said we would actually have at least 50 branches open. But I see that we have opened only around 17 branches cumulatively in the first nine months. In fact, we just reiterated that three months back that our expansion will continue. So, I just want to understand why is that our expansion is a little low.

S. Krishnan: So, the other branches have been identified. The premises are work in progress, most of the branches. So, expecting it to be opened very shortly. Thereby we feel that we'll be able to achieve what we estimated as 50 before the year end.

Lakshminarayanan: Sorry, sir. So, how much do you intend to open in this quarter?

S. Krishnan: In this quarter, see, we have opened 17 branches already. Originally, we planned for 50. The rest of that is expected to be opened during this quarter.

Lakshminarayanan: All the 33 will be opened in the next two, three months.

S. Krishnan: Yes. 17 was opened in nine months, as you observe, and the rest of the 33 will be opened during this quarter.

Lakshminarayanan: Sir, the second question is that in terms of total assets, from where we exited in last financial year to nine months down, we are only 2% up. Now, is it a system issue or an internal issue that our growth is actually very, very underwhelming?

S. Krishnan: Sir, can you repeat? You are talking about the total assets growth?

Tamilnad Mercantile Bank Limited

January 22, 2024

Page 3 of 15

Lakshminarayanan: So, the total advances for us, what I understand, has been remaining flat for the last two, three quarters. I just want to understand your view, whether it is a system issue or an internal issue.

Why we are not growing?

S. Krishnan: See, my advances have increased by about 10% year-on-year, if you look into, has increased by

10%. Last year, December, we were at 34,802 and now we are at 38,386 crores. We have grown by 10%. And as I was telling you that normally the momentum comes in Q3 and Q4 of the financial year. All these banks and that is what is happening. And accordingly, we expect that we will be able to achieve. We gave guidance to the street of growth of around 12 to 15%. I expect that we will be able to grow by 12% overall for the current year. We have already grown by 10% and I expect that we will be able to make it to 12%.

Lakshminarayanan: Because I was comparing the exit of FY '23, we were around 37,600 and we are around 38,000 only. So, the last three quarters, quarter-on-quarter, there has been almost flat. Since this question. So, the third question is regarding the advances in agriculture. How much is gold-backed loans in this? And as a product, how much of our advances is actually gold advances?

S. Krishnan: Most of them are in the gold advances as far as agriculture is concerned. Most of them are in the agriculture Jewel loan. We have grown by about 852 crores during the quarter.

Lakshminarayanan: So, what is the total?

S. Krishnan: It is the total growth of 585. In agriculture, the growth is around 585 crores. There is also a seasonal tax rate which was given for various food and agro industries. So, there was a reduction of around 263 crores and the increase in the loan alone is around 852 crores.

Lakshminarayanan: Sir, in terms of MSME sector, which has been, you know, we are very strong in MSME sector, but that sector has actually been not growing in the last three quarters. Is it because we have slowed down consciously MSME sector or MSME sector itself is not growing? Like why is that our growth is not coming in MSME advances?

S. Krishnan: So, it is not that we consciously slowed down the growth. There is no such call. Still it continues to be our focus

sector. One which I have to say, is that subsequent to the COVID when there was moratorium and also the GECL which you will be knowing, the repayments started now. Now the repayments are also bringing it down. So, in addition to that, we have to go. That is the normal one. So, there is a little risk and the industry also, MSME currently if I have to see are still to come up. If you look into the industry as a whole, the capacities where the new capacities are coming, now we have seen that there will be large investments in Tamil Nadu, more particularly the southern part of the Tamil Nadu, that too in Thoothukudi. So, when we get specific, there will be new MSME units will be coming and the capacities will also increase. So, that will also give a boost to us. But our focus continues to be MSME. Hope that we will be able to improve that.

Tamilnad Mercantile Bank Limited

January 22, 2024

Page 4 of 15

Lakshminarayanan: And what is our yield on MSME, agriculture and retail sector as currently?

S. Krishnan: The agri, the yield is 9.15. The retail is 9.53. The MSME is 11.32.

Lakshminarayanan: Sir, in the last quarter, there was one large account which became an NPA. I just want to understand what is the status of that? How is that shaping up?

S. Krishnan: The recovery proceedings are ending. We have invoked all the recovery measures. First, we started querying and also talking to them. We hope that we will be able to get the recovery soon. Some of the recoveries, I expect, very shortly.

Moderator: Thank you. The next question is from the line of Jeffersen S, who's an individual investor. Please go ahead.

Jeffersen Esch: My first question is, for the past seven, eight years, the rate at which we grow our top line is in the range of 4% to 5% on a compounded basis. In the case of advances, it is around 7%. So, currently, we are sitting at a capital adequacy of about 25 to 26, which is way higher than the regulatory requirements. So, my question is, are we being too conservative here? Like, can we afford to be a little more aggressive in disbursing the loans?

S. Krishnan: See, we are in the sense, as far as the critic is concerned, we always go for the secured lending. We keep the asset quality on the topmost one. So, we go for the secured lending. In the secured lending, yes, we are aggressive. We are also turning our vision and we also go for then how can I reduce that? Can I go for the mixturation? All those are in process. But we keep in mind the secured security aspect and then call on that because we are more particular on asset quality.

Jeffersen Esch: And my second question is, actually, I had a question on opening up 50 new branches by the end of this fiscal year, but I think it got answered. But just to summarize what you have said, we will end FY '24 with a total count of 380 branches across India. Is that correct?

S. Krishnan: Yes. 340 it is not 300. 347 we have and we will end up with another 33.

Moderator: Thank you. The next question is from the line of Sonal Minhas from Prescient Cap Investment Advisors, LLP. Please go ahead.

Sonal Minhas: This is Sonal Minhas. Sir, I have two questions around the slippage. One is more around any near-term guidance you want to give around slippage because last quarter there was kind of an upward blip in the number. Is there anything, like, should we be factoring in that your slippage should be in the range of 0.2 to 0.3, 0.4, anything around that? That's one. And secondly, more from a risk control measure because we saw last quarter, there was a large

MSME account and there was a large other account which slipped basically. So, under your tenure or maybe let's say, going forward, what are the ways in which we are trying to see if there
Tamilnad Mercantile Bank Limited
January 22, 2024

Page 5 of 15
are any early warnings

around such accounts slipping? And what are we doing about it?

Anything which you've changed as an institution in the last one or two quarters? Just want to get a subjective understanding of that.

S. Krishnan: Let me say that the expected slip page, I don't expect any such big account in Q4 as it was in Q2. I gave the guidance that the gross NPA would be below 2, and stand by that data should be below 2. That is number one.

Number two, as far as the systems what has been put in place to ensure that is, which will be very, very visible from the SMA which has been brought down to 5.34 from 8.41 or so a year back. That itself is the volume that we are able to have an enhanced monitoring mechanism, which enables me to ensure that going forward, the slip pages will be curtailed to a great extent. We have put in place the monitoring group, both at the corporate office and also at the regional level, based on the quantum, which has been assigned, and there is a great team of officers who are working on the monitoring, instead of going and knocking the doors on beyond the (inaudible 17:57) today or whatever it is, we start monitoring from day one itself. So, this enables me to increase my recovery collection efficiency ratio. And I hope that based on new system, what we have put in place will help the bank to a great extent to compare their slippages. Every day morning, I have on my dashboard as to what is their slippage and what is their potential slippage. We have such a system. So, that potential is being followed up at various times, including wherever required, I myself also follow. As I said, these data are coming to me to my dashboard on daily basis. So, this system has helped to curtail, which is evident from this quarter itself. As I said, the credit costs will be 0.06 and the slippage is 0.21. So, this will continue like this. I expect that whatever we give, the guidance, it will be continuing this. Sonal Minhas: Sir, I have a second question, if I may ask. Sir, I see the deposits actually falling down and large part of that is linked to, I think a bulk deposit on one side, maybe shrinking. But just wanted to broadly understand your deposit and CASA strategy. Since you are opening branches and assuming the branches feed into your CASA, any guidance, anything which you're changing on your CASA, on your term deposits, which we should know for the next two, three years outlook, that will be helpful, sir.

S. Krishnan: See, as you have observed, the deposits coming down and there again you have also observed that the bulk deposits have come down. It's true. If you look into my bulk deposits have come down substantially on every quarter. It is a conscious decision. As I said, we are more cost conscious. Today, if you look into the cost of deposits for every bank, including the TMB, it's going up. And it's very interesting, it's a great demand. Such a great decision, as I said, we are cost conscious. So, we consciously, efficiently manage the funds. That is why the deposits have gone down, which even with that, there is an increase in the cost of the deposits, which we have seen. Otherwise, the NIM might have been affected further. We are able to maintain the NIM just 2 bps. So, that is the reason.

Tamilnad Mercantile Bank Limited
January 22, 2024

Page 6 of 15

Otherwise, if you look into the CASA, this quarter, the CASA has increased. The CASA has increased year-on-year in December by about 7.88%. That is what the year-on-year growth as far as the CASA is concerned. As far as the CASA strategy is concerned, we have formed a separate vertical for this, both at the HO and also at the regional offices. We have dedicated people for this. The HO, there is a separate vertical, who sits at Chennai who are able to go and meet the various big corporates, customers, get their accounts,

their salary accounts. We have

a lot of education institutions down south where we are the bankers. So, all the teaching and non-teaching staff from salary accounts are being taken by us. We also go for a free collection. These are some of the strategies which we are adopting. We started using the resources. I hope that this will continue in the days to come.

Sonal Minhas: This explains. And as you open more branches, anything which we are doing to attract more retail CASA, if I may just slip in a question there?

Moderator: Can you repeat? Have you opened a few branches?

Sonal Minhas: Sir, as you open new branches, what's the strategy to actually get the retail CASA? Like, example, customers like me or somebody who...

S. Krishnan: As we open the new branches, now new branches we open after making a good study of center

potential and our understanding of that . With that we are opening these branches and these branches , some of the branches are credit oriented . Some of the branches are deposit oriented . I can give some numbers which I have . Probably the 17 branches which I opened during this current fiscal in the nine months , the CASA ratio of all these branches put together is 39.41%. So, that gives me a good edge .

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor Company. Please go ahead .

Saket Kapoor: Sir, firstly , if you could give what is our current CD ratio ?

S. Krishnan: It is around 82 %.

Saket Kapoor: And any comparative number ? Last year what it was ? Have we improved on the...

S. Krishnan: It is now 82.02 and last December it was 80.11.

Saket Kapoor: And sir, going ahead , what do we envisage , how this ratio will be one year down the line?

S. Krishnan: We will be around this . We will be around this number .

Saket Kapoor: Sir, when we look at the granular detail of our loan portfolio on the liability side, it is we are more towards this MSME segment , the MSME segment . So, how is the granularity going to be

Tamilnad Mercantile Bank Limited

January 22 , 202 4

Page 7 of 15

when our size grows ? What portion of our loan book is towards the corporate segment currently ?

S. Krishnan: No, corporate segments we are not , we focus on the MSME . We focus on the RAM segment , I can say , only a broader one and not on the corporate , but we don't say that the corporate we have closed the door. If you look into the overall composition , my RAM is 91% and the corporate and othe rs are just to 9% of the total advances . So, we focus on the RAM segment which will continue to be our focus.

Saket Kapoor: One more point was about this 56 crores rupees ad -hoc wages part , sir. In which quarter has this provision being made of 56 crores ? It was mentioned in the notes .

S. Krishnan: We have been making this provision for the past about 14 months we have been making the provision. R ight. But this quarter alone , in addition to the normal position what we were making , this quarter alone we have made 14 crores additionally , this quarter alone in addition to what we were making regularly and the total will come to this l evel.

Saket Kapoor: So, then why have we referred this to this 56 crores rupees figure ? What is this ?

S. Krishnan: No, that is a total provision that is outstanding . It is basically to say that we hold a total provision of 56 crores towards the institutional matter .

Saket Kapoor: And that has flown through the P &L.

S. Krishnan: So, this quarter alone we have made totally 23 crores . Regularly we make around 9 crores per quarter . This quarter I made additional provi sion of 14 crores . That has come to 23 crores and the overall is 56 crores .

Saket Kapoor: Sir, come again. For this quarter , the impact is higher by 14 crores than the normal provision .

S. Krishnan: Yes, yes, higher by 14 crores in this quarter .

Normal provision we make 9 crores and the total cumulative which I hold today is around 56 crores .

Saket Kapoor: And this 56 crores is for the nine -month FY '23.

S. Krishnan: No, not for FY '23. Overall, it will be flattened for this 9 months I can tell you . 55 crores is during 9 months period. Sorry, 45 crores is during the 9 months period and 11 crores was in the previous year.

Saket Kapoor: And out of this 45 crores , we have done 23 crores in this quarter itself.

S. Krishnan: In this quarter. In this quarter.

Tamilnad Mercantile Bank Limited

January 22 , 202 4

Page 8 of 15

Saket Kapoor: Sir, going ahead, again , we will have the impact for the four th quarter also ? For the 4th quarter also, this will continue , this provisioning of ad -hoc wage revision.

S. Krishnan: Yes, but we are yet to start of the negotia tion of the wage revision. We are not talking to the IBA settlement . Our bank is not talking to that. We have our own settlement. As a proactive, we started making provisions from November 22 itself, in line with what other banks are having. That is a proactive measure. So, we started making a small scale and now we have made additional 14 crores this time as we expect to be in this quarter only I have made . So, it depends on the negotiation. I don't expect that there will be much of one , maybe the next quarter , there will be some requirement.

Saket Kapoor: So, next quarter also, this 9 crores number will be there, sir.

S. Krishnan: Will be there. Will be there.

Saket Kapoor: 9 crores . As you mentioned that you are not agreeing to the IBL A provision percentage. So, what is the differential amount between what they are seeking and what we are provisioning?

S. Krishnan: We have a different wage structure than what the I BA has. We have the fixed variable pay like that to my employees, but we don't want to write it down. So, there is next to one, some old employees have got pay structure similar to what the I BA is having. The employees who are joining after we have that update, they have totally different pay structure. And even for the old employees, we are not party to the I BA settlement. So, we make a separate negotiation, a separate agreement with my own employees' association.

Saket Kapoor: Sir, you spoke about the Q3 and Q4 will be growth numbers as they pick up in the economic activities, and then there will be higher disbursement of the loan. So, taking that aspect into account, where are we, sir, in terms of ending the years with what we were guiding for 15% interest and growth for this financial year when we compare to last year? So, are we in the vicinity of closing the year?

S. Krishnan: Yes, yes. I gave the guidance of 12 to 15%. So, hope that we are still in the vicinity of that. That 12 to 15% of the guidance what I gave, and I hope that we will be able to do that. We will do in that band.

Saket Kapoor: And for the year, sir, what should be our exit rate for our ROA, NIM, and other important parameters?

S. Krishnan: ROA, I gave the guidance of 1.75 to 2, and definitely the guidance, we are not revising. That will continue. And then ROE, you asked about ROE. We gave the guidance of about 15. That will again continue. We will go to that.

Tamilnad Mercantile Bank Limited

January 22, 2024

Page 9 of 15

Moderator: Thank you. The next question is from the line of Vignesh Venkatachalam, who is an individual investor. Please go ahead.

Vignesh Venkatachalam: My question is on the advances. We talked about confidence on RAM sector, and that I can see in the MSME, the year-on-year growth is not that much compared to agriculture. Agriculture has been 25% has been growth in the advances. Is there any particular reason or how we can present in the future quarters?

S. Krishnan: Well, it is not any particular reason. As I was explaining, as far

as the MSME is concerned, the

MSME, I can say that after the COVID itself, the coming up of the MSME is a little slow. I was telling that the MSMEs normally come in large scale when there are new capacities of the large-scale industries. Whenever the new large-scale industries, the capacities come, the mushroom of the MSMEs will be there. And added to that, unfortunately, we had a big hit in the country of COVID, where these people, the MSME are very agile. So, they were affected. So, that coming up also takes time. All these have resulted in the growth also. So, that is the reason. Year-on-year, the MSME growth and added to that another point is that the retailers have started for the GECL and also where the moratoriums were given, all those have started. And we have looked into that slippages are under the control. So, the recoveries when it gets started, the recoveries also contribute to these. That is the reason why the growth is 1.51% only against the agriculture growth of 35%. So, we still focus on that. We also have brought new products for operating the MSME, like in which we create MSME for the MINI LAP, because there are many people who are not able to have proper, this one, small, particularly the micro loan.

Similarly, we have got the GST loan, and very shortly I am going for digitalization. We will be launching GST loan Digital One, where it will be a very ease of convenience for the customers to have the facility. So, these are some of the steps which we have taken. In addition to that, I told in the last meeting also that we have constituted a large MSME hub in different places. It is getting stabilized. I hope that this will contribute to a greater extent in the months to come.

Moderator: Thank you. The next question is from the line of Lakshminarayanan from Tunga Investments. Please go ahead.

Lakshminarayanan: Sir, last call you mentioned that you have implemented a loan processing software and also trying to make some hubs around the MSME disbursement. What has been the progress? How things have panned out on these two things?

S. Krishnan: What we have done is we have finally taken for the retail and also the MSME, the digitization. As far as the retail is concerned, few of the products like the home loan, the vehicle loan, the gold jewelry loan, these all will be made (Inaudible 35:36).

Tamilnad Mercantile Bank Limited

January 22, 2024

Page 10 of 15

Lakshminarayanan: I didn't hear it, sir. Sorry, sir. Your voice wasn't clear, you said gold loan and vehicle loan, then after the jewel.

S. Krishnan: Vehicle loan and also the gold jewel loan.

Lakshminarayanan: You have digitalized.

S. Krishnan: Jewel loan has been automated, so that my TAT can also come down. And simultaneously, we have also engaged with another service provider for digitalizing the MSME stream . And these are in advanced stage. I expect that this will be rolled over very shortly. These are in advanced stage of testing and the audits are going on . I expect that this will be rolled out very shortly where I will be able to have one. Whereas, already said the customers can digitally , sitting at their place of convenience know their eligibility for the loan based on the GST returns, which we call as "Do It Yourself ", and second, they can also apply for the GST loan through the digital mode . The process has been totally automated where it will be able to give in-principle sanction immediately, or otherwise , whatever it is. And the entire process , will be automated, with the proper escalation matrix , wherever required, so that the phygital is also possible. It's not only the auto -digital one. There is also phygital , there is the assisted journey, because the customers of my bank, some of them may be able to have straight through entry in the digital. Some of them may require an assisted journey. So, we are

also providing the assisted journey. These are in the advanced stage. I expect that this will be rolled out very shortly.

Lakshminarayanan: And in terms of creating the hubs for MSME loan processing, I think there have been, last call or so, you mentioned something on that front, sir .

S. Krishnan: We have created the MSME hubs in different locations. These MSME hubs are getting stabilized. We have posted exclusive relationship managers for these hubs. And these hubs are being headed by experienced, seasoned senior -level people, where they can take quick decisions. The whole advantage of this structure is that the sourcing and underwriting is totally segregated. Thereby, I ensure a better underwriting quality . With the digitization or automation, it will be further enhanced. The underwriting process will be further enhanced. That can be brought down because today everything is being done only by the branch. The branch is basically, I see, because my view that the branch should be a delivery channel where they can deliver to the customer. So, the other things ought to be taken care of by the back office. That is the whole purpose why this MSME hub has been brought and is specialized to experience the people who have been posted there. So, these things will lead the results in the months to come.

Lakshminarayanan: I have two more questions. The first question is, in terms of your replacement, we had approached RBI with three different candidates. So, what has been the progress ? There has been some back and forth with RBI, or it will take its own time?

Tamilnad Mercantile Bank Limited
January 22 , 2024

Page 11 of 15

S. Krishnan: Sir, it will take its time because RBI has to , they have their own process of due diligence. It is with RBI . So, we expect that.

Lakshminarayanan: The last question is, when you started the year, you would have had some plans in terms of various things. Which of the areas actually is in your , some of them would have disappointed you in terms of any specific business activities or so. I just want to understand which of the things have done well as per your expectations and which are the ones which have not done well as per your expectations ?

S. Krishnan: See, my expectation was that, basically, I wanted this year that there should be , there are systems procedures, the risk management systems and the control , the compliance are to be enhanced, so that there will be a smooth walk , subsequently. Simultaneously, it was also the digitalization . And we took the business process re-engineering project, which I told earlier also, which will enable me to have a relook on all my processes, the products, and fine -tune them wherever required, which will enable for enhancing the business. So, on the one side, enhancing the business, on the other side, enhancing the control digitalization , both will enable the bank to reach greater heights. I told that what has been achieved is that, yes, both have been achieved to a greater extent. That is what I have to say. Both the control measures and also on the BPR and also the digitalization. So, both have been achieved to a greater extent.

Lakshminarayanan: And on the other side, which are the ones which you thought would do well, it hasn't done well? Any activities or any specific business segments?

S. Krishnan: No, business segments, if you look into it , first, I should say that we are able to do better on the retail segment, definitely, able to bring in amongst my employees about the marketing. That is another great achievement I can see. The sense of, I can say, the rich culture, the compliance culture, the sense of compliance, the favor of compliance, had been brought in. Many things had been done on the IT side on the digitalization . All these are some of the things which had been done to a greater extent.

Moderator: Thank you. The next

question is from the line of Sonal Minh as from Prescient Cap Investment Advisors . Please go ahead.

Sonal Minhas: Sir, my question was with regard to the stressed assets. I just wanted to understand what,

sorry, restructured assets, sorry, and wanted to understand what portion of the restructured assets have been provided for already and anything you wish to speak about in terms of the trajectory of the restructured assets coming down or any NPAs coming off, lagging off from this particular part? Any subjective commentary, objective commentary will be great, sir.

S. Krishnan: See, let me say that the restructured advances totally as on the 31st of December was around 600 crores, 599.17 crores, against 896 crores a year back. So, that is the position. If you look into the NPA, the NPA in the restructured asset is 65 crores, against 92 crores in the year back.

Tamilnad Mercantile Bank Limited

January 22, 2024

Page 12 of 15

If I have the moment of restructured also, what else is slipped in the current quarter out of the restructure is just 3.89 cr of all the slippage.

Sonal Minhas: Sir, can you repeat the last thing? What is slipped, sorry?

S. Krishnan: The slippage, you also asked as to how they are behaving. The slippage in the restructured standard accounts during Q3 is only 3.9 crores. Out of the total restructured book of around 600 crores. So, the slippage is very low.

Sonal Minhas: And sir, how much have we provided for, again, the 600 crores that you speak right now?

S. Krishnan: I will tell you. We have a provision of around 58 crores for this restructured book. Let me also tell that we have additionally over and above all the regulatory provision requirements, we have additional provision of 250 crores kept separately towards any contingency on account of COVID.

Sonal Minhas: Which is not used and it might be used up.

S. Krishnan: It's a part for that.

Sonal Minhas: And sir, I wanted to understand the MSME segment. Others have been asking about this. We have been on calls of your peers as well who do a reasonable bit of MSME lending as well. Just wanted to understand, and this is largely South Indian focus bank, is MSME economy by and large in Karnataka, Andhra, Kerala, Tamil Nadu facing some bit of stress and it is coming out of it, or is it just that the CapEx hasn't happened in them as you were mentioning? Is there any broader macro data that you want to share about the MSME segment by and large across the four or five states that we are talking about here?

S. Krishnan: See, by and large, the MSME segment are picking up after the COVID pandemic. They are picking up. They are in the recovery path. So, I expect that they will be able to come to the normal cycle in the due course of time. They are picking up, in general, for the industry.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor: Sir, when we look at our nine-month performance on a comparative basis, we have grown our interest income in the vicinity of 18 to 19 percent if we compare nine months ending December 22, vis-a-vis nine months ending December 23, and you are guiding for a growth of 12 to 15 percent. So, is there likelihood that for the fourth quarter ending 31st March 2024, we are likely to degrow from what we have been doing for the last three quarters?

S. Krishnan: No. Why this one was my overall advances growth, my overall advances growth, if you look into, today, my advances growth is 10% for the nine-month period year-on-year.

Tamilnad Mercantile Bank Limited

January 22, 2024

Page 13 of 15

Saket Kapoor: 12 percent.

S. Krishnan: Yes. So, that I will grow by 12 to 15% what I said. What you are asking is about the interest income. The interest income is based on the advances.

Saket Kapoor: So, what should be like this growth

number of 18, 20% what we have seen for the nine months, this is likely to continue going ahead also?

S. Krishnan: No, that is why I took it along with the NIM because the interest income and the interest expenses both will be there based on the deposits and advances. So, it will always be better to measure through the NIM instead of the interest income on object number. For NIM, I gave the guidance of about four, which we will be continuing definitely.

Saket Kapoor: Sir, we have also seen that our cost of fund has been increasing with the revision, I think, so for the deposit rates. So, what likely would be the cost of fund going ahead? This quarter also, quarter-on-quarter, it was 11 bps upward, so now far to 5.9. So, what should be the cost of fund going ahead? We are guiding for the NIM to be maintained, then this arbitrage will remain for 4%.

S. Krishnan: Yes. Arbitrage will remain at 4%, as you rightly said. Then we talk of the NIM. If you ask the cost of funds in particular, cost of funds may increase by about 8 to 10 bps in the next quarter, that is Q4.

Saket Kapoor: Sir, going ahead say two, three years down the line, we will be a bank always focused towards

the MSME segment only and having a larger portion of towards the RAM part only or are we trying to increase the pie going ahead with more of digitalization and other things into our forte that we would be able to detect stress in the system and thereby improving the product market also? So, what should likely be the growth journey from here, sir?

S. Krishnan: So, my focus will continue to be on the RAM segment. I will not say that MSME alone. My focus will be on the RAM segment. We continue to be on the RAM segment. And as you are also telling me about the basket, the RAM segment is slightly spread there. There is no concentration. In fact, that is a great advantage for me. That is why we are able to maintain the asset quality. My concentration will continue to be in the RAM segment, but not only on the MSME.

Saket Kapoor: Sir, this quarter I think there is a provision only for Rs. 2 crores. That is a significant reduction for quarter -on-quarter basis also. And year -on-year also, there has been a significant lowering of provision. So, this number is net of our recovery. That is what it should be likely. This 2 crores number?

Tamilnad Mercantile Bank Limited

January 22, 2024

Page 14 of 15

S. Krishnan: Yes. See, 2 crores is the provision which you are referring. This provision is coming after netting of the retrieval of the provision on account of recovery. Right? Now, my additional provision required is only just 2 crores. Last quarter there was a one-off high slippage which warranted a higher provision. That is why the Q2, the provisions were higher and this time it has come down, which has been reflected in the credit costs.

Saket Kapoor: And that number was also 100 crores, I think. So, last quarter the slippage was significantly higher. What is the status on the same, sir, on that account? How many accounts were involved?

S. Krishnan: One big account, one of the participants was asking about the status of that recovery. I told you that all the recovery measures have been initiated be it on capacity, be it on filing of suite, be it on the negotiation also. All these have been invoked. So, the process is there. I expect some recovery to the near future to begin with. So, last quarter the slippage was very high. That is the reason the provisions were also high.

Saket Kapoor: It was in which category, sir? It was in which sector the slippage happened of 100 crores? It was single account.

S. Krishnan: It was single account. It was a single account.

Saket Kapoor: In which sector it was attributed to?

S. Krishnan: Not MSME. In other.

Saket Kapoor: It is in the other segment.

S. Krishnan: Yes.

Saket Kapoor: And we have sufficient coverage. The

last point was that we have sufficient asset backup to that, or will that result in two accounts?

S. Krishnan: We have assets that, in fact, our bank, we always focus on the collateral in addition to the primary securities.

Saket Kapoor: So, there is no threat to the recovery part. Once the process continues going ahead, we can recover from the sale of the collateral?

S. Krishnan: We don't initiate that.

Saket Kapoor: The account will return to normalcy going ahead. That is what the indication is.

S. Krishnan: The indication is that we will be able to recover the amount, but it has its own process.

Tamilnad Mercantile Bank Limited

January 22, 2024

Page 15 of 15

Moderator: Thank you very much. We will take that as the last question. I would now like to hand the conference back to Mr. S. Krishnan, MD and CEO, for closing comments.

S. Krishnan: Thank you for sparing the time. Particularly today, the market has been declared a holiday. It is great that all of you have taken the time to interact. It is always my pleasure to interact with you. Thanks once again. We will also see whether we can have a personal meeting in the near future. I will let you know, and I will be more than happy to meet you all in person. Once again, thank you all.

Moderator: Thank you very much. On behalf of Tamilnad Mercantile Bank Limited, that concludes this conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your call.

Call: Apr 2024

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29.04.2024

The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor, Plot No. C/1,
'G' Block, Bandra - Kurla Complex,
Bandra (East), Mumbai - 400 051. The Manager,
Bombay Stock Exchange limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001.

Ref: Symbol: TMB / Scrip Code: 543596

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call – Q4 Results

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform that the transcript of the earnings conference call hosted by the Bank on the Audited Financial Results of the Bank for the quarter and financial year ended March 31, 2024, has been made available on the Bank's website at the following link:

Transcript of the Earnings Conference Call – Q4 Results

We are also attaching the transcript of the earnings call with this intimation.

Kindly take the information on record.

Yours faithfully,
For Tamilnad Mercantile Bank Limited
Swapnil Yelgaonkar
Compliance Officer
Membership No: ACS 21877
Tamilnad Mercantile Bank Limited

Q4 - FY 2023 -24 Earnings Conference Call - Transcript

April 22, 2024

Management: Mr. S. Krishnan, Managing Director & CEO

Tamilnad Mercantile Bank Limited
April 22, 2024

Page 1 of 14

Moderator: Ladies and gentlemen , good day and welcome to the Tamil nad Mercantile Bank Limited Q4 & FY'24 Earnings Conference Call .

As a reminder, all participant lines will be in the 'listen -only' mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal the operator by pressing “*” then “0” on your touchtone phone. In the interest of time and to give an opportunity to all to ask, we request each participant to ask a maximum of two questions. This conference call may contain forward -looking statements which are based on the beliefs, opinions and expectations of the Bank as of the date of this call.

These statements are not a guarantee of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. S. Krishnan – MD and CEO of Tamil nad Mercantile Bank. Thank you and. Over to you, sir.

S. Krishnan: Thank you. Good evening to one and all. It is a great pleasure for me to be again interacting with you, with the Results of the Bank for the Q4 and also for the financial year -ended March 2024. The Results have been approved by the Board just about a couple of hours back and the detailed presentation has been uploaded on the site of both the stock exchanges and also on the website of the Bank. I'm sure that my friends might have definitely gone through, but still at the cost of repetition, I will give you a brief of the performance in 2024 for the ready information of the participants.

The Bank had registered its highest ever profit of 1,072 crores in '23-24. I would like to recollect that it was '22-23 when the Bank registered a four-digit number and this time we have exceeded that, we have got Rs.1,072 crores. '23-24 also marks a lot of important milestones for the Bank. It is the highest ever interest income and also the highest ever net interest income.

The Bank has crossed the savings Bank portfolio of Rs.10,000 crores in '23-24. So, these are some of the very prime highlights which I have to say and I will also touch upon other points like when I talk on the bottom line, I should also talk of the asset quality of the Bank.

The Gross NPA is at 1.44 as on 31st of March 2024 against 1.69, just three months before that is as on 31st of December 2023. The net NPA was 0.85 in March '24, which was 0.98 in December '23.

The other aspect of this, when I talk of the NPA, I should also touch upon the SMA, which is plausible case of NPA for the future. The SMA was 3.97 percentage as of March 2024 against 6.51 percentage a year back, that is March 2023. The stressed assets ratio has also come down from 3.18 a year back to 2.7 percentage.

Tamilnad Mercantile Bank Limited

April 22, 2024

Page 2 of 14

In the advances, I always say that the Bank is focusing on the RAM segment. The RAM segment of the advances has increased from 87 percentage to 91 percentage as on March 2024, a 400-bps increase.

When I touch upon the shareholders' value, the net worth has increased from 6,928 crores to 7,921 crores. The book value is 500.23 from 437.53 a year back. If I look into the EPS, the EPS I can see almost flat or marginally declined to 67.7 from 68.06, but at this juncture I want to tell that last year the Bank came out with IPO in the month of September, so for the five to six months the number of shares were lower and for the remaining five to six months the number of shares were higher, while it is continuously increased number for the full year.

When I talk of the net interest margin, the net interest margin for the Q4 is 4.24% against 4.08% a quarter back. The Quarter wise NIM if you look into Q1 of '23-24, the NIM was 4%, Q2 was 4.1%, Q3 was 4.08%, that is almost flat and Q4 it has gone to 4.24

%. If I look at it for the year

as a whole, the NIM was 4.46% last year, which has come down to 4.11%. I'd like to again touch upon that we said a NIM of 4% and above will be maintained basically because of the tightness in the money. The cost of deposit has gone up in the entire industry during '23-24 and which had an impact for the bank also. However, if you look into quarter wise, the quarter wise each quarter the NIM is in the increasing trend and Q4 we could reach 4.24%. That is what I have to say.

As far as the capital adequacy ratio is concerned, the CRAR is very, very comfortable with 29.37 percentage as on March '24, CET-1 alone of 27.97 percentage against 26.26 CRAR and CET-1 of 24.61 percentage a year back.

The slippage ratio is 1.36 percentage for the year and for the quarter if I look into the slippage ratio is 0.16 percentage, which is the lowest in the four quarters of the 23-24. The Bank could show good recovery, it could arrest the slippage in Q4 and thus we could be able to maintain the asset quality and as I was telling that, more particularly the SMAs which can be called as stressed one, though it does not account for stressed asset ratio. But basically, they are the one which will indicate the stress and that has come down substantially from 6.51% to 3.97%.

I also have to share with you that the Board of the Bank has recommended a dividend of 100%, that is Rs.10/- per share having a face value of Rs.10/-.

The other point which I have to touch upon is the provision for the salary arrears. Basically, we are not part of the IBA settlement. We have our own settlement with our own employees and the officer's association. The Association has given the charter of demand only in the month of April. But as a good prudence, we have made provision. During Q4 alone, we have made a provision of 28 crores and totally today I have a provision towards the possible salary increase to the extent of around Rs.84 crores. Out of Rs.84 crores 69 crores is made during this year and 15 crores

year and this year we had made 69 crores. So, that is another reason which needs to be factored when we look into profitability.

One more I can say that there was an account which slipped to NPA. Basically, this will have associated with the NPA in the normal IRAC norms. But we decided to classify it as a loss asset though we have the security, the recovery is also visible, maybe within this month itself, it may come, but still we decided to make it as a loss asset and we have provided fully, that again Rs.14 crores hit was there during this quarter. So, these are some of the points which I thought I can tell my friends and I leave the forum open for questions and answers because of the paucity of time. I know the value of time of my friends who have joined here. Thank you very much.

Moderator: We will now begin the question and answer session. The first question is from the line of Lakshmi narayanan from Tunga Investments. Please go ahead.

Lakshminarayanan: A couple of questions. First, in terms of an account that got into NPA in Q2 I think, Just wanted to understand what is the status of that, how we are progressing, that will be very helpful?

S. Krishnan: As far as that is concerned the recovery measures are in full swing. As I said that we are in full swing of the recovery, we could recover around Rs.10.7 crores in that account. The other recovery measures including the SARFAESI and also the legal measures are in this one. So, we expect that the recovery will come in the coming year.

Lakshminarayanan: Because there is a fresh addition of around 309 crores that happened in Q2. So, from that point of view, I mean, how much of those 309 crores you think

will be recovered in the next one year?

S. Krishnan: There was a slippage of Rs.309 crores in Q2 as you observed, but if you look into my recovery and upgradation in Q3 and Q4, it is around Rs.150 crores totally both the quarters put together.

That is what it is and it doesn't mean Rs.300 crores would be total recovery I am talking about.

So each and every account we are targeting so that we will be able to recover.

Lakshminarayanan: The Rs.10 crores which you pointed out, is it pertaining to that 309 crores addition?

S. Krishnan: One of the big accounts is pertaining to that Rs.309 crores addition.

Lakshminarayanan: How many accounts, sir?

S. Krishnan: Number of accounts of Rs.309 crores are as of September quarter. We will give you.

Lakshminarayanan: I just wanted because I remember that there was one account of more than 100 crores. I think you mentioned in the Q2 Call. So, I just wanted to understand from that point of view how much things have been recovered.

Tamilnad Mercantile Bank Limited

April 22, 2024

S. Krishnan: The account is around Rs.165 crores of which about Rs.10.7 Crores has been recovered.

Lakshminarayanan: Another question is that, how do you rate the performance in terms of the asset growth for the Bank? I mean, it seems to be a little underwhelming to what the Bank has always been doing and also underwhelming when compared to the industry growth of the Banks that have actually reported the provisional numbers. What is holding the Bank from growing at least at the credit growth of the economy?

S. Krishnan: Sir, I should say that in '23-24 you are aware that the Bank took a lot of transformational process.

The transformational process is almost completed particularly on the credit side. So, when any institution is in the transformation mode, there will be a lead time to stabilize and to take off. So, as far as the credit is concerned we established 9 MSME hubs against the 12 regions. 2-3 centers will be completed in the first or second month of Q1. These MSME hubs have started yielding their results because we have posted relationship managers who will be able to identify the potential customers, go and have a talk with them, source the application and there will be a centralized processing center which are posted with the specialized people which will ensure my underwriting standards. So, these are some of the steps which was put in place in '23-24, which is getting matured. I could see that the performance is improving. So, in this current year, we expect that it will improve and if we look into the RAM segment, the growth has gone up year-on-year; the RAM has grown by about 11.37%. The growth may be less, but RAM alone has gone by about 11.37 percentage. That indicates that we have consciously released in the others or corporate, otherwise, the growth is 11.37 percentage in RAM alone.

Lakshminarayanan: Does the Bank maintain an aspiration of 12% to 15% growth in terms of assets for the current year or do you want to bring it down to somewhere between 6% to 10%?

S. Krishnan: No, we have the aspiration of around 15%. In fact, my board will be meeting shortly where we will be having a strategy meeting , then I can come and give the detailed guidance to the street. But as of now, I can share that we have the aspiration of around 15%.

Lakshminarayanan: What percentage of your total advances is with the top 20 accounts?

S. Krishnan: I will give you during this call itself , while we take the other questions.

Lakshminarayanan: From a branch opening point of view , last year, we started with a number and then we ended at a particular number in terms of new branch openings. How do you intend to grow for the next one year , what kind of branch growth you expect , and when it will come, whether it will be front loaded in the first two quarters or it is going to be coming

in the last two quarters?

S. Krishnan: See, last year we opened around 22 branches totally and this year we expect a few more that it will be in the first half itself , in fact, I should say that four branches we opened today itself .

There were issues on completion of the premises, the furnishing and other things . So, there was

Tamilnad Mercantile Bank Limited

April 22, 2024

Page 5 of 14

little delay , but those things will now come where I will be able to have in the first half itself . As I said we will be going to the board with the strategy , but I can say that by and large we will be opening around 50 branches .

Moderator: The next question is from the line of Jefferson S who's an individual investor, please go ahead.

Jefferson S : So, actually , my question was on the part of the growth, but I think it was answered, but just I want to make sure what do you mean by transformation process , you mentioned that the Bank was going through a transformation process , so can you give a brief?

S. Krishnan: The Bank took up a Business process re-engineering and to begin with on the MSME credit. So, that was taken up last year , the entire process now we have overhauled I should say. It is as good as having a separate vertical though I cannot call it as a vertical , because we have a mixed one. We have created an independent hub almost in all the areas ; I have 12 regional offices and spread across the country against the 12 , at 9 centers we have created the MSME hubs and these MSME hubs are equipped with well trained credit professionals who will be able to process quickly and have a good underwriting standard. Secondly, we have also posted and also we are also in the process of recruiting a lot of additional relationship managers. The whole idea is going forward each officer will be having a bucket of customers who will be the relationship officers for those customers who will be looking into the need of those customers. These relationship officers , the main job is , they identify, they go and scout, bring the customers and as well as giving the lead I can say but it is not only ending with the lead , they also ensure that their requirements are having looked into in regular periodical intervals . So, I have relationship officers , who have been put in place as a part of the transformation . We also have plans of putting in place the feet -on-street. That is exclusively for the lead generation. So, the feet -on-street will be put in place during the current year and then we also have got the approval for the co -lending. We have not entered into the co -lending, that is also a part of the transformation. The co -lending will be introduced during the current year. As a part of the transformation, we have also introduced few new products in the MSME sector , maybe for the GST , we have the Easy MSME today , we have Mini LAP . All these are part of the transformation process. So, these are now stabilizing. I expect that '24-25 will be a good year with this transformation which we have put in place . The last but not the least is the digitalization. The digitalization is in full swing . To begin with , what we have done is we have now put in place, "do-it-yourself, " which is nothing but the customer will be able to understand, will be able to know by giving minimum information in our website, as to how much he will be eligible. It's kind of in -principle . This is the beginning of the journey. The whole idea is to have end to end digitization , that is till the loan is sanctioned and the amount is credited including the documentation , we want to have the digital journey for which we have entered into with two people, one , Jocata and another is SysArc . Different products are being done by them and hope that that will also be taking shape during this current year.

Jefferson S: You mentioned that we can expect it to stabilize around

FY'25, right? So, when it stabilizes, what can be the ideal growth rate for our Bank going forward?

Tamilnad Mercantile Bank Limited

April 22, 2024

Page 6 of 14

S. Krishnan: I expect that the growth should be around 15% during '24-25. But as I was telling that the

guidance will be given to the street once my strategy reports are cleared by the board, which I will be meeting the board maybe very shortly and then I will give you a clear guidance and I expect that the growth will be around 15%.

Moderator: The next question is from the line of Dhaval from Ambit Capital. Please go ahead.

Dhaval : My first question was recently we had applied to RBI for the approval of the position of MD and CEO and RBI sort of rejected all the three names. So, what happened there and what's the update there?

S. Krishnan: What happened is they have said that they have not found suitable . So, the Bank has already again started the process. So, the committee is on . The nomination and remuneration committee of the board met and the process has been started. Even the public advertisement has been given calling for the applications. So, the process will be carried out and the Bank will be submitting it.

Dhaval: Any particular reasons why they were not found suitable ?

S. Krishnan: No information .

Dhaval: These were the internal candidates or the external candidates ?

S. Krishnan: They were external candidates.

Dhaval: So, my second question is on cost of funds. So, they've seen a decline of 10 basis points sequentially . So, what explains this?

S. Krishnan: The cost of funds has gone up because the cost of deposits has increased. See , in the last year, the entire industry was facing a very tight money constraint, the cost was zooming for every Bank . So, that is why for us also the cost of deposits went up from 4.68 to 5.74. That is the main reason why the cost of funds has also gone up .

Dhaval: No, on sequential basis declined by 10 basis points versus for the sector ?

S. Krishnan: Yes, that is what I was telling while I was giving the brief in the opening remarks . I was telling that if I talk on the quarter, the quarter wise it is good, in Q4, I am able to contain . See, consciously what we did was that we have not gone against the high cost deposits because my position is comfortable , I have excess SLR and if need be I can resort to the borrowings which are low cost for me. My CD ratio was around 80% last year , that is March '24. With that cost of deposits could be contained. The cost of deposits has come down by about 12 bps from 5.88 to 5.74. That is the main reason why the cost of funds has also gone up .

Tamilnad Mercantile Bank Limited
April 22, 2024

Page 7 of 14

5.76. So, going forward, I expect that it will further come down . If I look into the cost of funds for the Q4 , it has come down from 5.9 to 5.79.

Dhaval: Since we are in the transformation journey right now on the asset side, do you see a risk of our franchise weakening on the deposit side because obviously you are not trying to mobilize retail deposits, so some customers might leave the Bank and go to some other Banks which are offering better rates and that might potentially create a risk for us in the medium-term?

S. Krishnan: If I look into the quarter wise, my retail term deposits has increased in the last year by about 3.33 percentage , in five years around 5%, 4.89%. So, the retail deposit is increasing . As far as the rate of interest and migration of the customers to the other Bank is concerned , the ALCO of the Banks meet regularly , factors of market requirement and I have to share with you that keeping that in mind, the Bank has recently come out with a new scheme of TMB 400 days with a interest of 8 percentage. So, we are seized the market conditions and the ALCO of the Bank is very vibrant and factors all these things and as I said the retail term deposits has gone up . If I have to see the percentage of r

etail term deposits as on March '24, it's 83 percentage, which has gone up from 82% in the last year , so 100 bps increase in retail term deposits alone. That means actually consistently, the percentage of the Bulk deposits has come down.

Moderator: The next question is from the line of Aravind R from Sundaram Alternates . Please go ahead.

Aravind R : Quarter-on-quarter, the bulk deposits have grown faster. Any particular reason for it like from 4,300 crore s to close to 6,000 crores? Similarly on the deposits like retail like growth has been very tepid whereas our CASA growth has been healthy . What's our view like in retail term deposits in the next two years or three years? These two are on deposits . And how much more we might have to provide on this employee increments you were talking about Rs.84 crores till now? And as you mentioned on advances, RAM segment is growing at 11 percentage that I understand , but primary part of the growth is driven by agri loans . Why the MSME growth has been very tepid and we were expecting this segment to come back by now, but continuously this segment is not doing as well as what agri segment is able to do. So, I want to understand these things, sir. Thank you.

S. Krishnan: As far as your first question about the bulk deposit is concerned, bulk deposits we take for a short period where the cost is beneficial to me and if I look into the bulk deposits a year back that is March '23, it was 6,021 crore s and it has marginally come down to 5,896 crore s in March

'24. That is one . As far as the employee cost, the salary arrears are concerned , I was telling in the opening remarks that we are not part of the IBA settlement , we have our own settlement and just now they have given the sort of demand. Now what we have provided , even if IBA increases to be factored , that is 17%, which we have . Now the Bank has fully provided that 17% amounting to Rs. 84 crores . We actually provided the entire one. That is why this quarter we decided that let us make further. So, we made 28 crores this quarter alone and making the total provision to 84 crores. So, there is nothing left out. And your third question is on the RAM segment. RAM
Tamilnad Mercantile Bank Limited
April 22, 2024

Page 8 of 14

segment has grown by about 11%, as you observed, but you were asking about the MSME. The MSME growth looks as 2%. But let me also say that there are some customers who are MSME, but they have not availed as MSME for whatever reason. So, if I factor that notionally, the growth from 2% it goes to 5% . and this time I should say that as far as the performance is concerned in MSME, we had reclassified a small amount based on the data purification exercise we are doing and you know that the G ECL when we gave for the COVID, the repayments have started and my performance is good as the delinquencies are less. So, the repayments in the case of the se loans alone were around 2,000 crores during this '23-24. So, you can understand that that means I have grown over that repayment. These repayments the G ECL and deferment of the repayment in the COVID period, all those we have started and this also has resulted in the reduced growth . These are the reasons. Otherwise, the focus is on as I was telling that we have completed the transformation , the hubs have started stabilizing and the performance is expected to be better one in this year.

Aravind R: Any group guidance on overall ? On agri loans , is it predominantly like secured gold loans and kind of loans or is it something else also in agri loans?

S. Krishnan: Secured gold loan.

Aravind R: Any data you can give on yields and average ticket size in these loans? You can give like for other segments too , that would be helpful ?

S. Krishnan: My average yield in the retail is 9.55 percentage , agriculture is 9.17 percentage, MSME is 11.41 and other category is 10.38

and the overall yields is 10.15 percentage for the year.

Aravind R: Ticket size, sir?

S. Krishnan: Gold loan is around 1 lakh.

Moderator: The next question is from the line of Saket Kapoor from Kapoor and Company. Please go ahead.

Saket Kapoor: When you mentioned about the employee cost impact of Rs.84 crores , when we look at your annual increase, that translates into Rs.68 crores impact. So, if you could explain once again how this Rs.84 crores got factored , sir?

S. Krishnan: I said so far for my employee's salary revision , I have built a provision of Rs.84 crores. Out of Rs.84 crores , I also said that last year we did about Rs.15 crores and this year we have done around Rs.68-to-69 crores, thus making it as Rs.84 crores . I hope that it clarifies your doubt .

Saket Kapoor: So, there is further provision required even if -

Tamilnad Mercantile Bank Limited

April 22, 2024

Page 9 of 14

S. Krishnan: That's why I said, if I take even the IBA settlement , we have a separate one, even if I factor that, this amount of Rs.84 crores satisfies that increase up to March '24.

Saket Kapoor: So, there are no arrears due also, no provision required , we are up to the mark as per the industry standards , that is what you are telling ?

S. Krishnan: No provision is required as per the industry settlement.

Saket Kapoor: Sir, when we look at your other operating expenses, that has also gone up from Rs.158 crores to Rs.175 crores on a Q oQ basis. What explains this increase, sir? Next question in continuation , you spoke about the transformation journey for the Bank for which I think the building blocks are in place. So , if you could give us some more color with this transition phase getting implemented, how are the financials going to look or the improvement in financials going to look going ahead in terms of our NIM s and ROA and also going ahead, what is the trajectory for ROA and NIM s for the current financial year?

S. Krishnan: See, I told that the detailed guidance on all the parameters will be given to the street maybe very shortly when I go for the board meeting and expecting for the strategy meeting . The board will be deliberating and we'll be able to give. But I can give you this one that growth is expected to be around 15% and ROA is expected to be around 1.8-2 and the NIM should be 4 plus. That is

what the guidance initially I can give.

Saket Kapoor: But we have extended ROA at 1.7 for this quarter. It should be slightly higher.

S. Krishnan: That's what I'm telling this conservative one. We have reached ROA of 1.84 for 23-24. So, we will be around 1.9 to 2 in the next year.

Saket Kapoor: Sir, if you could give us some color on how the business pipeline is looking currently, what is the loan bid pipeline which is expected to crystallize going ahead and what was our disbursal number or the growth in disbursal for this fourth quarter, sir?

S. Krishnan: See, as far as the pipeline is concerned, I was telling you that we basically are on the small ticket loans, unlike big corporates where I can say that I have in the pipeline of around 5,000, 6,000 crores. These are all small loans. But going by that trend by which I'm doing, I expect that in '24-25 we will have a growth of around 15% and the focus will continue to be in RAM.

Moderator: The next question is from the line of Sonal Minhas from Prescient Capital Investment Advisors. Please go ahead.

Sonal Minhas: So, I had two questions. One was regarding the disclosure and I think a few of us here will be analyzing the company for a while, been struggling with -

Tamilnad Mercantile Bank Limited

April 22, 2024

Page 10 of 14

S. Krishnan: Can you repeat? Your voice is breaking.

Sonal Minhas: I was talking about disclosures, sir. There is this head of others in both the loan book as well as the NPA, which brings us surprises both in terms of provision and i

n terms of entry into the

GNP A schedule. So, I wanted to understand like if you could be a little bit more granular about like disclosure of this particular head, which we speak right now, our NPA is in this category is around 284 crores on a book of 3,500 crores. So, what are these accounts, what are the top five accounts, nature of the sectors in this particular sector, if you could explain that, maybe not now, maybe later, that's something because this is a lumpy number and I think more disclosure around this is something which maybe will give some more comfort to the street because this number has been growing pretty dramatically if I may just say that way. So, over to you for your comments on this one actually.

S. Krishnan: These others which you are referring as 284 crores which has gone up from 244 crores a year back, are you referring to that?

Sonal Minhas: Yes, sir.

S. Krishnan: See, these are basically, we can call it as corporate, not MSME. In fact, in Q2 we had a huge slippage. Before you in the beginning one of our friends were referring to that, I also said that one big account of around 160 crores was there. So, that is the major addition there. So, that is what it is one account is contributing Rs.165 Crore out of the Rs.284 Crore. Recovery measures are in that account. These are basically, one of the manufacturing units, but not like MSME. That is why we have put it as others.

Sonal Minhas: This is a growing number. I think the next question which is linked to this one is that if you could also maybe split the 3,500 crore loan book which is attributable to this other corporate category, who are these, are these stores, are these manufacturing, some nature of the granularity there so that we understand because a large part of what is the overhang here essentially is in these two categories? So, if you consider comparing this to other Banks, who also disclose if they are turning around and if they are moving from let's say Category -X to Category -Y which is also in your case you're moving more and more towards RAM. More disclosure around the outstanding book on the others is something which will give us some comfort as to where are we sitting on these because 60 crores addition and then I think thereafter addition of 160 crores between two quarters is something which is kind of lumpy to understand.

S. Krishnan: We will give such a detailed disclosure in future. We have noted your point. We will give much more granular disclosure.

Sonal Minhas: The second question is a little subjective. Just trying to understand as you are putting your systems in place, putting your IT infrastructure, putting the manpower, putting everything in place, like what are the two, three areas where you still think a lot of work is pending in terms

Tamilnad Mercantile Bank Limited

April 22, 2024

Page 11 of 14

of how you are overseeing the Bank and how would you want to fix them in the next year or two basically? So, I'm talking like more key risks you see in the business, key risks you see more from an operational perspective in the business. So, if you could just subjectively cover two,

three points which are key to do's for you and the senior leadership for the next year essentially and thereafter ?

S. Krishnan: If you ask me, I will say that where I have to do further on the completion is on the digitization front . As I said, the work has started , we just started now as a 'do-it-yourself ' which gives a n in-principle approval. But we have a long way to go. The whole idea is to have digitization. So, that is the one which we are taking up. Second is as far as the structure is concerned, we have created the hubs and we have also put in place like relationship m anager s. But we are also in the process of having a feet-on-street for sourcing it . So, that will take place this year. So, these are the few poin

ts which will be on the top of my agenda for the year '24-25. So, that if I do this probably, I will b e able to complete th e transformation process and we will be able to reap the fruits of that.

Sonal Minhas: Just to nudge you a little like you are fairly confident about how the lending book on the RAM segment is coming out in terms of how the quality of that book is in terms of your team's assessment of that book more on a day -to-day basis, do you think those systems are in place and those also need to be a little bit more mature for you to be comfortable around those ?

S. Krishnan: As far as that is conce rned, my SMA book in fact has behaved very well. As I said from 6.51 Percentage or so , we have come down to 3.97 percentage in the last year. So, that clearly indicates that the behavior is very good . And regarding the sector wise if I look into the MSMEs , I'm able to con tain the slippages and my SMA book if I say sector wise, MSME is 1. 67 percentage as o n March '24, which was 2.46 percentage a year back. So, this clearly indicates that the book is behaving well. We are able to improve the quality of the book. So, we will be able to have better asset quality is what we expect in the coming years.

Moderator: Next question is from Ar avind R from Sundaram Alternates . Please go ahead.

Aravind R : I would like to know the mix of repo, MCLR and fixed rate loans. Will the corporate book continue to degrow? And you were mentioning about centralized processing center for MSMEs . Do we have like central ized processing center for all the segments or like the underwriting is done at the b ranch level?

S. Krishnan: As far as the mix of repo and MCLR is concerned, it is around 50 :48 percentage like that , so I can say 50 :50 percentage . My fixed rate is miniscule as good as I can say it Nil, very, very miniscule portion . Regarding the underwriting , as I said that we are centralizing , centralizing in the sense, legalize, we have the hub , to begin with we have started for the MSMEs. So, the MSME s to begin with again any transformation has to be in a graduated manner so that the process gets out successfully. So, what we did was to begin with, all the new proposals and all
Tamilnad Mercantile Bank Limited
April 22, 2024

Page 12 of 14

the enhancement will be done only by the centralized unit. The renewals will be carried out at the branch. Going forward, once this stabilizes, the renewals also will be shifted to the centralized center . So, this will be the first step when we are focusing on the MSME . Subsequently, we have plans to bring such a process for other sectors al so like retail so that underwriting standard can be ensured. This is the idea what we have.

Aravind R: Will the corporate book continue to degr ow?

S. Krishnan: Corporate book, it is not that it will continue to d egrow. We will be very selective as I have bee n telling always that the Bank is focusing only on the MSME . So, it is not that we will be focusing for degrowth . We will be very, very selective , if I have a good one, we will be taking up .

Aravind R: And on Mini LAP , what would be the ticket size, I mean like how would be different from MSME?

S. Krishnan: It is basically a LAP loan. but LAP s we ha d a minimum ticket size. So, in the Mini LAP we have reduced that . I will request my GM (Credit) to give a brief on Mini LAP.

General Manager (Credit) : The ticket size is up to 25 lakhs . There is a collaterals requirement of around 12 5%. Rate of interest is between 9.5% to 11%

Aravind R : Can you please repeat? Sorry.

General Manager (Credit) : Now the Mini LAP schem e intended for small traders and businessmen. The ticket size is up to 25 lakhs. The security will be in the form of landed properties with a coverage of 125%. The loans are generally repayable up to five years and it is given to all sorts of business men, all proprietorship, partnership or c

ompanies, all businessmen we are giving .

S. Krishnan: M/s.Lakshmi narayanan , from Tunga, y ou had asked about the top 20 borrowers' exposure . It is around 3 ,300 crores .

Moderator: The next question is from Saket Kapoor from Kapoor and Company. Please go ahead.

Saket Kapoor : I got disconnected unfortunately and you were explaining me firstly about the other expenses

going up sequentially. So, beg your pardon if you have already answered it. For the sake of repetition, if you could just give an understanding on what led to the increase in other operating expenses on a QoQ basis?

S. Krishnan: My CFO is here. He will give the clarification.

P.A. Krishnan: This is I think on the quarter-on-quarter, the recent December and March, there is an increase of Rs.39 crores in the total operating expenses, of which 22 crores is towards the employee cost, Tamilnad Mercantile Bank Limited
April 22, 2024

Page 13 of 14

the balance will be around 17 crores. That is, we had some professional charges and then software license renewal fee, UPI operation charges, etc.,

Saket Kapoor: Is it on a recurring basis or a one-time cost, what should we look at going ahead?

P.A. Krishnan: Professional charges will be one-time.

S. Krishnan: License also it will be a yearly condition that came on the Q4. That is why when you compare the sequential quarter, there is an increase.

Saket Kapoor: You were explaining about the business pipeline and the growth in the net interest margin that we can expect for the coming year, if you could give us some more color on the same on the disbursement pipeline the type of indications you have currently in your hand?

S. Krishnan: See, I told that we are going to have a strategy meeting of the board wherein the budget should be deliberated by the board and it will be approved by them. Then I will be able to give you a detailed guidance on each of the parameters for the current year. And definitely I will be interacting with all of you, it will be my pleasure to interact with you and give guidance on all the parameters. Pending the same, I feel that my growth is expected to be around 15% as far as this is concerned. That is what I said. Other things, I'll be able to share with you once my strategy meeting is over.

Saket Kapoor: So, when is that board meeting scheduled so we can keep the questions pending for the time being and we will be interacting when?

S. Krishnan: I expect in the next month itself. I will interact with you.

Saket Kapoor: Going ahead, sir, how are the cost of funds likely to shape up? I think the bond yields have again hardened over the last fortnight. So, what would be the impact currently on our treasury book and also how are the cost of funds likely to shape going ahead?

S. Krishnan: Going ahead, I expect my cost of funds will be flat. So, we have to wait and watch, how the bond market behaves. But as of now, my expectation is that we will be having a flat in that.

Saket Kapoor: Sir, how are we using technology or the use of AI for early detection of stress in our loan book?

To put things into order when we look at the market capitalization of our Bank or in comparison to the growth scheme in other Banks, what are the factors that are acting as an impediment or the deterrent to the increase in the market cap going ahead? We have been liberal in our dividend distribution and you have been interacting to investors on a regular basis. So, where are the loopholes? And why are we not able to convince your investors, so that we could have a consistent growth also creating shareholder value, what are the impediments to that sir?

Tamilnad Mercantile Bank Limited

April 22, 2024

Page 14 of 14

S. Krishnan: As far as the technology is concerned, the Bank has been taking every step to take advantage of the technology and also use all the latest tools which are available. Of course,

having said, I

should also say that we are yet to go into that AI. But we have been deliberating on various technology advancements. Definitely, this will also be the update for deliberations and discussions in the coming period. As far as the market capitalization is concerned, I should say that we are a very new entrant for the market, about a year old for the market. I hope that over a period of time we'll be able to have good market capitalization. As you also acknowledge that, we always keep in mind of regarding the investors, dividends are continuously given.

Saket Kapoor: We will wait for your next board meeting announcement wherein we would be getting more broader picture on what's the way ahead for the Bank, sir. That is more important to derive to a valuation, we know what path you are going to glide going ahead.

S. Krishnan: As I said, my growth is expected to be around 15%.

Moderator: That was the last question. I would now like to hand the conference back to Mr. S. Krishnan for closing comments.

S. Krishnan: My sincere thanks to all my friends who participated in this conference call and it is always been a pleasure for me to interact with you and we will be interacting with you all very frequently.

Thanks for your valuable time and having the interactions and the details whatever we have given and if anything is required , anyone of you can get in touch with my CFO and we'll be glad to give further details . Once again thank you very much.

Moderator: On behalf of Tamil nad Mercantile Bank , that concludes this conferen ce. Thank you for joining us, ladies and gentlemen. You may now disconnect the lines.

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Call: Nov 2024

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Ref.No.TMB.SE. 138/2024-25

04.11.2024

The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor, Plot No. C/1,
'G' Block, Bandra - Kurla Complex,
Bandra (East), Mumbai - 400 051. The Manager,
Bombay Stock Exchange limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001.

Ref: Symbol: TMB / Scrip Code: 543596

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call – Q2 Results

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform that the transcript of the earnings conference call hosted by the Bank on the Unaudited Financial Results of the Bank for the quarter and half year ended September 30, 2024, has been made available on the Bank's website at the following link:

Transcript of the Earnings Conference Call – Q2 Results

We are also attaching the transcript of the earnings call with this intimation.

Kindly take the information on record.

Yours faithfully,
For Tamilnad Mercantile Bank Limited
Swapnil Yelgaonkar
Compliance Officer
Membership No: ACS 21877
Tamilnad Mercantile Bank Limited

Q2 - FY 2024-25 Earnings Conference Call - Transcript

October 29, 2024

Management: Mr. Salee S Nair, Managing Director & CEO
Mr. Vincent Menachery Devassy, Executive Director
Mr. P.A.Krishnan, Chief Financial Officer

Tamilnad Mercantile Bank Limited
October 29, 2024

Page 1 of 20

Moderator: Ladies and gentlemen, good day and welcome to Tamilnad Mercantile Bank Q2 and H1 FY25 Earnings Conference Call. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nair, Managing Director of TMB. Thank you and over to you, sir.

Salee Narayan: Thank you. Thank you very much for this opportunity. Of course, we announced the results, the quarter results yesterday for the September quarter of 2024 and we have delivered the highest ever net profit ever in the bank's history of INR303 + crores and this is riding on a net interest income of INR596 crores, interest income of INR1,337 crores and a total income again high of INR1565 crores.

To state some of the highlights for the quarter on a year-on-year basis, the operating profit has improved from INR365 crores to INR465 crores. It's a growth of 27.40%. A net profit, as I just mentioned, it is INR303 crores and this is up 10.58% from INR274 crores in the previous quarter, in September quarter FY24. The net interest margin has increased to 4.25%, an increase of 15 basis points from 4.10%.

The non-interest income has improved to INR227 crores from INR156 crores. It's an increase of 45.51%. The gross NPA, a benchmark of how we do the credit and writing, has decreased to 1.37% from 1.70%. That is an improvement of 33 basis points. The net NPA has decreased to 0.46% from 0.99% earlier. That's an improvement of 53 basis points. Net NPA, in fact, has more than halved.

The PCR, the on-book PCR, the provisional coverage ratio has increased to 66.40% from 41.96%, almost a 25% increase. The SMA to gross advances, when I talk of SMA, it is a default to one day, has reduced to 4.16% from 5.59%. So it is not just the gross NPA that has reduced, even the SMA component in the gross advances has reduced. And this has come down to 143 basis points.

So the result of all this is that the return on asset has improved to 1.94% from 1.89%. The capital adequacy has therefore increased to 29.59% from 26.04%. That's a three and a half percentage increase from the previous year.

Book value of share has increased to INR532 crores from INR466 crores. That is INR532 crores from INR466 crores. On the growth front, on the business front, the total business has gone up from INR85,092 crores to INR91,875 crores as of 30.09.2024.

Tamilnad Mercantile Bank Limited
October 29, 2024

Page 2 of 20

The total advances have moved up from INR37,778 Crores to INR42,533 Crores. And within the advances, the RAM segment has moved up to INR39,277 crores. And on the deposit front, the total deposits have moved up from INR47,314 crores to INR49,342 crores.

And within that, the CASA segment has moved up from INR13,172 crores to INR13,873 crores. Now, when I get to some of the other numbers, the EPS, earning per share has moved up from INR17.27 crores to INR19.15 crores. The other ratios, when I look at the other ratios, I just mentioned the capital adequacy, this has moved up to 29.59%. The return on equity is at 14.83%, flat at 14.83. But the NIM, as I mentioned earlier, has moved up from 4.10 to 4.25. And on a quarter-on-quarter basis, has moved up from 4.12% to 4.25%.

The credit cost, another parameter of how credit is administered, has moved down from 0.85% year-on-year to 0.55%. Even sequentially quarter-on-quarter, it has moved down from 0.89% to 0.55%. The cost of funds for the bank has been impacted, and it has gone up 13 basis points from 5.79% to 5.92%. And this is also true not only of sequentially, but it is also true quarter-

on-quarter, where it has gone up 13 basis points.

But it has been more than offset by the e-loan advances, which has gone up year-on-year from 10.19% to 10.47%. Even sequentially, from quarter-on-quarter, it has moved up from 10.22% to 10.47%. Moving to the end, to give some color on the NPA, the significant, we have the NPA's mix at retail at INR32 crores, I don't have the percentage here, right? Agri 48, MS ME, which has been worrying the bank, has been contained at INR274 crores.

It has been tackled progressively, and you can see the progress on that in the coming quarters. And the slippage ratio, quarter-on-quarter, it has come down from 0.84% to 16 basis points. The total slippage across all segments was INR63 crores for the quarter.

And it is flat when you look at it, almost flat when you look at it on a quarter-on-quarter basis. The movement of NPA, as I just mentioned, there was a reduction in the NPA of INR66 crores, and the slippage was INR63 crores, with the result that the overall NPA has reduced from INR587 crores to INR584 crores for the system. That's where I say not only in terms of percentage, which largely is a function of the denominator and the expansion of the advances portfolio, even in absolute terms, we have reduced the NPA number, which has gone down, as I just mentioned, from INR587 crores to INR584 crores.

SMA is well contained, even SMA2 is just at 1.15%. As I mentioned earlier, the entire SMA portfolio from default one day is contained at 4.16%. So the entire portfolio, which is in the SMA or NPA category, is just about 5 ½% of the entire advances book.

So I think that points to the credit quality that is being maintained by the Tamilnad Mercantile

Page 3 of 20

from 3.23% to 2.42%. It is an addition of the restructured asset advances, as well as the gross NPA. So there also you see that it is almost a percent that has been knocked off.

Moderator: Sir, should we start the question -and-answer session?

Salee Nair: Do you want to add something? I think I'll leave it to Vincent to say first.

Vincent : Good morning, everyone. MD and CEO have mentioned about the highlights of the performance and the all -round improvements, which the bank has made on all areas of efficiency and profitability and also asset quality. One or two more points which I would like to mention.

MD has clearly mentioned about the SMA, what is the SMA and NPA put together and what is the stress to the portfolio overall. And if we look at the sector -wise SMA position, I would like, I am happy to mention that while our NPA in others is now at the highest 274, but if I look at the SMA, it is only 0.21% of the advances only SMA category, SMA 0, 1 and 2 put together in others. In MSME also, we were able to contain in a big way.

We had a SMA position of 2.19 during Q1 '24 -'25, which has come down to 1.78, again showing a very strong position as far as the asset management is concerned. And in Agri, I am really happy to mention that our stress ed SMA 0, 1 and 2 is only 0.27 of the portfolio. And in Retail, it's only 1 .91. So overall, the asset quality management, I would say that it is well under control. We have built a very strong advances book, and the stress level is very less going forward, going to be very less going forward. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Anil from Contrarian Value Edge. Please go ahead.

Anil: Yes, thank you for the opportunity. My first question is we are very strong presence in Tamil Nadu. So, what are the strategic plans for expanding further within southern India and potentially other regions?

Salee Nair: Yes, thank you, Anil. I think what we are, we have a pl

an to open 40 branches in all in the current

year. We have already opened 15 of them. Four have been opened outside the state of Tamil Nadu and 11 have been opened within Tamil Nadu. We have been also facing a challenge of sourcing resources from outside Tamil Nadu to open branches there. Essentially, we need a local connect to make a branch a success and get, you know, get the business.

So, what we are addressing is we are taking 170 new officers from the market essentially from outside Tamil Nadu to ensure that our branch presence outside is strengthened. And, you know, some of the branches we'll be opening in the remaining part of the current year would be outside Tamil Nadu and will also ride on the kind of numbers we get from outside Tamil Nadu. The 170 numbers I just mentioned would be aimed at opening new branches outside.

Tamilnad Mercantile Bank Limited

October 29, 2024

Page 4 of 20

So, then the mix of outside branches and within Tamil Nadu branches is something that the pay will depend on the space at which their branch opens. But ultimately, our game plan is very clear that we would be looking at a significant presence outside the state of Tamil Nadu. And the first step in that is hiring, you know, resources from outside , from the market and the number of 170 is the initial intake I just mentioned.

Anil: Thank you, sir. And the second question is, apart from the existing products, do we plan to launch any new products? Like in the past, we mentioned about affordable housing and gold. So, what are our plans for the new products?

Salee Nair: No, as much as the new products, we are also looking at entering new areas, right . We will be refining the products as we go. The existing products will be sort of refined further to suit the market. That's certainly on.

We are also looking at, putting an offering of the recurring deposit in some fashion in that deposit side. But as much as that, we are also looking at entering new areas, as I just mentioned earlier.

We are seriously looking at the NRI clientele, NRI customers. And we are looking to open a global NRI center in Cochin. I think that we will try and open within the next two quarters, aimed essentially at the NRI clientele in the West Asia, in Singapore, in Malaysia, and in the world over. Currently, I think our deposit is, the NRI deposit segment is contributing just about 4%. And this is something through opening of this, we expect to ramp it up to over 10%. We are also looking at a transaction business group. Again, looking at, current accounts and looking at,

you know, the entire gamut of operating accounts of the business community, including, some of the institutions, temples, societies, governments.

And we would be ramping up our presence in the market by hiring feet on street. And this is something, again, we will have it ready over the next two quarters. And the current account and cash management products, you know, past mission, the whole gamut of that would be looked at by this transaction business group.

And I'm sure that is going to, that will bring Tamilnad Mercantile Bank back into the business community. And as you know that the current account is the trigger point for actually launching some of these customers into the credit area where we gain confidence in giving them credit. So apart from that, on the credit side, also, we have looked at, a couple of major offerings are coming on. We are introducing our TMB GST scheme, which is an overdraft facility based on the GST data analysis that we will do. This is going to be online.

Apart from that, we are also introducing a Mini LAP entirely online, except for that, segment where the physical analysis of our physical requirement of having the mortgage done. And hopefully, I think this Mini LAP, we intend to deliver in three to four days. And the 'In-principle sanction' would be delivered in a matter of hours.

Tamilnad Mercantile Bank Limited
October 29, 2024

Page 5 of 20

Apart from that, some of the deficiencies that we have noticed in our services, we are addressing them. Especially, we have just got our approval, and we have integrated the GST. GST payment has been integrated with, for our, with our system. We are into the CBDT area, and the customs, I think, over the next two quarters, we will be on their platform.

Along with this, we are also having a serious look at our internet banking and mobile banking and to address, to enhance the effectiveness of this, and to not only compare, to benchmark them not only against the market, we are also seeing, as a late mover, can be even better, the products in the, as compared to the peers in the market. Yes, Anil, thank you.

Anil: Yes, so one last question. Our NIMs and ROAs are highest among our peers, so is it sustainable, and what are we doing that it remains sustainable?

Salée Nair: NIMS at 4.25, I, I think, as the business expands, some contraction is, I think it would, is inevitable, but we will try and, protect or try and defend the 4% NIMs. What was the next one?

Anil: Our Return on Assets are only 1.8, 1.9, again, is the highest?

Salée Nair: Return on Asset, again, we would be looking at, in the range of 1.75 to 1.80 or maybe within that 1.75 to 2, certainly 1.75 will be defended.

Anil: Thank you, sir. Thank you, and all the best for all very detailed answers. Thank you so much.

Moderator: Thank you. The next question is from the line of Vinith Jain from Siddhi Capital. Please go ahead.

Vinith Jain: Am I audible, sir?

Moderator: Yes, sir, you're audible.

Vinith Jain: My first question is, you, we have opened 15 branches in the half year. So do you think are we on track to completely open up 40 branches by the end of this financial year?

Salée Nair: No, like I said we held back opening up the branches because our desire was to sort of improve our presence abroad and we also had a resource challenge. So the branches would be opened because as I said earlier to a question from Anil that we are sourcing 170 new offices from the market, precisely for augmenting our resources with the intention of opening branches. So in the second half, opening 25 branches is something that we will focus on, and I see no reason why we will not be able to accomplish that.

Vinith Jain: Okay. So in the past, the bank has mentioned about centralized stream for MSME disbursements and increased focus on the segment. Whereas when we look at the numbers, most of the growth is

Tamilnad Mercantile Bank Limited
October 29, 2024

Page 6 of 20

visible in the agri segment. Can you please explain your strategy towards disbursements within the three segments, retail, MSME and agri?

Salée Nair: Okay. So what we are also now looking at, yes, we set up a few centralized MSME hubs and what we are now looking at is a bit of a course correction. We are elevating that MSME hubs into credit management centers and moving the credit itself out of the branches so that the branches can focus more on in the deposit center and the deposit franchise. In the credit management centers, one of the issues that we have is the skill set and that's something that we

will seriously focus on.

We are also looking at layering the relationship managers with senior relationship managers, either internally or source on the outside of high quality, high skilled persons who will be looking at the larger value loans and others will be looking at the smaller value. I think this is a lesson that we are the feedback we are getting, and the architecture will be strengthened based on that. Along with that, the credit management center would not only look at the MSME piece, but it will also look at the retail piece per se.

So if you look at the agri, the growth in agri has come largely from the agri gold loans. So to push the retail and to push the

the MSME, we are creating these credit management centers and I hope in the next two quarters this will be up and running. And this will be specialized set up with shared services and with feet on street and adequately staffed with skilled people and I'm hoping for a significant growth in the credit area, particularly in these two segments going forward. We hope to close the year with a 13% growth in advances per se and I think we are looking to grow at least 15% in the coming year. I'm saying that additional growth is going to be contributed by MSME and retail segments.

Vinith Jain: So coming to the next question, you have already mentioned about the IT upgrade which you guys have been looking at. Certainly, the bank is lacking at the net banking interface and also the linkage with CBDT has been a very long-awaited facility from you. So is there a timeline where you can tell that your net banking experience will upgrade for the customers and when can you have the CBDT linkage for that direct payment of taxes, direct taxes, I would say?

Salee Nair: Our desire and the focus would be to have the revised internet and digital offering in place by the first quarter of next year. As I said, the GST has already been integrated. CBDT is going to be done. A CBDT would happen over the next 10 days. Your customs, I think could take a little more time, but the internet and the digital offering would be in place by the first quarter of next year. IT is not an overnight job. It takes time to study the gaps to look at what the other peer banks are offering, how do we offer them or perhaps better them. So I think the job is on. Incidentally let me also tell you that we are taking, we are augmenting our IT resources.

Tamilnad Mercantile Bank Limited
October 29, 2024

Page 7 of 20

Again, we are taking about 47 IT personnel from the market and that also would be necessary for augmenting our IT offerings.

Vinith Jain: So how much on the opex do we expect to increase on the cost?

Salee Nair: The opex you have a number on that. I think we'll be spending INR100 crores at least on the capex side and INR100 crores on the maintaining net. And this, of course, going forward, this will not be etched in stone. I think we will look at whatever is required to match up to the market in the IT space.

Vinith Jain: And the last question, with the CD ratio about 86%, are you looking to raise funds through other channels to fuel the growth?

Salee Nair: We would be looking at, in fact, in the initial phase because we are still comfortable on the funding. We do have an excess SLR already available to fund growth for some more time, at least for the current year. We would certainly be looking at some of the refinance opportunities from SIDBI, NABARD, NHB, etc that is initially available. We will certainly be looking at. Other forms of funding, we will not be looking at in the current year, but we will be laying the path for that in the current year, and we'll be seriously looking at it next year.

Meanwhile, like I said we are also looking at how our deposit franchise is strengthened and how the deposit engine fires. I think that's something we are on the job on a day-to-day basis here to see that it moves up. We'll be looking at some of the - like I said, certificate of deposits, etc perhaps IBPCs, Interbank Participant Certificates, deposit, etc, looking at the need and like I said, not this year, but perhaps next year. And we'd also look at some whether we can raise some of the resources through securitization piece. That again, is not something that we'll be considering this year, but everything will be on the table from next year.

Vinith Jain: So one last bit on any update on the last corporate account.

Moderator: Sorry to interrupt you I would request you to please rejoin the queue for your follow-up question. Thank you. The next question is from the line of Lakshmi Narayan

from Tunga Investments.

Please go ahead.

Lakshmi Narayanan: Thank you. I have a few questions. First is from your retail book, the average ticket size seems to be around INR6 lakhs or something and I also understand that most of our loans are to home loans and LAP, as well as there's also a bit of loan against shares, I mean, loan against deposits, etc. So just want to understand what segment we are lending in what's the kind of product depth

we have in retail?

And if our average ticket size is just around INR6 lakhs or so, what kind of home loans we are doing and how do you intend to increase this retail? I'm asking this specifically because both
Tamilnad Mercantile Bank Limited
October 29, 2024

Page 8 of 20

you and the ED have come from an eminent bank, which is into - which actually really expanded in retail. So what are your learnings and what do you want to do in this bank? That's the second part of the question.

Salee Nair: Retail book, I don't know from where you got the 6 lakhs ticket sizes, is that right?

Vincent Devassy: 6 lakhs includes the entire portfolio, which also includes our jewel loan. So if we add jewel loan and add all retail, and if we divide the total outstanding by total number of accounts, of course there'll be 6, but that will give us a completely misleading picture. If I remove my gold loan from the overall portfolio, if I take only housing loan, it is in the range of 25 to 30 lakhs. And we are mostly focusing on Tier 2, Tier 3 centers, and our home loan penetration in Tier 1 is less, and that is the reason why it is roughly in the range of 25 lakhs.

Salee Nair: And one more thing I'll tell you, we are conscious of the fact that servicing small loans entails an HR cost. So we would also be looking at how do we improve the ticket size across all segments. Of course, jewel loan is something separate because it is need-based, and we're not prescribing any kind of value proposition there. But others, we will be seriously looking at how we can tap a higher segment. That is going forward.

And as to your next question, having come from SBI, both of us, rather. I think I'm happy that you realize that we have come from SBI. I think we would be certainly looking at modernizing the bank. I think there's something I've been telling to my guys also, how do we convert a 103-year-old bank into a 103-year young bank?

And I think that requires reinventing the bank itself and modernizing the bank. I think that's a job. I will see the results of it over the next 2, 3 quarters. It requires a serious infusion of technology, automation of processes, and how do we increase the productivity of the staff by reducing the cost of dealing both by the customer with the bank and dealing with internally, how do we increase the productivity by reducing the cost of operations itself? I think that's a serious effort that we are engaged in. I think it will take a while for the results to be seen.

We are on several projects that are on the drawing board towards this in the technology sphere.

And I think some of the impact would be seen maybe in the second quarter of next year. It's something that you will have to bear with us. You'll have to be a little more patient. But like I said, we have seen numbers that are significantly larger, 50, 60 -- 50 to 100 times the size of this bank. And we will see that experience is brought to bear on this bank and the growth numbers is something that we will push going forward, without compromising on the profitability angle.

And serious underwriting skills, how do we automate the process of credit delivery, particularly in the smaller segments? You did mention about 6 lakhs of ticket size. And that, how we can deliver it largely in an automated manner is something we are already on the job. It's on the
Tamilnad Mercantile Bank Limited
October 29, 2024

Page 9 of 20

drawing board, getting a business

rule engine to tackle some of the MSMEs up to 50 lakhs in the initial phase and going forward and spreading it larger later. It's all on the drawing board.

And one of the focus point of creating this credit management center, is precisely towards that to bring in operational efficiencies and to bring in a substantial technology afforded automating the whole process, along with getting a set of specialized teams to manage the credit. You will see all the results of that, I think, like I said, perhaps in the second quarter of next year.

Vincent Devassy: Mr. Lakshmi Narayanan, a small piece of clarification. See, we have mentioned about the average ticket size and all. This jewel loan general category, which is non-agri, is classified under retail. That is one of the reasons why we get a distorted picture. Second, if I look at the home loan outstanding, the outstanding to the total number of accounts, the average will come to 12 lakhs. The main reason is some are repaid, some are in the course of repayment, some are only partly disbursed.

So I have not calculated on the basis of the limit sanctioned. If I take the average to the outstanding to the number of accounts, then it is 12 lakhs. So it is basically because of the repayment and also a partial disbursement. Thank you.

Salee Nair: Just to add, Lakshmi Narayanan, just to add, we have just signed a good historic, I would say,

wage revision, where we are shifting the staff from a fixed model into a CTC model. In fact, earlier 19% was on CTC model. The late entrants were on the CTC model. We are now shifting them substantially into the CTC model. 79% would be the final number. So the CTC would be designed, the variable pay will be designed to ensure the growth for the bank. That's also one piece that we have sort of tackled.

Lakshmi Narayanan: Okay. So you mentioned the percentage. How much will be now shifted to the variable CTC model?

Salee Nair: 79%. Not only 79%, there is a 79% is the number that has already been shifted. In the balance, 21%, we expect a substantial number also to move in. We have given the options to move into a CTC. We are awaiting their response. But we see a substantial number there also to move into the CTC model. As it stands, 79% going forward. Another 5% at least to move, at least to move.

Lakshmi Narayanan: Got it. So my second question is that you mentioned two people have joined, around 40 -odd people have come in the IT division. And I believe that the IT division...

Salee Nair: No, I think if you thought it -- I didn't say they have joined in. We are sourcing them.

Lakshmi Narayanan: Okay. So now this IT team will be -- I mean, I remember IT team was based in Chennai. So this entire staff will be based in Chennai?

Tamilnad Mercantile Bank Limited

October 29, 2024

Page 10 of 20

Salee Nair: Yes. Largely they'll be in Chennai because sourcing of talent to Thoothukudi is a challenge that we have. So this will be in Chennai.

Lakshmi Narayanan: One more question, if I can squeeze in. So if I just look at your agricultural loans, is it right to say that around 80%, 85% of your agricultural loan is gold loan?

Salee Nair: It is substantially gold loan. I don't have the numbers right now. I can get the numbers, but it's substantially gold loan.

Lakshmi Narayanan: So may be going forward in the presentation, if you can just give granular details of the RAM portfolio...

Salee Nair: We will do that.

Lakshmi Narayanan: It will be helpful for us. We can save some time. Thank you so much. I'll get back to you.

Moderator: Thank you. The next question is from the line of Narendra from Robo Capital. Please go ahead.

Narendra: Thanks for the opportunity, sir. My first question is regarding the MFI exposure, right? So how much of our book is comprises of microfinance? And are we seeing any stress in any of the segments that we operate in or any geographies? And

consequently, what would be our outlook on the credit cost?

Salee Nair: Now, going forward, I don't see the credit costs impacting the bank's functioning much, because as I said, the unsecured component in the bank's portfolio is less than 1%. And we are not seeing any significant presence there as well. So I don't think that's a challenge that I foresee in the next few quarters or going forward. And we will be very careful in looking at the unsecured portfolio and certainly mindful of the consequences that the market is facing in that area.

Narendra: Okay, understood, sir. So can you expect the credit cost to remain the same at current levels going ahead as well? And what will be our microfinance exposure?

Salee Nair: Microfinance exposure, like I said, should be unsecured microfinance exposure would be the, I don't know the number, but it's insignificant. Insignificant. I think it is not there, right? We don't have, yes. Or?

Narendra: Yes, sir. Credit cost, same?

Salee Nair: I think like you said, the microfinance, I think it is practically not there, not something that worries us at all.

Tamilnad Mercantile Bank Limited

October 29, 2024

Page 11 of 20

Narendra: Okay, understood. And sir, following up on the previous participant, right? So on the growth part, right? So where do we see, at what size do we see our book to be in FY '26 or '27 if you have a target in mind? That should be our loan book number.

Salee Nair: Going forward, we will have to look at the impacts of what we are engaged in currently. Like I said, we are engaged in several structural changes aimed at, kickstarting the, or improving the deposit growth on one side and growth of advances along with quality of the growth on the other side.

So, the impact of that is something that we would have to evaluate before giving a guidance for the, you know, 26, 27, etc. But this year, I am hopeful that, your advances number would, should

cost 13% and the deposit should be in the 7.5% to 8% range.

Narendra: Okay, sir, and the other cost ?

Salee Nair: Obviously, when I say that, with the structural changes happening and the beneficial impact of it, the next year, the numbers for both deposits and advances would be significantly higher. I've given you for the current year, the next year would be significantly higher. I'm not going to hazard a guess on the number right now until I evaluate the impact of the changes happening on the ground.

Narendra: Yes, but it should be better than this year, right?

Salee Nair: Yes, definitely, definitely.

Narendra: Yes, understood. And so last, last one, one thing I could ask, the cost to income, given that we are investing so much on tech and branch expansion, so would it remain at the current levels, slightly go below or is there scope for reduction?

Salee Nair: The cost to income is currently at 40%, 43%. This 43.51%, the cost to income, it is at 43.51%, it has come down from 46.99% earlier, but sequentially from quarter on quarter, it has moved up from 41.42% to 43.51%. One of the aspect perhaps we will not be able to take advantage in the coming quarters is the PSRC income, right? So I suspect this will move up marginally up. I don't think, but it will be somewhere in the 45% range.

Narendra: Okay, okay. So, understood. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor and Company. Please go ahead. Mr. Saket, I would request you to unmute.

Saket Kapoor: Yes, madam. Thank you. Namaskar, sir. Thank you to the team for organizing the call. Sir, firstly, as you alluded to the point that we will see transformation for the bank going ahead in terms of
Tamilnad Mercantile Bank Limited
October 29, 2024

Page 12 of 20

the improved business and continuity in profitability. So, sir, how are we going to firstly garner deposit for the same? And then secondly, sir, our len

ding is only towards the RAM segment. So

how are we going to diversify into the same or are we going to remain focused only as a RAM player?

And sir, you mentioned about the employee cost, this variable pay part. So, and there was also some provision of INR117 crores or INR118 crores that we took. So, if you could just explain how this employee cost line item is going to behave on a quarterly basis? And then I have a small one more point to make and I'll join the queue.

Salee Nair: Yes, first question on the deposits. As I was mentioning earlier, we are engaged in setting up, elevating the MSME hubs into credit management centers, where we are trying to pull out the credit activity from the branches into this credit management centers for operational efficiency and for ring fencing the skill set required to manage the credit. So, when that moves, along with a lot of ancillary functions also will move to the CMC, the Credit Management Center, freeing up the branches from that activity.

We noticed when we did an analysis, we figured out that one of the areas why the deposit was not picking up in the branches was because of their attention and because of the focus on the credit and maintaining the quality of the credit, and the subsequent audit that happens, you know, tying down their resources. So once that is freed, we believe the branches focus can be brought back into the deposit and their only area of mandate, rather the mandate would be the deposit itself. And we are going to see significant, we anticipate a significant growth there.

Apart from that, we are also to augment or verticalize the deposit measures. We're also looking at setting up an NRI center to drive the entire, to bring in focus to the NRI deposit and drive the NRI business across the bank. So that's another one that will be adequately staffed with presence, perhaps even, you know, agents outside the country.

And we are also looking at setting up the transaction business group, which would be aimed at the current account. So, we are a business focused bank, and we would like to bring that business back into it by getting into the transaction business, managing the operating accounts of our businesses. And the entire product offering would be refined or added to look at their requirements.

And this is one focus area where we will be looking at current accounts, doubling our, you know, we're looking at in those next two years, doubling our penetration into this segment. As well as this would also, should also serve as a lead generation point for our credit off take. So substantial work is on to improve the deposits, deposit base. Like I said, we expect the deposit base to close this year with 7.5% and substantially improve the growth in the coming years.

Tamilnad Mercantile Bank Limited
October 29, 2024

Saket Kapoor: Sir, the MSME part of the employees. Yes, please. Sorry? You were telling something, sir? You did mention about -- sorry. May I continue, sir?

Salee Nair: No, I was just going to the next question that you had asked about the employee cost. We anticipate the employee cost will go up by about INR5 crores per month. And, it has been anticipated and provided for. If you look at your results for the quarter, anticipating the requirement we have already provided for this. So, the impact on the profit is going to be minimal going forward on account of the wage revision. You were saying some...

Saket Kapoor: Sir, I missed your number on employee cost. What would be the quarterly number going ahead on account of employee cost?

Salee Nair: One minute, I'll just give you that number.

Saket Kapoor: And this MSME transition story of creating more business, I will take it offline. I could not make the entire part of it for the NRI deposit part, have we done the groundwork, and we will be implementing the same in the near future or we are just scratching the

surface now?

Salee Nair: No, I think it is just off the drawing board. The groundwork is being -- we have just begun the groundwork for it. It is not something that we anticipate any benefit to accrue in the current year.

It is more, I think, we would hope to get the benefit of it in the next year.

Saket Kapoor: Okay. So this will take time to mature or even to kick off?

Salee Nair: Structural changes or transformation, as you put it earlier, is certainly going to take time. We'll have to -- we will keep the engine running until these take root so that we can push the car into a different speed orbit.

Moderator: Sorry to interrupt you, sir. I would request.

Saket Kapoor: Ma'am, I will join the queue. Please provide an opportunity once again. I have a couple of closing points on my side. Thank you, sir. I will wait in the queue again.

Moderator: Sure, sir. Thank you.

Salee Nair: Thank you.

Moderator: The next question is from the line of Pulvarthi Sai Kiran from Pulvarthi S. Advisors. Please go ahead.

Pulvarthi Sai Kiran: Yes. Hi. Thanks a lot for taking my question, sir. You have been a couple of months in the bank. I just want to understand, sir, how are you looking at a bank like the size of TMB in the next three years and what are your priorities and then what kind of timelines and targets and goals

Tamilnad Mercantile Bank Limited

October 29, 2024

you have for the bank as such? As an investor, it will be very helpful to understand in which direction the bank is moving.

That's the only question I have. Thank you.

Salee Nair: I think the answer would be modernize, modernize, and modernize, right? Get back into roots, get back into the forte that we were comfortable with earlier, the MSME area. We had a strong deposit franchise that we intend to recapture by various initiatives that is on the anvil. I'm not going to get into the details of it, including the digital offerings, which we are trying to revamp. All this will take time. And the results of it, I expect to start being visible from the second quarter of next year, or the first or the second quarter of next year onwards. We are going to see visibility on this. So going forward in three years is going to be a completely different bank.

Pulvarthi Sai Kiran: Sir if you can provide us further details in terms of the priorities for the bank, when you say modernization, if you can go a little further, that will be really helpful too.

Salee Nair: I think I did mention that in the earlier when I was answering the earlier analysts. One, of course, is that we are centralizing the credit delivery. We are automating the credit delivery in a substantial manner. I think below a certain ticket size, immediate would be 50 lakhs. We would be automating it totally. We are also looking at significantly improving the skill set of personnel in the credit management center, the centralized credit delivery platform that we are going to have. We are going to have one each per region with an apex and at the Head Office managing it.

That's going to take care of the credit side of it. And when the credit is going to move out, the branches are going to be freed, and we are going to use the branches for seriously strengthening our deposit franchise. We are looking at increasing our digital offering, customer conveniences, reducing the cost of customer to deal with the bank, as well as reduce the cost internally in managing some of the activities within the bank.

So, process automation is something that would be looked at. Like I said earlier, this would be -
- we will be partnering several firms outside and pick up software on a build-operate model. We

are also looking at sourcing resources from outside, particularly in the IT area. I just mentioned that we'll be getting at least 47 over the next few months to drive this. While we partner them, the customization would be signifi

cantly done by our own resources.

This is the first intake that we will have, the 47 resources that I mentioned. We're also looking at deepening our ties within Tamil Nadu branches, as well as strengthening our branch network outside. I just mentioned – I mentioned earlier that we'll be opening 40 branches. That task is on.

Tamilnad Mercantile Bank Limited
October 29, 2024

Page 15 of 20

And to staff some of them, to relieve the pressure on the staff, we are also getting 170 officers recruited. And they'll be recruited outside Tamil Nadu to be stationed outside Tamil Nadu. So, that's something that we will be focusing on. I did mention about some of the other aspects that sort of moved out of the drawing board, which is the NRI Center that we are focusing on, looking at increasing the current 4% share of the deposit base to over 10%.

And that's something that we will try and see whether we can achieve it by the first quarter of FY27 to raise it beyond 10%. I also mentioned that our offering to the cash management services offering to the current account holders and the businesses, which was our strength earlier, would be brought back. And the entire gamut of our offerings will be digitalized. And that's one area that we are seriously looking at.

Moderator: Thank you. The next question is from the line of Shrish Vaze from Moneylife Advisory Services. Please go ahead.

Shrish Vaze: Thank you, sir, for the opportunity. So, my first question is regarding the gold loan. So, do you provide the portion of gold loan as a percentage of the total loan book? And what would be the split between retail and agri? And if you can also provide the LTV for the total gold loan portfolio?

Salee Nair: Yes. So, gold loan, we are very mindful of -- No, I think Vincent Devassy -- Vincent would answer that.

Vincent Devassy: So, gold loan, you have asked about the LTV. So, basically, RBI has given a clear -cut picture direction as to what should be the LTV. And we are well within that LTV for different segments.

So, the LTV for retail and SME will be different from that of agri. So, we are mindful of that.

And we have monitoring systems also put in place to ensure that at any given point of time, there is no LTV breach.

And we are also developing capabilities to ensure that sufficient advance warning signals are generated by the system the moment it nears the LTV level. So, I didn't get the first part of your question. You were asking about the percentage between retail and agri. So, out of our total agri portfolio, I would say that around 85% will be, it may be 1% or 2% here or there, around 85% will be agri and the remaining non-agri.

We will be foraying into another segment, which is SME. And the work is on. And that product will be rolled out in a very, very few days' time, or maybe one - or two -week's time. Thank you.

Shrish Vaze: Yes. So, just if you can provide me the proportion of total gold loan book as a percentage of the total loan book ...

Tamilnad Mercantile Bank Limited
October 29, 2024

Page 16 of 20

Vincent Devassy: Yes, as you know, our total advances portfolio is for INR42,533 crores, of which housing loan is for roughly 5,000, 4,898, jewel loan is 15,639, roughly INR15,650 crores. That is the total jewel loan, out of INR42,533 crores of total advances portfolio.

Shrish Vaze: Got it sir. And my second question, around that, there was some news that the bank had hired an external consultant for revamping the MSME strategy. So, if you can provide some details around this, like what exactly are you thinking, and what exactly are you thinking around this strategy and what exactly is the consultant task in revamping this number?

Salee Nair: The consultant's task is twofold, in fact. One, of course, is the way credit delivery was happening that was largely manually done. So to automate the process is one aspect of it. The second is getting

the skill set centralized and creating the hubs. Now, we have elevated that to the credit management centers. So, they would be looking at both these aspects which is the automation of the credit delivery mechanisms and the second, of course, as I mentioned, setting up the credit

monitoring centers.

Moderator: Thank you. The next question is from the line of Chinmay Nema from Prescient Capital. Please go ahead.

Chinmay Nema: Good morning, sir. Hope I am audible.

Moderator: Yes, sir you are.

Chinmay Nema: Yes. Sir just wanted some color on the large ticket size lending that we are into. So, last year around this quarter we had some large slippages due to some of the larger loans that we have given. Just want to understand what is the lumpiness in the current book and what are the segments that we operate in larger ticket sizes and where do you see this book going?

Salee Nair: No, I think as I was mentioning, we did have a not so good experience of the large book size earlier. And we have been consciously bearing that down. And it currently stands at just about 8% of the total book. And we are not getting into any of the large segments or the corporate at all at the moment. And we will get our house in order before we look at changing the mix of our portfolio and we would certainly maintain the 90% at the retail, agri and MSME space. And we may not be looking at doing the corporate book in any significant manner going forward.

Chinmay Nema: So, are we actively running down that book or are we limiting our exposure to whatever relations we have right now?

Salee Nair: We are maintaining to the existing relations, yes. But we will also see whether we can continue to have an 8% to 10% of corporate book. As the book expands and we would certainly keep like I said, it's not the focus at the moment, but as the book expands, we will be looking at some of

Tamilnad Mercantile Bank Limited

October 29, 2024

Page 17 of 20

the corporate book going forward. But the ticket sizes would not be something that will shake the market.

Chinmay Nema: Sir, would it be possible for you to call out the average ticket size in this segment?

Salee Nair: Do we have that number. I don't have the number right away. I can furnish it to you, but it's not very significant. Like I said, it's just about 8% and within that, the large industry is about INR980 crores. It's not very significant at all.

Chinmay Nema: Okay, sir. Thank you. I'll call back.

Moderator: Thank you. The next question is from the line of Anant Mundra from Mytemple Capital. Please go ahead.

Anant Mundra: Hello. Thank you for the opportunity, sir. And congratulations on a good set of numbers. So, I just wanted to ask two questions with regards on the corporate governance side. So, there's been some instability in the bank in terms of the MD and the Chairman for the past two years. Now, we are happy that you've joined, and we hope you continue, but the bank is still without a Chairman. So by when do you think we can resolve that, and the second question was also with regards to the disputed shareholding. And when can we expect a resolution for that and what is the contingent liability or any liability that you recognize or have done due to that? Thank you.

Salee Nair: The first one, of course, we hope to have the Chairman in place by May of next year. And I think that's something that we have also written to the Reserve Bank. And we'll have it in place. I think the name would be known by the first week, first quarter and of course, there is an approval process by the Reserve Bank. In any case, by May next year this bank would have a Chairman. That's the first one. On the disputed shares, second question, I think it'd be interesting if you can give me an answer yourself, because your guess is as good as mine.

Anant Mundra: Okay. But, sir, any contingent liability that you recognize because of that or an

anything that we've quantified?

Salee Nair: How is the bank involved in this? It is between the transferor and the transferee.

Anant Mundra: Right, but probably because it was enabled by the bank.

Salee Nair: Shareholders.

Anant Mundra: I don't know. Okay. All right. What is the bank do?

Salee Nair: We don't have anything on that.

Tamilnad Mercantile Bank Limited

October 29, 2024

Page 18 of 20

Vincent Devassy: There is no liability on the part of the bank. It is a dispute between the transferor and transferee. Bank is not a party to that.

Anant Mundra: Okay. All right. Thank you, sir. Thanks for the clarification.

Moderator: Thank you. The next follow-up question is from the line of Lakshmi Narayanan from Tunga

Investments. Please go ahead.

Lakshmi Narayanan: Sir last year in Q2, we recognized one account as a non-performing account. Just want to understand what has been the resolution on that, because that is sizable, if that was actually a little shade more or less than INR100 crores. What has been the activity there and how are we placed because we are supposed to recover it completely. Just your thoughts, sir?

Salee Nair: Yes, I think it has not been resolved as yet, that much I can tell you, but it is at one stage and let me also tell you that we have provided 90% and when the resolution happens, we are going to see a substantial write-back of the profits. And the resolution is going to happen I think in the next one or two quarters. It is going to happen; we will have it resolved. I think the discussions are on to ways to look at resolving it. And I think one of the other banks involved has already seems to have settled it. So the solution is in sight.

Moderator: Thank you. The next follow-up question is from the line of Saket Kapoor from Kapoor & Company. Please go ahead. Mr. Saket, I would request you to...

Saket Kapoor: Yes, ma'am. Thank you, sir, for this follow-up. Sir, as you can yourself understand in the call that your investor, analyst community are not very well fed with the understanding of the bank and the continuity of the profitability also. That is the reason why even having, as you alluded to the P AT of the highest NIMs in the industry, highest ROA, the market value, or the market cap, we are not even trading one-time book. So there is definitely some disconnect between the investing community and the management who are managing the day affairs or the business of the bank.

And that gap needs to be bridged with the right feedback and more engagement with the stakeholders. Otherwise, as you alluded in your press release about creating value for your stakeholders, the value creation process is all based on the trust and the probability of the bank delivering on the set of numbers as guided by you and your team. So this gap needs to be filled, sir, and that could be done only by you and the people by displaying what you people are currently speaking and better engagement with your stakeholders.

This was my first brief understanding, sir. And the employee card...

Tamilnad Mercantile Bank Limited

October 29, 2024

Page 19 of 20

Salee Nair: Yes, I absolutely agree with you. I completely agree with you. And over the next quarters, you will see more of engagement between this bank and the investor community. We will certainly ensure that happens.

We will also look at periodically giving you a peek into what we are doing and the kind of numbers. We will also give you enhanced transparency in the numbers. All that we will do. Of course, I've never understood why the bank is actually trading below one. Because if you look at the profitability, it has been delivering quarter on quarter in a very steady manner. But going forward, I think we would be looking to strengthen the confidence of the investing community in this bank, which I understand is only by through engagement, periodical and continuous

engagement, and also in providing you the numbers that you would like to base your judgment on. So I think we will do that going forward.

Moderator: Thank you.

Salee Nair: There were issues in the bank of... Okay, sorry. I think that's fine. Yes.

Moderator: Thank you. The next follow-up question is from the line of Vinith Jain from Siddhi Capital. Please go ahead.

Vinith Jain: Thank you for the opportunity. My question has been answered and I wish you the best, sir.

Moderator: Thank you.

Salee Nair: Thank you. Thank you.

Moderator: The next follow-up question is from the line of Anil from Contrarian Value Edge. Please go ahead.

Anil: Yes, thank you for the follow-up. So in the past, we have some problems with the RBI on various things. So what are we going forward so that these problems don't arise again? So that's the last question from my side.

Salee Nair: Thank you. We wish to be a completely compliant bank. And when you are on that, I don't think there'll be an issue with the RBI at all.

Anil: Okay, thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to Mr. Nair, Managing Director of TMB for closing comments.

Salee Nair: Thank you very much for the participation. And as the gentleman said at the end, one of the ways in which we intend to bring the confidence back by the existing community into TMB is through

Tamilnad Mercantile Bank Limited

October 29, 2024

repeated interactions and engagement with the investing community, which is something that we will continue. I think that we'll take that as a feedback, and we will certainly continue. As I mentioned, we are engaged in a significant transformation of the bank and transformation is not something that happens in a quarter or overnight. So this will take time. And the results of which will start showing up over the next, after a couple of quarters, certainly in the next year, we are going to see a significant impact of the changes or the structural changes that we are carrying out, both in terms of business growth, as well as in terms of the profitability numbers. And rest assured, the changes that we are bringing and what the profitability numbers and the through the engagement with the investing community, we will certainly pass on the information in the right amount so that you can take a proper call on Tamilnad Mercantile Bank. Thank you. Thank you, everyone.

Moderator: On behalf of Tamilnad Mercantile Bank, which concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Call: Feb 2025

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03.02.2025

The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor, Plot No. C/1,
'G' Block, Bandra - Kurla Complex,
Bandra (East), Mumbai - 400 051. The Manager,
Bombay Stock Exchange limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001.

Ref: Symbol: TMB / Scrip Code: 543596

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call – Q3 Results

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform that the transcript of the earnings conference call hosted by the Bank on the Unaudited Financial Results of the Bank for the quarter and nine months ended December 31, 2024, has been made available on the Bank's website at the following link:

Transcript of the Earnings Conference Call – Q3 Results

We are also attaching the transcript of the earnings call with this intimation.

Kindly take the information on record.

Yours faithfully,
For Tamilnad Mercantile Bank Limited
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Tamilnad Mercantile Bank Limited

Q3 - FY 2024-25 Earnings Conference Call - Transcript

January 29, 2025

Management: Mr. Salee S Nair , Managing Director & CEO
Mr. Vincent Menachery Devassy, Executive Director
Mr. P. A.Krishnan, Chief Financial Officer

Tamilnad Mercantile Bank Limited
January 29, 2025

Page 1 of 16

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 and 9M FY '25 Conference Call hosted by Tamilnad Mercantile Bank. This conference call may contain certain forward -looking statements based on the beliefs, opinions and expectation as on the date of this call. These statements are not the guarantees of future performance and involve certain risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the

conference call, please signal the operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Today on the call, we have with us the following management representatives: Mr. Salee S. Nair, Managing Director; Mr. Vincent Menachery Devassy, Executive Director; and Mr. P. A. Krishnan, Chief Financial Officer.

I now hand the conference over to Mr. Salee S. Nair, Managing Director. Thank you, and over to you, sir.

Salee S. Nair: Thank you. Thank you for introducing the team here. In addition to the 3 that you mentioned, I also have Mr. Ashok Kumar, who is looking at our Resource Mobilization as well as Anand Ganesh, who is our Head of Credit.

At the outset, let me apologize for being a little late. I know the presentation has been loaded a little, perhaps not as early as you would have probably wanted. We did have a tight schedule at the Board and this the Board meeting did go on for some time. But anyway, coming back to the quarter 3 performance of FY '25 of Tamilnad Mercantile Bank.

If I look at the operating profit that has improved from INR 370 crores to INR 408 crores, that's a growth of 10% year-on-year. The numbers I am quoting are all year-on-year. The net profit is again crossed INR 300 crores for the second time in the bank's history. It is up 6% year-on-year from INR 284 crores a year back to INR 300.24 crores.

Non-interest income has delivered a salutary performance with INR 189 crores, up from INR 158 crores, which is an increase of almost 20%. Gross NPA has decreased to 1.32%. A year back, it was at 1.69%, that's an improvement of 37 basis points. Net NPA likewise has also seen a sharp decline to 0.41%, 41 basis, from 0.98%, an improvement of 57 basis.

PCR. On book PCR has increased to 69.07%. In fact, I did mention that we will try and achieve the 70% mark by March. We have been on our way to that. And overall, the PCR is including the return of account is at 93.21%.

Tamilnad Mercantile Bank Limited
January 29, 2025

Page 2 of 16

The total SMA to gross advances has also reduced. It has come down 157 basis points since the last year, and it currently stands at 3.77%. The capital adequacy ratio has increased to 29.35%, a jump of 340 basis points from last year.

The book value of the share has likewise increased from INR 484.25 crores to INR 550.38 sorry, INR 485.25 to INR 550.38. The total business growth for the third quarter year-on-year basis crossed 10%. This is in fact the highest business growth that we have achieved in the last 14 quarters and that if you look at the quarter-on-quarter growth that has been achieved and also the growth, the business growth that we saw in FY '24, and I don't know how many of you have accessed already to the presentation.

We are seeing a graph trending up. For example, in FY '24, the total business growth that the bank achieved was 4.8% and now it has inched up in quarter 1 to 6.8%, quarter 2 to 7.8% and in quarter 3 it has crossed 10.4%. So that's the focus that we are bringing into the business is beginning to pay off.

It's early days, but we noticed that clearly, the green shoots are there. Likewise, on the deposit, an area of weakness for us, has also seen

a similar growth. In fact from FY '24 where the growth was very, very muted at 3.7%; it has doubled to 7.7% in quarter 3 FY '25.

And advances, of course, has delivered a year-on-year growth of 13.7%. So that is something that in both the deposit and advances, if you recall my last conversation with the investor community, I did mention that we will cross 7.5% in deposit, we have done that. I mentioned that we will cross 13% in advances, we have again done that.

On the shareholder values, if I just take the net worth, I did mention that our capital adequacy stands at 29.35% and that's riding on a net worth of INR 8,715 crores. Today, the leverage of the bank is just 6.5%, that's a fairly acceptable leverage. The book value of the share stands at INR 550.38 it is. It has jumped from INR 522.37 to INR 550.38 and earnings per share that the bank delivered for the quarter is INR 18.96.

Now if I look at some of the key ratios. The net profit, as I mentioned, has crossed INR 300 crores, again for the second time. If you recall, it was at INR 303 crores for the quarter 2. And this quarter also, we managed through efforts to take it beyond INR 300 crores, it's at INR 300.24 crores. The operating profit is at INR 408 crores.

The net interest income is at INR 570 crores, up from INR 537 crores a year back. The gross NPA has been consistently moving trending down the last 4 quarters and stands at 1.32%. I just mentioned that. The net NPA at 0.41% has also seen a trend down, if you have accessed to the presentation and evaluating the presentation you would notice this.

Tamilnad Mercantile Bank Limited

PCR, as I just mentioned, is at 69%, it's an on-book PCR. The return on assets is at 1.89%. That it's almost flat, I would say, but maybe a little lower than what we achieved last year of 1.93%, and the return on liquidity is at 14.44%, slightly down again from 15.11% achieved last year. The credit cost is at almost 0.08%. That is just 8 basis, pointing to the kind of quality that we are delivering on the credit. The cost of funds has moved up from 5.92% in the previous quarter and 5.90% in the previous year to 5.99%.

And the cost-to-income ratio stands at 46.31%. And when I talk of cost of funds that also includes the cost of deposits, which stands at 5.97%. Yield on advances is at 10.17%, that, if you look at the presentation, has come down from 10.47%. But if you recall, there was a technical return of account recovery, interest recovery, which had sort of increased the net interest income and consequently in yield on the advances.

Net of the interest recovery, we have mentioned also in the presentation, excluding the recovery from the technical written-off account, the yield on advances has moved up quarter-on-quarter. In fact, it has moved on year-on-year as well as quarter-on-quarter. Last year, it was 10.13%, it has moved up to 10.16% this quarter, quarter 3 of FY '25, as well as it was from the previous quarter at 10.11% also, it has moved up.

On the NIM, I did mention that we will try and defend the 4% NIM. It is actually at 4%. This quarter, we did not have the advantage of any technical written-off account, the interest sort of helping us in the net interest income. So net of that, if you look at, again, the net interest margin, if you remove, exclude the interest on advances and the collection sorry, and then advance the technical written-off accounts, it has been almost flat or maybe slightly up.

On quarter-on-quarter, if I tell you the numbers, first quarter of FY '25, it was 3.97%; quarter 2, it was 3.98%; and stands today at 4%. That is on the net interest margin. NPAs, I just mentioned, stands at INR 576.38 crores overall and is up 1.32%, and that's been trending down in the last 4 to 5 quarters. Net NPA is INR 177.59 crores, translating into 0.41%.

If I look at the NPA sector-wise, all across,

it has come down, the gross NPA has come down --

it was year-on-year, it was last quarter, last Q3 of FY '24, it was at INR 649 crores, it came down to INR 576 crores. And the reduction is reflected in all segments other than the others, where I can show you a little later that how we are managing the portfolio with substantially reducing the portfolio in view of the stress element there.

So in the slippage, we are down to 13 basis points. Slippage ratio is 13 basis. Total slippages for the quarter was just about INR 54 crores; INR 6 crores of that being contributed by retail, INR 13 crores by agri, MSME at INR 29 crores and others at INR 6 crores.

Tamilnad Mercantile Bank Limited

January 29, 2025

The NPA, when I look at the NPA in quarter 3, the NPA, which was at INR 584.45 crores and as of 30th of September 2024, got reduced through a cash recovery and upgrade of INR 61.92 crores and slippages which was INR 53.85 crores combined aggregated the final number is a reduction from INR 584.45 crores to INR 576.38 crores.

SMA likewise, if I look at the SMA, SMA has also come down. Overall SMA has come down from 4.16% to 3.77% that is quarter-on-quarter and year-on-year from 5.34% to 3.77%. That's a substantial decrease. And SMA -0, SMA -1 and SMA -2, the contributions are more or less on equal terms.

SMA -0 contributed 1.36 %, SMA -1 1.18%, SMA -2 at 1.23% aggregating to 3.77%. The contribution of retail to the SMA is 1.72%, agri is 0.29%, MSME is 1.58% and others pretty much is getting cleaned up, so the SMA component of this is very low, is 0.18%.

And we have also added a slide on SMA plus NPA and the trend there. And this also, if you look at it year-on-year, SMA plus NPA together was at 7.03%, it is now down to 5.09%. So this number, 5.09% is both SMA, the aggregate SMA, SMA 0, 1 and 2 as well as NPA put together, so that's at 5.09%.

On the stress assets, which includes the NPA, gross NPA and the standard restructured assets, the bank stands at 2.16%. So overall, the quality of the portfolio is being maintained and perhaps in some sense, improved quite substantially.

On the deposits, when we look at the deposit, yes, there is certain concern on the CASA. The CASA number is flat year-on-year. Not only year-on-year, on quarter-on-quarter also it is flat. And I just I did mention last time that we are taking a series of initiatives to address this concern

and some of them have already been launched. I'll come to that later.

So but overall, the deposits has registered a year -on-year growth of 7.68%, which I said is double what we saw in the previous year for the bank. So like I said, the green shoots are beginning to show in the deposits. And this is the momentum is something we will try and continue going forward.

On the advances portfolio, the actions taken the numbers are responding to the actions taken already. And currently, the growth year -on-year is at 13.71%. Retail segment, again, has not been contributing has not contributed well in this. Again, we are taking certain measures there.

Agriculture has contributed substantially.

On the MSME front, I would like to state that there again, we have given a split of below INR 50 lakhs and above INR 50 lakhs and at the above INR 50 lakhs number, if you notice that it is going at 11.88%. We are seriously looking at the low ticket size items where we believe it is from a liability perspective expensive to operate.

Tamilnad Mercantile Bank Limited

January 29, 2025

Page 5 of 16

So this is one area where we'll be bringing an automated solution in the form of a business rule engine to tackle all these accounts so that we get quality and the numbers move forward after the complete data with due diligence is done.

On the RAM, RAM continues to be our bread and butter, contributing 92.39%. Like I mentioned earlier, the others category where we are conscious,

it has been has provided a bit of a stress to

bank. The stress has now been more or less been getting cleaned up. And yet we have not been growing this segment at all. Others is largely pointing to the corporate sector. And year -on-year, we have seen a 5.17% degrowth.

But despite that, as I mentioned earlier, the gross advances have moved up 13.71% year -on-year.

On the financial performance on the profit itself, as I mentioned, we entered quarter 3 with a quarterly profit of INR 300.24 crores. This is up 5.63% year -on-year, that is, it was INR 284.23 crores in Q3 FY '24, so it's just a 5.63% growth year -on-year.

And when you look at the 9 months number, in the 9 months leading up to 31/12/24, the net profit delivered is INR 890.71 crores, which is 8.76% year -on-year. The balance sheet side, of course, has jumped to INR 64,716 crores currently. And also, like I mentioned, we did take a few initiatives in the last quarter. And in fact, on the 2nd of June sorry, January this year, we have launched 3 initiatives.

The Global NRI Center has been launched and aimed at, as I was mentioning, about 4%, 4.5% of current deposit, share of deposit NRI share of deposit. We want to ramp it up over a 2, 2.5 - year period to 10%, which I mentioned that last time. We have taken this initiative to make that happen. So this Global NRI Center has been launched.

We have also put in place adequate number of relationship managers aimed at focus only on the NRI business. Credit management center. I also mentioned about carving out credit so that we have adequate focus and adequate skill set to manage the portfolio the credit portfolio that on a pilot basis, we have started on the 2nd of January this year again.

And the third initiative that we have taken is, again, aimed at deposits. The Global NRI Center was aimed at deposit. The transaction business unit, transaction business group, which is a third initiative is also aimed at improving the CA, the current account base of the bank. And this will be aimed at the current accounts, this will be aimed at the government account, this will be aimed at the institutions, the colleges, schools and the task accounts. So there's a new group within the bank that we have launched exclusively aimed at gathering low -cost funds.

And as I speak today, we have 125 relationship managers have been put in place to have this. And this number will go up. We will be ramping up this number as the months go by. So I think these two initiatives.

Tamilnad Mercantile Bank Limited

January 29, 2025

Page 6 of 16

On the liability side, the Global NRI Center and the transaction business growth and the refocusing the branches on the liability business by carving out the credit management center, which we have now started on a pilot basis, I believe would help us ramp up the deposits going forward, perhaps more so in the next year.

So that's from my side. Okay, I think I do have one more on the network. We have opened another 5 branches in the quarter, taking the total to 20. I did mention 40. We have also given an approval

for additional 13 numbers. And that is work in progress, and we are also identifying the five areas for another seven to be opened. So we will try and get to that 40 number.

Yes, that's from my side. Vincent, do you want to add something?

Vincent M. Devassy: Yes. So the performance numbers have been articulated by the MD and CEO. A couple of things I would like to add here is after the last quarter, that is Q2, in Q3, we have significant additions to the senior management. Our VP and Head Credit, EVP Credit has assumed charge. VP, EVP Inspection and Audit, IAD, HIA has taken charge.

And we are in the process of finding a new CFO, hopefully, the new CFO is likely to join either in the last quarter of this financial year or early next financial year, the first quarter of next financial year.

The increase in the cost o

f deposits, we were able to pass on to the customers as is reflected in increase in our net yield on advances, which was 10.11% without HOT, excluding HOT has moved to 10.16%. So there is a 5 basis point increase in yield on advances. As I can say, 7 basis point increase in deposits. So whatever additional cost that we have incurred in terms of attracting deposits, we were able to pass it on to the customer.

Yes, that's it from my side. Thank you.

Salee S. Nair: We have been able to defend the NIM at 4%. Yes, thank you.

Moderator: The first question comes from the line of Sarvesh Gupta from Maximal Capital.

Sarvesh Gupta: Sir, our SMA -2 has inched up a bit in this quarter. So any particular contributor to that or if you can throw some color on that?

Vincent M. Devassy: Please repeat the question. It was very feeble to hear.

Sarvesh Gupta: Sir, the SMA -2 book that has inched up a bit in this current quarter, so any particular contributor to that? Was that some large account or something? Or if you can throw some color on that?

Salee S. Nair: No, you're referring to NPA, you're referring to business? What is, we missed the first part of it.

Tamilnad Mercantile Bank Limited

January 29, 2025

Page 7 of 16

Sarvesh Gupta: SMA -2.

Salee S. Nair: SMA -2. Okay.

Vincent M. Devassy: See, compared to last quarter, there is a little increase. But if we look at the trend, it is well within the trend.

Sarvesh Gupta: Okay. So was there some large accounts, which went to SMA -2?

Salee S. Nair: This is not one particular account, this is a well spreaded account. I agree that it has moved up from INR 490 crores to INR 537 crores. I assume you're talking about SMA -2, right?

Sarvesh Gupta: Yes.

Salee S. Nair: It has. It has spread over a large number of accounts, not any specific account as such. And I think that it's already showing a downtrend in the current month already.

Vincent M. Devassy: It was INR 561 crores in Q3 financial year '24, now that is INR 537 crores in the current Q3. So on a Y-o-Y basis, there is a decline from INR 561 crores to INR 537 crores.

Sarvesh Gupta: Understood. And your CD ratio is already around like 85%, if I can see that.

Salee S. Nair: 86%, yes.

Sarvesh Gupta: 86%. So given that, now because we have been growing our deposits at 6%, 7% and CASA challenges remain as it is. So how do we see the growth? Because we have probably hit the upper tier of where we can. I mean we have grown at 13%, but going forward, the deposits have grown at a very small pace till now. So how do we see that situation?

Salee S. Nair: Yes, first, of course, the CD ratio, in fact, is 86% plus. That is something that we accept. But you look at the leverage of the bank, it is just about 6.5%. And the leverage is at 6.5% only because we had a comfortable capital position. I did mention about the net worth being INR 8,715 crores, which also has been subsequently funding. That's one of the reasons why rather the reason why the leverage is at 6.5%.

The other aspect of it, and you did rightly hit the button saying that going forward, it will be difficult under the deposits actually move up in tandem. And that's exactly if you look at quarter-on-quarter, the way the deposit is behaving and the way the advances are behaving and if I just this is something that you can reduce it yourself.

In the quarter 1, there was an advance growth of INR 882 crores against a negative growth of INR 327 crores from the deposits. Obviously, you can say that the deposits that on a standalone

Tamilnad Mercantile Bank Limited

January 29, 2025

Page 8 of 16

basis, that operation is not sustainable. But then we move to the second quarter, that has improved to a CD ratio of 549, I'm talking in terms of an incremental. But you look at the quarter 3, the CD ratio, the incremental CD ratio has come down to 106%. So the deposit, the ratio of deposits to

advance, the CD ratio as we call, is responding to our actions and it is beginning to moderate. And the moderation is very, very clearly evident in the last 3 quarters leading up to the 31st of December '24, where I said the incremental CD ratio has come down to 106%.

And this with the actions that we are taking on the deposit side should moderate further and we hope it will come down to acceptable number and a sustainable number going forward.

Sarvesh Gupta: So then going forward, what will be our advances growth rate that we would want to have?

Salee S. Nair: Advance growth rate for the current quarter, we will still maintain at 13% plus maybe towards the slanting towards 14%, but 13% plus, but the focus would be on the deposits where we are looking at crossing 8% and also bringing it close to, like I mentioned, the incremental CD ratio to around 100%.

So the advance and deposit, we hope to move in tandem in a way that CD ratio remains at just to a 100% number

Sarvesh Gupta: And these deposits so that we have accrued, let's say, over the 9 month, how much of that has come through bulk deposits?

Salee S. Nair: Bulk deposit in our total deposit base is about 11%. The CASA that has remained flat. So the CASA's contribution to the deposit mix has not been there because this remained flat. So the growth, which I mentioned earlier of 7.7% that come out of the term deposits. And in the overall package, overall deposit portfolio, the bulk deposit contribution is 11%.

Sarvesh Gupta: Understood, sir. And sir, finally, on the leverage point. So while you are levered less, but that is also helping you on your NIMs and ROAs. So as you grow, how do you see these NIMs and ROAs, where do you see that settling into? Because right now, our credit costs are probably at the lowest point of the cycle then your leverage is also low, which is helping your NIMs also. So I mean, how do you see these things moving in the medium term, let's say, next couple of years? How do we see all these metrics moving ...

Salee S. Nair: Next year, if I look at the NIM, I don't think we will be able to do a 4% NIM. I think that would be a challenge. There will be moderation of NIM going forward. But this will be in the 3% of course, we also anticipate a rate cut, hopefully, I don't know, when the NPC meets, right? So could be, we will be looking at 3.75% to 3.8% kind of number. But the reduction of the NIM, we hope to make it up through volumes – growth. So that is one aspect of it.

Tamilnad Mercantile Bank Limited
January 29, 2025

Page 9 of 16

And on the ROA, again, the current number is something going forward, we will not be able to defend this 1.89%, I think we've been looking more at 1.75% kind of number. Because as the business expands, as more of the business comes out of the deposits, the lever, as you rightly mentioned, the leverage is going to increase and that will have a consequence on that.

Moderator: The next question comes from the line of Sana Mehta, an Investor.

Sana Mehta: My first question is what are the initiatives taken in terms of ESG?

Salee S. Nair: See, what we have done is we spend about INR 1,400 crores to run this bank. And this was entirely being, the entire operations has been done on a margin basis. So the first thing we are doing in that is to get this automated. We have just picked up vendor management system from Oracle and it will be customized for us by the Deloitte. And one of the focus area of that is to understand our Scope 1 and Scope 2 expenditure and from there, derive the emissions.

And we are also engaging with a startup to understand at a high level what sort of emissions that we are doing on Scope 1 and Scope 2. I think that's something that we have slated for next year. And for that, the data they're going to be picked up through the automation that we have just done.

So the first step of getting the whole the vendor mechanism, vendor system, your electricity bill

payments, your vehicle buyout, the car the whole is getting in place so that we have the data. And the second step towards the end of next quarter, towards the end of next quarter, we will be going for a high level measurement of our own emissions. We'll also do Scope 1, Scope 2 and also look at the emissions on the Scope 3 side.

Sana Mehta: Okay. Sir, and one more thing from my side. I would like to give a small suggestion that is it will be really helpful if you can like upload the investor presentation 2 to 3 hours before the call so that we can analyze the results.

Salee S. Nair: Sana, I really, really apologize for you. In fact, that was in our intention. But unfortunately, the

Board meeting because of the agenda that it had to sort of got extended, but we will take care of it going forward.

Moderator: The next question comes from the line of Saket Kapoor from Kapoor & Company.

Saket Kapoor: So the first point, which you yourself mentioned that there is pressure on NIMs that is visible, and it would be difficult for us to maintain the NIMs and hence, the ROA and the other metrics.

So is it only on the basis of cost of deposits, the cost of fund that has gone up, that is putting a pressure on the yield or what explains this lower trajectory going ahead? And what steps are you taking...

Tamilnad Mercantile Bank Limited

January 29, 2025

Page 10 of 16

Salee S. Nair: No, Saket, if you look at it quarter -on-quarter, we have actually improved the NIM. When I exclude the interest recovered on written-off accounts, interest recovered beyond the principal, what you recover is actually the interest and that gets added to the net interest income. And if you exclude such interest generated from the written-off accounts and sanitize the net interest income for that and the derived net interest margin, you notice that quarter -on-quarter, it is moving up.

In fact, quarter 1, it was 3.97%; quarter 2, it has moved up to 3.98%; and in quarter 3, it was 4%. The NIM that you have seen earlier, it also had a component of what I mentioned as the interest on the written-off accounts. But in fact, in the response to your question earlier, because this also substance, because the leverage is low. We are working on a 6.5% leverage and the capital does not come at a cost, at least on paper. So when you look at capital not coming at a cost that adds to a better NIM.

And as the leverage increases and we start operating more and more big deposits, the NIM is likely to moderate. But as I mentioned earlier, this moderation because yes, deposits are happening, consequently, the advances are happening, it will be more than compensated by the volume. So it's not going to have a dent at the profit, final numbers, but the NIM at 4% because we are not on the unsecured, we are not on the credit cost kind of numbers.

We are only on the secured lending side, it is bound to take a bit of a knock and we still believe that the next year end, we still can get to a 3.75% to 3.80% kind of number.

Saket Kapoor: Sir, when you mentioned that the low leverage, can you explain what are you trying to explain. I'm not well versed with your comment on we are at low leverage. So if you could just please explain...

Salee S. Nair: What I'm saying is a substantial percentage, it is actually capital. Capital is a servicing cost in terms of dividend payouts, etc, right, in capital acquisition. But on the book, it is at 0 cost. Part of your capital is at 0 cost. And that adds so that sort of helps in maintaining in certain NIM, a few basis extra on the NIM. Got it? Saket?

Saket Kapoor: Sir, I'll take it then offline. I still could not make it correct.

Salee S. Nair: Okay. I think we'll explain that to you offline.

Saket Kapoor: Sir, but the point we are just trying to understand that the basis of the economic activity and the type of delinquencies we are seeing in terms of personal loans, the traction which was anticipated in the economy. Things are not looking very good as such the economic data are reflecting. So given the current environment, if you could just give us some basic understanding how the verticals are shaping up, especially in terms of our exposure to the retail segment and we see lot

Tamilnad Mercantile Bank Limited

January 29, 2025

Page 11 of 16

of delinquencies in terms of personal loans and also so how are we aligned in terms of growing our book profitably and with lower delinquencies going ahead, sir?

Salee S. Nair: No. I think on the delinquency side, on the NPA side, we'll continue to show good, essentially because what we've seen across the banking industry, the delinquencies, the stress sort of cropping up, are largely related to the unsecured loan lending that is done by these banks. In our case, the unsecured lending that we have is less than 0.5%. This is a bank that has always believed in the secured lending and the small segment of unsecured lending that we have is actually related to the is related to the it's about INR 200 crores that are linked to the education loans.

So it is a secured lending and the kind of the impact of whatever we are seeing in the market of delinquencies popping up in the unsecured space, I don't think that is going to touch us because your 99.5% plus is secured lending.

Saket Kapoor: Okay. But sir, where is the growth going to arrive when the economic indicators are not pointing towards growth as of now? And also we being a mid-sized bank, our cost of fund and the cost of growing the capital will always be higher in comparison to the other banks. So what should investors look forward from seeing these going ahead, sir?

Salee S. Nair: The growth on the liability side, I just mentioned that we have put in place 2 very clear drivers of growth, right? We have the NRI driver, we have the TBG driver. On the asset side, we will continue to focus on the gold loans, which is giving us good traction. In addition to that, as I mentioned, we have created credit management centers with in fact, this has been done on a pilot basis in Thoothukudi, this region in Thoothukudi and we will expand into the other 11 regions in the early next year, in the first quarter of next year.

And the focus of that is going to be the MSME, the MSME and the retail segment. And what we are also looking at is, we are going to focus on the turnaround time, on the speed of delivery and we are getting systems in place, automated systems in place to achieve that. We have also taken a consultant on board to help us get the entire credit management center automated from a credit delivery perspective. So once the turnaround time, currently, which is quite sizable, I'm not getting to the numbers, is brought down significantly, we believe that we have a market to pierce. This is we also have a loyal market.

In addition to that, we also have a market waiting to pierce, which we believe we'll be able to do with the kind of automation, with the kind of significant reduction in the turnaround time, we hope to achieve maybe in the first maybe around second quarter of next year when the systems will be likely to go live.

So the unsecured portion you did ask about the unsecured portion. I have the numbers here. We have INR 109 crores of education loans, which is category falling in the category of unsecured
Tamilnad Mercantile Bank Limited
January 29, 2025

Page 12 of 16

and another a round INR 150 crores of lending to the MFI which also is of, is also can be considered as part of the unsecured where the delinquency can be, people are worried about the very good side. So overall, it's just about INR 250 crores. That's why I did mention that it is about 0.5%.

Saket Kapoor: Sir, two small points and I'll join the queue. Firstly, what portion of our loan book is towards the corporate sector? And how are we approaching this segment because the growth, the yields, the competition is all towards the corporate side, whether it is mid-sized corporate or the large corporates wherever we can cater to depending upon our reach?

And secondly, sir, taking into account the lower NIM guidance given to, given like rightly by you, what should we expect in terms of the profitability growth, we are almost at INR 890 crores for 9 months vis-a-vis INR 819 crores for the last 9-month comparison. So ending this year and going ahead, how likely is the profitability charge that is still going to be for some better understanding for the investors, sir?

Salee S. Nair: Yes. On the first question, the corporate segment is a highly competitive segment and finely priced, and that's a segment that we will not be entering in a big way. In fact, our share of corporate segment is just about it's under 8%. So I think it will remain at that kind of number, I think, going forward.

So we will not be entering in a big way. We are mindful because there's lower ticket size is where we believe the yield can be better, and we will stick to the MSME segment. We'll continue to stick to the MSME segment. On the profit side, we will not be aiming to see, going forward, we will be investing heavily in the IT because as part of the modernization as part of the transformation of the bank, we have already initiated the process of branch process automation. We have initiated the process of, I did mention in response to another query that we have already started the vendor management system. We have started the customer experience that we are on the etc. I think a lot of investments are happening to modernize this bank.

So your cost-to-income ratio is something that we would be looking at, it might move a little up to about 50%. That's my own bidding of it. I'd have to see how the going forward, the evaluation of additional software that we intend to pick up in our journey to modernize sort of pans out. But despite that, we will be looking at something around, I think we would be looking at a growth of about 10% to 12% between 10% and 12% for the current year. When we close the year, we will be at a lower end of 10% and upper end of 12%. That is what we are aiming for in the current year.

Going next year is something that possibly I can give you a guidance in the first quarter because the transformation journey is something that we really need to look at the kind of investment
Tamilnad Mercantile Bank Limited
January 29, 2025

that is required before we give but I can assure you that the business growth is going to happen and the momentum of even next year is going to be upwards of what I just mentioned for the current year.

Saket Kapoor: Sir, sorry to harp on it, but when you mentioned that it will be we will be investing more on technology and upgrading our system so that the stress could be also be recognized early. So which are the verticals from which where we will be upping our loan book going ahead? And where and what are the, what is our underlying strength that we are going to have more exposure towards the MSME and the RAM sector?

If you could just allude since our geographical presence is also limited, although sir, we have a branch in Kolkata, I am from West Bengal but other than that it becomes quite a Herculean task for a small mid-cap bank in the current environment to go for deposit and the lending part also. So investors would like to get an understanding that there are some there are definitely some missing link that is the stock quote below onetime book also and investors who have invested in the bank are not being able to gain the increased market cap which is not evident in the prices and there is lesser interest also in the investing community with respect to TMB. So how can these factors be corrected,

also steps taken to improvise and improve the investor confidence also because the business aspects are there, but that is not getting on to the ground with the investing community. That is what my basic understanding is, sir.

Salee S. Nair: Yes, I understand, Saket. Taking from your first question, of course, our focus area in the bank is going to be the MSME and retail, but without looking away from the agri, from the gold loan franchise that we have going fairly strong, that has delivered a 35% growth year-on-year, and that will be something that we continue to focus.

And apart from that, as I said, the focus is going to shift as much to the MSME and the retail. I think that is where there is a lot of market for our sized bank to, we don't find any potential there. Particularly when the kind of investment that we are making in the underwriting, the investments that we are making in the automation of the process, is going to have a significant if we can deliver 13% -plus growth in the kind of systems that we have currently and the kind of systems that we're envisaging going forward.

I don't think your business or advances is going to be a challenge at all. That is one. You did mention that you are from Kolkata. Yes, we do have a strategy in place to look at expanding the branches outside the state of Tamil Nadu, and we will do it in a very calibrated fashion.

And, we are also looking at creating the credit management centers outside to ramp up or substantially reduce our turnaround time and ramp up our advanced growth in that region as well. So that is one. And second, on what we are mentioning about raising the investor confidence. I'm sure the investor confidence will flow back as we demonstrate continuously that
Tamilnad Mercantile Bank Limited
January 29, 2025

the numbers at an acceptable level, which let me assure you that, as I mentioned earlier, I don't know that if you have listened to my initial remarks where I did mention that the business, total business has exceeded 10.4%.

And the advances growth has exceeded 13.5% or it has 13.7%, which is the highest in 32 quarters. And the business growth is highest in 14 quarters. So the green shoots are there. The numbers are moving up. And of course, 1 or 2 quarters of numbers is not going to make a difference in the numbers.

So delivered as yet, it's not up to what we would like to sort of tom tom about, but as a number gets more and more evident, I'm sure the investors would come back to this table to the counter of TMB and the market valuations will go up. Rest assured that we are on the job to both improve the business and the profitability.

And like I said, our substantial transformation of the bank through automation of the internal process and release productive impulses, which is going to have a salutary impact, a positive impact on the business and profitability going forward. Rest assured.

Moderator: The next question comes from the line of Anant Mundra from Mytemple Capital.

Anant Mundra: I actually joined the call late, so you might have already answered so pardon, just pardon me for that. I actually wanted to understand, sir, our cost-to-income ratio is quite good as compared to your peers. So it's, I think, below 50%, between 45% and 50%. So I just wanted to understand because you've joined recently, you would want to hire your own team and spend on the tech and upgrade entire system. Where do you see this number settling in the long term?

And I just don't want to understand from a cost-to-income perspective. Like I also wanted to understand, overall, our leverage is quite low. So as and when the leverage scales up, where would our NIM settle, where would our cost to income settle, what do you see the sustainable credit cost and finally, ROA and ROE? So that entire tree is something that I wanted to understand from a long-term perspective. That was my first

question, sir.

Salee S. Nair: I think I did mention this already. Cost to income, we are looking at touching about 50%. We are at 46%, I think it will move further as we start investing. And I think it will be in the 50% range. It will be in between the 50% range. And the next one that you did mention about, what is the next one?

Anant Mundra: Sir, the entire ROA tree. As the leverage goes up, because currently, we have very high capital, but as and when leverage goes up...

Salee S. Nair: Yes, as the leverage goes up, yes, we would be looking at a slight reduction in the NIM. And I did mention earlier in response to another call that we'll be looking at 3.75% to 3.80% and the

Tamilnad Mercantile Bank Limited

January 29, 2025

Page 15 of 16

reduction will be more than compensated by hopefully by the volume of the business that will accrue in, which I did mention that the volumes that we have achieved in the third quarter is if you were not there in the call, it is the highest in the 14 quarters and the advances was highest in the 32 quarters.

So that so the green shoots are happening, and I think the wallet is going forward, we hope to ramp up, see that moving further up. And on the ROA, I did mention that ROA would moderate a little more. I think it is at 1.89%, but we will be defending at 1.75%.

Anant Mundra: Okay. So sir, this ROA of 1.75% is assuming what leverage? Can we do a 10 times leverage with by defending 1.75% ROA?

Salee S. Nair: I have actually not done a backward calculation on it. No, I think we have not done that. We'll have the calculation, maybe off-line, we can tell you, okay?

Anant Mundra: All right. And sir, one just one final question. So our CD ratio is, I think, north of 85%. So...

Salee S. Nair: 86%, yes.

Anant Mundra: 86%, right. So is it safe to assume that our advances growth will be constrained with how much we can grow our deposits? Can we grow advances more than our deposits?

Salee S. Nair: Yes, that is exactly what I did mention this in response to another question. And I also was looking at how the CD ratio was moving quarter-on-quarter. That it was adverse in the first quarter, it sort of was 5 times in the second quarter and came down to 106% in the third quarter.

And this is so we are beginning to see some amount of sustainability in the CD ratio happening.

And I think that in this current quarter, we are looking at bringing it below 100%. I'm talking in terms of incremental CD ratio, okay? Once that starts building down once that comes below 100%, it gets into the sustainable territory.

Of course, you are going forward, I think we will be coming into a much, much 80% the kind of number that we are showing at 86% is the long-term thing that we're looking at currently, at least for the next year. But the trend is getting better and better, it is getting more and more sustainable.

As we see the CD ratio comes to 106% in incremental CD ratio comes to 106% in quarter 3. So that was a worry for us earlier. Now I think that the concern is sort of coming down.

Anant Mundra: And sir, have you given any guidance for FY '26?

Salee S. Nair: I mean, see, this bank is on a transformation journey, which means there is a substantial investment happening in various sectors, various aspects of the banking. I did mention a few of

Tamilnad Mercantile Bank Limited

January 29, 2025

Page 16 of 16

them. We are trying to get papers out of the branches through the branch process automation. We are getting our credit process automated. So we want to focus and get it before we start I can give you a guidance early in early next year when we, when our whatever we are, the journey that we have had, we have started, starts yielding some kind of the results.

So right now, we are taking the pain of having the existing system run along with the automated system parallelly. So we have that challenge. But from

a broader perspective, I did mention for

the current year that we will be crossing 8% plus on the deposit and 30% plus on the advances. And the next year, from again a broader perspective, which I may have to, I may have to tweak

depending on the kind of investments depending on the process flow automation investment that we are making would be a deposit side 10% on the deposits and getting close to 14% on the advances in FY '26, 14% to 15%.

But again, this is all dependent on the kind of what we are looking at the investments taking off, the productivity impulses sort of getting delivered, which we should know by the first quarter of next year.

Moderator: Ladies and gentlemen, in the interest of time, that was the last question. I now hand the conference over to Mr. Nair for his closing comments.

Salee S. Nair: Like I was saying in response to various questions that this bank is in the cusp of a new journey. I think we are looking at this is a legacy bank manually run substantially. So we are doing a lot of investment in a variety of areas in the banking space. I just had mentioned about the credit underwriting, credit automation. We have also set up focused units for driving and strengthening the deposit franchisee. And I believe these are going to yield results in the quarters to come. That is directly and positively going to impact the profit and profitability and the return on equity as well.

So this quarter has been from that perspective, some demonstrative quarter where we have seen the business in a break from the previous muted growth. And we have seen, like I mentioned, across the business of the aggregate business crossing for the 10% for the first time. And that's something that we will build on quarter -after-quarter. Each quarter, you will see an improvement in the percentage of growth in the total business and that's something we are, at TMB, we are committed to. Thank you. Do you want to add something ?

Salee S. Nair : Yes. Thank you.

Moderator: Thank you. On behalf of Tamilnad Mercantile Bank Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Call: Apr 2025

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30.04.2025

The Manager

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Exchange Plaza, 5th Floor, Plot No. C/1,
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Bandra (East), Mumbai - 400 051. The Manager
Bombay Stock Exchange limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001.

Ref: Symbol: TMB / Scrip Code: 543596

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call – Q4 Results

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform that the transcript of the earnings conference call hosted by the Bank on the Audited Financial Results of the Bank for the quarter and financial year ended March 31, 2025, has been made available on the Bank's website at the following link:

Transcript of the Earnings Conference Call – Q4 Results

We are also attaching the transcript of the earnings call with this intimation.

Kindly take the information on record.

Yours faithfully,
For Tamilnad Mercantile Bank Limited

Swapnil Yelgaonkar
Company Secretary & Compliance Officer
Page 1 of 18

Tamilnad Mercantile Bank Limited

Q4 - FY 2024 -25 Earnings Conference Call - Transcript

April 24, 2025

Management: Mr. Salee S Nair, Managing Director & CEO
Mr. Vincent M .D, Executive Director
Mr. Sanjoy Kumar Goel , Chief Financial Officer

Tamilnad Mercantile Bank Limited
April 24, 2025

Page 2 of 18

Moderator: Ladies and gentlemen, good day and welcome to the Q4 and FY25 Conference Call hosted by Tamil nad Mercantile Bank. This conference call may contain certain forward -looking

statements based on the beliefs, opinions and expectations as on date of this call. These statements are not the guarantees of future performance and involve certain risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing a star, then zero on your touch -tone phone.

Today on the call we have with us the following management representatives, Mr. Salee S. Nair , Managing Director, Mr. Vincent Menachery Devassy , Executive Director, Mr. Sanjo y Kumar Goel, Chief Financial Officer (CFO) . I now hand the conference over to Mr. Salee S. Nair, Managing Director from Tamil nad Mercantile Bank. Thank you and over to you, sir.

Salee S Nair: Thank you. Thank you and thank you also for the introduction. Yes, I think we have come out with our results yesterday and as you would see that the results are in line with what we had stated earlier as well and some of the highlights I can go through before getting into the details. In this in FY25, we have delivered the highest ever net profit. If you go back in history, 103 years of the bank's existence, we have been delivering profit year -on-year except for six years in our journey.

So this year is another year where we have delivered a net profit of INR1,183 crores. That's a 10% plus growth year -on-year. We've also delivered an operating profit growth of INR1,746 crores, 18% up from the previous year and a total income which is 12% up from the previous year at INR6,142 crores. While these are the highest ever numbers, if you look at the GNPA, this is the lowest in the last 10 years.

At 1.2% GNPA, it is the lowest in the last 10 years. If I get into some of the details here, the total business has improved 9.58% to INR98,055 crores. If I get a bit of color on to this , then like I mentioned last time, the deposit will double by the year -end. It has, in fact, more than doubled. If you look at the 3.66% was the deposit growth in FY24, we really underperformed the market.

This year, FY24, the green shoots are very, very clearly not as visible. It is they're taking clear routes. The number is 8.43% year -on-year. We did that INR53,689 crores. So on the resource front, we are kind of getting back into the game. Even in the advances side, we have almost doubled what we did in FY 24. 6.35% was in FY24. Now, we are just about 11% and going forward, we will align ourselves to the market.

We are beginning to be aligned to the market. And FY26, you will see that we are aligned to the market, perhaps even a tad better. So on the our portfolio itself, on the asset portfolio itself 93%

Tamilnad Mercantile Bank Limited
April 24, 2025

Page 3 of 18

today stands at the ramp. 93%, this is up 91%. And that's one of the reasons why our stress levels are at the levels that I'm going to state as we go along. The total income, as I said, 11.82% up. Then net profit, 10.35% up. The book value. The book value we share today is at, as on 31st March, is at INR569. That's a growth of 31.80. The CRAR, Capital Adequacy Ratio ratio, 32.71%. That is up 334 basis. So I think one of the perhaps in the industry. The SMA to growth advances, I didn't mention about the GNP that we have for the 10 -year low. Even the SMA is fairly good at 2.55%. So both the first level SMA and NPA together is just 3.80%. That's where we stand from a credit quality perspective. The stress asset ratio, that includes the restructure asset, is down to 2.01%.

The gross NPA, as I said earlier, is down 19 basis to 1.25%. The net NPA is at 0.36%, down 49 basis. It's less than half.

And the ROA for the year is at 1.88% and I'm sure that we have proposed and the Board of Directors yesterday proposed a dividend of 110%, which of course will be subject to the AGM. So when I get into some more details, I did mention about 9.58% growth happening on this total business.

And the shareholder value and net worth is has crossed INR9,000 crores. It was INR7,921 crores. It is 13.74% . The book value per share, I just mentioned, INR568.90. And the earning per share, earning per share is INR74.68. I think it's also an all -time high.

So moving on to some of the parameters, net interest income is at INR2,301 crores. The operating profit, I mentioned earlier, INR1,746 crores and the PCR, when I look at the PCR, with technical write -off, that is the off -balance sheet provisioning, it is at 93.86%. But what is important is the PCR on book, it is at 71.02%.

In fact, we have more than met the RBI guidelines on this, where RBI was suggesting about 70%. 31st March 2025 it is at 71.02%. Nearly 30% up from the previous year. And the 524, it was only 41.33%. The PCR on book today is at 71.02%. Return on asset, I mentioned, is at 1.88. The return on equity is about 14%. Fed cost, 41 basis points. Cost of deposits has moved up in

line with the market. It is at 5.91% up 17 basis points from 5.74%.

And yield on advances is at 10.22%, going a little slower than the deposits, from 10.15% up 7 basis points. The cost -to-income ratio, the efficiency of the running of the bank is down from 47% the previous year to 44.60% in FY25. So that's the cost -to-income ratio.

When I move on, give you some color on the asset quality. I think the asset quality that we are delivering in this, I understand, will be one of the best in the industry. NPA is at 1.25%. Net, NPA is 0.36%. And the slippage ratio is just 13 basis points. It's maintained that. In the last quarter also, it was 13 basis points. In the last quarter of FY25, it was 16 basis points. So you're seeing some improvement happening there. I think the 13 basis is really a three -year slippage that we are quite proud of.

Tamilnad Mercantile Bank Limited
April 24, 2025

Page 4 of 18

When I also look at gold loan portfolio, I think because a significant amount of our portfolio is gold loan. The SMA in the gold loan portfolio is just 0.06%. We have an 18,000 plus gold loan portfolio. The SMA is just 0.06%. And the NPA is 0.01 %. Let me also tell you that in FY25, we offered nearly 4,000 gold loans, jewel loans.

And we have not only recovered our principal and interest, we actually returned 1.46 crores back to the borrowers, which means we are giving the adequacy of the margin, evidencing the adequacy of the margin. And there was no portfolio loss on the gold loan portfolio. And I think that's a portfolio that we are watching very closely from the LTV perspective, from the commodity risk perspective, and monitor virtually on a day-to-day basis.

When I look at the movement of NPA, I did mention that we had a 1.25% GNPA . The gross NPA that we have is INR556 crores . And let me also tell you, it is not because of write -offs. Write -off was just 25.59%. It has been because of upgrades and cash recovery. In fact, cash recovery was 79.16 crores, and write -off, sorry, and upgradation was about INR10 crores. But almost 50 crores came from hard work that we have put in.

And it is more or less offset the first addition that happened. So the closing is at 556, that is down about 20 crores from the previous year. And like I said, the GNPA is at 1.25%. If the provision of 363.50 takes the net NPA to 160, that is 36 basis points. And like I said earlier, the PCR is at 71.02%.

Even in the SMA, as the SMA is a story that I would really like to say, because in FY25, the SMA or the overall

SMA portfolio, which was at 3.97%, has come down to 2.55%. So that's not just the NPA. Even on the SMA side, the bank has got its act right, and we will continue maintaining it. And even looking at the sector -wide also, even in retail sector, we have about 1.3% of the growth. It's only retail, Agri, about 0.07%, MSMB 1.08%, and the others are 0.10%. Totalling to 2.55%.

SMA plus NPA, that is, one day past due, even one day regular. The portion of the portfolio that is one day regular is 3.80%. 3.80%, which means 96.20% has no irregularity whatsoever in the portfolio. I think that's the kind of quality of portfolio that TMB showcasing. The stress effect that the NPA has is down from 2.70% to 2.01%.

I think the presentation has already been uploaded . so I'll skip some of these aspects and come to something relevant from a quality of the portfolio perspective, which is the PCR and the collateral coverage. I think if somebody is referring to the presentation in slide number 31. We had, as I mentioned earlier, we have a 556 crores of GNPA.

That's 1.25% and 363.50 crores of provision . But let me tell you, the 566 crores of GNPA is covered by collateral of 104%. Which means the provision, when this gets resolved, when the GPNA gets resolved, we are looking to book this 300 crores plus or 350 crores plus of provision as a right path. That is a substantial piece of profit of this sort of figurative provisions.

Tamilnad Mercantile Bank Limited
April 24, 2025

Page 5 of 18

On the growth itself, I did mention earlier that we have doubled. Current account and the CASA per se have been a worry for us.

And I will also tell you how we are trying to address that. Because we have lost about 300 basis plus on the CASA share, which has a bit of an impact on the name. But the initiative that we have taken in the last quarter, I think towards the end, has started bearing fruits.

And we saw some uptake happening towards the end of last quarter, the quarter of 2025. We have seen a growth of 2.94%. Deposits overall have grown 8.43%. I think total term deposits

did contribute significantly to that. The 13.37% of the growth coming from the total term deposits, of GNPA course, compensating the CASA loss. But that's something that we will reverse. It's beginning to show some reversal. And I think that will be accelerated in the current year.

To reverse the CASA, we have taken a number of initiatives. I think last week I did mention that we are setting up a transaction banking group. We have in fact set that up in February and it has sort of started functioning. There's a significant number of managers that have been onboarded for this. I think they are in the market and we are beginning to see some signs of an uptick in the current accounts, particularly in the government accounts. And I'm sure that will get accelerated. But I don't want to mention that CASA is going to be tackled. We also set up the Global NRI Center, which I stated that in the last call. That also has been set up. Again, towards the end of the quarter, last quarter. So we are going to see a significant result coming out of that. We have also taken an additional initiative to set up an elite services group to reinforce our high-network liability franchise customers, deposit customers. And not only reinforce them, also to look at building upon their relationship and also ramping up their network customer.

The other piece that we are looking at to ramp up the CASA is we are completely revamping the digital banking. We are bringing in an entirely new Internet banking. We have already signed the deal. And I think in a couple of quarters, I think the entire Internet banking space and the services that will be provided through the Internet banking is going to undergo a dramatic change there.

And on the advances portfolio, yes, 11% growth. Retail at 8.35%. MSME sector is flat. But let me tell

you, the sector within the MSME that we are tackling, that's about 50 lakhs, has shown a decent growth of 12%. So the regrowth is happening in the unviable sector below 50 lakhs. And C D ratio, in Q4, as the deposit momentum picks up, CD ratio has also moderated which is at 82.64%.

There was one question on the unsecured exposure, bank's unsecured exposure in last December Analyst Call. Let me tell you that our total unsecured exposure is at INR160.60 crores. That is 0.36% of our portfolio is only unsecured. And if I look at the SMA, out of INR160 crores, INR7.70 crores, 4.79% is SMA and NPA is just 19 basis points.

Tamilnad Mercantile Bank Limited
April 24, 2025

Page 6 of 18

And if I go a little deeper into the unsecured exposure, INR160.59 crores which I just said it. KCC contributed INR15.54 crores, INR28 crores came from education loan, INR41 crores from the others, INR 75 crores came from PSU, which as you know that the quality is always accepted. So INR160 crores unsecured, so it's no worry in unsecured exposure at all.

And there was also a question on what is the exposure to the MFI? Let me tell you the MFI exposure, our total exposure to the MFI is just INR23.90 crores. That is just about 5 basis points of our portfolio.

I did mention about the last call, investor call, about carving out the credit from some of the branches and refocusing the branches on the deposits, strengthening the deposit franchise. And I think we have already started the pilot and our experience has been quite good.

We are I think pretty much almost completed the business rule engine, the loan origination system and the loan management system has been sourced. I think it'll take a couple of quarters before it comes fully on screen. And the lead tracking system, the customer experience in the lead tracking system has also been sourced and put in place.

And so a lot of IT initiatives that we have started in December and are going to January, February has come down and I think for this to kind of delivering results, I expect another couple of quarters. But meanwhile, I expect this bank to grow, our growth to be aligned with the market, like you mentioned, perhaps a chance higher than the market.

Apart from that, we have also taken human resource, I did give a color of that earlier, that the historic wage revision has been implemented in FY '25. That has today 81% of the staff component on the CTC, cost to company method. And we have also implemented a corporate management system, an automated capital management system, which apart from helping an end-to-end HR management also helps us to align the CTC pay, particularly the variable pay that the bank for. So we are slowly getting the ground force aligned to the profit motives of the bank.

And of course, we did open 26 branches. We put up a few branches on hold looking for perhaps a change in the location, etc. And in the current year in fact, in the current half year itself, we are looking to open about 50 or so branches. So that hopefully should take this number of branches to beyond 600. Today, it is at 578.

So I will take questions from here.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Manish Jain from Wealthcare Security .

Manish Jain: Yes, thank you for the opportunity. What is the advances growth forecast for this year, as well as deposit growth forecast for this year, for the coming year?

Tamilnad Mercantile Bank Limited
April 24, 2025

Page 7 of 18

Salee S Nair: In FY '26, we are looking at a combined growth of 13 % to 14%. Because we believe that the initiative that we have put in place would start taking roots. The first couple of quarters would be a challenge as we get into the change mode as a lot of initiatives are getting implemented, bit of a disruption. But in the second half, we e

xpect significant benefits accruing out of it.

So, overall, for the year, we expect 13 % to 14% of growth, I mean business growth. Within that, deposit should be in the 11% to 12% range, and advances should be anywhere between 15% to 18%.

Manish Jain: Okay . And what kind of guidance is there for NIM s?

Salee S Nair: NIM would moderate a bit, but of course, rate cuts are happening. NIM s would moderate a bit.

When I look at the kind of CASA growth we are looking for, with particularly the TBG or the transaction business group in place, we expect the CASA growth to be higher than the overall deposit growth, moderating to some extent, cost of deposit. NIM would be in the 3.80 % kind of number, 3.80% to 3.90%.

Manish Jain: 3.80% to 3.90%.

Salee S Nair: Yes. And above we are trying to defend, yes .

Manish Jain: Okay, sir. That's nice to hear, sir. And sir, about this cost of deposit and other initiatives, whatever you are talking about, at present, where are we? Like in the last con-call, you had told that by the next year, you will be able to give guidance about all the new initiatives. So, at present, yes...

Salee S Nair: I think I did mention some of it already. The CMC, the carving out of the credits from the branches, we have implemented in one of the regions. That is something that I promised it has already been done in the Thoothukudi region, which is the biggest region for the bank. We have already implemented that. The experience along with the implementation or carving out or sun lighting the credit processes, we have put in place a significant resource for the relationship side and onboarding a few customers . That's happening.

We have also put in place the LOS and the LMS because CMC would tackle both the retail and the MSME and the agri, the entire credit, as I mentioned earlier. So, that also has been linked. That is one. And the other aspect is we have also just about completed the construction of the business rule engine that is undergoing testing at th e moment.

I think that would be towards the end of the current quarter itself, I believe that would be made available. So, that's going to be the nerve center for it. And with the automation, significant automation in the pricing process, we expect the tur naround time to come down sharply and making us a very competitive player in the marketplace. So, that's something that we expect to get benefit of that.

Tamilnad Mercantile Bank Limited
April 24, 2025

Page 8 of 18

That's the reason I mentioned earlier that in the advances, we are projecting something higher than w hat we saw. We got a growth of 11% in the current year, sorry, in FY25. We are projecting upwards of 15%. So, that's on the advances side. To drive, to align ourselves to the market, we have also verticalized the bank in the sense that we have created eigh t verticals within the bank, each driving a specific business area.

And not only driving the business area, also trying to get within that business area to what is happening in the market, to check into w hat is happening in the market or create new product s, to revi sed existing products, to refine the processes, simplify and improve the productivity. Within that business area, we have also created eight verticals, four each in the asset side and the liability side. So, that's the other piece that I didn't m ention earlier.

That's something that we have put in place with very clear budgets. And as I said earlier, 81% of the bank ground force today is on CTC with their variable pay increasingly aligned t o the bank's profits.

Manish Jain : Yes, sir. A nother one question was regarding the advances growth, which you are projecting of 15% to 18%. Sir, I think the norms of Reserve Bank regarding the gold loans and everything in

the recent days and our exposure to the gold loans, basic loans are quite okay, quite good . So, that makes you more confident of 15% to

18% growth and same extension to that question.

And if there is a loan growth of 15% to 18% and a NIM which you are projecting from 3.8 to 3.9 and there are a lot of hidden provisions. So, we can expect a profit growth of 20 % to 25% possible?

Salee S Nair: No, I don't think on the profit front, we are projecting that kind of. A couple of things that we will be looking at this year. One, of course, is a significant amount of capex happening. We did spend about INR155 crores on the IT side last year , but this year I am seeing a significant ramp up of that. In fact, whatever we have contracted already, by way of IT assets and automation processes that we are sourcing,

I think some of the payments are going to happen this year. And apart from that some of the branches that we have, the physical branches that we have, we are also looking at how we can orient it towards a modern with a modern outlook and a modern ambience. So, some amount of expenditure is going to happen that. I think we are trying to look at clean up at least 50 of the branches and re-orient these branches as ESG branches, elite services branches, looking at high net worth individuals.

So, that's going to have some kind of a capital expenses is going to go there. So, while I did mention about 14%, 13 % to 14% growth happening. I'm not - I think the profit will possibly be aligned to that. It will not be greater than that. In fact, I've been looking at only at 10 % to 12% growth for the, perhaps closer to 12% for the current year. Because this is the year when a significant amount of capex is happening, but we will ensure that the CR is at 50% and lower than 50%.

Tamilnad Mercantile Bank Limited
April 24, 2025

Page 9 of 18

Manish Jain : So, sir, this will be the last year in capex, sir?

Salee S Nair: We ramp up the quality of the portfolio. Some, like I said 3.80 to 3.90, some moderation of the NIM also will happen, which will contribute, but the profits certainly will be higher than the growth profit that we have delivered this year. We did deliver 10 .35%. FY26 profit will be higher than that.

Manish Jain: Sir, but this will be our last year of this maximum capex we'll get over in this year?

Salee S Nair: It will be over.

Manish Jain: Okay, sir. Thank you so much for answering all the questions.

Salee S Nair: We will continue to be investing, but I think that will be fully loaded into the current year and FY.27 is the year that you have to watch the year before.

Manish Jain: Okay, sir. Thank you so much for answering all the questions. Best of luck.

Salee S Nair: Thank you.

Moderator: The next question is from the line of Hitendra Pradhan from Maximal Capital. Please go ahead.

Hitendra Pradhan: Hi, sir. Thanks for the opportunity. So, sorry if I missed this. So, you mentioned the cost -to-income would stay a little elevated or will it normalize further?

Salee S Nair: No, cost -to-income, in fact, in the current year we have brought it down. I think it is at 44%. It might move up a little, but as I said, the cost-to-income ratio will be maintained below 50%.

Hitendra Pradhan: Right, sir. And your guidance on ROI was around 1.75% earlier. So, is it still at that level ?

Salee S Nair: It will still be at 1.75%. Yes. Of course, this year, by FY.25, we delivered 1.88 , but there will be some moderation 1.75 to 1.80.

Hitendra Pradhan: And you say your credit cost and slippages have been pretty impressive. So, you see it sustaining at that level or you see some surprises?

Salee S Nair: No, I think we have already factored in the surprises. Let me tell you in FY 25, the largest NPA that we have which is almost 30% of the overall NPA book, the GNPA, we have fully provided.

And if we can recoup that in the current year where there is a possibility then that will add to the guidance of 10% to 12% of net profit. So, I think I don't find much of

a surprise happening on

the GNPA side and we have delivered 1.25% with a 71% PCR. Going forward as well, I think the 1.25% would be different.

Hitendra Pradhan: Okay, sir. Yes, that's all from my side.

Moderator: Thank you. The next question is from the line of MB Mahesh from Kotak Securities. Please go ahead.

Tamilnad Mercantile Bank Limited
April 24, 2025

MB Mahesh: Hi, just a couple of questions. I'm sorry it's kind of a bit late. Just to kind of add on to the previous question that was asked, in your sense what is the kind of feedback that you seem to be getting from your customers of the situation on the ground, especially with respect to exporters and importers?

Salee S Nair: No, sorry, you would mention? Go ahead, I can hear you.

MB Mahesh: Sorry I'll just repeat the question here. The question is that when you look at the situation on the ground and when you ask your business heads about what the feedback is with respect to the implications of your customers on what's happening on the global side, how are they looking at FY26 and how are you responding to it, sir?

Salee S Nair: First, at the bank level, I think the trade finance is one area we are really focusing on. I'll come to the macro a little later. That's something that we are focusing on. And we are also having trade finance specialists onboarded into the CMC setup. I did mention that to you. You have come a little late. So let me recap for you. We are putting in place credit management centers. We have already done that.

In Thoothukudi the experience is good and we are ramping it up to the other regions as well. We have 12 of them. And we are putting in trade finance specialists, product specialists to ramp up this one area. We believe given the kind of clientele that we have, we can really ramp up in terms of fee income, the forex side of it and the trade finance side of it. So that's the first part of it. So that's the only part of it.

But when I look at what the changes that are happening across the world, particularly the US tariffs, etc it has not really impacted our segment as of now. I don't see any kind of significant changes that is happening into the kind of movement in the exports or imports that is passing through our books currently. But just keeping a watch on that.

And like I said, we are putting in place specialists to specifically look at the movement and the changes that are happening and how we can protect our fee income from it, along with giving guidance to the customers on how they can tackle it.

M.B. Mahesh: Okay, perfect. And the second question, sir, in general, have you seen an improvement in pricing for loans, a deterioration in pricing of loans in terms of the competitive intensity from where we are today?

Salee S Nair: Pricing of loans, of course, we have already seen two rate cuts now already with so that's sort of having an overhang on our pricing, in a sense, from an accurate perspective. Consciously also, we are trying to moderate, particularly the MSM E pricing a little. I did mention that the NIM that we will be looking for is 3.8 crores to 3.9. So in that range for the current year, that also looks at a bit of a pricing moderation for our MSME portfolio. And the intention is to move into the market and look for new business where pricing would be a challenge.

Tamilnad Mercantile Bank Limited
April 24, 2025

So that is being factored in. Yes, even in the existing books, we have come across certain challenges, but that is being that has already been tackled in the current year in FY25. And of course, that will continue to be tackled going forward as well. And I'm confident of protecting the NIM by 3.8 to 3.9.

Moderator: The next question is from the line of Jagdish Sharma, an Individual Investor.

Jagdish Sharma: Hi sir, just congratulations for the good set

of numbers. I just have one question. Sorry, I just

have two questions. The first question is like we have 425 branches in Tamil Nadu and the rest of the states we have 1 or 2 in some states it's in double -digits. What are the plans we have because we have opened 26 branches during FY25. What are the plans for FY26 and are we only concentrating on Tamil Nadu or are we on to some other states? This is my first question.

Salee S Nair: We are looking to open 50 branches in the first two or three quarters itself so that we should get up to 50 branches in the first two or three quarters. Hopefully, in the first two quarters itself, maybe there could be a spillover but certainly before the end of December. And we are hoping to open half of these branches in potential growth areas outside the state of Tamil Nadu.

Jagdish Sharma: So, what is the full year number?

Salee S Nair: Full year number would be 50, minimum 50, and half of it outside the state of Tamil Nadu.

Jagdish Sharma: So, my second part of the question is like what is your goal out of Tamil Nadu? Where do you want to have at least 300, 200 branches in next 3 years, 4 years? What are the states you are targeting? That's my question, second question.

Salee S Nair: I think when I look at the profile with 75% of the branches within the state of Tamil Nadu, going forward, we are trying to drop this down to 60%. That will be a three-year venture. I think I did mention this in the last call as well.

Jagdish Sharma: Yes, yes, yes. So, my second question, sir, what about our CEO appointment at the centre?

Where are we on that?

Salee S Nair: Not clear. What?

Management: Can you repeat that?

Jagdish Sharma: CEO appointment.

Management: What? CEO appointment.

Salee S Nair: Sorry, what did he say?

Jagdish Sharma: CEO appointment. Bank CEO, MD and CEO appointment. MD -- there and CEO appointment.

Tamilnad Mercantile Bank Limited

April 24, 2025

Page 12 of 18

Salee S Nair: We'll take a call at the appropriate time. The management bandwidth is now strong and I think that is getting also reflected in the results that we are seeing. It is strong. I think we are pretty much all the positions at the executive vice-president level is now full. And we will look at it now.

Jagdish Sharma: My final and last and final question is, whether we are on track to achieve 16% to 18% ROE by FY26 or FY27? And when do you think we will achieve that number, 18% ROE, 15% to 18% ROE?

Salee S Nair: 18% ROE is, FY26, I don't anticipate that. I think FY26, we will try and, the number that we looked at in FY25, which is about 14%, is something that will continue, perhaps a little better for FY26. But FY27 will be better, but 18% I think would be yearly.

Jagdish Sharma: Congratulations for the FY 26.

Moderator: The next question is from the line of Saket Kapoor, from Kapoor and Company.

Saket Kapoor: Sir, Thanks for the opportunity, I joined a bit late, so sorry for any repetitive question. But sir, you mentioned in answer to a question that FY27 would be the year to watch in terms of the profitability growth and for the investing community as a whole. So if you could just allude to us what factors will culminate from two years from now, or what levers will be in play that will result in that year to reckon for the bank?

Salee S Nair: FY27 is only a year from now. We're talking about next year. Why one, of course, I've also said that we would be largely aligned to the market growth in FY26 itself. I did mention that we will have a 13% to 14% growth. That is the first part of it. And this is going to happen despite the fact that we anticipate some disruption to the changes that we are bringing in. We have brought in a lot of initiatives, both on the HR side, and as well as on the technology side. The processors are being automated. There's a whole lot of changes that are being made a

s the ground force gets
tuned to these changes.

We anticipate a bit of disruption that's happened. That is why I said that the kind of growth that we would love to see in the current year may happen only in the next year, because while the ground force gets accompanied to the changes and start delivering the productivity that we are envisaging from these changes, I think this year we will see the bank aligning to the market and perhaps going a little better. But next year, I think the full benefits of the initiatives would be made available and we see a significantly higher growth.

Saket Kapoor: For the benefit of your investors, could you outline what are the disruptive changes that have been put into place and how are they going to play out in terms of the profitability? As a Q-on-Q, we have seen that even though our net interest has gone up, but our operating profits were flat. So if you could just comment two points and then I have two more questions?

Salee S Nair: The first aspect is that we have created very clear eight verticals in the bank with clear business targets. That's on the asset side and on the liability side. That is the first thing that we have done.

Tamilnad Mercantile Bank Limited

April 24, 2025

Page 13 of 18

And each of them have been given you to look at the market, look at the products in the market, refine the products that we have, refine the processes that we have in terms of delivery of these products, automate the process of delivery. I think they have been given very, very specific targets of how to make the competition dead on.

That is one aspect of the verticalization of the bank. It has been brought about from that perspective. Second, as I think I mentioned earlier also in the last few about half an hour or so, about the changes that we are bringing in, the automation that we are bringing in, the kind of credit management center that we have brought in to centralize a bit and benefit from the scales of economy, economic scales rather. And that's one major thing that we have brought in in the

way that we are conducting our operations.

We have also brought in transaction business group, the global NRI center going to attracting we have significant pressure where the NRIs are concentrated and we want to take advantage of that. We have brought in the global NRI center. We have set up in this month, in the month of April as just about a week back, elite services group which, of course, will take a bit of time to take root, to reinforce our high net worth individual, ramp up their value for the bank in terms of both product offerings and their outstanding in CASA and the term deposit.

So that ESG is something that we have taken root. And as I mentioned that in HR initiatives, we are going in for a major skilling program. We have, in fact, conducted a test across all our HR, human resources, a test conducted to understand their talent. I think that test has been conducted across all the ground posts that we have. The test was conducted by the Indian Institute of Banking and Finance to understand where their talent lies so that we can appropriately deploy them. That itself is completed.

That has been completed and our redeployment is based on significantly takes inputs from them as well. So HR skilling is a major activity that we are engaged in. As I said earlier, the wage revision that we assigned, which is historic in nature is now has 81% of the force, the HR force that we have on the CTC model where it is aligned to the profit generation, the variable, that component is aligned to the profit ambition of the bank.

So a lot of initiatives have been taken and on the IT side and significant capex is happening. Internet banking has been completely revamped, significant amount of services to be provided through the internet banking that is on. I think we will see that how we can avoid customers

coming to the bank and have all the services delivered through other channels, other digital channels.

I think that's a major one. I think it will take a couple of quarters and maybe it will move into the third quarter before we see the benefits of that, benefits of the changes in that. The automation of the credit appraisal system, as I said earlier is on. The business rule engine to tackle the low value accounts up to 50 lakhs in an automated fashion, decisioning based on the data. That's pretty much completed.

Tamilnad Mercantile Bank Limited
April 24, 2025

Page 14 of 18

It's in the testing phase. LOS, LMS to manage end-to-end credit customers, that is on, it's getting done. Take another couple of quarters before it sort of fructify and start delivering profits, sorry, and business. So I think there are significant, many, many initiatives have been taken and I anticipate all this to deliver results. Going forward, certainly, partly in the current year and certainly in a substantial manner in FY 27.

Saket Kapoor : Sir, thank you for the elaborate answer. You did allude to 15% growth that is what we should envisage in our net profit for this financial year, sir, that is what you are looking for?

Salee S Nair: No, I didn't say 15% growth. I said 10% to 12% most added workloads in the current year.

Saket Kapoor: In the current year. No, I think you also spoke something about our profitability rising by, may incline to increase by 15% for this financial year. I think I heard you mentioning that also?

Salee S Nair: I didn't say on that. I said the growth 13% to 14%. What I did mention is that I did mention 10% to 12% on the net profit because of the capex and that we'll be taking some time effort both in the branches and the physical appearance of the branches as well as in the digital appearance of the branch or digital appearance of the bank. What I did mention was that on the GNPA front, that we have a particular account with a 30%, where 30% of the current GNPA is on account of a particular account.

If it gets dissolved in the current year and it has been fully provided, so that would be a cut off.

So that's what I mentioned. I did not mention about 15%.

Saket Kapoor: Okay. And sir, which sector is it? I just concluded my talk. Which sector the GNPA is, which you are mentioning 30%.

Salee S Nair: That is in the corporate sector.

Saket Kapoor: Which segment, sir? Which industry, sir?

Salee S Nair: Spinning Textiles.

Saket Kapoor: And lastly, sir, are we fully funded to fund the growth or we would be needing any type of equity inclusion or bond issuance to fund the growth for FY27 and onwards? And secondly, sir, the Reserve Bank stand on monetary policy now becoming accommodative and going ahead also going to remain accommodative for the near future. And also the abundant liquidity in the system.

How do we see that playing out in terms of the profitability, in terms of the NIMs and other factors? Because you have already lowered the NIMs trajectory to 3.8, I think, for this financial year. Now with liquidity and things improving, how is banks of our size aligned to the current

monetary environment in the country?

Salee S Nair: Yes, first question part of your question about additional funds. I think the CAR capital adequacy ratio of 32.71% that is up 334% in the year itself. I don't think in the foreseeable future we'll be

Tamilnad Mercantile Bank Limited

April 24, 2025

Page 15 of 18

requiring funding from the capital markets. That is one. I think our challenge is to spread these extra funds that we have in terms of growth. I think that's where we'll be focusing on. The growth is there. I think our single-minded focus is on currently. And I did mention, when I mentioned NIM of 3.80 to 3.90, we have already factored in a possible 50 basis cut.

Saket Kapoor: Yes, that is correct, sir. So

I was just trying to understand, earlier the NIMS improved when we were in an environment where there was a tightening of liquidity. And now we are in an environment where liquidity will be abundant and the growth from there, it will be the corporates whose capex and all will be driving the growth, which is not in the annual as of now. So how is the banking system aligned, especially in terms of the small-sized banks of our nature, which are specific to a specific geography? So that was my question.

Salee S Nair: So that's an advantage that we have. In fact, a large-sized bank like State Bank of India will mirror what is happening in the market in a much more transparent way. On our side, I think our pockets of influence are greater when we are strong for us to withstand some of this pressure. On what you mentioned about the liquidity easing, yes, it is easing, but so long as it's not felt on the deposit rates. We are looking at the deposit rates continuing with the existing. We are anticipating that the deposit market will continue to be a challenge.

We'll have to look at how the capex side is happening, the income tax relief that has happened, how it is going to play out, how the mutual fund, the move towards the mutual fund in terms of the SIP is going to play out, and how the larger industry in terms of the pricing of the deposit, the particular deposit is going to play out when we look at the NIM. To put a further color to it, I did mention that we have started the transaction business group from a focus on the current account space.

And the elite services group that I did mention subsequently is going to focus on this CASA. So CASA is going to be a major focus for us, which we are trying to even if the deposit, the market becomes a little tight, we would use the CASA as a means of keeping the CASA to market. And if the thing eases out, and if the anticipated liquidity happens, the flow of funds into the banking sector happens, it's a bonus for us.

Saket Kapoor: Yes. Thank you, sir, for elaborating the answer. And sir, we as investors hope that market will also start valuing the enterprise value. Also, we are trading much below even one-time book, and taking into account, I think the 550, I think is the book value, correct me there. It is for investors' waiting time for a period for a very, very long period to get adequately rewarded. So we are still in the wait mode only to reap gain from the remaining investors in TMB, sir. That was only my concluding remark, that the wait is very long for us, yes.

Salee S Nair: Like I said, we are fully aligned to it. I myself am investor in TMB, and we are fully aligned to it. And whatever we are trying to do is to generate the kind of growth. Like I said, from FY '24 to FY '25, the growth has doubled, and the deposit is more than doubled. And of course, the initiatives that we have taken led to bear fruit from that manner.

Tamilnad Mercantile Bank Limited

April 24, 2025

Page 16 of 18

This has just been in terms of our own monitoring of business growth internally that has generated. And once the business initiatives that we have taken start bearing in the growth, we anticipate to move up further. And like you said, the wait for a better valuation, I think it is going to be over sooner than you think.

Because the growth is happening, the profits will come, and as we go forward, the graph, we anticipate to trend upwards. But it is certainly from both the growth perspective and from the profit perspective.

Saket Kapoor: Thank you, sir, for all the answers.

Salee S Nair: It is the market that has to give us the valuation. I am sure the market will understand, because market is, after all, we will understand numbers better than us and digest it and give us the value that we deserve.

Moderator: Ladies and gentlemen, this will be our last question. It's from the line of Manish Jain from We

althcare Securities.

Manish Jain: Thank you for the opportunity, sir. Sir, what percentage of our business comes through the digital channels? And where are we compared to other private banks? And what are our future initiatives in this segment, sir?

Salee S Nair: Through the digital channel, it is, I would say, very close to zero, right, 2% to 3%. But of course, and the advances side is fairly those are the initiatives that we have taken. On the advances side, I just mentioned, we have put in place the business rule engine, which has just been the construction of which has just been completed, and it is under testing phase, where we intend to use data for decisioning, credit decisioning. I think that you will see starting from maybe later part of the quarter, or in the second quarter, the current year, it will go on stream.

So, a significant particularly the low value, the below 50 lakhs, we will be significantly using digital means to onboard and also for decisioning purposes, sanctioning purposes of such loans.

So, I think that hopefully should significantly reduce our own operational cost of managing these accounts. So that process is on. I think that is one of the initiatives that I mentioned is aimed at. Currently, it is very, very low. I don't want to really nothing worth speaking about. But as we go by, I think the onboarding of customers would be significantly through the digital channel, both on the liability side and on the asset side. In fact, we are, as I speak, we are completely revamping our onboarding journey on the current account space.

Salee S Nair: You are talking about the business, right, or the transaction?

Manish Jain: Yes, both, sir, both.

Tamilnad Mercantile Bank Limited
April 24, 2025

Page 17 of 18

Vincent M.D : Transactions, as of now, it is more than 90%. We have not rolled out any product like pre-approved loans, which is available through digital channels. And thereby, the business growth is as MD and CEO has mentioned is 50%. But our customers do use digital channels like Internet banking and other digital forms. And transactions are 90% of transactions are happening through digital channels.

Manish Jain: Sir, and business, you told how much, 44%?

Vincent M.D : Business is roughly 2% to 3%.

Salee S Nair: That's onboarding of advance customers. Credit customers are normally through legacy means. And our entire initiative is doing that through other means. We have put in place a large relationship manager post. That's a part of we're also looking at how it can be onboarded through various other layers.

Manish Jain: Okay, sir, okay. Thank you for the elaborate answer. And best of luck, sir.

Salee S Nair: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today's conference call. I now hand the conference over to Mr. Nair for closing comments.

Salee S Nair: It was good to talk to the group here. Of course, I've not been able to see, but the voices were very clear. And like I said earlier, FY '25 has been a year where we are still we have tried to break from the past in terms of growth in business numbers.

We have partly, or rather more than that, what I mentioned in the last December results call that we will look at double the deposit growth. And that has actually happened. We have more than doubled it. I mentioned 8%. We have crossed it. We are at 8.40%. The overall business number is also, I think, is a tad below. I accept that it's a tad below the market. It's 9.58. But FY '26, we will see that it is aligned to the market or perhaps even better than the market.

And our stress quality, the management of our stress is perhaps as good as the best in the market, 1.25% GNPA, SMA at 2.55%. Both combined 3.80% of it's perhaps one of the best in the market. Adequate capital adequacy ratio is very good at 32.71%, PCR at 71%.

And finally delivering a net profit of 10

.35% and we are a lot of initiatives have been taken to push up both the business levels and net profit. And I'm sure that the FY '26 numbers that we will deliver, we are confident that it will be significantly it will be better than what we have done for FY '25 and that's our endeavor.

I think a significant amount of initiatives have been taken. I did mention about verticalization. I did mention about IT initiatives. And of course, also about how we intend to turn our branches, at least some of them, into both in terms of appearance and in terms of orientation for the business growth.

Tamilnad Mercantile Bank Limited
April 24, 2025

Page 18 of 18

So I think we are fairly confident. I think confident in the sense that the initiative that we have taken is beginning to show some growth. The green shoots are very, very clearly evident and that gives you the confidence that FY '26 is going to be significantly better than FY '25 and as I said initially, FY '27 is the year that you have to watch out TMB for.

So thank you once again for coming and joining us on this call and I'm sure any other questions that we have, we can also take it separately as well. Thank you.

CFO : You've covered everything. A couple of points I just wanted to sort of address here. That is in terms of NPA management. We have travelled a lot from a position of INR1,084 crores in 2021, which was 3.44% of our portfolio. Today, we start at INR556 crores which is half of what we were in 2021. And similarly, net NPA, if you look at it, this year's position is INR160 crores, which was against INR335 crores last year, which is against more than 50% reduction in net NPA. So these two points I think the investors should take note of and thank you very much.

Moderator: Thank you. On behalf of Tamilnad Mercantile Bank Limited, that concludes this conference.

Thank you for joining us and you may now disconnect your lines. Thank you.

Salee S Nair: Thank you.

Call: Jul 2025

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Ref.No.TMB.SE. 57/2025-26

31.07.2025

The Manager

National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor, Plot No. C/1,
'G' Block, Bandra - Kurla Complex,
Bandra (East), Mumbai - 400 051. The Manager
Bombay Stock Exchange limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001.

Ref: Symbol: TMB / Scrip Code: 543596

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call – Q1 Results

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform that the transcript of the earnings conference call hosted by the Bank on the Unaudited Financial Results of the Bank for the quarter ended June 30, 2025, has been made available on the Bank's website at the following link:

Transcript of the Earnings Conference Call – Q1 Results

We are also attaching the transcript of the earnings call with this intimation.

Kindly take the information on record.

Yours faithfully,
For Tamilnad Mercantile Bank Limited

Swapnil Yelgaonkar
Company Secretary & Compliance Officer
Page 1 of 19

Tamilnad Mercantile Bank Limited

Q1 - FY 2025-26 Earnings Conference Call - Transcript

July 28, 2025

Management: Mr. Salee S Nair, Managing Director & CEO
Mr. Vincent M .D, Executive Director
Mr. Sanjoy Kumar Goel , Chief Financial Officer

Tamilnad Mercantile Bank Limited
July 28, 2025

Page 2 of 19

Moderator: Ladies and gentlemen, good day, and welcome to the Tamilnad Mercantile Bank Limited Q1 FY '26 Earnings Conference Call. This conference call may contain forward -looking statements based on the beliefs, opinions and expectations as of the date of this call. These statements are

not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star, then zero on your touch-tone phone. We have with us on the call today Mr. Salee S Nair, Managing Director and CEO, Mr. Vincent Menachery Devassy, Executive Director, and Mr. Sanjoy Kumar Goel, Chief Financial Officer. I now hand the conference over to Mr. Salee S Nair. Thank you, and over to you, sir.

Salee S Nair: Good morning, and thank you, R Eyo, and it's a pleasure to be part of this analyst call today morning. Yes, I think if you look at the performance of Tamilnad Mercantile Bank for the first quarter of FY '26, I think we have delivered a creditable performance. And also, if you look at the larger picture, we have stabilized more or less the operations also have now been stabilized. The foundation is getting laid, rather a strong foundation for a take-off in the subsequent quarters.

If you look at the business, I think business has always been a worry, particularly with deposits, whether we would be we are in a position to raise it. I think that's something that has seen an uptick, both deposits and the total business. Now it stands at 30th of June, it stands at INR 98,923 crores, up 9.86%. And deposits on a year-on-year basis has more than doubled to 9.38%, it is at INR 53,803 crores. Incidentally, this bank has crossed INR1 lakh crores. I think that's the first peak that has been done. I'm sure many more such peaks will follow.

So deposits, as I said, has more than doubled. The pace of growth has doubled. So we are really, really seriously getting back into our resource mobilization for the kind of growth that we are anticipating. The CASA has been a worry, in fact it has been a worry across the system, and in the bank as well. And I did outlay that outlined the last quarter and the previous quarter that we have taken a number of initiatives in this. And it is beginning to deliver, including the transaction business unit that we set in place.

And in the first quarter, I think, again, the trend of declining CASA has been arrested, and we have been able to reverse it with a year-on-year a modest year-on-year growth of 4.51%. On a quarter-on-quarter basis, this is an improvement of 34 basis points on the CASA share. RAM continues to be our focus, and that's up 11.93%. It currently stands at as on the 30th of June 2025, stands at INR 42,100 crores. There has been a slight compression of NIM.

I'll come to that later. The operating profit is at INR 412.26 crores. It is lower on a year-on-year basis. There are reasons for which, which I'm sure I will explain. Net profit is up 6.13%. So on

Tamilnad Mercantile Bank Limited
July 28, 2025

Page 3 of 19

the operating profit, what we have also done is we have up fronted some of the costs that in the first quarter itself, we normally provide the performance-based incentive.

In last year, that was about INR 36 crores, INR 37 crores. And it's normally amortized. So, first quarter of last year, in FY '25, we have taken just INR 8.74 crores. This year, the entire INR 41.27 crores has been up fronted and has been absorbed in the quarter itself. So despite that, we have been able to deliver a 6.13% growth.

Again, on the net profit side, on the operating profit side, both intercon

nected, of course, is that

we did have one -off in first quarter of FY '25, which including recoveries in the technical return of accounts that was not available in Quarter 1 (Q1). So accounting for all that, I think it is a decent operating profit that we have delivered, a decent net profit that we have delivered. And coming to the stress side of it, the credit cost is just about 6%.

Again, tight control, GNPA down 22 basis, 1.22%. NNPA, year-on-year, 33 basis, 32 basis down, virtually, it has halved. Return on assets was at 1.88% and it has come down to 1.82%, a reduction of 6 basis. But sequentially, if you look at what we stated last quarter when we were analyzing the results of FY '25 and the Quarter 4 (Q4) of FY '25, the March quarter of FY '25, it was at 1.81%.

So there also sequentially, it has moved up. Return on equity, of course, is 13.30%. It's down, but more or less stable at the moment. And PCR on book is 73.04%. So and that's a sharp increase that you have seen up from 55.22%. 17.82%, we have ramped it up to 73%. That is on book. That is the PCR on book.

And if you also take the technical write-offs, it is 94.32%. As I was saying that we did take a lot of initiatives on the CASA side, including we did we, in fact, opened 7, both on digital side and on the branch expansion side, I think this quarter itself, we have opened new branches, all aimed at deposits and also in particular, CASA. The transaction business group that we have initiated in early last quarter is slowly beginning to help us turn the tide on CASA.

We have also introduced online account opening towards this. And the sum and substance of the

aggregated initiatives taken is we have seen a year -on-year growth of 4.51%. The CASA stood at Rs. 14,411 Crore level, which I'm sure, going forward, the riding on the initiatives will get strengthened. Retail deposits continues to be good for us, 11.25%, including the bulk. Bulk is also pointing out to the kind of high net worth individuals that sort of banks with 11.43% term deposits altogether at 11.28%. So on our resource mobilization, I think our initiatives, the branches are beginning to take and the growth is now beginning to come. I think 9.38% as I said earlier, it is more than doubled what we have done on a year -on-year basis. So CASA share is up 34 basis as I just mentioned, it is at 26.78%, up from 26.44%. So year-on-year deposit growth, I think, has been steadily picking up over the quarters from 4.64%, it has moved up, now stands at 9.6%.

Tamilnad Mercantile Bank Limited
July 28, 2025

Page 4 of 19

So in no quarter, we have the growth has flattened, which points out to the kind of focus that we are bringing into the area into this area. And we expect the CASA also to mirror that going forward riding on the initiatives we have taken. On the advances, yes, on the MSME side, we have a lot of initiatives being taken, as I did mention in the last call as well that we are setting up credit management centers and the quarter we have spent, in fact, in tweaking days and training a large population of who are going to be in the CMT, the credit managers relationship managers.

There was a large contingent undergoing training and as well as we are also looking at setting up the online platform. So there has been a bit of a disruption there, which is in the nature of laying the foundation, strong foundation for MSME sector.

In fact, this is one sector that this bank would be seriously focused on. And you can see some of these as the quarters pass by. Overall, on the RAM side, I think we did deliver the bank did deliver 11.93% of growth. And overall, the growth stands at 10.44%. 30 June, we closed at INR45,120 crores. The CD ratio continues to be 83.86%. I think it's under 85%. We would like to see it remain around 85% or under 85%. We're not really worried about this because our capital adequacy ratio is in excess of 32%.

ess of 32%.

And leverage ratio is 12.44%, which is something that gives us I'm sure not just this bank, I'm sure the investor community also will take a lot of comfort on that. There has been a lot of talk in the market about unsecured portfolios, right? I think RBI and the system, the banking industry itself is worried. And then I come to Tamilnad Mercantile Bank, unsecured portfolio just answered 0.28% of the advances that is 0.28%. So we are largely secured. Our portfolio is largely secured or almost entirely secured.

And even in the unsecured exposure, the NPA is 0.43%. So even there, I think our tight control on the stress continues. On the financial performance, interest income is up 8.20% and operating profit operating the total income is at 6.77%. Again, like I said earlier, there was a one-off in Q1 of FY '25, which helped sort of improve the interest income in that quarter.

If you look at the expenses, you will see that there's a number, 20.24%, and particularly the employee cost was 24.24%. That is on account of, as I just said, that the entire performance-based incentive, INR 41.27 crores that ordinarily in the previous years was amortized over the quarters.

We have taken as a conscious decision to absorb it in the first quarter itself. So, if you remove that, if you even the employee cost comes down to 6.70%, from the 24.24% that is shown there. So overall, that also has impacted the operating profit. And net profit is at 6.13%. If we had negated all that, it would have been in excess of 10%.

So, the shareholders value, we continue to deliver book per value of INR 589 crores and a net worth of INR 9,328 crores. On the NPA, I think this is, again, continues to be our major focus in the bank to control this stress.

Tamilnad Mercantile Bank Limited
July 28, 2025

Page 5 of 19

And if you look at it, it is below INR 550 crores. And that INR 550 crores has been delivered with 0 write-offs. So it is entirely the reduction is entirely the gas recovery and the rate and also accounting for the fresh addition. So that's something that we are fairly proud of. GNPA, like I said, is at 1.22% and NNPA, 33 basis points. Slippage ratio 5, basis points. I think another it is just at INR 22 crores, down from INR 54 crores in the previous quarter and year -on-year down from INR 55 crores.

SMA continues to be an acceptable level at 3.05%. And stressed asset 1.88%. And the other aspect that I would like to bring to the attention of the analysts is the collateral coverage that we have. On the stress book, as I said earlier, our stress book GNPA is below INR 550 crores. It stands at INR 549.12 crores and the collateral cover of this book is 108%.

And we have provided this book INR 370 crores. So which means that once we start resolving this, which I'm sure will happen over the next year plus through the year and the year plus, this provision that we have given is likely to largely likely to return.

So on the key ratios, the NIM, we did take a bit of a hit, 3.84%. Then this is something that was anticipated. And if you recall, I did mention in my last analyst call that our NIM would be between 3.80% and 3.90%. Of course, we did have 2 rate cuts that happened 0.5% initially and 0.5% subsequently.

I think that would that impacts the NIM as the repricing of term deposit, I think the bulk of it about 66% of our term deposits is in the 1 to 2-year bucket. So it takes a bit of time to reprice it, and that is impacting the cost of deposit. But even then it is at 6.01%. And the yield on advances is also, I think it has marginally come down 10.02% and 3.84%. And this number of NIM 3.84% going forward, we expect it to be in that range or marginally move up.

Now I'll stop here, and I think I will take some questions and answers questions, and I'll be happy to answer them. Thank you.

Moderator: Sure. Thank you very much. We will begin the Question and

answer session. The first question

is from Jai Chauhan from Trinetra Asset Managers. Please go ahead.

Jai Chauhan: So I just have one question. So sir, the NIM moderating from 4.25% to 3.84% in Q1 FY '25 and your guidance of 3.80% to 3.90% for FY '26. I just wanted to know what specific strategies are you implementing through your transaction business group and services initiatives to improve your funding mix? And how sustainable is your deposit cost management given the competitive environment? And what levers do you have to defend margins in a declining rate cycle?

Salee S Nair: Yes. Of course, I think it goes without saying that the market is really competitive for deposits, particularly when you look at the fight of deposit in looking for higher yields and what's happening in the mutual fund industry. So we were conscious of it. And that's why, in fact, in the last year's call itself, I did mention that we have started a transaction business unit aimed at getting the CASA or retaining and strengthening the CASA base. And I think over 100 relationship managers have been posted exclusively for particularly the current accounts.

Tamilnad Mercantile Bank Limited

July 28, 2025

Page 6 of 19

And current accounts is the focus, current accounts and the past accounts, and they have been posted, and they are now in the market, and that's beginning to show in some of the numbers that are coming in. So the CASA mix, as I just said, riding on the transaction business that have been initiated virtually across many of our strategy branches. We do have a relationship manager in strategy branches placed to look at the CASA, particularly top part of it.

And like I said, that's beginning to show some results. On a quarter-on-quarter basis, our CASA share has gone up 34 basis. And this is something that we will continue. We have just launched, in fact, in this month, an online onboarding process for the current account holders. And we are also looking at several initiatives at the branch level itself.

In fact, we are looking at nearly 200 data entry operators to relieve pressure on the counter and so that they can start also looking at referrals and asking for savings bank accounts. In addition to this, we have also set in motion launched elite services group that is aimed at the existing depositors, particularly the savings bank holders.

And this elite services group would have relationship managers giving them end-to-end services to some of the high net worth or high deposit customers or whatever. So that's just been set in place. And both the initiatives together, I trust and I am sure will help us retain the existing customers as well as improve the CASA, the CASA customers going forward and the CASA share in the advances, we are hoping that it will start inching up. And I think is that you want is that okay? Or did I miss out any of your any part of your question?

Jai Chauhan: No, sir. Nothing. That's from my side that's all.

Moderator: The next question is from Lakshminarayanan from Tunga Investments.

Lakshminarayanan: A few questions. As a bank, I look at it, we have one of the best ROEs among all the private sector banks, especially the old gen private sector bank, and we have the highest capital adequacy. We have the best GNPA, right? But I find something is holding us back from growing our core, which is the MSME. And if I look at the last full financial year, the growth has come from gold loans and MSME has actually been struggling for us.

Now is it a conscious choice or we are actually losing market share? Because when I look at some of the large private sector banks like the ICICI, HDFC, Kotak or even Investment Bank,

Axis, the growth is coming from the so-called business banking plus SME banking while we seem to have either consciously holding us back. And I mean, it's just trying to see why with such strong positioning, we are holding

back growth?

Salee S Nair: Lakshmi, let me tell you that MSME is the focus for the bank. It's obviously Mercantile. Now when you look at the name Mercantile itself suggests that we have to be there in the MSME space. If you look at the first quarter, I was just mentioning that we are putting in place a lot of initiatives laying the foundation. I did mention in the last call also that we have started we have set up credit management centers.

Tamilnad Mercantile Bank Limited
July 28, 2025

Page 7 of 19

And when we were looking at centralizing some of the process, we realized that it has to move in conjunction with the automation of the appraisal process itself. So I think that process so we have just sort of stepped back from that. The automation process is now being pushed, and we expect by September that process to come online. Hitherto this bank was looking at MSME processing in a manual way.

And that you can't have you can't scale up when it is done that way. So we have now contracted with one of the top service providers or software providers in the country to source a LOS package and a loan management system package. That implementation, we have already contracted. That implementation has started last quarter. It is not an easy it takes time to get this get it on the ground and get the productivity gains from that to start coming in.

And that's one aspect of it. The second aspect of it is that we have also recognized that some of our when we enter the market, we should enter with relationship managers and credit analysts of adequate skills. And that's something that we focus in the first quarter so that we have the foundation laid for a strong foundation laid for a take-off in the other quarters. So there have been a substantial training, several, in fact, credit analysts have been trained twice in the first quarter.

And in addition to that, even the relationship managers have been trained even not only within the bank, we have also sent them to train outside. So this skill set improvement that we are focusing on, along with the kind of investments that we are doing it on the online appraisal system, which I just did mention, the loan origination software, the loan management software, both in the MSME, gives me the confidence that the numbers, if you look at the first second quarter, it will begin to show.

And in addition to that, we have also set up TMCs in the other centers, we have not formalized it. We have placed our leadership there, and we are getting them to move into the market and start looking at new business. Now that's also yielding some business, so me kind of a flow is happening.

And today, when I look at the pipeline, and I'm having a healthy pipeline of close to INR 1,000 crores, which is under process and which I'm sure is going to show some numbers, which is going to increase some numbers for the second quarter. So to put it to summarize it, yes, that is going to be our focus, and that is where you will see some numbers happen in the second quarter and going forward.

Lakshminarayanan: So what kind of growth the bank is either internally budgeting right? Is it and which is the key segment because last year, the growth has come from gold loans and particularly in agriculture. So what would make you happy at the end of 1 year when you when the full financial year is ended, what kind of growth will keep the management?

Salee S Nair: Yes. Lakshmi, let me tell you that the growth or the focus, gold to us is an OTC, over-the-counter product. That will continue at the branches. The current growth momentum will continue.

Tamilnad Mercantile Bank Limited
July 28, 2025

Page 8 of 19

There's absolutely no reduction in that. We will continue there. But where the focus of the bank is currently in ramping up the MSME.

So you look at MSME and the continued growth in the gold loan, I think together, we'll

be -- I

did mention last call also that we are looking at about 15% kind of growth. I'm not anticipating particularly the MSME side. Even in the first quarter, we anticipated that there will be a bit of a disruption and the growth will not happen.

Like I said, the foundation is being laid. Second quarter also, I don't anticipate there will be some growth, but not to the extent. But in the second half of the current year, that is when we would have both our focus areas, skilling up the on staff as well as the loan management because the Phase 1 of the loan management systems also would have gone live.

And I think we will see the benefit of that in the second quarter happening. So both together, from the 10.44% that is largely riding now on the gold loan. We expect once the growth also starts coming in through the from the MSME, MSME sector and MSME portfolio, I think together, I think we should see the growth moving up to about 15%.

Lakshminarayanan: And sir, one question related to your annual report. In the annual report, certain accounts were actually mentioned as fraud. So, I just want to understand how much of that has been is actually being provided in the last 2, 3 years? What is the breakup?

Salee S Nair: No, I think let me tell you, as per regulation, the fraud account has to be fully provided in the same year. And obviously, the fraud accounts, we have provided 100%. But what is the number in the area?

Lakshminarayanan: No, because there is one which was which happened in I think 2 years back, one cotton thing in Andhra, which was almost like INR 165 to INR 170.

Salee S Nair: Yes, Andhra -based accounts, and it is, in fact, the largest of our NPA, and we have provided it 100%.

Lakshminarayanan: And that has been provided as called out as a fraud account?

Salee S Nair: See it was declared, but they went to court and RBI has advised us to actually take the tag off. So it is not called a fraud account at the moment. But despite that, we have provided as a prudent measure, 100% provision.

Lakshminarayanan: Thank You sir, I will get back to you

Salee S Nair : Thank You

Moderator: Next question is from Sana from Evergreen Capital. Please go ahead.

Sana: Hello, Good Morning, Thank You for the opportunity

Tamilnad Mercantile Bank Limited

July 28, 2025

Page 9 of 19

Salee S Nair: Yes Sana, Good morning

Sana: Sir, I have few questions. Like the first one is a retail and retail advances. We have seen significant growth at 27.91 on Y -o-Y basis. Can you please elaborate on which sub -segments like are driving it? Like is it housing loan, personal loan or vehicles?

Salee S Nair: No. I think housing loan has really not sort of stable at the moment. It's largely coming out of the personal loans. And to a large extent, it is coming out of the gold loan, where we have not started prying open that segment as well from a gold loan perspective.

Sana: All right, sir. Noted. And sir, in MSME book, what is the life term? And MSME loan portfolio, can you please share the composition in the terms of sub -segment? And which areas are currently under stress? And what is the average ticket size of our MSME loans?

Salee S Nair: In the MSME side, we do have you are looking essentially for the stress in the MSME side, right, or you're looking for the segment of the MSME?

Sana: Sir, I'm looking for like subsegments in it.

Salee S Nair: Subsegment of the MSME, just give me a second. I'll just get you that. Can you quickly come to that page? No. Come to the next one. By then, I'm sure I can get you that, I think so. We will. Textile is a major area for us.

Sana: One more question I have, like in the changing like there is a continuous changing interest rate environment. How are we placed? Like are we going to maintain our CASA ratio forward? And how are we looking to build it up?

Salee S Nair: I did mention this earlier also that w

e have taken a few initiatives here. I did mention about the initiative that we took in the last quarter of FY '25, where we said we are setting up a transaction business group. And we have a sizable number of risk managers in the market to look at the current accounts and the past accounts.

And in the first quarter of this year, we have also taken other initiative in the form of setting up initially the group that is looking at the high net worth, the higher deposit high -value depositors and particularly on the current account space. I think that we have sort of initiated in about 50 RMs elite services group. RMs have been sort of set up sort of we have sort of set them up in the first quarter.

And together with the transaction business group, I'm sure that the CASA space we will come back. We have seen some erosions there in the last year, and that's something that we wanted to reverse. And happy to state that in this quarter, I think some results are being seen on that.

And we are seeing, like I said, the 34 basis uptick we have seen in the CASA share. So reversal of erosion, sort of, this seems to we have been able to arrest it. And in fact, that the CASA share

has moved up. And I am sure that with the kind of initiatives that we are taking, we are also

Tamilnad Mercantile Bank Limited
July 28, 2025

Page 10 of 19

looking at several initial initiatives in this space. We have brought in the customer experience package has been implemented in the first week of July.

We are in the process of completely revamping our Internet banking package, so that the customers get the conveniences. And several services cost is they have to come to the branch today is tackled through the Internet banking. So that's something that we will see happening over towards the towards December of this year. It's a little distance away, but these are all initiatives that we are taking to arrest the to strengthen the current account and savings bank the CASA ratio.

And in the branch, itself, we are looking at business process management, where we are trying to reduce the current manual workload on the branch staff, so that they have they are freed from the daily routine, the maintenance work and then put into. They can be shifted into the sales group. But it's also a work in progress, and I'm sure we can as the day goes by, we can give you more color on that.

And the what you did mention earlier about the areas that we are in, I just got that breakup of advances that we have. We are significantly on the textiles. We have 1,000 out of the total portfolio, we have about 1,100 plus on the textiles. Food processing, we are quite strong. We have about INR772 crores. Engineering, Iron and steel, about INR200 crores, INR230 crores. Gems and jewelry, chemicals, engineering construction, I think we are there across several sectors.

So it is a fairly well -diversified portfolio that we are looking at. And within the MSME itself, if you look at the micro, we have about INR 9,000 crores the small enterprises at another INR 3,800 MSME. And the median, about INR 600. So it's, again fairly well diversified. And the ticket size, I think, would be I think that's where one we are focusing and improving the ticket size. And it's about INR 20 lakhs to INR 25 lakhs sorry, closer to INR 25 lakhs.

Sana: Ok Sir. Thank You so much sir

Salee S Nair: Thank You

Moderator: Thank You, Next question is from Rohan Mehta, who is an Individual Investor.

Rohan Mehta: Hello Good Morning Sir, Thank You for the opportunity, Sir, I have a couple of questions. Just wanted to get your opinion on what your growth expectations are in terms of deposits. Do you see them outpacing advances and if we have any particular strategy on that front?

Salee S Nair: See, the initiatives that we have taken, we have taken on both sides of the balance sheet. We are focused on the liabilities. We are focusing

on the assets. I just mentioned on the MSME, that we will see the growth coming back to the MSME. The first quarter was a conscious call to lay the foundation. So both sides, the growth we expected to move up off. The deposits, we did on a year-on-year basis, I did mention that we doubled the pace of growth.

Tamilnad Mercantile Bank Limited
July 28, 2025

Page 11 of 19

So that will that growth would continue there, and we are hoping that we ended the year in excess of 10%. Maybe between 10% and 12% is what personally I anticipated it all the in response to the kind of initiative that we have taken on the liability side, revamping the branches, all branches are coming on stream, we have just done 7 branches in the first quarter. And we have just appointed 29 branch managers for new branches.

So that methodology also, we are now looking at we have the branch managers in place before the branch itself, so that they can connect with the market. And on day 1, they can start with a certain critical mass. So that's also happening. So the branch expansion is on.

There are several initiatives being taken on the retail side. So altogether, we are hoping that we end up the year on the deposit side on a 10% to 12% of growth. And on the advances, our ambitions are slightly higher. I think I did mention earlier in response to a call that once the growth in the MSME comes back, which is bound to given the kind of initiatives we have done and given the kind of pipeline that we currently have across the country and across the centers, we expect the MSME to contribute equally to the growth.

And we are hoping to close the year with a 15% kind of growth. So it's happening and on both sides, the advance growth may be continue to be a little higher than the deposit growth. For deposit, we anticipate, like I said, in the 10% to 12%, and advance as closer to 15%.

Rohan Mehta: I see, I see. Thank You for the input Sir , in the second half of this year, do you see our cost of funds stabilizing or reducing since that accelerated some pressure on our NIMs in the first half?

Salee S Nair: In the second half, I expect this needs to stabilize. In the sense like I was mentioning earlier, the repricing of term deposits that we have substantial is it will take a while and as the repricing gets passed on because much of quite a bit of repricing on the asset side is has already been absorbed. So we expect the NIM to not be stabilized. My personal anticipation is that as we close the year, we should be looking at a NIM in the 3.85% to 3.95% kind of range because that is the kind of numbers when I extrapolate I get.

So it all depends on again, on the MSME side also, we are consciously looking at how do we price our MSME for a final so that we get a larger chunk of the market in areas that we operate. So even after accounting for that, I think that we should be in the 3.85% to 3.95% kind of NIM in the year.

Rohan Mehta: I see. That's helpful, sir. Just a couple of more questions. Would you expect our GMRA to move a little higher since SMA 2 has also moved up to 1.02% in the coming quarter?

Salee S Nair: SMA 2, again, it unfortunately was a function of the exercise time in when this quarter closes. You had 2 holidays that it was there . So ordinarily, I think, because there was a bit of a spike essentially on that count. Going forward, I think I don't see that happening on SMA 2 or SME, which I think we are at 3.05%. I think that's the kind of number, I think, perhaps even will be even better than, right?

Tamilnad Mercantile Bank Limited
July 28, 2025

Page 12 of 19

It will be even better than that. So I don't anticipate some of them flipping into the NPA status going forward. We will continue to keep the NPA , my own reading of it is that it will not go beyond Rs. 550 Crores at any case. And as the expansion in advances portfolio happens here as a percentage, it

should continue going down.

Rohan Mehta: I see, I see. Sir, just one last question. If you could give some color on since some of our shares have been in litigation, any visibility on when there can be some closure on that since it's been weighing on our capitalization and valuation?

Salee S Nair: We did have there was a, either 7th or 9th of July, I forgot which date it is, we the litigants were before the High Court and they have postponed it to October for a final closure. So sometime in October, that's likely I mean, you can never know on the legal side, how much time it will take. But what is happening is, see, that is not impacting the bank in any way. So that is something that we have ensured. And we have also if you look at the ED's show cause notices, and we have got expert opinion from the top one of the top law firm in the country. And they have stated that it's not going to really impact us, even the fact that the show cause notice was for the conversion or the issue of bonus shares , which involved no additional funding funds. So I don't think that's going to impact the bank in any way. But we also like you, aware, sir, of the issues before the courts. And I'm sure and I really, really can't put a time frame into that given the kind of the time spent that is normally taken into the legal while handling the legal remedies, yes.

Rohan Mehta: Fair enough, sir. Fair Just to close it, you spoke about MSME, sir. So since our SMA 0 and 2 both have increased, do you see any stress towards MSME? Or if you could give some visibility on that.

Salee S Nair: Like I said, one advantage this bank has, I did mention also that while talking about the GNPA that our GNPA is current INR 549 crores is handled covered by collateral to the extent of 108%. When the GNPA gets and we are sitting on INR 370 crores of provision. So when the GNPA gets resolved, this provision will come back. So that also gives us an advantage in actually managing the MSME portfolio itself in the sense that the recourse mechanism is fairly strong. And that, you see it moving between SMA 0, 1, 2, etc, but it never sort of flows into the GNPA. And that's something that we have been saying, and its sort of problems come back between SMA 1 and SMA 2. Some and even in the SMA space itself, it's moving around the 3%. So I don't anticipate a stress in the MSME sector in the current portfolio. And like I said the incremental portfolio that we are looking at, the new additions we are looking at, we are you know, our LMS And LOS packages are getting implemented. To just add to that, I can also tell you that we have just built a business rule engine. We've got a top management consultant of the country to help us build the business rule engine, and that's just been completed.

Tamilnad Mercantile Bank Limited
July 28, 2025

Page 13 of 19

Now we are in the process of validating the risk modelling that has got into it and trying to impact that into the LMS package. And hopefully, by September, I think we should be able to do that. And that should improve the quality of the incremental portfolio that the new portfolio that we are going to add from that. So the existing portfolio largely will be collaterals, we don't have much of an issue there on the stress side. And the incremental portfolio, we are putting in place systems to see that the quality is maintained.

Rohan Mehta: Alright, understood sir. That is reassuring. Thank You for taking my questions. That's all from my side. All the best.

Moderator: Thank You. The next question is from Anant Mundhra from Mytemple Capital.

Anant Mundhra: Sir, my first question is, sir, on the agri and retail side, most of our goal loans are gold loans. Is that understanding correct?

Salee S Nair: When you say mostly, your understanding is right.

Anant Mundhra: Okay, okay. And sir, so MSME, you mentioned that you are implementing the LM

S. And Q3,

Q4, we should start seeing a pickup. But is there any kind of a guidance that you can give us as to what number should this scale up to by the time we exit Q4?

Salee S Nair: See, this implementation that we are on, I did mention that the even without the implementation itself, we have strengthened our relationship mechanism, and we have generated a substantial pipeline. So quarter 2, we hope to focus on the implementation of the LMS. The lowest, of course, is when you look at the retail side of it.

So LMS, the loan management system, which not really looks at the appraisal side of it. It also goes beyond the disbursement into maintenance of the tech funds as well. So it's going to take some time. I think Phase 1 would be here in the first, in the second quarter. And Phase 2, we hope to have it in the second and the third. And the third quarter, we hope to complete Phase 2. So despite some disruption that will happen on that, I anticipate the MSME growth to be about it should be in the 8% to 10% or maybe closer to 10%. That's what we anticipate. And overall, with the kind of focus that we are going to bring into the personal segments, the continued focus on the gold loan, collectively, we expect the advance's number on a year-on-year basis to ease towards the 15% mark.

Anant Mundhra: Sir, got it. So sir, we are holding on to whatever guidance that you had given last quarter, right? There's no change in any of the guidance that you had given us today.

Salee S Nair: No. No, no. The first quarter, like I said, was an aberration because of the foundation that we wanted to lay down for our growth.

Anant Mundhra: Got it. And sir, even the cost to income, so I mean, there's a presentation, I think, on Slide 26 that the cost to income has constantly been going up.

Tamilnad Mercantile Bank Limited
July 28, 2025

Page 14 of 19

Salee S Nair: I did I mentioned Anant, I did mention this in my opening remarks that there is the personal sorry, performance-based incentive that we usually give to our staff, that last year was amortized.

In fact, it has been amortized over the years. It has been amortized across 4 quarters over the years. And we picked up only INR 8.71 crores of that in the first quarter of last year. This year, we have decided to absorb the whole PBI, the performance-based incentive in one shot in the first quarter itself.

That is INR41 crores plus. If you negate that impact, your cost-to-income ratio would be closer to 46. I think something that you can yourself calculate. So that was INR41 crores that we did. And that also impacted the operating profit, that impacted the net profit. Obviously, it had been much better at the amortized rate. There was a constitution that we thought of upfront the entire expenses because this expense actually belongs to the previous year.

Anant Mundhra: So this I mean, then, of course, this should kind of peak in Q1 and then normalize Q2, Q3, Q4 onwards.

Salee S Nair: No. Q2 is once it has been yes, yes. Obviously, obviously. So once it has been absorbed in Q1, it gets sanitized off Q2, right?

Anant Mundhra: Yes. And sir, my final question sorry. Hello?

Salee S Nair: Yes. Tell me.

Anant Mundhra: So my final question was, sir, we are taking a lot of initiatives in terms of take initiatives and a lot of capex is going on. So I mean, most of these expenses have been capitalized or we are expensing it directly from the P&L.

Salee S Nair: See, the software is being capitalized. Much of what is happening is on the software side. It has been capitalized, and it has been capitalized over a 3-year period. That means 1/3 of it, 33% is actually only will impact the P&L in terms of depreciation. So it is being capitalized, and it will be extended off over a 3-year period.

Anant Mundhra: Got it, got it. And sir, did you give some color on the I think we were planning to set up some

NRI centers and some credit management centers. And I think we had even started some pilot on that. So could you give some color on where we are on that front?

Salee S Nair: Two things. NRI Center, we did the initiative is on. And we have located the place, and the infrastructure is getting ready. We are also going into the market. If you might have seen it that we are looking for a lead to head the GNFC that the global NRI center, we are looking at it. We had just come out with an advertisement. We had 2 rounds, 1 round internally to get the right person. So we went out, and there was some bit of an issue on the person we sourced. So we have come out again. So that process is on, and I expect that in the second quarter that process to be completed. And we would have a global NRI center ready for action.

Tamilnad Mercantile Bank Limited
July 28, 2025

Page 15 of 19

Meanwhile, the focus continues across the branches. We need the leaders, so that we get into the linkages not only within India, also abroad, so unless that happens. So that is continues to be a work in progress.

On the CM C, like I said, we have set up the CMC on a pilot basis in Thoothukudi. And I've also stated earlier that the leadership for the CMC, the vertical heads and the CMC heads, we have appointed across all the 12 regions and while the CMC is getting formalized in the other regions, we have told them to move into the market and start looking for MSME business.

In the pilot, which is happening in Thoothukudi region, the project is on, and that is where, like I said, the centralization of process is working well. It is resulting in some in a fairly sizable or a significant reduction in the turnaround time. But like I said, all this can fructify only once the platform is there, and that LMS platform is the one we are currently working on.

Once the LMS platform is completed in September, the Phase 1, I mentioned, and the CMC pilot in Thoothukudi is on the platform, so that we can test out the platform, and once that is completed, I think sometime in October, we will sort of move the CMCs into the other regions as well. So while the platform is moved, the infra is already being built, like I said. The leadership has already been posted for the kind of take-off that we are hoping to happen in the third quarter.

Anant Mundhra: Alright Sir. Thank You for the details

Moderator: Thank You, The next question is from Jay Prakash Kumar from Korman Capital.

Jay Prakash Kumar: It's a question on SMA account. So if you can elaborate on that?

Salee S Nair: SMA account?

Jay Prakash Kumar: Yes.

Salee S Nair: Well, what specific are we looking at in SMA?

Jay Prakash Kumar: What is this definition of SMA account? Is it due for some days? Or because restructured, you have reported separately. So I just wanted to understand what is SMA?

Salee S Nair: Are you looking at the definition of SMA?

Jay Prakash Kumar: Yes, yes.

Salee S Nair: SMA is essentially per 1 day after 90 days. After that, it becomes NPA. And within that 90-day structure, 90-day period, you have up to 30 days of SMA 0, 31 to 60 days of SMA 2 and 60 to 89 days or 90 days of SMA 3 sorry, SMA 2. SMA 0, 1 and 2, 30 days, 30 days, 30 days, right?

And 90 days, it becomes NPA. So these are what you're seeing is all in the 90-day bucket.

Jay Prakash Kumar: Got it, got it. And sir, you mentioned in the last quarter, there is some extra cap ex you are doing in terms of automation and maybe some system implementations. So do you expect this full year

Tamilnad Mercantile Bank Limited
July 28, 2025

Page 16 of 19

to continue that increased capex or there will be some quarter like and in another quarter not have that?

Salee S Nair: On the IT side, it would continue. Like I said, we have contracted several packages, of which some of them have already been implemented in this quarter. On

July 7, the customer experience

package that we have taken from one of the leading software companies in the world i.e. oracle. So that has been implemented in the first fortnight of July.

So that's aimed at giving the leeway for improving the product per customer and the counters in the branches, giving a 360-degree of the customers, so that the customer interaction relationship have with a clear impact on CASA happens. So that is on the CX side. We have implemented

the VMS package, which is the vendor management system. We spent about INR1,200 crores for running the bank. So that package has also been implemented in July, this month.

And several others are in the offing. I did mention about the LMS. So the Phase I is on. LOS also is on. That is LOS is looking at the retail. LMS is looking at the MSME. That's all, and I think the Phase I is likely to be completed in September.

And apart from that, we are also looking at the Internet banking. We are completely revamping our Internet banking package. Whatever services is available across the counter, we want to make it available through the Internet banking package. So EdgeVerve, which is an Infosys company, we have contracted them for a complete revamp, which should be ready by December. And from January 1, we hope to have it fully launched for the benefit of our customers. So that's the other package on.

And within the branches, it start to improve the productivity and reduce the manual way of handling it. We have brought in the business process management s. And I think several projects are underway. I think some of them have already been done. And we have already started getting the benefit of it. I think going forward, I think we hope significant improvement in productivity will happen there.

Apart from that, we are also looking at the old record, cartonizing and detaching the old records and moving it out, so that we revamp some of our branches from a customer's perspective. So a lot of initiatives are being taken. I think that's the first set of initiatives I did mention across whenever I have calls with the analyst in the last 2, 3 quarters and that's something on, and we will consolidate this for the benefit of our business.

We expect the second half to have some impact of it, and that is there that my confidence comes from the fact that I can increase the deposit will certainly cross the 10% year -on-year and advances will reach closer to 15%. Confidence comes from the fact that some of these initiatives are going to give me a leg up in the second half.

Jay Prakash Kumar: Thank You

Salee S Nair: Yes

Tamilnad Mercantile Bank Limited

July 28, 2025

Page 17 of 19

Moderator: The next question is from Sarthak from Bullseye.

Moderator: There seems to be no response from Sarthak. We move to the next question. Next question is from Darshan Deora from Indvest Group.

Darshan Deora: Yes, Thank You for the opportunity, Yes, Firstly, congratulations with a reasonably good set of numbers, especially adjusting for the Q1 FY '25 figure as well as the accelerated provisioning on the performance incentive, which you've taken in this quarter. My question is for regarding the loan mix. So currently, what percentage of our loan book would be fixed in nature versus linked to EBLR versus MCLR ?

Salee S Nair: EBLR, MCLR is about 50% and 50%. 50% EBLR, 50% would be MCLR.

Darshan Deora: So in terms of fixed yes. In terms of fixed, is it 0, fixed book is 0?

Salee S Nair: Fixed book are doing what is the extent of fixed book? I think it is negligible, right? I'll get you that number, but it is almost entirely is floating split between MCLR book and EBLR book. Like I said, the INR45,000 crore s is evenly split between the 2. Almost even, I think, but fixed book I think is very, very little. Not really good impact.

Darshan Deora: Got it. And you said that the average the deposits will take

about maybe overall like maybe a

year, 1.5 years to repr ice. What about our loan book? Like what is the tenure of our loan book?

Salee S Nair: The average maturity, I think, I will have to get you that number because you have that number this I'll give you that number, Darshan.

Darshan Deora: Okay. All right. Got it. And ...

Salee S Nair: You need to get the average maturity of the term loan. I think that's what you're looking for, right?

Darshan Deora: Yes, yes. I mean, it would get repriced anyway. I'm assuming it will get repriced either way.

Salee S Nair: That's why we look at the term deposits. It's the 6%, as I said, in the 1 - to 2-year bucket. Another 20% in the 6:1. So 86% is in that. But it takes a bit of time. I think that's where the pass -on nature of your repo cut impacts.

Darshan Deora: Got it. And just in terms of the MSME space, you did mention that in terms of your loan book, you'd all see stress because of the collateral that you have in place, vis -a-vis the loan amounts the outstanding loan amount. But generally speaking, you're seeing a slowdown in cash flows or in growth of the MSME sector.

Salee S Nair: In the MSME, the unique ness of this bank is that the kind of loyal base that we have been having. We are trying to expand beyond that, ensure that and the collateral factor that is build into the whole mechanism of credit delivery ensures that even if it gets to a SMA, it sort of toggles back

into the standard. It keeps moving up and down.

Tamilnad Mercantile Bank Limited
July 28, 2025

Page 18 of 19

On the so that's not much of a worry for us. Our worry is the kind of incremental. When we renew a contract of a new MSME business, how do we maintain the same level of quality? Obviously, it can't be collateralized to the extent that the existing book is. So to that extent, that is one of the reasons why we are investing heavily in the VRP and the kind of LMS packages and the linkages that with outside world in terms of data collection, so that we can cleanse the data for quality appraisal. That's something that we will take care. But on the cash flow side, as of now, we have not seen any kind of a lowering of it or an area of concern from a cash flow perspective. I think that continues. And let me also give you that we are putting in place a standard monitoring mechanism to study the cash flow from that perspective. That's the other one of the other projects that we did talk about, that is coming on - stream maybe in the third or the fourth quarter. But as of now, we have not seen much of a worry there.

Moderator: Thank You very much. The next question is from Santosh from SKK HUF .

Santosh: Okay. Great. Sir, I have 2 questions. One is about the you spoke about NIM in the forthcoming quarter to be something like 3.85% -3.95%. So what gives of this confidence. So what gives us this confidence in the rate reducing scenario when the rate reduction environment and expedient our needs are much lower than that? What gives us this confidence?

Salee S Nair : Yes. See, what we are also trying to do is on the MSME side, we have actually dropped our rates to align assets to the market, so that to update any takeover that may happen. And on the see, we have a sizable gold loan portfolio that is growing, right? And there, we are introducing in fact, if I tell you, we are introducing 18 products cut into separate segments in the gold loan portfolio. And this is one portfolio that has been giving us the kind of support and for the profits earlier, and we will continue focusing on that.

And there, the yield, we anticipated it to be a little higher than what we are getting earlier because the new products particularly aimed at the consumption segment will carry a higher rate of interest. And I noticed that, that segment is, in fact, growing. So that will help us to whether the policy cuts that we are seeing. That is where

the confidence comes that we can, in fact, look at 3.85% up.

Management: And we are sure about the demand in the gold room.

Salee S Nair: I'm telling you from the kind of growth I'm seeing it across my branches.

Santosh: Okay, okay. Second question is about the separate disclosures from gold loan. So what's happening is that when you see a presentation, we just see a disclosure for RAMs sector , retail, agriculture and MSME. But there is no separate mention on the gold loan amount that's outstanding. So any reason for that? Because many other banks do that, and they separately disclose gold loan. And then we can understand...

Tamilnad Mercantile Bank Limited
July 28, 2025

Page 19 of 19

Salee S Nair: Yes. I think that's something we can do it next quarter onwards, so that you get a better insight anyway. There is no reason. There's no particular reason. This is done and it is done. So if there is a demand, we will certainly cater to it. We'll have that done for next quarters onwards.

Santosh: Okay. That's great. So just now just for the sake of information, what could percentage of total RAM portfolio be?

Salee S Nair: It's a little over 40%, a little over 40%.

Santosh: Great Sir. Thank you so much and wish you all success .

Salee S Nair: Thank You

Moderator: We'll take that as the last question. I would now like to hand the conference back to the management team for closing comments.

Salee S Nair: Yes. Thank you, Roy o. I think, like I said earlier, this first quarter is I look at it more as a stabilizing quarter, a quarter that is laying the foundation. And I think the numbers that have been delivered, particularly when I look at the deposits, I think I'm satisfied that my branches are now beginning to deliver, particularly when I look at the fact that the deposit growth has the pace of growth has doubled.

The profit space is reasonably good, particularly when I look at the fact that the onetime expenditure I have appended it. And again, on the NIM, I think the NIM, I don't think we expect

the NIM to go down from where it is today. And so the growth around the NIM is likely to push up and will generate the profit as it comes in the next few quarters.

There are initiatives that are being taken. I hope will result in, and I'm sure it will result in the number the growth numbers moving up. I did mention that we expect the deposits to grow in excess of 10% and the advances closer to 15%.

So I hope my words will be validated by the performance of the next quarter and the quarters that follow. Thank you, thank you all for participating in this analyst meet. And if there are any questions separately also, you can take us with us, and we'll be happy to share it. Thank you.

Moderator: On behalf of Tamilnad Mercantile Bank Limited, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: Nov 2025

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Ref.No.TMB.SE. 104/2025-26

01.11.2025

The Manager,
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Bombay Stock Exchange limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001.

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Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call – Q2 Results

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform that the transcript of the earnings conference call hosted by the Bank on the Unaudited Financial Results of the Bank for the quarter and half year ended September 30, 2025, has been made available on the Bank's website at the following link:

Transcript of the Earnings Conference Call – Q2 Results

We are also attaching the transcript of the earnings call with this intimation.

Kindly take the information on record.

Yours faithfully,
For Tamilnad Mercantile Bank Limited

Swapnil Yelgaonkar
Company Secretary & Compliance Officer

Page 1 of 22

Tamilnad Mercantile Bank Limited

Q2 - FY 2025-26 Earnings Conference Call - Transcript

October 28, 2025

Management: Mr. Salee S Nair, Managing Director & CEO
Mr. Vincent M .D, Executive Director
Mr. Sanjoy Kumar Goel , Chief Financial Officer

Tamilnad Mercantile Bank Limited
October 28, 2025

Page 2 of 22

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 and H1 FY '26 conference call hosted by Tamilnad Mercantile Bank Limited. This conference call may contain certain forward -

looking statements based on beliefs, opinions and expectations as on the date of this call. These statements are not guarantees of future performance and involve certain risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

Today on the call, we have with us following management representatives: Mr. Salee S. Nair, Managing Director; Mr. Vincent Devassy, Executive Director; Mr. Sanjoy Kumar Goel, Chief Financial Officer.

I now hand the conference over to Mr. Salee S. Nair, Managing Director from Tamilnad Mercantile Bank. Thank you, and over to you, sir.

Salee S Nair: Thank you, and good morning to all of you. In fact, apart from what -- we also have Ashok Kumar, who is the Head of Resources, and Ananda Ganesan, who is the Head of Credit, with me.

So okay, just to get into the performance for the quarter ending 30th September '25. The big story that we have announced is the opening of the 600th branch for the bank, right? And that is 22 branches have been already opened in the first 6 months, and we hope to open another 30, 36 branches going forward in the current year. So that is where we are, expanding our footprint to accelerate growth.

On the financial numbers when I come into, I think the story again is that the growth is accelerating. This is a concern that the market participants had earlier and our own history showed that we were underperforming the market. I think that's something that we have been pushing for and that the growth finally is coming back is the story I have to say today and it's reflected in the numbers.

The total business has grown 11.40%, deposit at 12.32%. Deposit was well underperforming the market in the last few years. It is at 12.32%, and the story is also of CASA revival. CASA is something we lost in the last year. But in the current year, the year-on-year growth is 9.30%, but 92 basis is what we have picked up. CASA share has gone up 92 basis in the last 2 quarters. In fact, in quarter 2 itself, it has gone up 58 basis.

Advances momentum is aligned to the market, but the momentum is picking up. You will see that noticeable in the next 2 quarters quite substantially. And as usual, the NPA numbers, the stress numbers of the bank has been one of the best in the market. We are at 1.01%. So that is the major one.

Tamilnad Mercantile Bank Limited
October 28, 2025

Page 3 of 22

Of course, the profit is at INR318 crores, quarter-on-quarter, 4.14%; year-on-year, 4.73%. If you look at the operating profit, it is year-on-year 2.74% negative. There is a story in that, that we have put out in the presentation itself.

Quarter 2 of last year, the quarter 2 FY '25, we had a written-off recovery amounting to INR98 crores, which part of it went to the interest income and part of it went to the other income. So INR61.65 crores went to the other income and INR36.90 crores went to the interest income. So both these streams of income have been impacted by that recovery.

And if you net out that recovery, you notice that the operating profit is not 2.74% negative, but it is actually 19.83% positive Y-o-Y. So that would impact the net interest income, which sanitized for that is up 6.32%; the total income, 9.69%, both I said on a year-on-year basis. And of course, it also will have a direct impact on net profit. I'm not stating that number because it has also provisions impact.

The credit cost continues to be under control. It's just about 15 basis. The GNPA has shown a sharp reduction, 1.01%; net NPA at 0.26%. ROA has shown an uptick. In fact, it has been going up in the last 2, 3 quarters, and it is at 1.85%. ROE has also taken an upswing, it is 13.77%. And PCR, all this has happened without compromising on the PCR, which also has taken 132 basis points upswing with 70.36 %.

Getting into some of the more numbers. Like I said, the CASA is at 9.30% year-on-year growth. Total term deposits -- the term deposit at 13.50% and revival of deposit is a story -- one of the major stories of the current quarter. The deposits are at 12.32%.

Advances portfolio, the other story is that MSME is also now begun. We have taken a number of initiatives in the MSME area, which I did report last quarter. It is beginning to show. The quarter-on-quarter MSME is at 3.84%. So that is the other story that we want to put out.

The RAM portfolio is up to 94.59%. I think we have been a little slow on the corporate book because of the historical baggage that we had in the form of NPA. So we will get back into the corporate book after we put our systems and then the skill set is put in place. At the moment, our

focus is not the corporate sector, which has been shrinking, and it will continue.

On the unsecured exposure, another concern for the market is our share of it in the total advances is 0.30% with practically negligible NPA in that. U.S. tariff impact, we have just mentioned that, yes, we do have a 1.05% impact on export credit, but only 17.53% of that is impacted by the U.S. tariff, of this 1.05%. So we are well covered there. I don't see the U.S. impact impacting our book in any manner.

Like I said earlier, sanitized for the recovery in FY '25 of last year, the interest income has gone up 8.48%, net interest income has gone up 6.32% and total income by 9.69%. and this has added to a very strong shareholder value.

Tamilnad Mercantile Bank Limited
October 28, 2025

Page 4 of 22

The earnings per share is at INR20 plus, book value at plus INR596.38. I repeat, it is INR596.38. ROA continues to have a slight tick quarter-on-quarter, 1.81% in last quarter of last year to 1.82% to 1.85%. I think this is something that we hope will be maintained, 1.85% would be maintained going forward as well.

NPA, there has been a recovery and the cash recovery of INR26.97 crores in the current quarter, upgradation of INR4.34. And overall, we have also written off INR66 crores. Overall, the NPA has come down from INR549.12 crores to INR474.45 crores. This has, like I said earlier, come on the PCR which has actually gone up to 74.36%. So that's the other piece, that PCR is at 74.36% and PCR with technical writeoffs, something that the market looks at, is at 95.30%. So asset quality, I think is perhaps one of the best in the market. A net NPA of 0.26% and slippage is also under control. Slippage is just 5 basis points and slippage across the various verticals, retail, agri, MSME, etc, MSME had a small slippage, but across it is well under control. SMA is trending down and the gross SMA is at 2.67%, SMA 0, 0.97%; SMA 1 at 0.80% and SMA 2 is also at 0.90%. So the SMA category is well under control. The aggregate SMA is 2.67%. That means the portfolio at risk 1 day is at 3.68%. So that is a number that we are sort of fairly proud of.

So stressed assets, this restructured and the NPAs together is at 1.59%. So that's also trending - that's also a number that is clearly trending down. The other point that we would like to make here is the collateral cover of our NPA. We do have, as you have seen, INR474 crores of NPA, but it is covered to the extent of 111% by collateral.

So when the resolution happens, the portfolio loss is expected to be low and we have incurred a provision of INR323.66 crores, which hopefully most of it should be returned back when the

resolution happens. So that is something that's a profit we are sitting on when the resolution happens.

Expected credit loss is something that we have come out with. We have done our own analysis we thought we'll put across to you to tell you where we stand on the expected credit loss. And we have done our calculations and we noticed that we would be requiring an additional INR210 crores of provision. This is coming in the form of additions in Stage 1 assets and Stage 2 assets. So INR210 crores provision is what we look at and that would have a 73 basis capital adequacy impact. Nothing significant for us because we are sitting on a capital adequacy of 30.96%. So 73 basis is not an impact significant enough. And if we are -- it was just 15 basis if you take the transition route.

But let me tell you that currently, this bank is sitting on a INR250 crores of provisions for COVID and other contingencies. So if I take you back, we had restructured advances base of INR443 crores and it has come down to INR271 crores. We had kept the provision to largely cover that. Restructured advances now come down to INR271 crores from INR443 crores a year back and it's trending down.

Tamilnad Mercantile Bank Limited
October 28, 2025

Page 5 of 22

So this provision is something that we propose to -- we will not be requiring going forward, and this is something that we would be using to take care of the additional ECL requirement. So going forward, when the expected credit loss on the 1st April 2027 is implemented, we don't anticipate any kind of impact on our P&L.

So key ratios. Deposit quarter-on-quarter has moved down 11 basis 6.01% to 5.90%. Yes, and this will continue trending down as the deposit gets repriced into the new rate buckets. Cost of yield on advances at 9.97% and the net interest margin is at 3.83%. Like I said, when the deposit gets repriced, this will stabilize, and we expect this to be at least 3.85% plus going forward.

On the capital adequacy, 30.96% is where we stand. Cost -to-income ratio is at 43.81%. This has come down almost 5.5% from the previous quarter, and we are committed to maintaining it under 45% going into the next quarters. PCR, I mentioned technical write -offs, with technical write -off is at 95.34%.

The other piece we would like to bring into the attention of the analysts is the digital momentum that we have. In fact, some of the growth coming back into evidence is on account of several of our initiatives that we have taken. In fact, on the IT side, we will be looking at an enhanced budget of INR250 crores. I think a lot of expenditure is happening.

We did mention some of them. Loan management systems, the Phase 1 is on right now, is almost completed and is under UAT. Workflow automation out of the 8 projects, 3 have already been handed over. So that's also beginning to show some results. The website is getting revamped. We are getting into fintech partnerships. We are completely replacing our Internet banking package and upgrading our mobile.

So there's a lot of activity from a digital -- from a modernization of the bank that is happening.

And some of them have already been implemented like the CX platform, like the vendor management system, like the human capital management and performance system. So they have all been implemented and we are already seeing some of the results coming into both the growth momentum and as well as the profits.

So that's from my side, and we are now open to questions.

Moderator: The first question is from the line of Digant Haria from GreenEdge Wealth.

Digant Haria: Yes. Sir, my question is that this quarter, we have seen good growth in RAM, the retail, agri and MSME, especially the retail part. So if you can just highlight that was it like a one -off or all the initiatives you have taken for the last 1.5 years, how has that impact come together? If you can just give a little more

details about that? And going ahead, will the same growth momentum continue?

Salee S Nair: We anticipate the growth momentum to continue. And let me also tell you this is not a one -off. When I say this is not a one -off, obviously, it will be confirmed by the results of the next quarter and the following quarter, right? I think a lot of initiatives have been taken here. We have put in

Tamilnad Mercantile Bank Limited
October 28, 2025

Page 6 of 22

place the loan management system, which I just mentioned earlier. It is just undergoing UAT. Centralization of appraisals we have brought in.

So I think a lot of initiatives have been taken, which is beginning to have a salutary effect. The RM base has been strengthened, the relationship management base has been strengthened, the credit analyst base has been strengthened. So this is not a one -off. This is the glimpse of what is going to happen in the future. So this will continue.

Digant Haria: Right. So sir, would you like to give any guidance for this year?

Salee S Nair: Wait, let me also put it that way, yes. Sorry, tell me.

Digant Haria: Yes. Sir, would you like to give some guidance for this year FY '26, that will we be able to do that 13%, 14% kind of a loan book growth for the full year? Or it's still too early to give that?

Salee S. Nair: In fact, this year, we hope to end up with 14% plus, 14% to 15% on the credit growth. And taking it further, also on the deposits, I said we will be aligned to the market, but I think we will be better than the market this quarter. I'm looking at 12% to 13% growth on the deposit and 12% on the CASA itself. So I think both on the liability side and the asset side, we are going to see growth sort of accelerating going forward. It will be slightly better than what we originally thought is possible.

Digant Haria: Okay, okay. Sir, and in the last 2 quarters, you had alluded that our ROAs may settle from, say, 1.9% to maybe 1.7% or 1.8% because of the margin pressure. But in the last 2 quarters, we have done better than that. So you think that worst of that margin pressure is also over?

Salee S Nair: See, like I said, the repricing of the term deposit, we thought it would take about 3 quarters. And in fact, if you look at the cost of deposits has come down 11 basis in the last quarter. So repricing is happening, which will have an impact on the NIM, which is sort of settling down. We hope to touch 3.85% plus. And that also will have a lead effect on the ROA, which happily for us has been seeing an uptick. I think we were looking at 1.75% to 1.8%, that kind. But I think we probably will be ending the year a bit closer to 1.85%. The current level, I think we should be able to maintain.

Digant Haria: Right, sir. Right, sir. That's good to know. And sir, my last question will be on whole retail, agri this RAM portfolio. What is the overall yield there versus what is the bank level yield?

Salee S Nair: The overall yield is pretty much is the same, right? Because it's about 5% is the other. So what we have is about almost 95% RAM. But let me see. You have a separate overall yield for RAM alone? I think it pretty much will mirror the current yield on advances.

Digant Haria: Got it. Or let me just put it this way, what is your highest and the lowest yielding product? And how much will be the yield there?

Salee S Nair: See, we have a significant gold loan portfolio, right, jewel loan portfolio, which some of it is in the agri space, some of it in the retail space. And the agri gold loan portfolio, agri jewel loan

Tamilnad Mercantile Bank Limited
October 28, 2025

Page 7 of 22

portfolio, the yield is 10.15%, right? I think that remains. And the consumption loan, now the retail side, what we call the consumption loan is at 11%. So that's something that's steady. I got that RAM yield. It is at 10.05%.

Digant Haria: Thank you so much and all the best.

Salee S Nair: Yes, Thank you

Moderator: Our next question is from the line of Sidharth Chandrasekar from SJN Securities. Please go ahead, sir.

Sidharth Chandrasekar: Sir, I have two questions. Basically, the first question is about the shareholder case which is going on, right? So if there is any potential impact in our company? Basically, what I meant is, say, for example, whatever outcome that comes out of that case, right, will there be any monetary impact? Like any issue of new shares or cancel of new share, something like that?

Salee S Nair: I'm sorry, I think you're not clear. What is it that you're asking? You've mentioned something about shareholders.

Sidharth Chandrasekar: Yes, yes. Is it any better, my voice is any better?

Salee S Nair: Yes, you're getting better. Yes, tell me.

Sidharth Chandrasekar: Okay. So what I meant is, sir, regarding the shareholder case which is going on, right? Will there be any monetary affect on our company depending on whatever outcome that comes out of that case?

Salee S Nair: No, no, no, nothing at all. In fact, we have put it out in the last balance sheet, in the fine print if you look at it, it's very clearly there. See, there we the bank came into picture. It is actually an issue between shareholders and shareholders and issue between shareholders and the ED. Where we came into picture is that we issued the bonus share, 1:500 when we did prior to listing, we issued to everyone, including those impacted by it. And ED did not like it and issued a show cause notice to us and slapped an equivalent amount as show cause they issued a show cause notice to us.

But this is under a certain section of FEMA, I don't recall the FEMA. When we look at the maximum penalty there is INR2 lakhs. INR2 lakhs, right? INR2 lakhs, and we have already provided for that. We've got legal opinion from the top legal firm in the country to go through the papers and see what is going to be the impact because there is no money laundering angle to that.

What we just did was the existing net worth, which was there for 1 share, which was converted into 501 shares. So there is no exchange of cash. There is no cash transaction happening here, which has been acknowledged by the top legal firm and as per their advice, we have already put

Tamilnad Mercantile Bank Limited
October 28, 2025

Page 8 of 22

INR2 lakh provision, which is the maximum provision or maximum penalty possible from the ED side.

Sidharth Chandrasekar: Okay. That's good to hear...

Salee S Nair: We have already provided in books. Already.

Sidharth Chandrasekar: Okay, sir. Sir, one more question about our deposit portfolio. So you mentioned like we are aspiring to somewhere around 12%, 13% for deposit for this year.

Salee S Nair: Yes, yes.

Sidharth Chandrasekar: So year-to-date, we did around 3%. So I think the remaining 9%, can we achieve this? So is it possible?

Salee S Nair: Yes, yes, I think 3% is for the quarter. What we're talking about, 3% is for the quarter.

Sidharth Chandrasekar: Yes. The prior quarter was kind of flat, right? So the Q4 versus Q1 is kind of flat. So year-to-date still...

Salee S Nair: Yes, I think your question is valid. And let me tell you the kind of momentum that we see on a month-to-month basis and look at that. We always overachieve, let me tell you, when we give a guidance, and you have seen it from the past also that we will exceed. And the confidence comes from the fact that the growth momentum we are seeing it happen on the ground, the initiatives

are beginning to pay off.

We did take Transaction Business Group, which is again beginning to pay off. We have set up an Elite Service Group, which is also beginning to help us in the overall term deposit and the savings bank side. So I think 12% to 13% is where we will see the year close. And if you're asking 3% and the year was flat, you will see at the

end of the year, it will be there.

Sidharth Chandrasekar: Ok. Damn good.

Salee S Nair: Ok. Thank You

Moderator: Next question is from the line of Parth Manish Gutka from B&K Securities.

Parth Manish Gutka: Sir, can you just mention what is the TWO pool as of date?

Salee S Nair: What is that?

Parth Manish Gutka: What is the outstanding Technically Written -Off pool as of September?

Salee S Nair: Okay, okay, Technical Written Off, T -W-O, okay, okay, right. I think it is a little under INR2,000 crores at the moment. But we have never moved assets out of technical written off. So it's a baggage of several years. Yes, that is there.

Tamilnad Mercantile Bank Limited

October 28, 2025

Page 9 of 22

Actually, if you look at the PCR, right? Now we are focusing more on the PCR without the technical write -off, that is at 74.36%. The on book itself, we are pretty, pretty well covered. And like I said, the collateral cover of our NPA, current NPA on book is 111%.

Parth Manish Gutka: Okay. And the contingent provision buffer that you are carrying of around INR250 crores, will we require any RBI approval for using that for ECL? Or we can go ahead without taking the approval?

Salee S Nair: I don't think there is any requirement. I don't think, in fact, they are meant for such contingencies.

So there will not be any RBI approval required. Ordinarily, this will be returned back into profits.

Ordinarily, as we expected, the COVID assets come down gets paid down. Like I said, it is already has been sharply reducing. It will be returned back to the profits. We will not be doing that. We will be just using it for the ECL.

Parth Manish Gutka: Sure, sir. That's clear. And one last question. The employee expenses have declined around 20% quarter -on-quarter. I'm assuming that would largely be because of the lower retirement provisions this quarter. So can you just mention what is the share of the employees which are on defined benefits?

Salee S Nair: Let me answer. That's one of the major steps that we have taken, reform that we have taken is to shift our employee base, about 5,000 people employee base from the defined IBA -based pay model into the CTC model, where we don't look at the pensions, right? And I think we have now largely been successful in that. About 82% of our employees today is on the CTC model.

That is one major step that we took. I think going forward, we'll be getting the benefit of it. And apart from that, Now there is a variable component that we have offered them. That variable component, also now in another major step in last month, we have aligned that to the operating profit and the business growth. So again, you will see the impact of all that going forward.

Parth Manish Gutka: Sure, sir. Sure And just one last question. What is your outlook on the other so within the advances portfolio, there's an others portfolio, around INR2,500 crores.

Salee S Nair: It's actually the corporate book that we have, I think it will be around that level. And maybe we will start looking at it after we have put our systems in place, people get familiar with the new systems, new way of handling appraisals, which I did mention that the LMS, we have just completed the LMS, loan management system. We are getting a lot of interest. Once our staff and officers get familiar with that and the appraisal skills moves up, we will get back into the corporate field. The others is actually the corporate book.

Parth Manish Gutka: Sure,Sure.Thank a lot

Moderator: Our next question is from the line of Arul from Ksema Wealth Management.

Tamilnad Mercantile Bank Limited

October 28, 2025

Page 10 of 22

Arul: Yes. In the first half of FY '26, we have opened 22 branches, so majorly in Tamil Nadu. So what is the plan going forward? We have 36 branches to be opened. So majority still be in Tamil Nadu? It will be other states?

Salee S

Nair: This year, the ones that we opened, the 24 of them will be in Tamil Nadu, but 12 of them will be outside Tamil Nadu. But going forward, you will see the ratio changing.

Arul: Okay. So currently, it's around 75 percentage of branches in Tamil Nadu. So what is your view over a medium-term or long-term perspective?

Salee S Nair: Our intention is over the next 3 years should bring down or take up the non-Tamil Nadu branches to beyond 35%.

Arul: Okay. Understood. And my second question on the gold loan portfolio. I believe most of it is retail only, some of it is agriculture also.

Salee S Nair: Yes.

Arul: Suppose what will be the impact on growth if the gold prices came down in future -- some time in future?

Salee S Nair: There will certainly, see, the gold growth is not just coming from the gold price alone. It is also coming from the fact that 47% of our branches are in the semi-urban and 21% are in the rural. So it is also coming from the expansion of the number of customers. So yes, your gold price reversal will have an impact on the gold loan growth itself. But now the focus is on expanding the customer base also which will, to a large extent, cushion that impact.

Arul: Understood, Thanks

Moderator: Our next question is from the line of Manish Jain from Wealth Care Securities.

Manish Jain: Congratulations for a very good set of numbers. Sir, my question was, in the previous call, you had mentioned FY '26, '27 will be a breakout year. So do you think that we'll be able to do a 20%, 25% growth in profits in FY '26, FY '27?

Salee S Nair: FY '27, we have maintained will certainly be a breakout. I think it will be certainly in the round maybe 3% plus/minus 20%, right? Because we are also doing a lot of investment in the technology.

In fact, the planned investment in technology in the current year itself is about INR250 crores, which was about INR151 crores last year. So there will be some impact on the OpEx, though we are committed to maintaining it at 45%. But like I said, next year is certainly going to be a breakout year, but we are looking at various parameters to see how it will impact the profit. And the profit, like I said, should be in the 20% plus/minus 3%.

Tamilnad Mercantile Bank Limited
October 28, 2025

Page 11 of 22

Manish Jain: So suppose if it is let us assume even if it is 17%, but that will be sustainable for the next 2, 3 years at least.

Salee S Nair: oh..Yes, yes, yes. See, if you look at the past history of it, like I said, the growth is coming back, right? In the past through several years, substantial amount of our profit actually came from what we call written-off accounts, right?

In fact, in this quarter itself, the written-off account has had an impact in the numbers -- in the Y-o-Y numbers because we had INR98 crores of recovery from the written-off account in quarter 2 of FY '25, which is now about INR13 crores. So the impact of this written-off account is slowly coming down. And the growth picking up, which means that going forward, the profit that you see on the table today will not only get accelerated, it will also be sustained.

Manish Jain: Okay. Sir, my second question was regarding the unseasonal rain and the impact on our asset quality and plus the USA tariff, I think you had mentioned it in your opening remarks, but still, if we can be little more in detail, you can explain.

Salee S Nair: In fact, I put a slide on it in the presentation because last time also, there was a mention of U.S. tariffs. We don't see that the way the bank's portfolio is structured and the fact that we lay on significant recourse mechanism in the form of collateral, we don't see that impacting any kind of portfolio stress because EC the export credit focus, of ours is just about 1.5%. Now this is one area we have been looking at ramping up going forward. But unfortunately, at the moment, it is at 1.5

%, which is sheltering us from the U.S. tariff.

Manish Jain: And about this unseasonal rains, we don't see any...

Salee S Nair: Sorry?

Manish Jain: Yes. About this unseasonal rains. We don't see any impact on our asset quality?

Salee S Nair: Unseasonal rains, see, in the agri sector that we have, focus on the agri sector that we have is significantly contributed by agri jewel loans, gold loans. So rains does not impact at all because it is backed by the gold.

Manish Jain: And sir, about this IT budget, which is for the current year, it is INR250 crores. Out of this, how much we have spent already?

Salee S Nair: Quite substantially has been done already, right? I'll give you the number.

Manish Jain: And for the next year, what will be the budget, sir, for FY '26, '27? Will it decrease substantially?

Salee S Nair: No, no, no. the modernization will continue. It will. It will. We'll take a call. We'll see how things are moving. But technology is something that this bank is heavily investing in. This bank is

modernizing itself because we are seeing the productivity impulse realized, and that will also weather the cost of such investments.

Tamilnad Mercantile Bank Limited
October 28, 2025

Page 12 of 22

Manish Jain: And we expect that all the expenses, we are confident that next year will be at least 17% profit growth will be there for FY '26?

Salee S Nair: Yes. And let me tell you, we always understate our performance.

Manish Jain: That was very nice to know, sir. And sir, another question was regarding out of the total loan book, how much originates from Tamil Nadu? And same for the case of deposits.

Salee S Nair: See, it is roughly 3/4 is coming from Tamil Nadu, a little over 3/4.

Manish Jain: And we are okay with that, sir? Or we want to change it?

Salee S Nair: No, we are that's why I said going forward, we are identifying centers to open more branches outside the state of Tamil Nadu. See, why we are going a little slow on opening at the moment is we would also simultaneously put in place the HR strategy for that because non -Tamil Nadu branches cannot be opened by the existing by the existing HR resource. So we have just entered into a strategic tie-up with Manipal for training set of officers recruited from outside the state of Tamil Nadu. In fact, that process is already on. The first contingent is in the Manipal University getting trained on a 6-month program, and they will be absorbed straight away at probational officers in the bank.

We have also used the IBPS rule to recruit about 115 guys earlier. So the resource is something that we are looking at contracting before we sort of enhance our foray into the non -Tamil Nadu region. That's why I said this in the next 6 months, 12 branches will be opening. But going forward, the number will be ramped up and non -Tamil resources, human resources are beefed up. So these are the 2 strategies we are using, the Manipal and the IBPS route for recruiting people, local people, local to the states to manage our branches.

Manish Jain: Sir, and despite of all these branch opening expenses as well as these IT expenses for FY '25, '26 and the following years, so you are very confident of at least 17% profit growth, right?

Salee S Nair: Yes, yes.

Manish Jain: Okay, sir. That was very nice to know. Thanks for answering all the questions.

Salee S Nair: Thank You

Salee S Nair: 17% is next year, not this year, okay? FY '27. It's FY '27. We should not get that FY '26, we are going to deliver 17% growth.

Moderator: Our next question is from the line of Jefferson, he is an Individual Investor.

Jefferson: My first question is on how we are actually selecting the locations to open the new branches because I remember our former CEO mentioning that we are primarily choosing locations where we could have a quick breakeven. Is that still the selection criteria? Or has it changed now?

Tamilnad Mercantile Bank Limited
October 28, 2025

Page 13 of 22

Salee S Nair: See, what we are doing is we are going by the data across the country, centers, which have potential to , which have existing branches, and we are looking at the growth of these existing branches. Now the data is available. That is the first level of identification of the center. The growth of branches of other banks already existing in the center. We are looking at their growth and see to get the potential. That is one.

And second is that wherever we are looking at opening a branch, we are posting the branch manager in advance. He goes, does the survey identify the branch premises to be taken. And the survey also will give us an indication of whether we can make a dent there, we can break even quickly enough.

So I think these are the 2 strategies that we are looking at before opening a branch, identifying the growth at the branch by the branches of other banks as well as our own market survey backed by the person posted there and the regional office support in that market survey. So we're not looking at opening branches just for the part of it. We will be doing a serious study before opening a branch.

Jefferson: Understood. That's quite clear. And I have an observation. So obviously, one of our bank's future goal is to have a pan -India presence. But keeping that in mind, if you have a look at our bank's name, it's Tamilnad Mercantile Bank, and it seems to somewhat limit us or kind of associate us with a specific geographic location, right?

And also one more point to add is since our bank name starts with the letter T, it kind of already

puts us into an alphabetical disadvantage. In almost all cases where, let's say, the banks with the universal banking license in India are listed alphabetically. Our bank most probably ends up being the second last on the list. So actually, my question is, would we consider renaming our bank's name maybe as a part of rebranding effort? Or what's your thoughts on that?

Salee S Nair: I think that's a very interesting question really. One, of course, I never realized that letter alphabet T is virtually at the bottom of the 26 pack English Alphabet pack. I think the Alphabet T is going to remain in the bank's name. I think that's something that we can't escape from, right?

But on the Tamilnad Mercantile Bank being a limiting factor is something that we are looking at. I can't give you a straight away -- I mean, acceptable answer straight away but that is engaging our attention. How do we enhance our attractiveness to the non -Tamil Nadu regions is something that is engaging our attention.

Moderator: Our next question is from the line of Saket Kapoor from Kapoor Company.

Saket Kapoor: My question pertains to the IT investment that we have envisaged over the year of INR250 crores for this financial year. So if you could just explain to us what has been the thought behind spending IN R250 crores?

Tamilnad Mercantile Bank Limited

October 28, 2025

Page 14 of 22

And even you are articulating that a similar amount needs to be invested. So are our systems not in place? Or what will lead to this amount going ahead? And what has been the average IT spend for the last 3 fiscals?

Salee S Nair: I think last year, I just mentioned that we did spend INR151 crores. In fact, out of the INR250 crores, a substantial portion will be reserved for the OpEx. So that's one. And now what we are looking at in the current year is the breakup of even breakup, which is INR12.5 crores for the opex and INR125 crores for the capex. I think that's how we have. And there's a subset. The bank is a legacy bank and a significant portion of this functioning has been manually driven. So all that we want to modernize.

For example, I just mentioned about the loan appraisal systems. It was manually done. Now we are putting in place a new loan management system.

We have put replacing the entire Internet banking through a digital engagement hub -based Internet banking. So that's a big investment that we are doing.

You will see that result in January of '26 when the entire Internet banking will be replaced.

Wholesale will be replaced. The entire website is being replaced wholesale. The mobile banking is completely being revamped.

Like I said, our workflow automation, I think that's something that we are pushing. The way we are doing work in the branch, every aspect of it, we are looking at upgrading and automating and so that resources are released for sales functions. We were largely a maintenance-based bank.

Now we are now trying to push the staff into the sales roles. And towards that, we have also now set up the CX platform. The other big investment that we will be doing is on the CDP side, the customer data platform that is yet to happen, that is the next thing that will happen.

So virtually every aspect of banking, whether it is customer -facing or internally, which will release productive impulses amongst our own resources, human resources is something that is being looked at. And we have also put in place a cross -functional team to see how artificial intelligence can be used to support productivity increases here.

And let me also tell you in the HCM, we have just started that already by having in the artificial intelligence used there. So I think there's a substantial investment happening, I think this will go on not only this year, it will go on to next year, by which time we hope the bank will be completely modernized and in line with some of the best in the market.

Saket Kapoor: Okay, sir. Sir, you mentioned about the employee cost being lower because of some changes in 82% of the staff being shifted to the CTC model. Can you explain what does this stand for? And what would be the annual savings going ahead, sir?

Salee S Nair: Let me tell you that were the employees here, 80% plus was on the I BA model, the I BA model where you give every 5 year increase in the basic pay and the salary structure undergoes a

Tamilnad Mercantile Bank Limited

October 28, 2025

Page 15 of 22

change. Now that has been shifted substantially into the CTC model, where the salary is now being split into 2. There's a fixed component, there is a variable component.

And the variable component is now linked to the operating profit, to the business growth. So that component kicks in only when there is a profit, which means straight away that savings, which was used to give a certain performance-based incentive is now linked to this and becomes a function of the profit itself.

So which means going forward, we can see there's a moderation of the HR cost happening. The HR cost may go up but as a percentage of the overall profits, our operating profit will go down or the total income will go down.

Saket Kapoor: Sir, come again with the last statement, income will, I did miss your point.

Salee S Nair: No, because I said, the absolute number HR costs may go up. But as a percentage of the total income because now the operating profit, the growth has to be generated before we pay them the variable, which was right to them earlier. We can see that the absolute in percentage terms it's going up.

Saket Kapoor: And sir, the pension benefit part, are they covered? Are the existing employee under the pension benefit also?

Salee S Nair: The CTC guys are not covered under the pension. So 82%, 83% of our people are not covered under the pension now. It is only the balance, we are also trying to incentivize them to move because incentivized through the variable pay structure to move into this. And we are on the actuarial basis, we are well covered under the pension. The existing, like I said, 17%, 18% who carry pension, we are well covered on an actuarial basis.

Saket Kapoor: Last 2 points. Firstly, on the interest on bal

ances with RBI, we have seen our sequential number

also in 9 months from INR17 crore profitability, the number is INR15 crores. However, there has been the impact of the CRR and the repo rate cut. So how are we able to maintain the interest balance with Reserve Bank and what should be this number going ahead, sir?

Salee S Nair: Sorry, come again on that? Come again.

Saket Kapoor: I'm talking about interest on balances with Reserve Bank. We are showing an income of INR15....

Salee S Nair: It has come down, you are saying from 4% to 3%, right? You're talking about the CRR.

Saket Kapoor: Sir, I'm talking about CRR but we have been able to maintain our number on a quarterly basis. So what should be, what are the reasons? And what should be the number we should look forward on an annualized basis, sir?

Salee S Nair: Can you answer that?

Tamilnad Mercantile Bank Limited

October 28, 2025

Page 16 of 22

CFO : Can you come again what is basically asking ?

Saket Kapoor: Yes, just referring to the P&L line item 1, subsequent fee, where we have maintained our interest on balance with Reserve Bank of India and other interbank funds. Therein, we have booked an income of INR15,34,00,000 for the quarter ending September. The number was INR17,38,000 lakh for June quarter. And for previous year, it was INR6 crores. So I would just like to understand since there have been a rate cut that has been factored in the quarter, how are we...

Management: Basically, investable surplus is being deployed here, and that is the function of this. Once our advanced portfolio starts growing up faster, that surplus will come down. And so this number cannot be compared in isolation. We have to see this overall interest income because what happens is this is my total fund has to be employed either in advances or with investment in RBI, which is giving me less number, less yield. So whenever this number going down will be beneficial for my bottom line.

Saket Kapoor: Right, sir. But my question was since there has been a significant reduction, how we have been able to maintain this number?

CFO : No, that is the investable surplus with RBI is at a level where we are giving this kind of returns.

Salee S Nair: Which line item is --?

Saket Kapoor: 1C.

And secondly, sir, how, what steps we are taking to protect our NIM going ahead since there should be a further 50 basis cut in the repo rate in the issuing part of the financial year. So how will our NIM be protected and you alluding to the fact that 17% growth in the profitability for the next year, that should be on another 50 basis cut that is envisaged in the repo rate. So are you factoring in this 50 basis cut in giving a number for profitability growth of 17%?

Salee S Nair: Yes, yes. Let me tell you why. See, if you look at our deposit portfolio, substantially, we are in the 1 - to 2-year market bucket, about 66% plus is in the 1 - to 2-year bucket. And that is now getting will be repriced going forward. The next 2 quarters going up to April '26 is when this repricing will happen. And that will give us that extra bit to even take care of 25 basis cut when it happens and maybe a 25 basis cut going forward.

See, every cut will impact to about 7.5%. And because of the maturity profile that we have, it

takes about 3 quarters for the pricing to fit in. The last cut that we saw, now the deposit pricing would take that impact and give us the benefit. We are coming to that in this December quarter and January quarter, we hope to see the benefit of that.

Saket Kapoor: Okay. So our loans are repriced on a floating basis but the deposit get factored with... ?

Salee S Nair: 50% get repriced. And of course, the balance 50% on MCLR terms, the repricing. So essentially, half of the loan is getting repriced immediately, whereas the bulk of our deposit, except for the very short-term profile, it takes time to reprice, like I said

, 3 quarters.

Tamilnad Mercantile Bank Limited
October 28, 2025

Page 17 of 22

Saket Kapoor: 3 quarters. So we will be getting the benefit of the lower cost of funds, this trend line of lower cost of fund will continue and will get momentum only going ahead.

Salee S Nair: Yes. And possibly that will also take care of a rate cut.

Saket Kapoor: Yes, sir. That is what I'm asking. our cost of fund has come down to 5.91% ..?

Salee S Nair: It will continue further down. Yes.

Saket Kapoor: It will continue further down if the deposits get repriced in this quarter itself.

Salee S Nair: Absolutely. Next 2 quarters, we are seeing a substantial amount of deposits getting repriced.

Saket Kapoor: Okay. Okay, sir. Right, sir. we will be hosting the call again post the March results only.

Salee S Nair: No, no, March. January.

Saket Kapoor: Okay. We'll continue with the quarterly results. You were telling something you're concluding, sir.

Salee S Nair: No, no. I'm saying we will again meet for the December results in January. And we hope the numbers will be better than the second quarter.

Saket Kapoor: It will be better than the second quarter.

Salee S Nair: Yes.

Saket Kapoor: Thank you for answering all the questions and we hope for now the deliverables to show up in our numbers in the way it has been alluded by the management.

Salee S Nair: Yes. Thank you. The confidence comes from the fact that the growth momentum is picking up, and it is already evidenced in the second quarter, and it's also getting evidenced as I see it in the month of October as well. Yes. Going forward, we expect that momentum to continue.

Saket Kapoor: Just a point to add then -- only one point was that we have not seen

Moderator: Mr. Kapoor, I am really sorry to interrupt you. Mr. Kapoor, please rejoin the queue.

Saket Kapoor: Ya..Ya,..I will join the queue

Moderator: Ladies and gentlemen, in order to ensure that the management will be able to address questions from all the participants and the conference, kindly limit the question to two per participant.

Should you have a follow-up question, please rejoin the queue.

Our next question is from the line of Anant Mundra from Mytemple Capital.

Tamilnad Mercantile Bank Limited
October 28, 2025

Page 18 of 22

Anant Mundra: Sir, my question was on the cost side. So firstly, the credit cost has been quite low in Q1 and Q2. So I just want to understand on a normalized basis, where do you expect this to settle? And also on the cost-to-income side, there's been some volatility between Q1 and Q2. So what is the normalized annualized number that we can model in here for cost to income?

And second, just a follow-up on the ECL thing, you mentioned that we carry a INR250 crore provision for the COVID provision. Do we use that currently for our calculation of our PCR?

Or this is on top of that, whatever provision that we already hold? These are the 2 questions.

Salee S Nair: Anant, three questions. I didn't get the second one. Maybe you can repeat it, but I'll give you the answer for the first 2, right? And the last question is about INR250 crores of contingency provision that we have. It is not part of the PCR. Okay. If it is part of the PCR, the provision cover would exceed 100%.

Anant Mundra: Yes, it will exceed 100%. Yes, sir.

Salee S Nair: Right? It will exceed 100%. So it's not part of it. And that's something that it has been kept aside for the COVID era. Now the COVID book is now sharply shrinking and it is now standing at 271. I think there are the options that we have is to write it back to profits going forward or use it for other purposes. So I think ECL is something that we will certainly use that, okay?

And on the credit cost, when I look at the book as it stands for the next 2 quarters and certainly for the next 2 quarters, I think the credit cost, we don't see any kind of spike happen

ng at all.

The current level will be maintained.

But let me also tell you as the growth momentum picks up, you can't avoid a bit of stress. I think going forward, this is something that FY '26 sorry, not certainly not FY '26, we will be at the similar levels. But FY '27, maybe there could be some kind of stress coming. I still anticipate the GNPA to be in the 1% kind of range. And obviously, the credit cost would be well, well in the 0.25% to 0.5% range going into FY '27 and FY '28.

Anant Mundra: On the cost-to-income side as well.

Salee S Nair: Cost-to-income ratio is at 43.81% now. And let me also tell you that we are committed to maintaining it in the 45% kind of number.

Anant Mundra: Okay. All right, sir. And sir, so you also mentioned that most of the IT expenses are done. So both on the capex side and opex side, both of them are majorly done?

Salee S Nair: No. I didn't say most of the IT expenses have been done, has been contracted and the payments will happen. So many of them are work in progress. For example, digital engagement hub that we took will go live in the month of January. The loan management system, Phase 1, we are going live now. But Phase 2 and Phase 3, we will go live in the next 2 quarters. So it is all work in progress.

Tamilnad Mercantile Bank Limited
October 28, 2025

Page 19 of 22

Anant Mundra: Okay. Got it. So this 45% number that you mentioned is on an annualized basis, right? Because Q1 is generally a spike and then.

Salee S Nair: Annually. Annualized basis. Yes.

Anant Mundra: Got it, sir. And sir, just one final question. What is the LTV on the gold loans that we have in the agri and the retail portfolio?

Salee S Nair: We are fairly conservative there but you have the LTV. We are fairly conservative there I will get you the LTV number. And if you look at against the market, our highest per gram rate continues to be at INR7,300.

EVP (Credit): We are the lowest in the industry.

Salee S Nair: Yes, Right? Practically we are one of the lowest in the industry. Of course, we will continue to focus on the gold loan, but what we intend to do is to grow the other non-gold loan book, particularly MSME. And that is where we seem to see some kind of growth coming back.

Anant Mundra: Got it. Got it, sir. So the investment on the MSME side are done. Now that engine should start firing, like how we've seen for the retail...

Salee S Nair: It's not done. If you to say it is done, it is not really done. It is still in a work in progress. Like I said, the LMS package that we have taken on is only the Phase 1 has been completed, the Phase 2 and Phase 3. The post disbursement functionalities, etc, are still there is a lot, I think it will take another couple of quarters for it to be fully done from what you're asking whether it's done.

Anant Mundra: Meaningful double digit growth, got it. Got it. But a meaningful double-digit growth should only be penciled in probably for next year then because given that it's still under implementation.

Salee S Nair: Yes. Next year, I think, is going to be another year that you should watch out for.

Anant Mundra: Thank you sir, That's it.

Salee S Nair: Thank you

Moderator: Next question is from the line of Vinith Jain from Siddh Capital. Please go head.

Vinith Jain: Sir, my first question will be, can you give me the size of the jewel loans and the consumer loans?

Salee S Nair: The jewel loan portfolio is currently about INR20,000 crores.

Vinith Jain: Sorry?

Salee S Nair: Ya, it is INR21,000 crores.

Vinith Jain: And sir, what will be the size

Tamilnad Mercantile Bank Limited
October 28, 2025

Page 20 of 22

Salee S Nair: The book that we have, the jewel loan size is when I say jewel loan, it also has got an agri component and the consumption loan component, right? So both together is about INR21,000 crores.

Vinith Jain: So what will be the size

yes sir, continue.

Salee S Nair: What is the?

Vinith Jain: So what will be the size of the consumer loan right now, sir?

Salee S Nair: Consumer loan is about INR4,300 crores.

Vinith Jain: INR4,300 crores. So how do you envisage the growth in consumer loan going ahead, sir? Like, of course, it is part of the retail and retail is growing. So is the focus more on jewel loans still? Or are we moving away? Like, of course, you said we are moving away from jewel loans. So what is the category we are focusing on?

Salee S Nair: Like I said earlier, we will continue focusing on the jewel loan, but jewel loan is price sensitive to the gold prices, right? So if it takes a turn, we don't want the growth to taper off because of that. We are very, very sensitive about the per gram rate that we offer in the market and that it should not lead to a stress situation if there's a sharp reversal of the gold loan prices. So that's something that we are looking at and we are trying to see.

But like I said, the focus will continue on the jewel loan. But overall credit growth, we expect it to come from the non-jewel portfolio. I think that's where the focus is. That is where salutary, I think the last few months, we can see this turn happening. The growth of jewel loan portfolio versus the non-jewel loan portfolio happily is shifting in favor of the non-jewel loan portfolio, which is the MSME and the other retail side.

Vinith Jain: So is it possible to give these numbers in the presentation, like the jewel loan, consumer loans, home loans or vehicle loans?

Salee S. Nair: I take note of it. And here after, I think we will see whether we can give. I think that's a good suggestion. We let us give it.

Vinith Jain: Sir, for the MSME segment, we've been working on this centralized loan distribution disbursal system for some time. And you're saying that there's still more time to get the engine firing. So when do you expect it? So maybe a couple of quarters down or?

Salee S Nair: Like I said, the LMS Phase 1 has just been done, right? And now I think the familiarization is on in one of the regions. And I think come November end, I think that LMS will go live across the bank. And you can see the impact of that in the quarter 3 results itself.

Vinith Jain: So the awareness program among the staff has been completed you mean to say?

Tamilnad Mercantile Bank Limited
October 28, 2025

Page 21 of 22

Salee S Nair: Yes. Yes, yes. In fact, the awareness program or familiarization is on at the moment. Any change, it is not like a tap opening the water, another water comes out. It takes a bit of time for the people to get familiar. But nevertheless, you will see the impact of that in quarter 3 in terms of growth numbers.

Vinith Jain: And on the global NRI center at Kochi, what has been the progress? What are the benefits you are generating?

Salee S Nair: We have already set up the global NRI center, right? And we are also seeing an uptick I think that also went up about 9%, right? The NRI business NRI deposits are also beginning to show some growth. And we have just set up, I think set up the DN has been set up in Cochin in Onam in last month. I think Onam period, Onam Day, we did set it up. And we are beginning to see the impact of that also on the deposits.

Vinith Jain: Will it be possible to give you the number...

Salee S Nair: Next Quarter, we will put that NRI number also and the comparative number also in the next quarter, and you will see that the uptick is there.

Vinith Jain: So on the deposit side also, this presentation doesn't have the breakup of the retail and the bulk deposits.

Salee S Nair: Okay. Okay. We'll do, add that.

Vinith Jain: Can you give me the numbers?

Salee S Nair: Do you have the numbers straight away? I'll give it to you.

Vinith Jain: Thank you very much

Moderator: Thank you, sir. In the interest of time, we'll take th

is as the last question. I now hand the

conference over to Mr. Salee S Nair, Managing Director from Tamilnad Mercantile Bank for closing comments. Thank you, and over to you, sir.

Salee S Nair: Yes. I think like I said initially, I think this is this quarter, some of the efforts that we have been undertaking in the last 2, 3 quarters is beginning to bear fruits. The growth momentum is coming back. 11.40%, as I just mentioned, is the total business growth, particularly the resource on the resource raising side, I think 12.32% the deposits. This is evident that the efforts are bearing fruit.

And if you look at the history of the bank going back about 10 years, the bank has been underperforming the market. Now it is in line with the market, perhaps a tad above the market. And I'm fairly confident that going forward, this bank will be not be in line, the divergence with the market will be seen that we will certainly grow slightly above the market.

Tamilnad Mercantile Bank Limited

October 28, 2025

Page 22 of 22

And for the current year, we hope to end the year with at least 12% to 13 % growth on the deposits, CASA at about 12%. I think we are confident about that. And on the advances, like I said earlier, 14% to 15% despite the fact that it is at 10.34%, we hope to end up with 14% to 15%.

So that's, again, the confidence coming out of the fact that some of the initiatives that we have taken is beginning to bear fruits. NPA would going forward also will be under control. I don't see any challenge there, any major accounts slipping. We don't see that. And of course, the slippage ratio also will be in the current level of about 5 to 10 basis.

So overall, I think we are facing the future with much with confidence, and we are happy that the growth is coming back that will now start contributing to the profit, the profit, which had a significant component of recovery from advances under collection written -off accounts and now will stand up on its own feet will be driven by the core banking going forward, core banking business going forward. So we face the future with much, much confidence than what we were used to in the past. Thank you. Thank you all for joining us in this call. Thank you, and it's over to you.

Moderator: Thank you, sir. On behalf of Tamilnad Mercantile Bank Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

(no extractable text — likely a scanned image PDF)

Call: May 2026

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30.04.2026

The Manager

National Stock Exchange of India Limited ,

Exchange Plaza, 5th Floor, Plot No. C/1,

'G' Block, Bandra - Kurla Complex,

Bandra (East), Mumbai - 400 051. The Manager

BSE Limited,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai – 400 001.

Ref: Symbol: TMB / Scrip Code: 543596

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call – Q4 Results

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations,

2015, we wish to inform that the transcript of the earnings conference call hosted by the Bank on the

Audited Financial Results of the Bank for the Quarter and Financial Year Ended March 31, 2026, has

been made available on the Bank's website at the following link:

Transcript of the Earnings Conference Call – Q4 Results

We are also attaching the transcript of the earnings call with this intimation.

Kindly take the information on record.

Yours faithfully,

For Tamilnad Mercantile Bank Limited

Swapnil Yelgaonkar

Company Secretary & C ompliance Officer

Page 1 of 21

Tamilnad Mercantile Bank Limited

Q4 and FY 2025-26 Earnings Conference Call – Transcript

April 27, 2026

Management:

Mr. Salee S Nair, Managing Director & CEO

Mr. Vincent M D, Executive Director

Mr. Sanjoy Kumar Goel, Chief Financial Officer

Tamilnad Mercantile Bank Limited

April 27, 2026

Page 2 of 21

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY '26 Earnings Conference Call hosted by Tamilnad Mercantile Bank Limited. This conference may contain forward-looking

statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involves risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Today on the call, we have with us the following management representatives: Mr. Salee S. Nair, Managing Director; Mr. Vincent Menachery Devassy, Executive Director; Mr. Sanjoy Kumar Goel, Chief Financial Officer. I would now like to hand the conference over to Mr. Salee S. Nair, the Managing Director from Tamilnad Mercantile Bank Limited. Thank you, and over to you, sir.

Salee Nair: Yes. Thank you, and good evening to all of you. Today, we have come out with our yearly results for FY '26 and before I really get into that, I really I want to take you back to our con call after my quarter 3 results. That was in January of FY 26, wherein we had given certain guidances, I would like you to look at those guidances that we have given. What we have stated in the con call in January after the Q3 FY '26 results is that what we have stated is we will grow that CASA by 15% in quarter 4.

We have stated that the deposit growth will be in the 13% to 13.5%. Advances growth will be in the 16% to 17%. Total business would grow 15% plus. Net interest margin will be 3.90% to 3.95%. ROA will be 1.85% plus and ROE will be 14% plus and GNPA will be less than 1%. So that's the guidance we gave. In fact, we gave guidance for our quarter 2 and quarter 1 also and you will recall that we have exceeded all the guidances, quarter 1 guidance, quarter 2 guidance and I just stated the quarter 3 guidance. And we will look at where we stand in respect of those guidances shortly. So, coming back to the FY '26, it has been a year of tr

ansformation for us,

and it's something that I stated in FY '25, at the close of FY '25 itself that we have unleashed a lot of transformation journeys, automation, technology infusion, structural changes, etcetera, and that the impact of that will be felt in FY '26 and more specifically, I stated that it will be felt more in the quarter 2 of FY '26. And where do we stand in when we close the year. Very clearly, we have been able to raise the foundation for growth. CASA share decline has been arrested and revoked. The quarter also saw the highest deposit growth in past 39 quarters and that is 10 years. It's the highest advance growth recorded in the past 40 quarters. Business growth, when we close the year is 9.35% over the last 10-year CAGR, compound annual growth rate, that we achieved in the last 10 years. FY '26, we have closed 9.35% over that. So that the transformation that has been achieved. And this all comes from the current portfolio, but the quality continuously has improved.

Tamilnad Mercantile Bank Limited

April 27, 2026

Page 3 of 21

On book PCR is at 10 year high, credit cost is under control, lowest GNPA gain in the last 40 years. Why I'm saying 40 years is because 40 quarters not years, 40 quarters. Why I'm saying is 40 quarters our numbers are readily available and we see that the lowest in the last 40 quarters, and the lowest ever SMA percentage. We'll come to those numbers little later. Business, the present footprint has also expanded, 44 branches we opened, 15 of them outside Tamil Nadu, 12 CMCs were set up. The liability RMs were introduced, digital transformation is nearing completion. All these are actions that happened in FY '26. So what is the impact on the market, the shareholder value delivered has gone up 50% in the last 12 months, market capitalization cost of INR10,600 crores, the shareholder funds after the results is above INR10,000 crores with a book value of INR638 and the Board also has declared or rather recommended a dividend of 125% for FY '26.

So now coming back to what I just stated earlier in my opening statement on the guidances. Look at the guidance of CASA growth. We stated that we will grow 15% plus, FY '26 and the growth eventually is 22.35%. CASA stands at INR17,365 crores, that is of 22.35% year-on-year growth. Your total business is at 17.37% and total business aggregates on 31st March '26 to INR1,15,091 crores, and against our guidance for the year of 15%.

So 17.37% achievement against our guidance of 15%. The deposits, we stated, will be in the 13% to 13.5%. We ended up at 14.94%. The advances, we said, we would be in the 16% to 17%, we ended up at 20.32%. This 20.32% is also after selling a INR1,000 crores to the IBPC, Inter-Bank Participation Certificates. If you add that back, it is actually 22% plus. So this the strong business growth has also resulted in strong profitability parameters.

The net interest income is up 24.04%. It's at INR704.45 crores. Operating profit for the quarter was 29.29% year-on-year. Net profit is INR373.65 crores, which is 28.01% year-on-year. ROA,

where we had given a guidance of 1.85% plus, as these are at actually 2.05% and ROE, where we said will be 14% plus, we have actually able to break the 15% mark, and it is at 15.03%. So all this growth that we have delivered in excess of the guidance we have given have come back on the strong business growth, particularly the advances growth and all these are translating, look at the CASA share that we have CASA share had touched 26.44% on 31st of March '25. It is up 1.7% now to 28.14%. For the quarter, the net interest margin, 4.18%. The cost-to-income ratio is at 44.80%.

Credit cost, I think, has largely been met by resolutions or the provision write back stands at 1 basis point, 0.01%. GNPA, as a consequence of the kind of efforts we have taken is at 0.73%, and net NPA is at 0.18% and SMA, I'm including SMA-0, 1 and 2 is at 1.29%. So this is

down

1.26% from last year.

So portfolio at risk 1 day is at 2.02%, which is SMA-0, 1, 2 and NPA together is only 2.02% of the advances portfolio. I think that I wonder if any other bank has been able to get to that kind of the number in India. So, the PCR on-book PCR is 74.89%. That's a full 3.87% over last year, our 31st of March '25 number, and PCR with technical write-off is 96.14%.

Tamilnad Mercantile Bank Limited

April 27, 2026

Page 4 of 21

If I get into some of the granular details; deposits, current accounts, I mentioned the total deposits grew at 14.94%. The breakup this year, current account has gone up 25.62%. We did have a lot of initiatives here. The TBG was brought in last year and that has now begun to kick in and 25.62% is the result. Savings Bank, again, is 21.04%. That's a good story that we have to say and the CASA overall is at 22.35%. Deposits per se, like I said, has grown 14.94%.

So it is growth strengthened across the quarters. Quarter-after-quarter, we have been growing. The CASA has been moving up. The deposits have been growing. Every quarter, we have bettered the previous quarter's growth. So that's the story that TMB is putting on the table today. On the advances side, retail, agri, MSME has all grown. In fact, on a year-on-year basis, retail, which is largely driven by the gold loan portfolio is up 62.33%; agriculture 8.03%; MSME is another story that we have. MSME, if you recall, has been degrowing until as late as the first quarter of FY26. It has now turned around and has delivered a 14.88% growth Y-o-Y. So that's another story that we would like to see and this story will get strengthened in FY27 as well. So, overall, the advances have grown 20.32%. As I said, this advance growth of 20.32% is coming after we have sold off INR1,000 crores of our portfolio through the IBPC route in Q4 of FY26. Now if we take that also into account, real advances growth is 22.57%. Again, the last 3, 4 quarters, that advances have been consistently moving up. The growth every quarter is bettering the previous quarter.

For the first time, we have also showcased the profitability, the ROA of our advanced portfolio, the retail advanced portfolio, the yield is at 9.98%. The NPA there is 0.13%, and the ROA is 2.21%. So, this is a good portfolio with a very, very comfortable ROA at 2.21%. Agri advances, again, riding on the gold loans is at 2.04% ROA where the NPA, thanks to the gold prices is at 0.16%.

MSME, another big story where we have a growth of 14.88%, yield is at good at 10.52%, resulting an ROA of 2.58% on a portfolio basis. The gold loan portfolio is something that the gold prices are something that we watch 24/7. And the sensitivity, if you look at Slide number 14 of what we have sort of uploaded into the exchanges, our ability to withstand gold price reduction is 25%.

If there's a gold loan price reduction of up to 25% can easily be absorbed by our current portfolio. The portfolio LTV is just 53.25% as of 31st of March '26. Portfolio yield is 10.11%, it's a good yield for a gold portfolio and the gold loan share in the overall advances is 46.44% and again, here, let me also tell you that the LTV is calculated not on the gross rate of the portfolio, but on the net rate. And the gross rate to net rate difference is about 9.33%. So that also adds to the cushion which I mentioned earlier that our ability to withstand a gold price reduction to 25% without causing a stress is enhanced by this, the gross rate to net rate difference of 9.33%. We are also in the process of setting up asset resolution branches to manage the portfolio and the agri portfolio, apart from the MSME stress also to manage the portfolio LTV/margin calls

Tamilnad Mercantile Bank Limited

April 27, 2026

Page 5 of 21

and auctions of gold loan if and when there is a need. Incidentally, any breach of LTV up to 90% will trigger a margin call and our counter action, including opt

ions, will kick in.

And if you look at the portfolio risk for gold, it is just 12.31%, which is just about 5 basis of the overall gold loan portfolio. So, to summarize the gold loan portfolio that we have is literally gold standard. Unsecured portfolio, we have stated in the last quarter as well as the previous quarter, we are this is a bank that has been lending on a secured basis. We have not been on the unsecured space at all and the unsecured space is just INR64 crores, which is about 10 basis points of our overall advanced portfolio, practically negligible.

On the export credit, I think West Asia crisis, we have our own exposure to the West Asian countries, it's just 50.95%, which is just 10 basis of our overall portfolio. So, to that extent, it is limited, of course. If the war carries on, the impact on or the indirect impact is something that we are making an assessment of. We certainly hope the Government will step in with the package if the crisis continues.

Finally, on the financial performance itself, as I said, the quarter performance, interest income has been riding on core business. I think the core business revival, the growth of advances catching 20% or rather including IBPC at 22% has helped us give a net profit number of 28.01% growth. And that's riding on interest income of 15.55%, non-interest income of 20.67%, and containing the total expenditure at 11.58%.

Let me also add here that normally, we give a performance-based incentive to our employees, and that is given for a year in the following year. For the first time so for FY25, we gave it in FY26, in quarter 1 of FY26. For the first time, we have made a break with that practice and the PBI, the performance-based incentive for FY26, which has been computed at INR49.80 crores, we have accounted for it in quarter 4 of FY26 itself.

So the net profit that you are seeing here, 38.01% is after accounting for the PBI INR49.80 crores. So, remember, quarter 1, we accounted for the PBI of FY25 and quarter 4, we have accounted for the PBI of FY26. So, 2 terms of PBI accounted for 1 year and the net profit that we showcased today, 28.01%, is after accounting for the PBI of INR49.80 crores, which, like I said, ordinarily should have been taken in absorbed in FY27.

If you normalize for that, the cost-to-income ratio is just about 39.54% for quarter 4. And the operating profit, you see has jumped to 41.62%. So all these are translating into higher shareholder value. So net worth of the capital and reserves have crossed INR10,000 crores for the first time.

Book value per share is INR638, earnings per share is INR23.60 and like I said earlier, ROA is all this has impacted the ROA, which has crossed 2% for quarter 4, and it's at 2.05%. And return on equity of course, again has broken the 15% mark and it is at 15.03%. And the balance sheet likewise has improved to INR75,299.60 crores.

Tamilnad Mercantile Bank Limited

April 27, 2026

Page 6 of 21

And the point is this INR75,299 crores of balance sheet is today consists of more than INR10,000 crores of capital, which points out to the resilience of the balance sheet itself. The fact that we have 13% of our balance sheet is actually funded by capital, gives us the ability to take in a higher CD ratio.

Going on to the asset quality. I think we have been known for us maintaining a high level of asset quality and that gets reflected in the quarter 4 results as well. Your GNPA is at 0.73%, NNPA at 0.18%. So today, the net NPA that we hold is just about INR97.41 crores. Provision cover on book, like I said earlier, is 74.89% and overall is 96.14%.

Asset quality, consistent improvement across quarters. I think that is something we are focused in the presentation that we have uploaded, Page Number 23. And it is, like I said, is at INR97.41 crores. So this INR97.41 crores or the gross NPA number, which is INR388.21 crores, which is the gross NPA number.

If I look at the gross

s NPA number of INR388.21 crores, which is 0.73%, which has a provision of INR229.98 crores, which is a PCR of 74.89% is covered by average collateral of INR127.52 crores.

So when we resolve the NPA, we are on INR388.21 crores where we have provided provision of INR229 crores. Much of what we have provided INR229.98 crores, we expect it to come back. Thanks to the collateral cover that the GNPA currently has.

Slippage again is under control. I think and SMA, like I said earlier, is trending down. And today, 31st March '26, it is just INR686 crores, SMA, we are talking about SMA-0, SMA-1 and SMA-2. And all 3 combined is just 1.29%. This I did mention earlier that across portfolio just 1 day is 2.02% for the bank including SMA and NPA together is just 2.02%. The stressed asset is also a downward trajectory, INR218 crores is where we stand today.

Along with the GNPA, the stressed number is just 1.14%. Let me also tell you standard restructured advances are also covered, which was contracted during the COVID period are also covered to an extent of INR250 crores of provisions, right and that INR250 crores of provision,

we have not returned back. We are maintaining it and we hope to address it against the expected credit loss when that kicks in or kicks in on the 1st of April '27.

So, our calculation shows that as of 31st of March '26, the change in norms from current IRAC to new ECL which, like I said, will kick on 1st of April, should have a INR279 crores impact.

The INR250 crores of provision that we hold in the book, COVID book, which stands to where 2018 and which we hope to taper down further by the 31st of March '27 to largely cushion this impact of ECL additional ECL requirement.

Of course, RBI has also come out with the LCR requirements. I think it is going to benefit us to the extent of about 4% and on the key ratio, our cost of deposit has quarter-on-quarter sequentially has moved down from 5.83% to 5.71%. So some of our earlier higher price deposits

Tamilnad Mercantile Bank Limited

April 27, 2026

Page 7 of 21

that we have contracted is getting repriced and that is having a bit of a positive impact. It has come down, while the yield on advances is down on a 6 basis, which is holding on.

And that is one of the reasons why the core business is actually kind of giving us the kind of profit that the bank has delivered for quarter 4. The NIM is at 4.18% as a consequence. And it is up sequentially from 4.04% and NIM for the overall year is at 3.98%. So, the capital adequacy is 33.73%, again thanks to the fact that our risk-weighted assets are just about INR20,000 crores. Thanks to our large amount of gold loan portfolio, our capital adequacy is at 33.73%.

Cost-to-income ratio contained at 44.80% despite the fact that the entire PBI of INR49.80 crores that we should have accounted for in FY27, we accounted for in its entirety in quarter 4 of FY26. The credit cost is under control and of course, during the year, we have also opened 44 branches. One thing we have not been able to deliver as per our commitment, we did promise to the investor community that we will open 50 branches in FY26.

We have been able to open only 44 branches, 15 of them have been opened outside the state of Tamil Nadu, so 30% or one-third of the branches are outside the state of Tamil Nadu. 7 branches are also in the process of being opened, but they slipped beyond that I mean, it has gone beyond the 31st of March '26. So net impact is we have been able to open only 44 branches. And the other the structural changes that we have got in the branch openings.

We are now deploying the branch managers in advance to drive local market penetration and business development. So, the structural changes that we have got in there, they have also seen the business for new branches opened actually move up significantly. In FY25, the new branch on an annualized manner / on annualized basis, the business of new branch was

just about

INR19.57 crores in FY25.

We have, because of structure changes and posting of the branch managers, choosing the centers carefully. We have been able to deliver in FY26, per branch business of INR40.16 crores. So new branches opened since this thing has now started contributing significantly in FY26, which has contributed 15% to the incremental growth. And the digitization drive, I think I've spoken extensively on whatever we are trying to do on the digital front and some complete transformation we are trying to bring in.

And that's also having absolute impact in releasing bandwidth in the branches. And one of the parameters we have mentioned here, the transaction count. In FY25, our branches across the counter did 2.64 crores, 26.3 million transactions across counter, FY25. Even after increasing the number from 578 branches to 622 branches, that is 44 branches incremental opening 44 branches, this count, this transaction, the manual transaction count across the counter and the branches have come down from 26.3 million to 24.10 million. So that's something that will eventually release / is releasing bandwidth for further growth.

So, the modernization is also underway and we have taken a lot of HR initiatives and during that it's all summarized, it's all converging into business growth. And we are happy to say that FY26 has been clearly a year of reckoning and we have, we stand today facing FY27 with much greater

Tamilnad Mercantile Bank Limited

April 27, 2026

Page 8 of 21

confidence as in April of '26, today, we are in a much, much stronger position and stronger to face the coming year.

Yes. I think I'll stop here. And we will open ourselves to questions and answers. Like I said, my CFO is here, my Executive Director is here, my CFO is here, my Head of Resource Mobilization and Deposits here, and also my Head of Credit is also here. And we are now open to questions from you, if any. Yes. Thank you.

Moderator: Thank you. Our first question comes from the line of Digant Haria from Greenedge Wealth.

Please go ahead.

Digant Haria: Thank you for the opportunity and congratulations, sir. It has been your under promise and overdeliver continues even in this quarter, more strongly. So congratulations, sir. Three questions from my side. Sir, first is that if we you said we are on a very strong footing for FY27. Would you like to guide anything in terms of the loan book growth for this year? Because I think the macros have turned a little bit sour because of the war in the Middle East.

Salee Nair: Yes. Despite that West Asia crisis, the U.S. tariffs still took completely wear out. What we are stating for FY26, as you, FY27, as you just mentioned, that we would like to understate and overperform or under guide and overperform. I think we'll continue that. But despite that, we are reaching out a tad higher on the deposit trend. We are saying that in FY27, we will grow at least 1% higher than what we did in FY26.

Digant Haria: Okay. Okay. So you are saying credit growth will be at least as much as what we saw this year, like FY26, what was the loan growth?

Salee Nair: Yes, I'm coming to that. So, I think that we should be in the 16% kind of number for deposit growth. And that the advances that we did of 20% is something that we will defend in the current year as well.

Digant Haria: Right, sir. So that's great to know. Sir, second question is that the gold loans was your Dhurandhar for last year, right? Gold loan was something which helped us a lot. What will be the Dhurandhar for FY27? Will it again be gold loans or you see some other segments also picking?

Salee Nair: Now we are having our Dhurandhar 2 also coming up. I think that is where if you look at, I've also showcased that our MSME has also been giving us good ROA. I think we have put it in this for the first time, we are looking at we will give more granular data on the profitability parameters of specific po

rtfolios going forward in the next quarter onwards. But this time, we have made an attempt.

And our MSME, like I said, grew 14.88% year-on-year, right and the ROA there the yield is at 10.52%. So this is one portfolio we will be looking to cushion the impact of gold loan, slowing down on the gold loan growth. And like I said initially that in the first quarter, we did there was Tamilnad Mercantile Bank Limited
April 27, 2026

Page 9 of 21

actual degrowth. So, it is from the quarter 2, it started picking up. The quarter 2, quarter 3 and now quarter 4, we ended up with 14.88%, and this is something that you will see.

This is the story you need to watch for FY27 in the MSME space. We are putting our systems in place, your loan management system, CMCs, the credit management centers are in place. The loan management system went live. I think the Phase 1 has been done and Phase 2, we should be doing it in the first quarter. We should get the Phase 2 also done, which means to answer you, Dhurandhar 2 is going to be MSME.

Digant Haria: Right, sir. Brilliant. Very good to hear that. Sir, all the best. And last question is one data point, that in the last quarter, in our retail, we had INR6,700 crores of gold loans. What would that number be for this quarter?

Salee Nair: INR6,500 crores

Digant Haria: Sir, it was great. You put on disclosure that you were setting up some auctioning centers in case there is a price fall and the overall LTV.

Salee Nair: We are taking all the countermeasures in advance. So we want to be prepared because we did see a slight price coming down as a consequence of the initial stage of the war. So we want to be fully prepared. We have put in place systems where margin calls can be had. We are in a centralized call center.

We are also putting we are looking at creating asset resolution branches, specifically in addition to the normal recovery that happens across also to tackle the gold loan delinquency. Let me also tell you on the gold loan, we have the portfolio LTV, I think if you have seen it, I think I did mention as well is only 53.25%.

Digant Haria: Yes, sir, it is there in the slide. I have seen, I have seen it, sir.

Salee Nair: And to answer you on the retail, it is INR6,507 crores.

Digant Haria: Yes. Sir, and housing was 4,000 last quarter, that would have also grown, right, this quarter?

Salee Nair: No. Housing loan has not. In fact, our housing loan disbursements sorry, sanctions have crossed 22%. So there is always a lag between the sanctions and disbursements. While the sanctions have gone up, the housing loan portfolio itself is, slightly degrown from last time.

Digant Haria: Okay, okay, okay. Yes, sir, and I think the retail gold loan portfolio has also degrown, right? It was INR6,700 crores last quarter, it is INR6,500 crores this quarter, right? So it has degrown by INR200 crores?

Salee Nair: The reason is that RBI has come out with the regulation saying that we have a sizable gold loan portfolio. If you look at the slide, INR24,790 crores of gold loan portfolio and I just mentioned

that retail is INR6,500 crores, so the rest remaining is about INR18,000 plus crores is agri gold loans, right.

Tamilnad Mercantile Bank Limited

April 27, 2026

Page 10 of 21

RBI came out with rather a directive that up to INR2 lakhs, you have to cannot get collateral. So there was a shift from agri gold loans to retail loans in the third quarter. But subsequently, RBI came and clarified that if you are taking it on a voluntary basis, you can take it from farmers also for agri gold loan purposes Agri purposes. In quarter 3, we had an increase in the retail gold and that has been somewhat replaced by agri gold loan in quarter 4. So, both are now in sort of with Agri gold loan growing faster than your retail gold loan.

Digant Haria: All right, sir. And sir, now we can grow along with everyone else, when the gold loan keeps growing. We have grown, b

ut there is this reclassification which created some confusion?

Salee Nair: As a portfolio, we don't I mean, from your perspective, investor perspective, the color of the loan doesn't matter, whether you call it an agri gold loan or whether we call it a retail gold loan. It is giving us the 10.11% is the combined yield.

Digant Haria: Right, sir. Perfect sir. Thank you so much. Wish you all the best.

Salee Nair: Thank you.

Moderator: The next question comes from the line of Varun from Share India Securities.

Varun: Good evening sir and congratulations once again on your superb set of numbers, your company has been delivering quarter-on-quarter and you have set a new benchmark, in fact, a benchmark and size of benchmark for yourself itself. So, can you throw some light on the slippages number, no doubt, it's down on a year-on-year basis around 31%?

So, I was just looking at the bifurcation there are slippages in agri portfolio has actually gone up around INR19 crores. So, what is the reason for this, if you can just throw some light on this?

And also you were highlighting that your home loan portfolio has degrown from last time. So

can you just put a number? How much has it degrown?

Salee Nair: What is the second question?

Varun: Home loan business, housing loan portfolio has degrown, right?

Salee Nair: Yes, Coming back to the first one, your slippage, right?

Varun: Yes, sir. Agri slippage.

Management: Yes, in fact the slippage in agri. This is in the sense agri processing unit. And there was a single account, totalling INR16 crores and that has resulted in INR19 crores. And let me also tell you, let's say, clear visibility on the recovery of that account. I call and I think most probably when we reassemble for the next quarter, this would have been recovered.

Salee Nair: And let me also add to that, that from the record of recovery angle this is a standard asset. I think these actually is being serviced. But we as part of our clean-up because the activity has stopped, we have, even though it's a standard asset, we've actually taken a call to make it NPA.

Tamilnad Mercantile Bank Limited

April 27, 2026

Page 11 of 21

Management: Downgraded it because we've also checked a bit there.

Salee Nair: So that we can move ahead with the resolution of it in the first quarter.

Management: The GST turnover, although RBI is not asking us to go that soft and it's a matter of abundance precaution we have grown that far and also declassified it as NPA.

Varun: Sir, what you said about recoveries?

Management: Sorry.

Varun: I think you said next quarter when we meet, we'll expect some recoveries right?

Salee Nair: We are talking about quarter 1 of FY27.

Varun: Okay.

Management: And what is the next question here.

Varun: Sir what about the housing loan portfolio that has degrown? How much is it?

Salee Nair: Like I said home loan is something that we are focusing back. I think we started the focus back in quarter 4. And like I said, sanctions have actually moved up 22%, so 22%. But for that to get translated into actual disbursement, I think you will see this going forward and gold loan, the other aspects of gold loan is from an ROA perspective, it just delivers 1.01 ROA. So from a priority angle, this has taken a little bit of a lower priority, but we are in the game to push this up.

Varun: Okay, sir. Okay. One last question, I just wanted to ask you, sir. I mean just as you said that you had an aim of 50 branches for FY26, but you have opened I think around 44. So what could be the branch addition number for FY27 as we go ahead?

Salee Nair: We are proposing 60 branches in FY27. Hopefully, in FY27, April – sorry FY27 April when I take this call again, hopefully we should have met that. FY26 is one of the only perhaps the only miss that we had is that we promised 50 branches to ourselves and we were able to open only 44. But for FY27, we are actually promising 60.

Varun: Oka

y. Great sir. Thank you for giving that number and once again thanks a lot for giving me a chance to ask these questions and best of luck for your future. Thank you very much.

Moderator: Thank you. The next question comes from the line of Lakshmi Narayanan from Tunga Investments. Please go ahead.

Lakshmi Narayanan: Yes. Thank you. Few questions. So there has been a write-off of close to INR150 crores this year. I just want to know across how many accounts is this? And does this include the Andhra account, which was more than INR125 crores, INR130 crores in NPA. And second question is that in the other segment there is...

Tamilnad Mercantile Bank Limited

April 27, 2026

Page 12 of 21

Salee Nair: No. Sorry. I think the we had two rounds the write-offs, right? And I think first was in the quarter 2 and the second was in this quarter 4. I will get you that, I'll just get you that. And let me tell you the Andhra Bank sorry, not Andhra Bank, Andhra account that you are I don't know from where you got this Andhra account, but let me tell you, Andhra account is not part of that write-off.

Yes. I got it, yes. Yes. So, we have in fact, if you look at it, we have written off INR149.69 crores. It is not part of it, the one you are referring to. It is a series of accounts. It has been written off in two lots, like I said, INR66 crores in quarter 2 and INR83 crores in quarter 4. And, of course, I must admit that, that write-off has helped us reduce it.

It is part of the balance sheet management that we all any bank does. But going beyond that, if you look at it, your cash recovery from upgradation is INR103 crores. If I take it my Slide number 22, INR97 crores plus INR6 crores, INR103 crores against a fresh addition of INR85. So there is a natural reduction, an absolute amount reduction in the NPA itself, despite the write-off that you mentioned of INR149. So come back that Andhra account is not there.

Lakshmi Narayanan: Sir, the GNPA of around INR198 crores in the others, how is it concentrated? Is it that Andhra account is actually part of this? Can you just yes, help me with the concentration of this INR198 crores, is it that two or three accounts are more than INR150 crores in the balance itself?

Salee Nair: No, I think it is one account, that INR164 crores. And then a small, a few of the residual amount are still there in the earlier resolutions that have happened, so which are undergoing resolutions now. So I think a couple of them are already in the NCLT also.

Lakshmi Narayanan: Got it. Sir, I think in previous calls, I mean, if I had heard right, you alluded that, that could be a write-back of some of these NPAs because that the collection would be strong. So is it on track or and how are you thinking about these large GNPA's? Is there a possibility of write-back?

Salee Nair: One, if you look at my credit cost, right? There is no credit cost, my credit cost is practically not there, right? The reason for that is the credit cost, which I just mentioned that INR85 crores of it has happened because that's the cost, the credit cost or the provision cost of that has been largely been met by the recoveries being happening. So that is the reason why credit cost is low. And this large account that you have mentioned, hopefully we are hoping that this gets resolved this year. What is the other question, Narayanan?

Lakshmi Narayanan: No, I was just asking it for the write-back, I mean do you expect any full recovery of this?

Salee Nair: You will notice some interesting amount coming back is our luck, some of these items, you really need luck, particularly when the legal system in the country takes the kind of time it does. So hopefully, we should be able to tackle it this year.

Lakshmi Narayanan: Got it. Sir, and one question on gold loan. So I just want to understand what is the LTV at origination because I see that there are different LTVs for different classes of loan seekers, ri

ght?

So, there are, so I just want to understand what is the gold loan LTV at originations blended?

Tamilnad Mercantile Bank Limited

April 27, 2026

Page 13 of 21

And second, when you actually do it, do you actually include the interest accrued when you actually calculate the LTV because these are all bullet payments, I understand. So how does that work?

Salee Nair: The LTV that you see in the slide is not the principal LTV. It is the principal the dues on that particular date, which is principal plus interest. Okay. That is the first clarification I want to give

you. And the normal LTV is 75% that you give. And we have a certain different kind of calculation does not it is actually not on the market price.

Lakshmi Narayanan: RBI talks about only consumption?

Salee Nair: And also, that is the reason our calculation of LTV is not strictly in comparison to what the market does because we have built in a certain system where cushions are available. I think if I if you go to slide numbers, there is a gold loan slide. Where is it? Yes, you'll see the gross weight. You'll see the net weight. 37.3 tons of gross rate portfolio, we have gold loan covered by 37.38 tons, right and the net weight is 37.19 tons, which is 9.3% lower. The LTV is not on the gross weight that we calculate, it is on the net weight. That is one of the reasons why despite the gold prices being where it is, our portfolio is able to sustain a 25% reduction.

Lakshmi Narayanan: Got it. And is it safe to assume that at origination, the same number is there? Like it's if somebody is taking gold loans today, is that number between around 54% to 56%?

Salee Nair: No, no, no. That will be in the 75%, right? And it varies for example, some of the gold loan will be slightly higher. And the LTV is actually calculated on the maturity value, not on the rate not on the principal. You get it now?

Lakshmi Narayanan: It's including interest, I miss it.

Salee Nair: I hope I don't know whether I've made myself clear.

Lakshmi Narayanan: No, I think my question is that what is the LTV at origination now? Because this is as a blended book you're giving, what is the standard LTV because I understand the LTV – yes?

Salee Nair: One, let me tell you what you are seeing here is a blended rate, which is in some sense, perhaps will not have much of a meaning when there is a reduction price. I'm not saying that. I'm talking about the LTV that we say, it is 75% and 80% in some cases. It is not the principal LTV, It is the LTV at maturity. Let me give you an example. If you are talking in terms of 80% LTV, in some cases, we actually give 80% LTV also.

And it is a 1-year goal. The 80% LTV, what is the amount here to pay after 1 year? And based on what is that after 1 year. For example, if it's 10%, the current LTV at which you give today the loan would be 72%, including interest, it become 80%. LTV is always cash closure on the maturity. If it is 6 months, the LTV will be tightly higher. If it is 1 year, the LTV would be lower.

Tamilnad Mercantile Bank Limited

April 27, 2026

Page 14 of 21

That is one of the reasons why we are available to sustain a 25% sensitivity. We have maturity against other banks, which is on the rate, the day it is given, and then the interest is added to that. We add the interest to arrive at the LTA. Let me put it that way. Okay?

Lakshmi Narayanan: Okay. Got it, sir. Sir. And as the other part, sir, you mentioned maybe in the next time, you can actually give the retail loan split across segments and also gold loan split across various things like that...

Salee Nair: We're trying to be more and more transparent; I think we'll continue to do that.

Lakshmi Narayanan: Sir, and do you actually track your market share growth across branches and across your regions. What has been your market share growth in terms of assets and liabilities?

Salee Nair: We do track it now. In fact, monthly track it, it has n

ow become a component of the performance-based incentive. I did mention earlier that we gave a 49 in a growth performance-based incentive, which we have absorbed this year in quarter 4, which if we have not absorbed, gone by earlier practice, it would have been higher, the profit could have been higher. That PBI component that we calculate also has a component of the local growth. Local market growth vis-a-vis my branch. So now we started tracking what is the growth in the branch versus what the industry has in the same location.

Lakshmi Narayanan: Got it. Sir, on the technology side, can you just help me understand how much you have spent in technology last year and how much you intend to spend in this year? And how much you're capitalizing and how much your expansion?

Salee Nair: My technology spend this year is 15.80% higher. We have that exact number. Let me also tell you that technology spend in the year will not give a proper reflection because many of these are milestone payments and these are happening. I can tell you that the fact that I continue that within 15.80%, we have our spend has been higher than last year.

Moderator: Thank you. The next question comes from the line of Digant Haria. Please go ahead.

Digant Haria: Yes, sir. Thank you for the opportunity again. Sir, this question was mainly again of gold loan that really have 11% yield, right? Which are slightly better than agri gold loans, is that correct?

Salee Nair: Correct, correct. Retail loan, the rate of interest is better than the agri gold loans.

Digant Haria: Right. Sir, in all the new branches, we are offering that, right? So, if there is no branch where gold loan product is not offered, right? We are well spread across our branches...

Salee Nair: Our intention is to offer it across all the branches. But some of the branches in a metro, etc., may not have much of a demand for it. But the product is offered across.

Digant Haria: Okay, sir. Thank you. Sir, and lastly, on the margins, like we have had like a sharp, very good

interest rate cycle was against us. This quarter especially has been very strong. Like is this quarter margin sustainable? Or you feel that it depends on macros and how the deposit rates...

Salee Nair: It depends on the various factors. You did mention macros will have an impact on it. And this time because the loan growth was good, there has been a movement. We had some surplus cash, which was going at lower yield, that has moved into a higher yield or loan portfolio. So that has added.

So the full-up has come from the growth in the advances portfolio. And also simultaneously, some of the high-priced the deposits we have taken is getting repriced. So, we have got the benefit of that. And if you ask me whether this will sustain? This kind of level is going to be very difficult to sustain. But still, we believe we'll be able to defend a 3.9% to 4% NIM.

Digant Haria: Okay, sir. Okay, I think, sir, that is good for today. I know I could ask a lot of questions. Thank you so much and all the best.

Moderator: The next question comes from the line of Parth Gutka from 360 ONE Capital.

Parth Gutka: Sir, my first question is what proportion of your deposits are yet to reprice?

Salee Nair: I think by the first quarter, our original high what we have taken is 8% will be fully repriced. But having said that, deposit is a challenge for all the across the industry. So significant impact of that repricing may not accrue in the first quarter, that is what we anticipate because resource because to keep the advances machine running, we have to enough to increasingly focus on the resource mobilization. And given the challenges that the industry has, we don't expect that pricing benefit to really accrue to us in this quarter, which means that

we may have to have to
continue contracting term deposits.

Parth Gutka: Okay. It's fair enough. And my second question was, sir, when I look at your investments to NDTL ratios, it has come down from 32% to 25%. And still there is some scope to reduce that further. So are we thinking on that line that you can move from investment, some funds from investment to advances?

Salee Nair: We will always like to keep a cushion for contingencies that is there. I think that is something that in terms of we use it to the core and borrow against that. The fact that it has reduced from 32% to 25%, as we just mentioned, is one of the factors that has helped us drive the profits up. But no, we will certainly continue to have maintained a reasonably good cushion there. And that is where the focus is back on the deposits. And as I said, 16% deposit growth for the year is something that we are committed to.

Moderator: The next question comes from the line of Pramukh from MyInvestBuddy.

Pramukh: Congratulations on the nice set of numbers. I wanted to ask you about the succession planning for the next one, right? Like how are you taking care of that? And yes...

Tamilnad Mercantile Bank Limited
April 27, 2026

Salee Nair: Sorry I didn't get that. Success planning, where are you talking in terms of HR succession planning or...

Pramukh: Like for like the next 3 years, right, like who will be the next CEO and things like that, do we have a plan in place for that?

Management: Certainly, there is a plan.

Salee Nair: No, if you're talking in terms of what our succession plan is, we have a detailed succession planning going to the next 4, 5 years.

Pramukh: Okay. That's right. And another thing is about like the cybersecurity, right? So, like there is Claude Mythos coming up and there was an internal rating present. So, is that covered? Like, we are safe on that, right?

Salee Nair: Yes, I think cybersecurity as the investments in IT and automation goes up, we have to be vary cyber fraud, cyber-attacks, etcetera. And that is something that this bank is investing in preventing and we have 24/7 war room looking at this aspect, and we have just got ourselves a call center, AI-based call center. And we have also contracted with one of the best names in the world.

I think the largest names in the world in terms of supporting us from a cybersecurity angle. So we are on the job there. I think we are fully aligned to it, of the idea. There is a repeated audit of our own system to see that they are full proof. Apart from that 24/7 such frauds and attacks are being watched by watched on by us.

Moderator: The next question comes from the line of Parth from ICICIdirect.

Parth: Sir, I had one data-driven question. So I wanted to ask you, in your advances mix, what is the difference between EBLR, MCLR and repo-linked? Can I get the number?

Salee Nair: MCLR, EBLR do you, have it? What is the portfolio linked to MCLR and portfolio linked repo, right? Repo-link?

Parth: Yes.

Salee Nair: External benchmark rate and the internal. I think it is 50-50.

Parth: So basically, because I was seeing your advances yield. So, it was it has declined by 10 basis points, right? And the rate cut was around 125 basis points. Just I want to know the reason and why it was so low?

Salee Nair: You don't hold me to this, okay. I tell you the rate cut is actually passed on to the MSME segment. I think there I think we are happy to see the yield has come down. But where we have prevented from passing on or rather reprice the rate of interest or reduce the rate of interest in the consumption gold loans. So there, though it is linked to interest, though it is linked to MCLR, Tamilnad Mercantile Bank Limited

April 27, 2026

Page 17 of 21

we have strategically been looking at it, pricing it slightly better. So that's the overall yield remains at the appropriate band.

Moderator: The next question comes from

the line of Darshan Deora from Indvest Group.

Darshan Deora: Firstly, congratulations on a great set of results. Secondly, also appreciate the higher disclosure that you all have started from this quarter, especially the segment-wise ROA. Firstly, I wanted to ask you, you had mentioned the ROA on gold loans? I missed that figure. Can you just repeat it?

Salee Nair: I think it is 2 point one second, I'll give you the number. I thought this was there in the slide, but it's now, I see it is missing. But I'll just give you that. It is 2.05%.

Darshan Deora: Okay. So now given that we're sort of stepping on the accelerator when it comes to MSME growth, which I see is at 2.6% ROA. What would you, what should we assume as the ROA target for FY27?

Salee Nair: ROA target for FY27. Incidentally, MSME advances once you start expanding the MSME advances, you may have to cannibalize a bit of your ROA. I think that's something that we are prepared to do that, because the 10.52% yield, as we expand the portfolio, it's going to be difficult to be defended.

So, ROA in MSME advances from 2.58% that we have showcased is going to come down. Certainly going to come down. And, but from an overall perspective, I'm talking about in retail, once you start pushing the housing loan with where the ROA is sort of not mentioned here, we will give more details of that for the next quarter onwards, is at 1.01%. So if you start pushing various components of the advances. The ROA will slightly get moderated. And, but we are still looking at a 1.9% to 2% kind of ROA for FY27.

Darshan Deora: Okay. And from an ROE point of view, I mean assuming that our leverage goes up a little bit.

Salee Nair: It is going to go up profits also hopefully should move up. But 15%, 15.03% is what we did for this quarter, but I think we should be looking at defending 14% to 15% for FY27.

Darshan Deora: ROE, you're saying, around 15%, right?

Salee Nair: 14% to 15% in that's put in a bracket better what we say. Right?

Darshan Deora: Okay. No, that is understood. In terms of your CASA, again, great progress there. I see it's gone from 26% in FY25 to 28%. Do we have a target internally that we are trying to hit in terms of CASA, CASA ratio?

Salee Nair: We do have a target, but that's a slightly longest target, and I don't think I should be looking at. But let me also tell you this number that we have given, 28.14%. 28.14% is something that you will see moving up.

Tamilnad Mercantile Bank Limited

April 27, 2026

Page 18 of 21

Darshan Deora: Okay. So that's a great step. And last question, cost to income, I understand that you have preponed certain expenses that you would typically book in Q1, but what can we assume? I'm not asking for FY27. I'm just saying long term, like say, 2 or 3 years down the road as the initiatives you've taken in terms of the straight through processing, the central processing units, et cetera. What do you see, what do we see our cost-to-income trending towards?

Salee Nair: I've repeatedly said that we have committed because we have only taken part of your expenses in IT expenses, right? And we also are looking at opening more branches and refurbishing some of the branches. But despite all that, even after all that, what we have stated is that the cost-to-income ratio will remain below 50%

I think that's what we have committed to my Board and when I'm asking for refurbishment of some of the branches, which will entail cost and make it modern some of the branches so that it gets focused on resource mobilization. So, there will be some cost coming up and it will be spread over maybe '27 and '28. But like I said, we are committed to keep it below 50% and should be in the 46%, 47% range.

Darshan Deora: I think right now it's around that 44% to 46% around 45% now. So, you're saying in that, slightly higher than the current?

Salee Nair: Certainly, it's well below 50%. That's our commitment.

Darshan

Deora: Great really appreciate the results and commentary and the guidance and wish you and your team the best of luck for FY27.

Salee Nair: Thank you.

Moderator: Thank you. The next question comes from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor: Yes. Hi sir hope I am audible? Thank you, sir, first of all for the opportunity and congratulations to the team with the one-off which you have earlier explained, our numbers are much higher, our operating profits are much higher than what has been reported. But as per the, if I may conclude to what our earlier speaker and your answer being, we are looking at moderation in both ROA and NIMs going forward for FY26, FY27.

So this INR500 crores plus operating profit on a quarterly basis, do we have the set of levers that we can defend this or this is, this will be tad lower since the other parameters are going to be trending lower?

Salee Nair: The INR500 crores of operating profit, I think we did at INR522 crores, right?

Saket Kapoor: Yes, sir.

Salee Nair: And are you suggesting that this will be lower?

Tamilnad Mercantile Bank Limited

April 27, 2026

Page 19 of 21

Saket Kapoor: Sir, I'm only asking you that since you are mentioning that our NIMs and ROA will be slightly lower, the averages will be lower than what we have posted for the current quarter. So in that trajectory, how confident are we that this is a new benchmark on a quarterly basis on the operating profit number, if I'm correct. Correct me there sir?

Salee Nair: INR500 crores of operating profit will certainly be defended.

Saket Kapoor: This number will be defended even for Q1 and sequential also.

Salee Nair: Yes, yes.

Saket Kapoor: Okay. That understanding can be taken. And sir, secondly if you could just give us some understanding how the nature of the bid pipeline you have, especially I think you are putting the thrust on the MSME, that will need growth lever going ahead. So if you could just give us some color on what the bid pipeline are currently?

And sir, taking into account, again, the inflationary trend because of the higher crude prices, what do you think, sir, currently with the higher G-Sec rates, how will the banking space be affected going ahead because of these higher, because of rates trending higher only?

Salee Nair: Yes, I think see, rate seems to be hardening in the system. You have seen the yield actually go up, 10-year yield, G-sec yield going up as far as 7.14%. And of course, it has weighted some of it instead. That's a different.

We are seeing a bit of hardening here. I think we'll have to look at how the inflation works going forward, particularly after the recession crisis and the impact of the energy enhanced energy prices on the accounts of system, the raw materials, etcetera.

So, there could be a bit of hardening here. And when the inflation is taken, the nominal GDP growth is something that we need to watch, and that's going to have a direct impact on the banking industry as well.

Saket Kapoor: Right Sir.

Salee Nair: So, to that extent, I don't know, maybe we can look at a slight improvement in the growth rate.

Saket Kapoor: Sir, I didn't get your last point. We are looking at?

Salee Nair: I'm saying that the nominal GDP almost mirrors the nominal GDP growth, the real GDP plus your inflation. If the inflation is going to tick up a bit, we can see the growth in the system going up, moderated to the extent of prices.

Saket Kapoor: Okay. When we affected this 20% advance growth?

Salee Nair: Let me tell you why we are talking about 20%. See, this is not a State Bank of India or an HDFC Bank speaking. When they look in terms of the growth, they will have to factor in the

Tamilnad Mercantile Bank Limited

April 27, 2026

Page 20 of 21

macroeconomic need and requirements, etcetera. We are still at a pace where our own growth will not impact significantly the competition around.

So,

we can still knock that extra growth away from the others. That is where our confidence for a 20% growth comes in. It is not just because the macroeconomic parameters will give you that growth or the leg up. It is because we are still small

Moderator: Thank You. The next question comes from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.

Sarvesh Gupta: Good evening, sir and Congratulations on a good set of numbers. Sir, first question is on your advances growth guidance. So, if you look at the past in T&D, we have had many years of 8% to 10% sort of a growth. This year, of course, we have done a very good job on that. But if I look at the overall advances growth, roughly around 72% has come from gold loans. Now this also has been a year where gold loan prices have gone up so much.

So, assuming, let's say, gold prices don't increase from here on, then what kind of growth rate can we assume because then we will have to only grow by tonnage. So, what can be the realistic growth in such a scenario where gold loan prices don't go up as much as like in FY26, they went so much higher?

Salee Nair: You are right that FY26, the advance growth has been to a very large extent driven by the gold loan. I think that if you look at carefully, the MSME space, which was which actually degrew in quarter 1, we ended up with almost 14% almost 15% growth in MSME.

Now I can tell you that the MSME, the machine that we have put in place is beginning to fire.

So whatever gold loan degrowth or the moderation in the I don't expect a degrowth, but the moderation in the growth that will happen once your gold loan prices stabilize will be we are confident that can be made up through improvement in the MSME growth.

And we are also looking at other aspects, particularly the car loan, which is beginning to make some headway. The housing loan is beginning to climb back. There are other elements that is also beginning to fire, which should help us in sort of moderating, which should take over some of the moderation that the gold loan might bring about.

Sarvesh Gupta: Sir, this net weight of 34 tons, so how has that grown in the last 1 year?

Salee Nair: I think how much of it is? We are not done in the year. See, we just quickly a snapshot of it. I think we'll have to look at how it is moving. The first time we have actually got the numbers out.

Now we'll start tracking on a net weight basis also.

Moderator: Thank you, Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Salee S. Nair, the Managing Director from Tamilnad Mercantile Bank for their closing remarks.

Tamilnad Mercantile Bank Limited

April 27, 2026

Page 21 of 21

Salee Nair: Yes. Thank you, and thank you all for joining this concall. Like I said, FY26 has been a year of reckoning for us, and we have consistently tried to deliver much more than what we promised.

I think and that's something that we are aiming to do in FY27 also. FY27, we are facing much more as a much more, as a bank in much more, I would say, confidently because some many of the initiatives that we have taken, I think quite a bit of initiatives that we have taken, the HR initiative, a complete transformation from a legacy based, IBA based structure, pay structure into CTC based pay structure. 83% is on CTC now. The PPA has been completely revamped. The PBI is the performance based incentive is today looking at growth as the only driver for the incentive. There's a lot of automation that has happened, the LMS loan management system. Phase 1 has gone live.

The digital engagement hub, we are revamping, quite a bit of action is happening on the IT space. And all this has resulted in unleashing some of the productive energy, productive gains that is resulting in the number that you saw in FY26.

And that is giving us the confidence to face FY27 much more confidently. And 6 to 9 months, we hope so

me of these initiatives all rather all the initiatives currently would have been completed and the productivity gains as a result of those initiatives will be made available. So FY27, we expect overall to be a better year than FY26. Thank you once again for all for joining us in this con call. Thank you.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Tamilnad Mercantile Bank Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2026

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30.07.2026
The Manager
National Stock Exchange of India Limited ,
Exchange Plaza, 5th Floor, Plot No. C/1,
'G' Block, Bandra - Kurla Complex,
Bandra (East), Mumbai - 400 051. The Manager
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001.

Ref: Symbol: TMB / Scrip Code: 543596

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call – Q1 Results

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform that the transcript of the earnings conference call hosted by the Bank on the Unaudited Financial Results of the Bank for the quarter ended June 30, 2026, has been made available on the Bank's website at the following link:

Transcript of the Earnings Conference Call – Q1 Results

We are also attaching the transcript of the earnings call with this intimation.

Kindly take the information on record.

Yours faithfully,
For Tamilnad Mercantile Bank Limited

Swapnil Yelgaonkar
Company Secretary & Compliance Officer
Page 1 of 18

Tamilnad Mercantile Bank Limited

Q1 and FY 2026-27 Earnings Conference Call – Transcript

July 27, 2026

Management:

Mr. Salee S Nair, Managing Director & CEO
Mr. Vincent M D, Executive Director
Mr. Sanjoy Kumar Goel, Chief Financial Officer
Tamilnad Mercantile Bank Limited
July 27, 2026

Page 2 of 18

Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY27 Earnings Conference Call hosted by Tamilnad Mercantile Bank Limited. As a reminder, all participants' lines will be in listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone.

On the call today, we have the following management representatives: Mr. Salee S. Nair, Managing Director; Mr. Vincent Menachery Devassy, Executive Director; Mr. Sanjoy Kumar Goel, Chief Financial Officer.

I now hand over the conference to Mr. Salee S. Nair, Managing Director from Tamilnad Mercantile Bank Limited. Thank you, and over to you, sir.

Salee S. Nair: Thank you, Pari, and good evening to all of you, and welcome to this con call on the results of TMB for FY27 first quarter, Salee here. And just to take you through the highlights and the performance highlights. The quarter 1 of FY27 has been a good quarter for TMB, as you would have already seen the presentation that has been uploaded both in our site and the NSE and BSE sites.

We have delivered as promised, we have exceeded the guidance as promised in the last con call in April. The growth is, if I look at it, we have delivered first quarter 23% growth business growth, total business growth of 23%, which is way, way higher than the 8.82% 10 -year CAGR that this bank has delivered in the past.

So, this is the highest growth in the last 14 years. It is 7% over the industry growth. And the growth, of course, has come and backed up by the growth has helped us deliver strong net interest income and the net profit, which is the highest ever in the bank, the bank's 105 years history. Credit cost continues to be under control. And for the first time in the history of this bank, we have fully provided for the non -fund based facilities.

If you look at the provision that we have had for the quarter, a substantial amount is against non - fund based facilities where we are fully provided. We have provided almost INR26 crores there. Gross and net NPA percentage has continued to decline. And the capital adequacy is at 32.33%. It's one of the highest in the

industry.

And what this means for the shareholders, ROE, I think the second quarter when we have crossed 15% this quarter, FY27 first quarter, it is at 15.93% Quarterly EPS is INR25.99 per share. Market cap since the last call is up 20%. And the 20% was up to Friday, and you would have seen the price go up today, and this is not captured in this 20%.

So, this has been a value -driven growth. And I'll come to that just in a bit. The total business increased 23%, as I just mentioned, to INR1,21,715 crores. Deposits, 19.71% up to INR64,409 crores. We will get a little more color on it as we go a little later. CASA is up 16.94% growth year-on-year. Advances 27.01%. And the RAM business, the advances retail, agri and MSME, is up 28.47%. So, all this has delivered good value for us.

Tamilnad Mercantile Bank Limited
July 27, 2026

Page 3 of 18

Net interest income, as I said earlier, is up 32.01% year -on-year. The operating profit is at INR611 crores, up 48.22%. Net profit is an all -time high, INR412 crores, up 34.97%. ROA is up 32 basis year -on-year, up from 1.82% to 2.14%. So the ROA, return on assets is at 2.14% for the quarter. And ROE, like I said earlier, is 15.93%, up 263 basis over quarter 1 of FY26. And if you delve a little deeper into it, CASA is at 26.16%. Unsecured exposure in the overall portfolio is just 10 basis points. Net interest margin, the net interest margin is up 45 basis year -on-year, and it is now stands at 4.29% for the quarter.

Cost-to-income ratio well contained, below 40% at 39.10%. The credit cost continues to be under control, 9 basis points. And the credit like I said, the credit quality continues to be good. GNPA is 0.69%, down 53 basis year -on-year and NNPA is 17 basis, down 16 basis year -on-year. SMA is at 2.21 basis, again, down 84 basis and PCR is 96.04% total PCR and on book, it is at 75.36%. Now when you get into separately into the business performance, current account is up 16.28% though quarter -on-quarter, it is down 8.75%. I'll come to that a little later. CASA overall, it's 16.94%, I mentioned earlier, but quarter -on-quarter, because of current account de growth of 8.75%, is down 2.95%.

Term deposit has more than compensated that. In fact, it is up 20.73%. And overall, term deposits is up 19.71%. This particular quarter, we have been trying to secure our resource base in a big way, and that's getting reflected in the overall deposits of 19.71% and in particular, the term deposit of 20.73%.

We have been focusing on the term deposit in the quarter, and that has, to some extent, cannibalized current account the CASA, which has, sort of, not really up to what we would have anticipated 2.95%. But when we look at it holistically, we have put that in Slide 10, while the degrowth in CASA is just about INR500 crores.

The overall focus on the resource mobilization, the overall focus on deposits have yielded INR2,697 crores in the first quarter, which is a record deposit mobilization as compared to INR114 crores that we did in the same quarter last year.

And to give you a little more color on it, the noncallable deposits quarter -on-quarter from the 31st of March '26 to 30th of June is up 18.44%. So that's again our focus on resource mobilization, our focus on seeing that the focus continues on within the resource mobilization, the non-callable deposits is up 18.44%.

And such deposits, 80.39% are over 1 year and above tenure. So that's the other aspect. So we are trying to secure our growth strategy going forward. FCNR(B) deposits is also seeing some movement there, 11.03% as it has moved up quarter -on-quarter. And \$10 million is what we have raised so far under the Special Forex Swap Facility of the RBI.

Tamilnad Mercantile Bank Limited

July 27, 2026

Page 4 of 18

So, there is some movement there. And like I said, overall, the focus has been on securing the resource base for the growth forward

. And CASA, a small degrowth in CASA has been a consequence of it, which will more than make up hopefully in this quarter, which is quarter 2. On the Advances side, I think the RAM, as I said earlier, is up 28.47%. The growth is evident across retail, agriculture and MSME. MSME, in particular, has moved up 20.09% year -on-year. The others are at 6.69%. Again, a bit of a movement happening there. Overall, like I said earlier, gross advances is at 27.01%.

CD ratio has moved up by 511 basis across the year, and I have a slide for you on the CD ratio coming up later. On the advances, of course, the growth momentum is maintained and the profitability is the focus of the advances, obviously.

And we have put in place some of the numbers, which I'm sure you can scrutinize later where we have given you the ROA on some of our portfolios, both retail, agri, MSMEs and other advances separately.

The portfolio mix currently stands at agri 40%, MSME 28%, retail 25% and others, 5.62%. So the gold loan portfolio continues in an acceptable range. It continues to be gilt edged. Our portfolio still has the ability to handle almost 20% reduction in the gold price. And with LTV continuing to be in the acceptable range, there has been a bit of a spike in the portfolio at -risk one day, which is now getting contained.

Like I said, the portfolio yield is very, very comfortable at 10.58%. So, this is a portfolio that we will continue to market, continue to ramp up going forward. We don't anticipate any kind of issues in the commodity risk involved in this portfolio, which is being monitored on a daily basis. And it is clearly well under control.

Unsecured exposure, as I said earlier, is just about 10 basis. There is practically no NPA in that. The NPA in unsecured is just about INR56 lakh. On the export credit front, I think 3.53%, INR685 crores of our purely export component and West Asian exposure is only about 32.14%, which is practically a small portion of it.

And so far, we have not been seeing any kind of stress in our export portfolio or the larger MSME portfolio on account of the West Asian crisis. There has been some uptick in the GECL portfolio, GECL 5.0 portfolio. But like I said, we are not foreseeing any as of now, we have not seen any kind of stress in this portfolio.

On the financial performance, like I said, the net interest income is up 32.01% and the profit is INR412 crores, INR411.51 crores, up 34.97%. So, the employee cost and the other expenses are under control, and that's what helped us to deliver an operating profit of 48.22%. The balance

sheet is now almost touching the INR80,000 crore s mark as on June 30.
Tamilnad Mercantile Bank Limited
July 27, 202 6

Page 5 of 18

So, this all has resulted in enhanced shareholder value. I said about the earnings per share at INR25.99. Book value per share stands at INR667. ROA 2.14%, it has been continuously moving up. And ROE stands at 15.93%. Total shareholders' fund stands at INR10,562 cro res. And the other interesting aspect is the s hareholding pattern when we go deep into it on the 30th of June '25, when we had no investment from the mutual funds, TMB, there was no mutual fund that invested in TMB on June 30, '25. When I move to June 30, '26, I noticed that, that interest is beginnin g to show up. The mutual fund investment in TMB's holdings is at 0.577%. And likewise, the foreign portfolio investors are also showing some interest, which was at 4.576% earlier, is now up to 6.73%. So, some interest now coming from a larger mutual fund DIs and continued interest from the FPIs. Credit quality continues to be stable. And like I said, GNPA at 0.69%. NNPA at 0.17%. PCR is at 75.36%. This is on book PCR. Asset quality is very much under control. And even in the NPA, the collateral coverage for the NPA book is at 145.28%. So INR398 cr ores of NPA, INR241 crores of provision and INR145 crores of collateral co

verage.

So, I think pretty much the provision that we have already invested in, much of it is, likely to come back as we resolve these cases going forward. One of the highlights of t his quarter, as I said earlier, is that instead, or rather we have provided provision of 100% provision for the stressed NFB, non -fund based facilities.

This is not a requirement as per IRAC, but it is certainly a requirement of the expected credit loss re gime, which will start from the 1st of April 2027. So, this i s something that we have already done. The provision number that you see, INR26 crores of that provision number is on account of this stress NFB facilities provision, which, in normal course, we may not have done, but we have done it as a prudent measure and looking at the ECL going forward.

Yes. Coming to slippage. Slippage is under control, 8 basis points. SMA is also under control. Stress assets are on a downward trajectory. And I was mentioni ng about the ECL, effective from 1st of April '27, ECL will be implemented. And as far as we are continuously c alculating the ECL cost for us.

And the cost as on 30th of June '26 is at INR324 crores. That is additional provision requirement as we move fro m the IRAC regime to the ECL regime, that is the additional provision that will be required. And I have said earlier also that INR250 crores of COVID contingency provision, we have not written back. We ha ve kept aside just for the ECL.

And in this quarter , in quarter 1 of FY27, we have also added another INR26 crores to the stress NFB, taking the overall provision that is kept aside to meet the expected credit loss in kicking off next year is INR276 crores.

Tamilnad Mercantile Bank Limited
July 27, 202 6

Page 6 of 18

So, when the industry moves out to the ECL regime , TMB would largely be insulated from the impact of that, and we are hopeful that, we certainly will be in a position to contain the ECL fallout in the first year of the implementation itself.

On the key ratios, the cost of deposits have moderated; from 5 .71% last quarter, it has come down to 5.68%, a reduction of 3 basis. While on the advances side, 9.93%, it has moved up 9.93% in quarter 4 has moved up to 10.10%, 17 basis. So, both combined the combo of it has helped us deliver a net interest margin of 4. 29%.

Capital adequacy, even Tier 1 is at 31.30%. Cost -to-income ratio, as I just said, now stands below 40% and I've also put some kind of information on the CD ratio, on the solvency ratios, leverage ratio stands at 12.5%. If you recall, the regulatory m inimum requirement is just 3.5%. So, we are at 12.5%, more than 3 times that. LCR stands at 140.74%, NSFR at 150.74%.

And CD ratio is 88.97%. But given our net worth, we have put some numbers there, our net worth in the balance sheet size is 13.24%. That gives us the ability to lend much more. And we have also calculated the maximum CD ratio permissible on account of this high net worth is 99%. It stands today at 89%, which means we have some dista nce to go in terms of CD ratio. And obviously, you will see from the deposit numbers, the resource mobilization numbers that our focus on term deposit will probably moderate the CD ratio going forward, and particularly term deposit at 20% plus.

So, on the business per branch, continuously up INR193.81 crores averag e business per branch per employee, we have recruited 325 new employees during quarter 1. Otherwise, I think that

has impacted their productive input is not part of the business per employee is at INR23.75 crores and the profit per employee is INR32.12 lakh.

So that's also continuously expanding. We have added 6 branches in the first quarter. The branch now stands at 628. 171 of those branches are outside the state of Tamil Nadu. So in the 6 branches that we opened in FY27, 3 branches are within the state of Tamil Nadu and 3 branches are outside the state of Tamil Nadu.

Digital t

ransaction trends, I think the number of transactions that is now conducted across the counters in the branches has shown moderation. It has come down from INR59 lakhs to INR55 lakhs. Likewise, the usage of TMB MB has also seen continuously rising and we've seen some growth.

And of course, we are investing heavily in the technology and in the process of modernizing the bank. I think that effort has continued in the first quarter and will continue in FY27 as well. And there is one additional disclosure we would like to make that the investor community is aware that there has been a show cause notice issued against the bank by the Enforcement Directorate for certain shares being part of the NRI community.

Tamilnad Mercantile Bank Limited

July 27, 2026

Page 7 of 18

And the show cause notice 1 where a penalty of INR17 crores was imposed on the bank and show cause notice 1 for issuing bonus shares where no penalty imposed, but the show cause amount is INR1,037 crores. On the 9th of July, the Appellate Tribunal has announced this order, our appeal has been partly allowed.

The penalty has been reduced to INR3.4 crores, and the bank would receive INR13.60 crores, hopefully, in quarter 2. ED's claim for confiscation of the shares held by the foreign investors has been dismissed. So that's a major outcome of the order. And we are evaluating the order. The order has been received, we are evaluating and further course of action is under examination. SCN 2, the adjudication is still pending. So that's from my side.

I have with me, as Pari just mentioned, the Executive Director, Vincent; the CFO, Sanjoy Goel; the Head of Credit, Ananda Ganesan; Head of Resources, Ashok; Head of IT, Davis; with me to answer any of your questions as you may have. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Digant from GreenEdge Wealth.

Digant Haria: Sir, congratulations. You continue to underguide and overdeliver. It's like almost the seventh quarter that I'm saying this comment to you, but congratulations, sir. Sir, because of such good performance and it's the start of the year, so would you want to give us some guidance on loan growth and margins, ROA, ROE, any such parameters for the year?

Salee S. Nair: I think you did mention that the seventh quarter, we are underguiding and overperforming. Is that the word you used, right?

Digant Haria: Yes.

Salee S. Nair: I think we have been looking at structural changes within the bank, investing in technology, releasing the productive infrastructure precisely to generate the kind of growth. And that the bank has been responding and the numbers have come better than expected. But I know probably a lot of it is driven by our team in general and they have been delivering.

Having said that, the total business growth for the quarter, yes, we have been quarter after quarter, the growth is moving up, but a stage comes when your balloon cannot get bigger, right? It has to be sustained.

And the rest of the quarters, you will see these kind of numbers. We are trying to see whether these kind of numbers can be sustained. Now from a larger perspective, the sort of guidance that you're looking, I think I would take you back to the guidance that I've given in April. What is your name, you said?

Digant Haria: Digant Haria from GreenEdge.

Salee S. Nair: Haria. The guidance, if you recall, we had said that CASA growth will be 17% to 18%. Certainly, we will stand by that in the, say, the next quarter, the quarter 2 and the rest of the year. I think

Tamilnad Mercantile Bank Limited

July 27, 2026

Page 8 of 18

that's something that we will try and see. The deposit growth, we said we will be 16%. I think we are increasing it by another 2%, right? I think we will see how that moves up.

And 16% is what we said for the year, we are raising it

by another 2% because slowly, the system

is responding to our overflows on deposits. We'll see how that proceeds before we revise it in the next quarter.

Advances growth, we said 20%. I think we would be upgrading that again by another 2%, 21% to 22% is what we are hoping to end the year. Total business, like I said, 18% is what we mentioned for the year. I think another 2% is something that we are confident of delivering.

Net interest margin, 3.90%, I think we should be very well past the 4% mark for the year. ROA, 1.9% is what we guided. I think it is going to be, again, well over 2%. ROE, 15% is now our revised guidance. And the GNPA continues to be below 1%. Yes, Haria.

Digant Haria: Right, sir. Sir, in last quarter, I asked you this one question that in the last year, gold loans was our Dhurandhar, and you said that probably this year, the other parts of the RAM business might be the Dhurandhar. But sir, Q1, again, it's gold heavy. So, when do you think this retail MSME picks up really well and like?

Salee S. Nair: Let me take you to my which slide is this? I keep going back and forth, I get lost in the slide.

My Slide number 12. MSME, look at the way MSME is moving.

Digant Haria: Yes, sir. INR500 crores every quarter you are adding, I can see that.

Salee S. Nair: So hopefully, gold loan one of the reasons why we are looking at 21%, 22% as opposed to the 27% growth we had in the first quarter is that the second half of the current year, we will unless the gold moves, I think the prices are getting stabilized around \$4,000 an ounce. So the kind of Dhurandhar growth you mentioned in gold loan may not be there in the second half of this year. And that is where our other arms of the advances will step in, particularly we are looking at MSME. We have done a whole lot of investment in the MSME space, and that is beginning to deliver us results. The 14.89% quarter, the year-on-year MSME growth has now moved up beyond 20%.

And this is one area you will see growth continuing. And this is what we are banking on to step into the vacuum, if at all, any created by the slowing growth of gold loan. And like I said, 21% we are upping the guidance to 21%, 22% for overall advances growth.

Digant Haria: Right. No, great. I wish you success for this year also. Sir, just one last question is on this CASA, like we are around 26%. We used to be somewhere around 30% before this high-growth pace started 28%, 29%, 30%. And we opened a good number of branches also last year. So just what strategy anything more that we want to do to improve the CASA? So yes, that's the last question from my side.

Tamilnad Mercantile Bank Limited

July 27, 2026

Page 9 of 18

Salee S. Nair: You look at it. In this year in this quarter, because there has been a bit of a crunch on the deposit crunch that we anticipated. So, we were focused on securing the resource base. That is where we had a focus on the term deposits in the current quarter, and that we noticed has cannibalized a bit of CASA deposits.

But we are focusing back on it, back on the CASA. We are strengthening our TBG, the transaction business group. And we are also expanding. As you just mentioned, last year, we opened 44 branches and our intention is to open 60 branches in this year. And 6 of the branches have already been opened. So that's some activity, you will see the CASA pick up going forward.

Moderator: The next question is from the line of Laksh from Share India Securities.

Laksh: Congratulations for the good set of numbers. Since we are so bullish in the MSME space, so what guidance can you give regarding the growth in this sector for the year going forward?

Salee S. Nair: In the MSME space?

Laksh: Yes, sir.

Salee S. Nair: Specific guidance will respond to, I think probably we can come back to you on, as this quarter comes to a close. Because some of the investments are still in the offering. A

nd the investments

already made in the LOS, in the structural HR and the structural reforms, getting the CMCs in place, etc., are yielding results.

And to what extent this response, these structural changes, the investments in IT responds to us is something that we are studying. But for the year as a whole, we are confident that this will be well ahead, will be much beyond the number that we have put on the table of 20% plus.

Laksh: Okay. Okay. And sir, did we see any hit from the impact of the El Nino and war?

Salee S. Nair: See, we don't see any kind of stress emerging as of now. At least certainly in our book when we study the book and when we study the cash flows in the book and also our reaching out to our own customers, we are not seeing any kind of impact at all as of now.

Moderator: The next question is from the line of Parth from 360 ONE Capital.

Parth: Sir, my first question is our SMA 0, 1 and 2, all the 3 have gone up on a quarter-on-quarter basis. Is this any particular portfolio contributing to the same? And can you just throw some light on the same?

Salee S. Nair: If I take you to Slide 14, you will notice that there has been some bit of an uptick in the portfolio

at-risk one day. When we are talking about SMA, we are talking specifically about SMA 0, SMA 1 and SMA 2, right, including the SMA 0. There has been a bit of an uptick in the gold loan portfolio that has contributed almost INR100 crores, INR150 crores there. So that's a piece.

Tamilnad Mercantile Bank Limited
July 27, 2026

Page 10 of 18

But you also noticed that our corrective mechanism that we have put in place is already impacting it and the numbers are coming down. So that numbers going forward will have an impact on the overall SMA portfolio. Of course, I can't tell you the number today, which is I can tell you is well below what we have quoted in the June 30. But it's under control. Let me assure you it's under control.

Parth: Okay, sir. Fair enough. And on the segmental yields that you give, if I look across your yields within the agri segment has gone up from 9.75% to 10.5%, whereas your yields within the MSME segment has gone down from 10.5% to 10%. So what exactly has happened in these 2 portfolios during the quarter?

Salee S. Nair: Agri portfolio sorry, in the MSME portfolio, we were catering to a certain segment. Now we are widening our and diversifying our customer base. And that will obviously require some bit of offering of a finer price, and that is impacting the overall yield. Even after the overall yield, the ROA continues to be at an acceptable level.

On the agri side, yes, the yield has gone up because that was a conscious effort to improve the pricing of the gold loan segment per se as we anticipate hardening of the rupee term deposit base going forward. Oddly for us, that has not impacted that much. And that's one of the reasons why our net interest margin stands at 4.29%.

Our cautious approach in ramping up the gold loan yield a little tweaking it upwards in anticipation of a hardening of term deposit rates has worked in favor of us. That's the reason why we see the yield moving up to 10.54%, and which is also impacting, like I said, the net interest margin.

Parth: Sure, sir. And my last question is on Slide 41. For the show cause notice 1, right, it's mentioned that ED's claim for confiscation of shares held by foreign investors has been dismissed. So is it now fair enough to say that now these shares would be free from the encumbrance or would be available?

Salee S. Nair: It is a little too early for me to react to that. I think we are studying the order as such. And incidentally, the bank is not involved in it. This is a case between ED and those certain investors. I think the ED had claimed that those shares should be confiscated, but appellate authority has set it aside. Now we'll have to see what is the implication of that, right? ED

obviously can also go in appeal. So, we are studying it, and we'll see when I meet you in the...

Moderator: Ladies and gentlemen, the line for the management seems to be disconnected. Please hold for a while.

Salee S. Nair: Hello?

Moderator: The line for the management is reconnected. Please proceed.

Parth: Yes, sir. So you were saying, sir, you will study the order ...

Tamilnad Mercantile Bank Limited
July 27, 2026

Page 11 of 18

Salee S. Nair: Yes, that's what I'm saying. In fact, we have engaged one of the top legal firms in the country to have a look at the order and advise us on the course of action. So some clarity will emerge during the quarter.

Parth: Okay. Okay, sir. And my last question is, sir, the retail portfolio has declined on a Q-o-Q basis, if I look at Retail portfolio?

Salee S. Nair: Which portfolio, sorry?

Parth: Retail portfolio. So, like all the other 3 portfolios have actually grown. So what has actually happened there? Yes. That was my last question, sir.

Vincent M D: On the retail portfolio, we are certainly seeing the green shoots. For instance, vehicle loan has grown up by 25.7%. And we have been observing a degrowth in our home loan portfolio that has been largely arrested. And if I compare with '25, our advance level versus the current level, it is almost the same level.

So, the downtrend has been largely arrested in home loan, and there is a very good uptick in the auto loan segment, vehicle loan segment. That has grown up by 25.7%. And coupled with this, jewel loan for the consumption, that is still having very good demand and the growth is happening there. So overall, we are expecting that here also similar to MSME growth, where our retail segment will also contribute in a big way during the current year.

Salee S. Nair: See, one of the other aspects that we noticed is that the retail gold loans, toggles between agri gold loans and the retail gold loan, depending on some migration seems to have happened from the retail gold loan to the agri gold loan. That is one of the reasons why on a quarter-on-quarter basis, you are seeing a 2.5%. You should combine it and see.

Moderator: The next question is from the line of Arvind from Sundaram Alternates.

Arvind: Congratulations on the very good set of numbers. Sir, a few things. I mean I was seeing that slippages in MSME portfolio is slightly higher. I know it is still under 1% annualized number, it is still a good number, but I'm still trying to understand if there is any issue there in MSME portfolio in terms of new slip pages?

And another question is this is much more a medium-term view, like growth is really great, but especially in retail and agri, like most of the growth is still coming through gold loans. And I understand that MSME growth is also like have picked up meaningfully in the last few quarters. Trying to understand non-gold retail portfolio, like how are you looking to grow, what are the segments you want to take it up as the next set of growth drivers in the coming quarters or coming years? And how do you want to achieve it?

Salee S. Nair: Yes, Arvind. Your first question on slippage in MSME. I think you must be looking at the INR37 crores here, and I'm sure your observation is based on that. Let me tell you that this is actually only 2 accounts. And from a resolution perspective, you will see that getting resolved in quarter 2, right?

Tamilnad Mercantile Bank Limited

July 27, 2026

Page 12 of 18

So, this is a one-off that we so this is going to be resolved. So, you will not see this. The MSME space, I think, continues to be robust. And from a credit quality perspective, I think it is still pristine.

Vincent M D: If you look at the gross NPA position as on June '26 versus June '25, currently, it is at INR160.35 crores, whereas it was at INR202.34 crores as on June 2025. So, while there are slippages, there are a large number of

recoveries and upgradations as well. So overall, the position is better than what it was during June 2025.

Salee S. Nair: And like I said, the slippage you see in the quarter is something that will be tackled in this quarter. Quarter 1, the INR37 crores largely will be tackled in quarter 2. Of course, it doesn't mean that the quarter 2 will not have its own slippage. This particular one will be tackled. Yes, Arvind.

Arvind: What about the second one, like non-gold retail products, which one are we like thinking about scaling up in a meaningful way, which will be contributing to the growth?

Vincent M D: There are 3 products which we will be focusing upon home loan in a big way, vehicle loan also again in a big way, LAP loan, loan against property. So, these 3 products will really deliver the record numbers during the current financial year.

Arvind: Okay. And any target or mix, anything like that in mind or any target mix or anything like that in mind? Either in medium term or like in the short term?

Vincent M D: The vehicle loan portfolio by roughly 25%. That is going to continue. And we are sure that the housing loan portfolio will also start growing because the sanctions are happening in a big way currently and especially during this current financial year, current quarter, that will help us in terms of reaching around 8% to 10% growth in home loans. So, we feel that the Retail segment, non-jewel retail segment will also grow alongside the MSME growth, MSME.

Arvind: If I can ask just one more question. Like if the gold prices are, let's say, flat, how would you think about the gold loan growth going forward?

Salee S. Nair: The gold loan is flat, as you are saying, it is moving around \$4,000. One, of course, like I said earlier, we have provided sufficient cushion against any kind of commodity risk there. Going forward, gold loan is likely to be more not on a per gram kind of number that will drive it, but the tonnage. I think that's something that we are focusing on. We are focusing on acquiring new gold loan customers. We are, in fact, looking at even a cadre for gold loans going forward. So, it is going to be a tonnage game going forward. And I think you will see that while the gold loan prices have stabilized, our gold loan growth may not grow to the extent that we have seen earlier, but will certainly continue to grow. Like I said, gold loan MSME as an aggregate portfolio, I've just told you that we will see that it will be in the 21%, 22% range for the year.

Moderator: The next question is from the line of Vinith Jain from Siddhi Capital.

Tamilnad Mercantile Bank Limited

July 27, 2026

Page 13 of 18

Vinith Jain: I have 3 questions. The first question is on the IT spending. How much are you planning to spend

this year?

Salee S. Nair: I'll just , my head of IT is here, you want to say?

Vincent M D : Yes. So, in the current financial year, it's around INR280 crores that we'll be spending, of which infrastructure will be 21%. New software acquisition enhancement will be around 20%, 35%.

Cybersecurity related will be 10% and the others will be around 35%. Overall budget for IT spend for the current year is INR280 crores.

Salee S. Nair: And by the way, if I may add to that, we did mention cybersecurity investment will be about 10%. And we have told the IT head that this is one area where we need to really focus on and the 10% will not be a limiting factor as far as cybersecurity systems are concerned. So going forward, we would be ramping up our investments in the cybersecurity.

Vinith Jain: Sir, next question was on the new ECL norms, which start kicking in from next year, and we already started providing for it. Other INR48 crores, I think, remains. So, are you planning to further provide in the same financial year? Or are we done for this financial year? And what was left? Does it go in the next 2, 3 years or so?

Salee S. Nair: Th

e size, the amount is fairly enough. Our calculation showed that on the business level of 30th of June, we need an additional provision requirement of INR324 crores. And like I said, INR250 crores, the COVID contingency provision, we have not written back. We have kept aside for this.

And in addition to that, quarter 1, we have also provided INR26 crores for the stress non-fund based facilities entirely. So, this is also keeping in mind. So INR276 crores provision is there.

We will not be looking at additional provisions in the current quarter because look at RBI. RBI has actually given you a leeway. It can be spread across how many 4 years or 5 years.

Spread across 5 years. So, there's no providing early on, unless there is a trigger for it, further provision in the current year, we may not be doing. But we are very confident that in the FY27 in FY28 as it kicks in on 1st of April, we will be able to completely provide for that in the year itself. And we are looking for whether it can be done in the first quarter itself. So even otherwise, it will be spaced across and will be fully booked in the FY28.

Vinith Jain: Sir, on the overall growth strategy, I just wanted to have some clarity. We already are at 47.82% in the jewel loan. Do you have any internal ceiling or a cap where do you want to go? I know, of course, the other part of advances will start kicking in, the MSME started growing 20%.

You're expecting the retail to grow further. So, you will have headroom in the gold loan. But in spite of all that, we see gold is growing faster for you. Do you have any internal ceiling? And how do you plan to manage it?

Salee S. Nair: Going forward, the portfolios are going to grow in different ways, right? Your MSME is going to grow faster than what you have seen. Some of the other retail segments of the portfolio also

Tamilnad Mercantile Bank Limited

July 27, 2026

Page 14 of 18

will start moving. But at the same time, on the other side of it, the growth that we saw in the gold loan portfolio either to what we saw last year or is not something that we anticipate getting it repeated going forward. So, the portfolios are going to go in different directions. And the current share of portfolio, which is how much 47%...

Vinith Jain: 47.82%.

Management: 46.97%.

Salee S. Nair: 46.97%, I think might move up a bit more, but I don't see that significantly changing. There we have an informal internal cap to have it limited to 50%.

Vinith Jain: Okay. The internal cap is at 50%, but we expect other things to grow and you will have a headroom further?

Salee S. Nair: So, we would like to see others grow and grow in tandem with the gold loan portfolio, and that's something we monitor and that's something we are investing in, both structural changes and HR changes and technology changes to see that the non-jewel loan portfolio also grows in tandem.

Moderator: The next question is from the line of Darshan from Indvest Group.

Darshan Deora: This is Darshan Deora from Indvest Group. So great set of results. One question I had or clarification I wanted was on the gold loans. What is typically the structure of these gold loans?

Are they bullet loans or are they, like, EMI, sort of, based, like, some sort of monthly or quarterly payments?

Salee S. Nair: No, no, I think, one, of course, the gold itself will be in the jewelry form. That is something that is right? And it is not an EMI based. It is a 6-month or a 1-year bullet payment. And typically, when we track the LTV, we do not track the disbursed amount, we track the disbursed plus the interest accrual. Whatever you are seeing in the slide that we have presented for the gold loan, it also includes the interest that has accrued in that as on the 30th of June.

Darshan Deora: Got it. Got it. So, you're being conservative. I appreciate that. Second question was again on gold loans only. So, for a fresh loan, what ar

e you capping the LTV at?
 Salee S. Nair: What is the LTV?
 Management: Average LTV is 56.98%.
 Salee S. Nair: No, no. What is the LTV cap?
 Management: 75%.
 Salee S. Nair: 75%.
 Darshan Deora: 75%, including the interest component?
 Tamilnad Mercantile Bank Limited
 July 27, 2026

Page 15 of 18

Vincent M D : Interest will not go beyond 85%.
 Management: This is for consumption loan only. For agri, there is no LTV at this time. Consumption loan it is 85%.
 Salee S. Nair: We have 18 different gold loan products. I think largely, it is in the 75% range.
 Vincent M D : The idea of LTV is principal plus interest on due date will not cross 85%.
 Darshan Deora: Got it. That's for non -agri. And for agri, there is no cap. So, you have also the other collateral. So that's fine.
 Salee S. Nair: We are using the same kind of criteria even for the agri. where this has taken as some kind of we are also using. So ultimately, we don't want to be hit by the commodity risk, changing or fluctuating gold prices. And incidentally, we have an automated system tracking each loan account on a daily basis.
 Darshan Deora: Got it. Got it. Again, so a great set of results. I mean you guys really hit it out of the park I like you've been doing for the last few quarters. Really appreciate it and wish you the best of luck for the rest of the year as well.
 Moderator: The next question is from the line of Nishit Shah from ViSolitech Investment Advisor.
 Nishit Shah: First of all , congratulations on a good set of numbers. Most of my questions regarding slippages were answered. My question is more on strategy side. So, are we looking at CGTMSE as a way to increase our MSME book? That would be my first question.
 Salee S. Nair: Not really. I think we would certainly be looking at CGTMSE as one of the ways of increasing, not we have been a conservative bank, where we have been looking at the secured lending in a big way. And you would also notice that our unsecured book is just about 10 basis points, right? So that strategy will continue. Added to that to support the growth, we would certainly will be looking at CGTMSE, MSME as a hybrid, particularly the hybrid model as one way of ramping up the growth.
 Nishit Shah: Okay. So that is not something which you are looking actively. And my second question would be...
 Salee S. Nair: I said that we would be looking at in a hybrid fashion, that means CGTMSE plus a bit of a collateral. Because in the MSME space, the equity that you see in a large corporate, corporate with good corporate governance, the equity in it is you know that it is there. When we are talking about an MSME, the equity his skin in the game, we ensure by through asking for collateral. So this will be a hybrid game that we'll be playing, including CGTMSE and certainly a bit of collateral as part of his skin in the game, which we'll be requesting.
 Nishit Shah: My second question would be because we are like adding branches as well as we are adding people. So, is this sub -40% cost -to-income ratio sustainable?
 Tamilnad Mercantile Bank Limited
 July 27, 2026

Page 16 of 18

Salee S. Nair: I have repeatedly said that we will be in the 46% to 47%. We will defend a 46% to 47% of cost -to-income ratio. That is something that I've also always said. And I think in the guidance, we can reduce it by 2%, right?
 Nishit Shah: Right. No, this quarter was, I think, an unusual quarter. So that is what I'm trying to understand.
 Salee S. Nair: Yes, yes. We never expected to break the 40% mark, but we did. There has been some one-offs that aided us. But having said that, I think some of the initiatives that we have taken both structurally on the HR side, on the IT side, etc ., are already started bearing fruits. You have seen the net interest income as a result of that moving up. So, the original thing that the cost -to-income ratio would be in the 46%, 47% range. I think we are revising it downwards.
 Moderator: The next question is from the line of Saket Kapoor from Kapoor & Co.
 Saket Kapoor: Yes, first of all, congratulations to the team, sir. We have delivered not only year -on-year, but also on a sequential basis, the operating profits are higher from INR522 crores to INR611 crores. That is a commendable job. Sir, as you were mentioning about our gold strategy moving to the tonnage part. /So, can you explain what exactly would be the difference in how we are executing today gold loans and how will the same matter when we will go through the tonnage route? I am

unable to understand?

Salee S. Nair: There is no rocket science here. See, what the gold loan, the extraordinary growth that the industry witnessed, not just TMB. Industry witnessed was because of the price increases in the gold loan prices. Right? Once the gold loan prices stabilize. Sorry, gold prices, not gold loan. The gold prices have been because of the rise in the gold prices.

So now that we are seeing some sense of stabilization of the gold prices around \$4,000 an ounce, see, the increase in the gold prices driving the growth is not going to aid us to that extent. So the only way is the customer base, we need to expand in the gold loan space. So that is the way we are going.

That's why I said it is a tonnage game, as in, tonnage of the gold that we receive; the same gold is not going to give you additional loan, you have to improve the tonnage of gold loan. So that strategy we have already put in place the branches have been equipped to start moving in the local advertisement area, et c., to tell the world that we are there and to attract more and more customers to us, and we are able today to be able to deliver a gold loan in under 10 minutes.

In under 10 minutes, I think that is the other aspect that we are showcasing so that a larger number of customers actually use our services for availing gold loans. So that's the tonnage part I was mentioning.

Saket Kapoor: Just to add to the profitability part, I think so as you very well explained to us that the growth rate that we have experienced now, the base being on the higher side. So now it will be a plateauing out in the way that we may be expecting, sir, going ahead with the confluence of all
Tamilnad Mercantile Bank Limited

July 27, 2026

Page 17 of 18

the base effect and the gold prices stabilizing, the operating profit should plateau out for the ensuing 3 quarters? That would be a good understanding for us?

Salee S. Nair: No, no, no, wait, wait. But yes, when you take within the overall advance portfolio, you take the gold loan portfolio separately, yes, you are right in a way, say that it is going to it is from a gold price perspective, from a per gram perspective, there could be a flattening off. But what I'm saying is on the gold loan itself, there is going to be we are focusing on increasing the customer base and thereby generating growth on the gold loan. That is the first aspect.

And added to that is our focus on the other segments of the advanced portfolio, particularly MSME, right? Both together, MSME is also giving us a yield of 10% plus. Both together, the kind of profits that we are looking for, I think we don't see any kind of reduction in the kind of growth in profits going forward.

Saket Kapoor: Sir, it is not the growth part. I was just looking at the defending the operating profit number. See this INR600 crores is the first time, yes, I'm just joining the queue. INR611 crores is, in my understanding, the highest number posted by us. So definitely, now the base being higher, are we in a position with respect to our advances and the yield that this INR600 crores can be defended going ahead?

Salee S. Nair: What is your name?

Saket Kapoor: I'm Saket Kapoor from Kapoor & Company.

Salee S. Nair: Saket Kapoor, we will meet again after the second quarter results are

announced. And I'll take

the same question from you, and I want to see whether you ask the same question.

Saket Kapoor: Okay, sir.

Moderator: Ladies and gentlemen, due to time constraints, that was the last question. I now hand over the conference to Mr. Salee S. Nair, Managing Director from Tamilnad Mercantile Bank for closing comments.

Salee S. Nair: Yes. I think what we have repeatedly said that the next quarter will be better than the previous quarter is something that somebody did mention that we have been doing for the past 7 years.

But at some point 7 quarters, sorry. So, this is a slip of the tongue that I'm sure can be excused.

So, 7 quarters, and we have delivered 23% in the current year.

And we have reached an orbit, taking forward without the kind of investments stratifying would be something that we are looking at. And like I said, the good growth that we have seen in the first quarter, our hard work and our efforts would be to see that it is maintained going forward in the current year and the remaining quarters.

I hope to meet you guys in October after the second quarter results are announced, at the time of announcing the second quarter results. And in case any of you want clarification in between, please reach out to either me or Sanjoy Goel. All the numbers are given. So, we'll be happy to
Tamilnad Mercantile Bank Limited

July 27, 2026

Page 18 of 18

provide you with the clarifications. Finally, I can tell you that the growth that we have delivered would continue. Thank you for joining us in this con call.

Moderator: Thank you. On behalf of Tamilnad Mercantile Bank Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.